

Federal Bank Ltd. (FEDERALBNK)

Conference call transcripts, oldest-first. 15 call(s). Generated 2026-06-08.

Call: May 2023

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Secretarial Department
SD/ F 24/ 62/2023-24 May 12,2023

The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051.
The Manager
Department of Corporate Services
BSE Limited , Phiroze Jeejeebhoy Towers,
Floor 25, Dalal Street, Mumbai – 400 001
Re: Scrip Symbol: FEDERALBNK/Scrip Code: 500469
Dear Sir ,
Sub: Transcript of Earnings Call for the quarter and year ended March 31, 2023

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited (“the Bank”) for the financial results of the quarter and year ended March 31, 2023, has been made available on the Bank’s website at the following link, with in the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in/documents/10180/444519885/Earnings+Call+Q4FY23.pdf/9399439f-aacb-f825-bb48-700fc4eaf3a9?t=1683857398330>

We are also attaching the Transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

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“The Federal Bank Limited Q4 FY '23 Earnings
Conference Call ”

May 05, 2023

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CFO – THE FEDERAL BANK LIMITED
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – GROUP PRESIDENT & COUNTRY
HEAD (WHOLESALE BANKING)

MR. RAJANARAYANAN N – SR. VICE PRESIDENT &
HEAD (LOAN COLLECTION & RECOVERY)
MR. DAMODARAN – SR. VICE PRESIDENT & CHIEF
RISK OFFICER
MR. LAKSHMANAN V – SR. VICE PRESIDENT & HEAD
(TREASURY)
MR. JOY PV – SR. VP & HEAD PLANNING
MANIKANDAN M – DEPUTY VP & HEAD (FINANCIAL
REPORTING)
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS

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Moderator : Ladies and gentlemen , good day, and welcome to the Q 4 FY23 Earnings Conference Call of the Federal Bank Limited.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Souvik Roy – Head, Investor Relations. Thank you, and over to you, sir.

Souvik Roy: Thank you, Ryan, and good evening everyone . On behalf of the Federal Bank , I welcome you all to our Q4 Earning Conference Call. I hope you all had the opportunity to go through the Investor Deck, which is available on the exchanges and also on our website .

The last year's performance has ensured that we are on strong footing and ready to leap forward to the next level of our growth journey.

Coming to the quarter that went by , happy to share that we are on track and in line with the guidance that we have given in the previous quarters .

A quick snapshot of Q4 :

We have recorded the highest ever quarterly net profit . We have seen broad -based asset growth .

Our asset quality remains stable . The progress made on our strategic priorities is noteworthy , and also , I am glad to mention that we have seen the best recovery numbers ever, and all of this has resulted in robust improvements in our key return ratios , which are at multi -quarter high.

I have the entire top management here on the call with me , and without much ado, I would request our MD to take it over from here . Over to you , sir.

Shyam Srinivasan : Thanks , Souvik. Good evening everybody . Like Souvik pointed out , we are encouraged with the performance of Q4 and the Financial Year that went by. Nothing is ever a straight line . There are good stuff , and there are areas that we need to work and improve upon , and certainly that is the focus of the Bank .

Those of you who had the chance to attend our session in late February or gone through our deck, we had talked about the things that have gone well , the things that are on focus of the Bank , and how do we continuously focus on improving our return outcomes .

Happy that what we had mentioned in February '23 as the likely exit rate in March '23, we have come in better on that , and we did mention that in the following period , which is FY '24 and FY '25, we are looking to improve on this performance . I am encouraged that the 1.28 full year the

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last exit rate of about 1.45 ROA, we are on course to improving and ensuring that the full year ROA for FY '24 is along guided line.

Not to miss the point , I did get a few calls after the results , and there were some concerns expressed around has the NIM plattered out ? Why has it fallen as much as it did ? And we can try and talk about it , and I will address that and mention both the yield on advances , how did it grow , and the cost of deposits , how did it grow , and therefore , is the deposit pricing increase fully in the book or are there residual ?

I think there is some residual , but a large part of it is repriced. Different banks may have different deposit profile and different timing . We believe for The Federal Bank , Q4 saw the brunt of it , and therefore we did see the cost of deposits go up by about 55 basis points where the yield on advances went up about 36 odd basis points . That's the difference that we saw which did have an impact on the margin sequentially.

We exited last financial year at 320. We exited this financial year at 331 , and the average for the year was 331 NIMs, which is along the expected or guided lines , and I believe with the focus on the businesses

that we are giving more fillip to and the mix of business and the repricing opportunities, I have been talking about NIMs for FY '24 being in the region of about 330 to 335 and the ROA of the business being around 1.3 to 1.35, both of which are very much within our batting range, and we think we have both the capability and the machinery to make sure that happens.

And importantly, for long periods of time, our credit quality has been I would say exemplar, and this in a credit costs have been in Q4 particularly flashing at about 19 basis points, but full year credit costs about 40 basis points is in the range that we have been guiding forward between 40 and 50 basis point. Thankfully, it's at the lower end of the range.

So, this combination of fairly balanced credit quality, the cost of credit being best in class, the NIMs being because we write better quality business, NIMs are not going to be flat, you know, instead of being exaggeratedly high, but the risk adjusted margin being around this number 3 is what we are working on, working towards, and improvement in fee income, the improvement in efficiency are all helping us grow our return ratios quite significantly.

So, in fact, I thought I just begin the call by just talking about an area that most people sort of queued in or asked us. I didn't want to go around the bend and not talk about it. So, I just thought I would just upfront this point around our business model, which I think is important for everybody to understand. We don't take exaggerated risk.

Within our risk framework, we ensure that the business makes this appropriate or within retail and wholesale, we have said 55-45. Within retail, we have given accent now in the more recent past to businesses like credit card, personal loan, commercial vehicles, and microfinance. And on the corporate side, between corporate and commercial banking, we are seeing good progress. And if you have seen our numbers, you notice the fee income from our corporate relationships

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have been growing at about, you know, quite significantly, 35 odd per cent kind of growth rate. So, we are able to get the client relationship, and at a client level, we are getting a larger share of the client wallet.

Another area that often is asked about is the nature of your business has been the strength of The Federal Bank has been a good deposit franchise and a retail deposit franchise. Happy even through FY '23, which is arguably one of the toughest years for deposit attrition, we saw reasonable growth. There were areas that in a term we had to make sure that we are not outpriced, but we are comparatively priced, and we saw retail term growing about 14% and the overall deposit growing about 17%.

We have also continuously checked to see how our market share is in terms of domestic savings and NR savings. Our share of NR deposits has increased from about 6.5% to 6.8% across the country. Our share of domestic overall savings has been hovering between 0.94% to 0.97% or sometimes around 1%. So, we are without paying a much higher rate continuing to hold share. Our next focus is gaining share in domestic savings, which through the branch expansions that we have had through our fintech partnerships that we have beginning to see traction. Last year, last financial year, we opened 75 branches, which thankfully are holding out well and maturing quickly. This financial year, we are looking at about 100 branches. Our fintech relationships, which is about a year and a half hold, the accounts that we have booked are graduating into its year two. So, we are seeing balance build.

So, on balance FY '24, I just want to point out our focus continues to be not exaggerated risk, credit quality being in and around the guided range of about 40 basis points to 50 basis points, more li

ke 40. The NIM will be around 335 or so, and our commitment, our focus is to make sure that the ROA expansion is well on course and on track, and we believe the foundation of the Bank is in a good place. Credit quality is holding quite well, and we have addressed some of the issues that needs to be addressed from a point of view of ensuring deposit growth remains a priority for the Bank.

So, let me just pause here and open it for questions. Like Souvik mentioned, the entire senior management team is here. We will be happy to take questions and clarify. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, so you already touched upon margins, but if you go by your guidance, then we are talking about some margin expansion from 4Q levels. So, how do you, I mean, what will really drive that? I knew share of new businesses or new products would, but does that take into account the possible deposit competition which could happen because now everyone will chase deposit, everyone has used excess liquidity? So, how does it pan out on margin?

And my second question is even on cost to income, where do you see that settling?

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And the third is on loan growth . Do you still maintain the guidance of high teen?

Shyam Srinivasan: Yes, and it's a lot of questions . Let me try . Yes, we mentioned that we are looking at the credit growth in that zone . It looks possible at this juncture . Even this financial year has begun reasonably encouragingly well . So, we are not yet altering our outlook on that count . We are poised for that kind of growth .

The mix of business I think you pointed out . There is a fair degree of traction in all these new businesses , and we believe that should give us some kind of fillip. I think this is a question that was asked of us even when we made our presentation in end February , and we did talk about what kind of mix and how that should help .

And in terms of deposit pricing , it's our belief that probably the peak of the pricing is already factored , and now it's only the playthrough of whatever you have already priced in . It's unlikely there may be a material increase in rates at this point in time . And we have factored in all this . In terms of cost income ratio , we are in the , you know, around 49 or so . We did talk about it , and we said , we believe that each year we should see some progress on that count . This year even if you take out the one -off expense that we had to carry in the last quarter of last year , last year's full year cost income was around 50 to 53 . We have come down to about 49. And we believe it will see another 100-basis point improvement in FY '24.

Moderator: Our next question comes from the line of Dipanshu from Vriddhi i Capital. Please go ahead .

Dipanshu : Sir, I wanted to understand the credit deposits ratio . So, in the last quarter , we have grown our deposits , but we were controlled on our credit output . So, how do we say this ? So, this is the first portion .

Shyam Srinivasan: Yes, go ahead . What is the second question ?

Dipanshu : And second thing on link to that our capital adequacy ratio is around let's say 13 % . So, is it something that we are trying to be a little bit conservative on our advance growth ?

Shyam Srinivasan: No, I think our CD ratio between 81 and 83 , it hovers around . It's just in Q4 we decided to be a little more focused on generating deposits , and we saw that come through , but we have not let go or not intending to let go of credit growth opportunities . It is in the full year credit growth; we saw about 20%. Last quarter we saw a higher rate of growth in deposits of credit . But that was conscious . Wherever we have good credit

dit , we picked it up . Wherever pricing was

less than attractive , we decided not to pick that up . Our outlook for FY '24 I have already said .

If that happens , the CD ratio will be around 82 to 84.

Dipanshu : And sir, can you link it with the capital adequacy ratio? So, are we looking to raise any funds in FY '24? Or are we comfortable on that count ?

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Shyam Srinivasan: So, I have mentioned when we did our call in the January results , we have our shareholder approval . We are considering options , but we have not narrowed down to anything as yet , but there is a likelihood of a capital raise for growth at an appropriate time , but we don't have any finite date or time as yet .

Dipanshu : Sir, our last question on our credit quality . So, how comfortable are we on the credit quality on the retail side ? So, with the new fintech partnerships and all , and we are trying to increase more from the guys who are at a higher rate . So, how confident we are ? And what kind of rating mechanism we follow ? Any color on that ?

Shyam Srinivasan: I don't know what the question is , but I think our multi -year track record speaks to the fact that we are quite both disciplined and conservative on the overall underwriting across product streams . We don't intend growth to come through flexing or letting go of credit standards . Credit standards , on top of that growth , and we believe that's possible .

Moderator: Thank you. Our next question comes from the line of Renish from ICICI . Please go ahead.

Renish: Hi Sir and congratulations on the great set of numbers , just two questions . One is on the retail deposit share , you know, which has been actually steadily coming down from almost 92 % in March '22 to 85 % in March ' 23, and especially in second half , you know, our CD ratio is also coming down , which essentially means that we are sort of from entering the highly liquid balance sheet . So, just not able to understand then why we are increasingly deposit share in any which ways our CD ratio is coming down .

Shyam Srinivasan: I think, Renish, the first point is that it is 85. These are point in time. These are certainly not the trend . I wouldn't make a trend of it . It could quickly set back to 90. I don't believe these are and like I said we were ensuring that we had a good deposit pipeline in the quarter that went by , and we did not shy away from taking those deposits , but that doesn't suggest that it needs to be the trend line .

We are keen to make sure that our deposit growth is able to match up to our credit expansion , and with the combination of that in mind between term, savings , current account , we will ensure that we meet the dilemma of ensuring CD ratios , ensuring mix between deposits , and continues

to be retail in nature .

I would not read much into it , at least not as yet . We haven't seen any reason to view it differently .

I haven't gone out and bought deposits . Even the term deposits that we have our clients ' individual deposits .

It is a fact that the NR customers have moved a large part of their savings to term . Whenever the rate differential is significant , that was bound to happen , and it's not unique to The Federal Bank .

I think it's a market phenomenon . We would be foolish to let go of balances to somebody else .

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Renish: So, sir, you know, just a follow-up on that . So, maybe it is right to assume that though the deposit definition says , you know, anything less than 2 crores is retail , but maybe the large part of NRI would have been individual but maybe having a ticket size of more than 2 crores, and hence , you know, that ratio is looking like this . Is that the fair assumption?

Shyam Srinivasan: It's a fair assumption . It's a fair assumption .

Renish: And sir, secondly , again on the margin side, s

o incrementally when we are saying that the high

yielding books like CVC , MFI, PL etc., will grow at a faster clip plus the strategic focus on gaining market share on the SA side, so why not we are yet aiming for higher NIMs than 3.3 , which is currently standing at?

Shyam Srinivasan: It's not that we are not aiming at , Renish. We are definitely aiming at a higher number , but when we speak to the market and give guidance , we have to be honest about it and believe that those are the bare minimum we should deliver . We think at this juncture given the pricing play out of deposits in one more quarter , and we don't want to take disproportionate risk in growing any of these new businesses and then have a problem a year or two down .

The blend looks like , and I constantly remind ourselves that we are not looking at NIM in isolation . We look at NIM adjusted for credit costs . I still argue that a long period of time , a franchise should look at risk adjusted NIM, a risk adjustment margin . You are all seasoned analysts . Please look at our Bank versus many others , and you will find that we are not disproportionately off.

Renish: No, absolutely, sir. And just a clarification. So, in your opening remarks, you did mention that large part of our deposit base is already repriced . So, would you like to quantify , I mean , what percentage of deposit has already repriced at a revised TD rate?

Shyam Srinivasan: I would think about 80 % is repriced.

Moderator: Thank you. Our next question comes from the line of Simranjit Singh from Master Trust. Please go ahead.

Simranjit Singh: Sir, first of all , congrats for the great set of numbers to you and to your all-Federal team . Sir, I have, you know, the next couple of questions . Sir, first of all , can you brief something about the slippage part in quarter four where we are seeing that the slippage having in quarter four ?

Shyam Srinivasan: What do you want the commentary on?

Simranjit Singh: Sir, on slippage part. Slippage in quarter four. Slippage.

Shyam Srinivasan: Yes. So, you want the numbers or? Sorry, I didn't get the questions .

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Simranjit Singh: No, numbers are there with me. You know, how you see the trend going forward in terms of slippages ? Because this quarter in Q4 , we have seen that it has increased quarter-on-quarter . So, how you see it in the upcoming quarters , slippages, if you can give some guidance or something , you know, comment on that ?

Shyam Srinivasan: Sure. I think the sequential or long period average has been between 350 and 400 . This quarter is a tad higher . That's because of some actions we took on the retail ag, you know, on the agri portfolio in certain products , but retail has trended down , and commercial banking has come down . Some part of minor uptake in business banking . So, it's not out of range . We think our guidance , if I remember right , when we began the financial year , I said it will be around 1 ,800 crores , and thankfully it came at about 1 ,600 crores full year slippages , and equally recovery upgrade even , it did even better . So, this trend line should continue . We are about a 1% slippage Bank , which probably is amongst the best in the market .

Simranjit Singh: And sir, my second question is on the gold loan front , how are you means what is your maximum cap in terms of loans you are looking at this point of time ? Because gold is already at the all-time high . So, how you see what the gold demand in your Bank means at this present juncture ?

Shyam Srinivasan: So, you are saying what share of gold will be our overall , as part of our overall business . Is that the question ?

Simranjit Singh: Yes. My first question is, you know, what will be the percentage going forward ? And second , how you see the gold asset quality going forward ? Gold asset quality means in terms

of the gross

NPAs.

Shyam Srinivasan: No, unless there is a fraud or any wrong practice, gold as a business continues to be attractive, and we will continue to grow that. The rate of growth depends on I think both the opportunity and the timing. If other businesses are growing rapidly, gold usually tends to grow slower. We believe between 20%, 25% growth in FY '24 is very possible in gold, and we will do.

And as a percentage of gold, as a percentage of overall portfolio, today it's about 1.9. So, it's about 10%, 11% of our overall outstanding. We have an internal cap, and it should never cross 15, but we are distance away from that.

So, you could believe that we will grow about 20%-odd in gold. Portfolio will be okay. Yes, there are some practices that need to be corrected, but gold as a category continues to be profitable and growing and continues to be an opportunity to grow.

Simranjit Singh: So, then my last question is that sir, and my last question is, is there any acquisition target, you know, The Federal Bank is looking for in the upcoming time?

Shyam Srinivasan: Certainly, if there was one, I would not be just casually speaking in a call like this. I have to go through a process, but suffice to say, we are organically focused. If there is anything that's useful, relevant, accretive, and at an affordable price, we will consider. All four of this makes it a very

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rare opportunity that something will show up, but if it does, we will consider appropriate enough, but right now nothing.

Moderator: Thank you. Our next question comes from the line of Pranav from Rare. Please go ahead.

Pranav: Sir, thanks a lot for the opportunity. Sir, just have one query. In terms of CD ratio has actually reduced, but if we consider C plus I, that is credit plus investment to deposits plus borrowing, that ratio is almost constant. So, that, that should not have actually suppressed the NIM so much.

So, that is one part.

So, congruous to that part, can you just, you know, elaborate how much percent of advances are yet to reprice? And how much percent of deposits are yet to repr ice and by what amount so that we can have a stable outlook for NIM for next coming quarters?

Shyam Srinivasan: Pranav, I think the answer to the question goes back to where I had guided. We think 330, 335 is the outlook that we are visualizing at this point in time. Certainly, in the quarters ahead, we will look at revisiting that guidance, but at this point in time, suffice to say that taking into consideration all the points you pointed out which are valid points, we think we are poised for a margin range of 330 to 335.

Pranav: So, this is just because of the mismatch between the timing, right?

Shyam Srinivasan: Yes. Largely yes.

Pranav: So, that is one question. Second is in terms of employee expenses, can we assume now this is as a stable base or are there any one-offs in this current quarter 597 crore of employee expense?

Shyam Srinivasan: One-off in this quarter nothing. I think in the last year, last quarter had the upfronting of the entire family pension. That was not there this year. So, to that extent, yes, if pension requirements go up because yields fall, that can change, but at this point in time, this is the run rate. Venkat, would I be right?

V. Venkateswaran: Yes, Shyam, that's right. There are no one-offs in this quarter's number.

Moderator: Thank you. Our next question comes from the line of M. B. Mahesh from Kotak Securities. Please go ahead.

M. B. Mahesh: Just two questions on my side. If you could just quantify what is the current cost of term deposits that you have carrying today as well as the savings deposits?

Shyam Srinivasan: Current cost of?

M. B. Mahesh: Term deposits.

Shyam Srinivasan: You mean the cost of

deposits or cost of term deposits?

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M. B. Mahesh: Cost of term, because if I look at your website, you currently have let's say the one year book is at about 6.8% to 7%. I am just trying to see where is the term deposit rate in your book as well.

Shyam Srinivasan: Venkat or Damodaran, would you have it off top of your head?

V. Venkateswaran: Blended would be currently for deposits around 6.2.

Shyam Srinivasan: I think he is looking at term.

V. Venkateswaran: Yes. I am talking about term.

M. B. Mahesh: So, you have the cost of deposits which you have reported is 5.1. You have, but if you work backwards, it can't be at this number, right? It appears to be a bit low.

V. Venkateswaran: Mahesh, can you come again? 5.1 you said is the cost of deposit, overall cost.

M. B. Mahesh: So, yes, for your CASA ratio that you have, just trying to work backwards as to what would be

the implied term deposit book interest rate that you are carrying today ? I am just trying to, Shyam, just trying to work through this statement that you made that we have closer to the peak of cost of depo sit rep ricing. Just trying to understand when we compare it with the headline base that you report as to whether we are there or not . Just trying to reconcile these numbers .

Shyam Srinivasan: Maybe we could pick that as Venkat, and he probably offline give you the det ails.

M. B. Mahesh: On the other side when you look at the yields , yields are up about let's say about a little over 120 basis points since the start of the state cycle . Your repo book is approximately a little over 50 %.

This by itself should have created a 120-basis points delta favorable , but if I look at the other parts of the book which also would have repriced during the course of the last nine months , where is it that we are missing here in terms of numbers ?

Shyam Srinivasan: Anybody wants to do it? Ashutosh or Venkat, do you have anything that you can offer or we should give that as a clarification later ?

M. B. Mahesh: Let me just rephrase it then . How much of room is still available for the yields to move up in your portfolio given the current interest rates ?

Ashutosh Khajuria : So, I think there are two parts . In MCLR , there is a room , in MCLR linked loans because that grows with the lag, and it's more to do w ith the proportion of the stock for a particular bucket and all . So, the computation of MCLR is like that . So, on repo side, the repricing has been happening at the same time when the repo rate hike was happening . Except in those cases where the reset period is monthly or quarterly or annual , so where like in case of , I mean , majority of these are T plus 1 itself , but in some cases where the reset would be for a longer frequency , that would be remaining , but that should not be material . MCLR linked loans, definitely there is a room to grow unless the repo rate itself goes up further . If assuming that that's the pivot , that's

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the maximum and all that , then I think it would only be the spread on which the yield would go up.

Harsh Dugar : 50% of our loans are repo linked which have been completely repriced . 13% to 14 % is MCLR based which I would feel half o f it would have got repriced and half of it still keep getting repriced. Some are fixed rate loans , both shorter tenure and long er tenur e. Those also will get repriced . So, about 15 % of our portfolio in advance s I think still has scope for improvement and repricing .

Moderator: Thank you. Our next question comes from the line of Anand Dama from Emkay Global . Please go ahead .

Anand Dama: First, we have seen some decline in the gold loan portfolio . So, that basically is primarily with the issue that we had with the rupee k earlier on or is there something else ?

Shyam Srinivasan:

No, I think you are partly right . It's not an issue . It's just a digital lending criteria required them to readjust . They did pick up , but unfortunately , there were more work to do . So, to that extent that slowed down , but the organic branch led is continuing to grow , but some of that go ld being a shor t tenure product did run off .

Anand Dama: So, next quarter onward we should see quarter -on-quarter growth ?

Shyam Srinivasan: We expect growth back again , also because it's growing up a smaller base , a lower base .

Anand Dama: Secondly , if you look at the risk weight assets growth , that seems to be far higher than somewhere about 2 8 odd percent versus the loan growth . So, is it primarily because of the growth that we have seen in the PL microfinance book and so on ? Or is there anything else in terms of , you know, risk weight adjustment that we have done ?

Shyam Srinivasan: I think it's the latter . You may all be aware , there is a regulatory requirement for clients who are unrated to carry a higher risk weight if there is an unrated and unrated a s in they are not declared . So, we looked at our portfolio . If the client had not given their ratings , then it would be a higher risk weight . So, that's a one -time activity and should not be of any significant impact .

Ashutosh Khajuria : Basically, it used to align with the regulatory requirement . We have classified some of those rated accounts also as unrated because our amo unt is not reflected there in that rating . So, because of that , you know, some part has had to be classified , and that process is on to get our amounts included in the rating process .

Shyam Srinivasan: I hope you understood that explanation . That's important , Anand.

Anand Dama: Yes. And sir, lastly , if you can help with the LCR ratio that we have for the current quarter?

Shyam Srinivasan: Around 120. 120 point in time.

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Anand Dama: 120. And how much was that last quarter?

Shyam Srinivasan: Around the same , 124 or 125 . Damodaran, is it around that number ? But roughly 124 , 125.

Anand Dama: And sir, we have done any working on the ECL provisions ? And is there any shortfall or like we

already carry excess provisions over there ?

V. Venkateswaran: Yes, we have worked on it , but at this stage , we don't disclose in terms of the workings at all . We have done the calculations , and we have confidence of meeting once the regulations come in play.

Anand Dama: We don't have to do any additional provisions, right? We have it comfortably placed .

Shyam Srinivasan: We will come back when we have present data on that. Better timing for that. I don't know if you can properly talk about it now.

Moderator: Thank you. Our next question comes from the line of Kunal Shah from Citigroup . Please go ahead .

Kunal Shah: So, firstly on wholesale, I missed the comment, but there was a significant increase in the wholesale portfolio on a quarter -on-quarter basis . And what cost are we raising? And how much was that impact in this particular quarter in cost of deposits? And given that it would be towards the end of March, do we see maybe a further impact in Q1 of a relatively higher deposit cost because that will have a full quarter impact?

Shyam Srinivasan: Did we? Ashutosh, which one is that one? Lakshmanan or Ashutosh?

Shyam Srinivasan: Wholesale deposits.

Kunal Shah: When we see there is a significant price on a quarter -on-quarter basis, if we just look at the calculate the numbers given from the

Ashutosh Khajuria: So, it's basically CD issuance.

Shyam Srinivasan: Yes. CD issuance.

Ashutosh Khajuria: For the short term . CD issuance for short term . Three months , two months CDs.

Kunal Shah: So, we will not see that full impact coming through in Q1 as well and keeping the deposit cost elevated .

Ashutosh Khajuria: It will mature

e . I mean , April also , part of it has already mature . I mean , April , part of that book has already matured . May also it would be mature. It's widely spread . So, I think if you compare the CD issuance number March '22 versus March '23, there was an increase and which is showing in a higher percentage of wholesale .

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Shyam Srinivasan: Yes. And even on a quarter -on-quarter I would say , yes.

Ashutosh Khajuria: Yes. I think that would not be material . CD rates are greatly cooled down . It has already come down by about 30 -40 basis points .

Moderator: Thank you. Our next question comes from the line of Gao Zhixuan from Schonfeld . Please go ahead.

Participant : I just have quick follow -up questions on the margins . First of all , do you mind sharing , you know, what's our exit margins for fourth quarter , i.e, what's the margin for month of March ?

Shyam Srinivasan: For the month of March ? I don't know if I would have that readymade , but the full quarter is 331. Can't be very different in March . In effect , March may have been a slightly higher month also. It's got 31 days .

Gao Zhixuan : I mean , adjusting for these , is it higher or lower than the average quarterly margin ?

Shyam Srinivasan: March would be higher . So, I would think you should -- the blended number is a better number for your calculation . I am guessing you want to do that for your extrapolation on what is the exit rate. I think 331 is the number you should pick .

Gao Zhixuan : And then on deposits, what's the average maturity of our fixed deposits and the average ?

Shyam Srinivasan: Large part is in 12-month bucket .

Gao Zhixuan : And also, on our guidance of , you know, margin FY '24 to be 300 to 305 basis points . How much of mix impact of these to margins are we assuming ?

Shyam Srinivasan: How much of ?

Gao Zhixuan : How much of increase in margin due to mix are we assuming in the forecast ?

Shyam Srinivasan: No, the 330 , 335 is quite reflective of where we are , right, at the exit rate . And that's the Bank .

Gao Zhixuan : I mean , we are increasing , you know, those higher yielding.

Shyam Srinivasan: Playthrough , right? There is a playthrough because like Ashutosh and others pointed out , some deposit cost accretion happens . So, some new business that goes at a higher margin , so the blended outcome will be 330, 335.

Gao Zhixuan : So, I just want to understand , you know, how much , how many basis points roughly increase in margins are we assuming in FY '24 is due to the improvement in mix towards higher yield products ?

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Shyam Srinivasan: You could do that , take the businesses that are relatively higher yielding , and they are growing at about , some of them are growing at , you know, well north of 30%, 40%. So, that should give

some kind of indication . Businesses , credit card , personal loans , commercial vehicles , microfinance , and to some extent gold , these businesses are growing at, barring gold , others are growing at well north of 40% albeit on a small base .

Moderator: Thank you. Our next question comes from the line on Nitin Agarwal from Motilal Oswal . Please go ahead.

Nitin Agarwal: So, interesting to see that profits for four quarters of FY '23 have been 600 , 700, 800, and 900 crores . I hope this run rate sustains . I have three questions . First, while you indicated that depository pricing was higher in 4 Q, and you are guiding for a slightly higher margins now for FY '24 , can first off margins be lower versus second half as depository repricing will continue and benefits from improving mix of high yielding loans will take time to play out ? So, that's question one .

And second is on the restructured book wherein we still have 1.6 % of restructured loans . So, if I compare this to like most other large private b

anks , the restructured book has been fairly

resolved , and most of them are like fairly below 1 now. So, how do you see the dissolution of this restructured book going forward ?

And the third question is on core fee income , which has grown on a Y -o-Y basis but still broadly the same for past three quarters now . So, how do you see the trend here ?

Shyam Srinivasan: Let me take the fee income piece first, and we come back to all your questions . I think the number you mentioned about 540 odd crores but do see the mix on that. I think processing fees is broadly consistent . It's linked to volume , and it's trending quite well . The fee related to the third-party products and others have even sequentially moved quite well .

The one that is a little moving back and forth is the profit on F x which tends to be choppy only because it depends on the environment . In Q4, it was lower . Q3, Q2 was higher . We believe that should come back . So, the fee income fees , what is important is exchange commission brokerage , other fee income we have seen good progress , and that should continue . So, the overall fee income , non-treasury related is tracking well . FX continues to be opportunistic . Sometimes the environment is not conducive. So, we believe that should continue to grow .

The other two questions remind me the order . Sorry , I skipped the second question in the order .

Nitin Agarwal: Yes. One on the restructured book , how do you see the dissolution of that ? And the third on the margins . Can the first half margins be lower than the second half ?

Shyam Srinivasan: Your assumption would be probably right . I do think it will be consistently the same . The blended number is what we are talking of about 330, 335. It could have a slightly more softer start and then catch up . So, yes, that could be a fair assumption .

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On restructure , Raj, Ashutosh, you want to give the clarity on that ?

Ashutosh Khajuria: I think there are two ways of , you know, I mean having the restructured book measured . And one is , you know, when you have restructured as per new terms and conditions , and once the moratorium is over , and you have three installments or four installments , six installments coming in time or so , you take it out of restructured book and treat it as like any other standard asset .

The other way is the , you know, I mean the tag continues as a restructured book, and you have a longer time period given to that to really assess . So, those which have either it gets reduced by repayment , but if you have housing or like the composition of our book and all , now these are the loans for say 15, 20 years or so . Now there the repayment would be gradual and all that , but we have not removed any of the accounts from restructured book as long as it is standard and meeting its new terms and conditions . So, that's the basic difference .

If you have a short -term restructured for two years or three years , by now , you know, a good chunk of it would have been repaid , and therefore , it would have come down some of their banks or so , or they would have taken it out on account of satisfactory performance as per the revised terms and conditions . So, I hope the composition is the one wherein , you know, we have not removed any account from that book as long as , I mean , even if it is meeting its so-called new revised terms and conditions .

Shyam Srinivasan: Just to add to that , Nitin, I think the performance on the restructured book , not just one , I think across all the four quarters of FY '23 in the quarter that the demand comes up , they have been consistently good and haven't shown any adverse behavior . So, they are not , the tag in itself doesn't mean that they are under any significant risk as evidenced by four quarters of performance post-COV ID also.

Moderator: Thank you. O

Our next question comes from the line on Gaurav Jani from Prabhudas Lilladher . Please go ahead.

Gaurav Jani: Just some clarifications on the yield and cost dynamics . Now basis the numbers that you guys have disclosed , quoting the cost of deposits have gone up by about 90 basis points over the last

three quarters , right? Systemically , what we understand is cost of incremental deposits or cost of incremental TD has gone up by about 200 basis points . So, you know, is it a case that we have taken a lower increase in cost of TD s versus the system ? I mean , try to assume that , and going forward , do you see the run rate of increase in cost of deposits coming down ?

Shyam Srinivasan: Yes. I think I mentioned it earlier also , Gaurav, that we believe that most of the increases of deposits are in the price . I don't believe it should go up materially at this point in time . There may be some buckets , some tenure for a shorter period it maybe , but not significantly .

Gaurav Jani: Secondly , on the yield side , you know, there seems to be a bit of a negative surprise out here . So, the last part of the portfolio, which is corporate and housing , did we see some bit of

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competition coming there which is why you would have taken a cut on yields or something of that sort ?

Shyam Srinivasan: A bit of competition here , I mean , you know, if we pursue the better credits which we do and quite uncompromisingly , we have to be thoughtful about pricing . We may not have all the pricing power we want . So, this reflects that . We haven't taken any undue risk , and I go back to originally where the business model of the Bank is. We will not be in the camp that takes disproportionate risk for growth .

Gaurav Jani: So, can you repeat , you know, your clarification on the RWA versus loan growth and a soft question to that is , how do we look at hence capital base if RWA growth would exceed loan growth in FY '24?

Ashutosh Khajuria: Yes. Actually there is a requirement , regulatory requirement , that if your loan amount is not included in the rating exercise specifically by name , then you cannot take it as a rated loan for your book , and therefore it would go into unrated and would require 150 % of risk weight and all even if it is Triple A or double A or A. So, what is required is to go back to client as well as to rating agency and say that why my name is not there ? So, this process was done . It has been resolved in majority of the cases . There are still some remaining cases where it is in process , work in progress . So, on 31st March, we straight away have taken it as an unrated one , and therefore a higher credit risk weighted assets are coming in disproportionately higher vis-à-vis the previous quarter because this phenomenon is a fourth quarter , so you see the difference between December and March . Loan book has not grown that much as the CRW has grown .

Gaurav Jani: So, they would have not really registered with the rating agency.

Ashutosh Khajuria: What I am saying is it will come back. So, there would be a release of capital .

Gaurav Jani: Just a clarification on , Ashutosh, on the higher treasury income, please, I mean , the reason for that?

Shyam Srinivasan: Higher treasury income ?

Gaurav Jani: Yes.

Shyam Srinivasan: I don't think . Higher it is just not good . I wish it was higher .

Ashutosh Khajuria: I mean, it is something which is independent of the interest rate cycle . So, whatever is coming through , you know, Forex side , it's more of customer derivatives transactions or Forex related sale to retail through our exchange bureaus and all other things . As far as the interest rate products are concerned , it's more or less the bare minimum which we earn in any quarter by , I mean, by recharge . It could be in one particular quarter last year , fourth quarter , it may not have

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been there , but whatever is appearing is without any benefit of interest rate cycle at a stagnant yield basis .

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Gaurav Jani: Just one sort of guidance on the fees , like the fees to assets are done fairly well in FY '23 have increased to about 75 basis points versus 60 odd in the previous year on a full-year basis . So, you know, what would explain this ? That's one and secondly , do we see this healthy cliff coming through , you know, FY '24 and FY '25?

Shyam Srinivasan: Yes. I think the track back many quarters, maybe many years, the conversation has been how is the Federal Bank capability to originate fee income and fee as a percentage of assets ? And I think we have demonstrated for long periods of time , that's focus , and it's beginning to reflect a full range of products , disciplined origination capability , cross -sell to existing customers . I think I mentioned the corporate , when we get good corporate credits , we are looking at the client wallet . So, I think fee income on corporate has gone up 37 % . So, I think that's a design , and there is a distribution capability for that design . The rates you are seeing growth should continue .

Moderator: Thank you. Our next question comes from the line of Sanket Kapoor from Kapoor and Company . Please go ahead .

Sanket Kapoor: First is a clarification , sir, on the treasury income part , it has not been affected by the softening

of the G -Sec yields. This is wh at you were trying to narrate , and it is independent of that or to come again on the same ?

Shyam Srinivasan: Yes. You are right. Your assumption is right .

Ashutosh Khajuria: Your assumption is right. Basically, some provision release has happened for the trading book and all. So, with the movement in that because the opportunity to, see, I will just give you some comparison. You know, in a falling yield scenario or even if the yields are lower and all that, we may profit on sale of investment which basically is the profit on the interest rate products is always for our Bank is in three digits. It could be 200 crores, 300 crores, 400 crores. As against that in this year , you would see it in the lower double digit . So, that's what , you know, the difference is . Otherwise , other than that , you have an HFT book , which is up to 90 days and all that, and the traders keep trading in that , and whenever the opportunities are there , they may come out , but the larger amount comes from the investment portfolio when the yields fall in . So, that opportunity has not been there for the last almost one and a half year or so.

Sanket Kapoor: No, what we have seen currently is the softening of yields and just at the...

Ashutosh Khajuria: So, that would turnover probably if this continues , we will see that in FY '24 .

Lakshmanan V : If I were to just add, bulk of the softening of the yield has happened in the last...

Ashutosh Khajuria: After March.

Lakshmanan V : After March. Otherwise, through the last quarter, the yields have been fairly range bound. So, as has been clarified , the income that we are seeing on the treasury side is essentially the HFT

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trading activity on various asset classes , and that is what is showing over here plus a write back of provision serving to softening of fields relatively compared to the third quarter.

Sanket Kapoor: So, this line item will move significantly if the softening remains the way it is today . That is the...

Shyam Srinivasan: Let me clarify . I think this is a trader's call, and when the fruit is ripened is left to be trading desk and all that. Now if it falls from 7.30% to 7%, is it the time to book the profit or wait for expecting that it would go to 6.70%? Now this is something , you know, which you cannot project or you cannot extrapolate or give a guidance on because that

opportunity should be left to the trading

desk. So, sometimes you find such opportunities coming in a particular quarter where you see because of some measures sharp fall has happened . Trader moves the profit and buys again when it goes up and all . So, I think this is something which you cannot predict as to in one quarter how much would be there .

Sanket Kapoor: So, just to hopping on it, again , sir, it will mark -to-market at least . Even if you don't book the profit, this will be priced at , yes.

Ashutosh Khajuria: But you can't book it into profit. If you have a positive mark -to-market as per current instructions, as per current Indian GAAP, you cannot take it to your profit book. You may simply show it on in your book, and it's a positive NPA.

Sanket Kapoor: So, the second point was, when the Board decided on the dividend payout, what worked for loading the dividend from last year levels when the profitability ...

Shyam Srinivasan: Yes. I think I responded to it. There was a question that was earlier asked about capital adequacy and capital raising . We considered , the Board considered multiple options , and it said, if you are going to be in the market for raising capital this year , we should be more thoughtful about how we use our capital , but having said that , we did believe that the reward for our shareholder should be there . We also considered the fact that in the last 12 months or last 18 months , The Federal Bank stock has delivered the best returns amongst all stocks . We I think had 46 % , 50% growth . So, on balance , the Board considered 50 % is an appropriate number .

Sanket Kapoor: Sir, I didn't get your points . How will the stock performance determine the dividend payout ?

Dividend payout is towards what the earning have been . EPS is Rs. 15 and we are declaring Rs.

1 dividend ?

Shyam Srinivasan: The shareholder looks at combination of things . Dividend is one stream , and if they have how does the stock perform ? In the past period if the stock had not performed , there was a concern that this stock is not good , you know, is giving me return . So, it's a balancing act .

Sanket Kapoor: So, we will be into the CAPEX raising exercise going ahead.

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Shyam Srinivasan: We are considering . I don't have any timeline. I mentioned there is nothing that I can confirm at this point in time. The Bank is considering. We think in the course of FY '24 , we will , but I don't have any commitment as yet . We are working on it .

Operator , I think it's coming up to six . If there are no other questions , is there anything else?

Moderator: We can stop the Q&A maybe.

Shyam Srinivasan: I just wanted to mention one thing . Most of you know, probably all of you do know . Mr. Ashutosh Khajuria completed his term as the Executive Director of the Bank at the end of April and has accepted to continue with us for one more year as a Chief mentor and the focusing on a certain bunch of areas of his expertise and helping the Bank for another year . So, to the market , you know, we made the announcement the end of April that he is retiring , but the Board has reappointed him to be with us for one more year . So, I want to thank Ashutosh in this platform and also advise all of you that Ashutosh will be with us for another year and share his expertise and guide us through FY '24 as well . So, Ashutosh, thank you .

Ashutosh Khajuria: Thank you very much .

Shyam Srinivasan: If there are no other questions , we will bring this to close , Souvik, operator?

Souvik Roy: So, thank you , sir, and thank you all again for your participation on a late Friday evening . We appreciate the ongoing support of our stakeholders like yourself , and we remain committed to delivering value to all of you . So, look forward to updating you on our progress in the future . Best wishes for Buddha Purnima ,

and goodbye until we meet next with our next quarterly results , of course . Thank you.

Moderator: Thank you. On behalf of The Federal Bank Limited , that concludes this conference . Thank you for joining us . You may now disconnect your lines .

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"The Federal Bank Limited Q4 FY '23 Earnings
Conference Call "

May 05, 2023

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CFO – THE FEDERAL BANK LIMITED
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – GROUP PRESIDENT & COUNTRY
HEAD (WHOLESALE BANK ING)
MR. RAJANARAYANAN N – SR. VICE PRESIDENT &
HEAD (LOAN COLLECTION & RECOVERY)
MR. DAMODARAN – SR. VICE PRESIDENT & CHIEF
RISK OFFICER
MR. LAKSHMANAN V – SR. VICE PRESIDENT & HEAD
(TREASURY)
MR. JOY PV – SR. VP & HEAD PLANNING
MANIKANDAN M – DEPUTY VP & HEAD (FINANCIAL
REPORTING)
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS

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Moderator : Ladies and gentlemen , good day, and welcome to the Q 4 FY23 Earnings Conference Call of the
Federal Bank Limited.

As a reminder, all participant lines will be in the listen -only mode , and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note tha t this conference is being recorded .

I now ha nd the conference over to Mr. Souvik Roy – Head, Investor Relations. Thank you, and
over to you, sir.

Souvik Roy: Thank you, Ryan, and good evening everyone . On behalf of the Federal Bank , I welcome you
all to our Q4 Earning Conference Call. I hope you all had the opportunity to go through the
Investor Deck, which is available on the exchanges and also on our website .

The last year's performance has ensured that we are on strong footing and ready to leap forward
to the next level of our growth journey.

Coming to the quarter that went by , happy to share that we are on track and in line with the
guidance that we have given in the previous quarters .

A quick snapshot of Q4 :

We have recorded the highest ever quarterly net profit . We have seen broad -based asset growth .
Our asset quality remains stable . The progress made on our strategic priorities is noteworthy ,
and also , I am glad to mention that we have seen the best recovery numbers ever, and all of this
has resulted in robust improvements in our key return ratios , which are at multi -quarter high.
I have the entire top management here on the call with me , and without much ado, I would
request our MD to take it over from here . Over to you , sir.

Shyam Srinivasan : Thanks , Souvik. Good evening everybody . Like Souvik pointed out , we are encouraged with the
performance of Q4 and the Financial Year that went by. Nothing is ever a straight line . There
are good stuff , and there are areas that we need to work and improve upon , and certainly that is
the focus of the Bank .

Those of you who had the chance to attend our session in late February or gone through our

deck, we had talked about the things that have gone well, the things that are on focus of the Bank, and how do we continuously focus on improving our return outcomes. Happy that what we had mentioned in February '23 as the likely exit rate in March '23, we have come in better on that, and we did mention that in the following period, which is FY '24 and FY '25, we are looking to improve on this performance. I am encouraged that the 1.28 full year the The Federal Bank Limited
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last exit rate of about 1.45 ROA, we are on course to improving and ensuring that the full year ROA for FY '24 is along guided line.

Not to miss the point, I did get a few calls after the results, and there were some concerns expressed around has the NIM plattered out? Why has it fallen as much as it did? And we can try and talk about it, and I will address that and mention both the yield on advances, how did it grow, and the cost of deposits, how did it grow, and therefore, is the deposit pricing increase fully in the book or are there residual?

I think there is some residual, but a large part of it is repriced. Different banks may have different deposit profile and different timing. We believe for The Federal Bank, Q4 saw the brunt of it, and therefore we did see the cost of deposits go up by about 55 basis points where the yield on advances went up about 36 odd basis points. That's the difference that we saw which did have an impact on the margin sequentially.

We exited last financial year at 320. We exited this financial year at 331, and the average for the year was 331 NIMs, which is along the expected or guided lines, and I believe with the focus on the businesses

that we are giving more fillip to and the mix of business and the repricing opportunities, I have been talking about NIMs for FY '24 being in the region of about 330 to 335 and the ROA of the business being around 1.3 to 1.35, both of which are very much within our batting range, and we think we have the both the capability and the machinery to make sure that happens.

And importantly, for long periods of time, our credit quality has been I would say exemplar, and this in a credit costs have been in Q4 particularly flashing at about 19 basis points, but full year credit costs about 40 basis points is in the range that we have been guiding forward between 40 and 50 basis point. Thankfully, it's at the lower end of the range.

So, this combination of fairly balanced credit quality, the cost of credit being best in class, the NIMs being because we write better quality business, NIMs are not going to be flat, you know, instead of being exaggeratedly high, but the risk adjusted margin being around this number 3 is what we are working on, working towards, and improvement in fee income, the improvement in efficiency are all helping us grow our return ratios quite significantly.

So, in fact, I thought I just begin the call by just talking about an area that most people sort of queued in or asked us. I didn't want to go around the bend and not talk about it. So, I just thought I would just upfront this point around our business model, which I think is important for everybody to understand. We don't take exaggerated risk.

Within our risk framework, we ensure that the business makes this appropriate or within retail and wholesale, we have said 55-45. Within retail, we have given accent now in the more recent past to businesses like credit card, personal loan, commercial vehicles, and microfinance. And on the corporate side, between corporate and commercial banking, we are seeing good progress. And if you have seen our numbers, you notice the fee income from our corporate relationships

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have been growing at about, you know, quite significantly, 35 odd per cent kind of growth rate. So, we are able to get the client relationship, and at a client level, we are getting a larger share of the client wallet.

Another area that often is asked about is the nature of your business has been the strength of The Federal Bank has been a good deposit franchise and a retail deposit franchise. Happy even through FY '23, which is arguably one of the toughest years for deposit attrition, we saw reasonable growth. There were areas that in a term we had to make sure that we are not outpriced, but we are comparatively priced, and we saw retail term growing about 14% and the overall deposit growing about 17%.

We have also continuously checked to see how our market share is in terms of domestic savings and NR savings. Our share of NR deposits has increased from about 6.5% to 6.8% across the country. Our share of domestic overall savings has been hovering between 0.94% to 0.97% or sometimes around 1%. So, we are without paying a much higher rate continuing to hold share. Our next focus is gaining share in domestic savings, which through the branch expansions that we have had through our fintech partnerships that we have beginning to see traction. Last year,

last financial year, we opened 75 branches, which thankfully are holding out well and maturing quickly. This financial year, we are looking at about 100 branches. Our fintech relationships, which is about a year and a half hold, the accounts that we have booked are graduating into its year two. So, we are seeing balance build.

So, on balance FY '24, I just want to point out our focus continues to be not exaggerated risk, credit quality being in and around the guided range of about 40 basis points to 50 basis points, more like

40. The NIM will be around 335 or so, and our commitment, our focus is to make sure that the ROA expansion is well on course and on track, and we believe the foundation of the Bank is in a good place. Credit quality is holding quite well, and we have addressed some of the issues that need to be addressed from a point of view of ensuring deposit growth remains a priority for the Bank.

So, let me just pause here and open it for questions. Like Souvik mentioned, the entire senior management team is here. We will be happy to take questions and clarify. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, so you already touched upon margins, but if you go by your guidance, then we are talking about some margin expansion from 4Q levels. So, how do you, I mean, what will really drive that? I knew share of new businesses or new products would, but does that take into account the possible deposit competition which could happen because now everyone will chase deposit, everyone has used excess liquidity? So, how does it pan out on margin?

And my second question is even on cost to income, where do you see that settling?

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And the third is on loan growth. Do you still maintain the guidance of high teen?

Shyam Srinivasan: Yes, and it's a lot of questions. Let me try. Yes, we mentioned that we are looking at the credit growth in that zone. It looks possible at this juncture. Even this financial year has begun reasonably encouragingly well. So, we are not yet altering our outlook on that count. We are poised for that kind of growth.

The mix of business I think you pointed out. There is a fair degree of traction in all these new businesses, and we believe that should give us some kind of fillip. I think this is a question that was asked of us even when we made our presentation in end February, and we did talk about what kind of mix and how that should help.

And in terms of deposit pricing, it's our belief that probably the peak of the pricing is already factored, and now it's only the playthrough of whatever you have already priced in. It's unlikely there may be a material increase in rates at this point in time. And we have factored in all this. In terms of cost income ratio, we are in the, you know, around 49 or so. We did talk about it, and we said, we believe that each year we should see some progress on that count. This year even if you take out the one-off expense that we had to carry in the last quarter of last year, last year's full year cost income was around 50 to 53. We have come down to about 49. And we believe it will see another 100-basis point improvement in FY '24.

Moderator: Our next question comes from the line of Dipanshu from Vriddhi Capital. Please go ahead.

Dipanshu: Sir, I wanted to understand the credit deposits ratio. So, in the last quarter, we have grown our deposits, but we were controlled on our credit output. So, how do we say this? So, this is the first portion.

Shyam Srinivasan: Yes, go ahead. What is the second question?

Dipanshu: And second thing on link to that our capital adequacy ratio is around let's say 13%. So, is it something that we are trying to be a little bit conservative on our advance growth?

Shyam Srinivasan: No, I think our CD ratio between 81 and 83, it hovers around. It's just in Q4 we decided to be a little more focused on generating deposits, and we saw that come through, but we have not let go or not intending to let go of credit growth opportunities. It is in the full year credit growth; we saw about 20%. Last quarter we saw a higher rate of growth in deposits of credit. But that was conscious. Wherever we have good credit,

we picked it up. Wherever pricing was less than attractive, we decided not to pick that up. Our outlook for FY '24 I have already said. If that happens, the CD ratio will be around 82 to 84.

Dipanshu: And sir, can you link it with the capital adequacy ratio? So, are we looking to raise any funds in FY '24? Or are we comfortable on that count?

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Shyam Srinivasan: So, I have mentioned when we did our call in the January results, we have our shareholder

approval . We are considering options , but we have not narrowed down to anything as yet , but there is a likelihood of a capital raise for growth at an appropriate time , but we don't have any finite date or time as yet .

Dipanshu : Sir, our last question on our credit quality . So, how comfortable are we on the credit quality on the retail side ? So, with the new fintech partnerships and all , and we are trying to increase more from the guys who are at a higher rate . So, how confident we are ? And what kind of rating mechanism we follow ? Any color on that ?

Shyam Srinivasan: I don't know what the question is , but I think our multi -year track record speaks to the fact that we are quite both disciplined and conservative on the overall underwriting across product streams . We don't intend growth to come through flexing or letting go of credit standards . Credit standards, on top of that growth , and we believe that's possible .

Moderator: Thank you. Our next question comes from the line of Renish from ICICI . Please go ahead.

Renish: Hi Sir and congratulations on the great set of numbers , just two questions . One is on the retail deposit share , you know, which has been actually steadily coming down from almost 92 % in March '22 to 85 % in March '23, and especially in second half , you know, our CD ratio is also coming down , which essentially means that we are sort of from entering the highly liquid balance sheet . So, just not able to understand then why we are increasingly deposit share in any which ways our CD ratio is coming down .

Shyam Srinivasan: I think, Renish, the first point is that it is 85. These are point in time. These are certainly not the trend . I wouldn't make a trend of it . It could quickly set back to 90. I don't believe these are and like I said we were ensuring that we had a good deposit pipeline in the quarter that went by , and we did not shy away from taking those deposits , but that doesn't suggest that it needs to be the trend line .

We are keen to make sure that our deposit growth is able to match up to our credit expansion , and with the combination of that in mind between term, savings , current account , we will ensure that we meet the dilemma of ensuring CD ratios , ensuring mix between deposits , and continues to be retail in nature .

I would not read much into it , at least not as yet . We haven't seen any reason to view it differently . I haven't gone out and bought deposits . Even the term deposits that we have our clients ' individual deposits .

It is a fact that the NR customers have moved a large part of their savings to term . Whenever the rate differential is significant , that was bound to happen , and it's not unique to The Federal Bank . I think it's a market phenomenon . We would be foolish to let go of balances to somebody else .

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Renish: So, sir, you know, just a follow -up on that . So, maybe it is right to assume that though the deposit definition says , you know, anything less than 2 crores is retail , but maybe the large part of NRI would have been individual but maybe having a ticket size of more than 2 crores, and hence , you know, that ratio is looking like this . Is that the fair assumption?

Shyam Srinivasan: It's a fair assumption . It's a fair assumption .

Renish: And sir, secondly , again on the margin side, s

o incrementally when we are saying that the high yielding books like CVC , MFI, PL etc., will grow at a faster clip plus the strategic focus on gaining market share on the SA side, so why not we are yet aiming for higher NIMs than 3.3 , which is currently standing at?

Shyam Srinivasan: It's not that we are not aiming at , Renish. We are definitely aiming at a higher number , but when we speak to the market and give guidance , we have to be honest about it and believe that those are the bare minimum we should deliver . We think at this juncture given the pricing play out of deposits in one more quarter , and we don't want to take disproportionate risk in growing any of these new businesses and then have a problem a year or two down .

The blend looks like , and I constantly remind ourselves that we are not looking at NIM in isolation . We look at NIM adjusted for credit costs . I still argue that a long period of time , a franchise should look at risk adjusted NIM, a risk adjustment margin . You are all seasoned analysts . Please look at our Bank versus many others , and you will find that we are not disproportionately off.

Renish: No, absolutely, sir. And just a clarification. So, in your opening remarks, you did mention that large part of our deposit base is already repriced . So, would you like to quantify , I mean , what percentage of deposit has already repriced at a revised TD rate?

Shyam Srinivasan: I would think about 80 % is repriced.

Moderator: Thank you. Our next question comes from the line of Simranjit Singh from Master Trust. Please go ahead.

Simranjit Singh: Sir, first of all , congrats for the great set of numbers to you and to your all-Federal team . Sir, I have, you know, the next couple of questions . Sir, first of all , can you brief something about the slippage part in quarter four where we are seeing that the slippage having in quarter four ?

Shyam Srinivasan: What do you want the commentary on?

Simranjit Singh: Sir, on slippage part. Slippage in quarter four. Slippage.

Shyam Srinivasan: Yes. So, you want the numbers or? Sorry, I didn't get the questions.

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Simranjit Singh: No, numbers are there with me. You know, how you see the trend going forward in terms of slippages? Because this quarter in Q4, we have seen that it has increased quarter-on-quarter. So, how you see it in the upcoming quarters, slippages, if you can give some guidance or something, you know, comment on that?

Shyam Srinivasan: Sure. I think the sequential or long period average has been between 350 and 400. This quarter is a tad higher. That's because of some actions we took on the retail ag, you know, on the agri portfolio in certain products, but retail has trended down, and commercial banking has come down. Some part of minor uptake in business banking. So, it's not out of range. We think our guidance, if I remember right, when we began the financial year, I said it will be around 1,800 crores, and thankfully it came at about 1,600 crores full year slippages, and equally recovery upgrade even, it did even better. So, this trend line should continue. We are about a 1% slippage Bank, which probably is amongst the best in the market.

Simranjit Singh: And sir, my second question is on the gold loan front, how are you means what is your maximum cap in terms of loans you are looking at this point of time? Because gold is already at the all-time high. So, how you see what the gold demand in your Bank means at this present juncture?

Shyam Srinivasan: So, you are saying what share of gold will be our overall, as part of our overall business. Is that the question?

Simranjit Singh: Yes. My first question is, you know, what will be the percentage going forward? And second, how you see the gold asset quality going forward? Gold asset quality means in terms

of the gross

NPAs.

Shyam Srinivasan: No, unless there is a fraud or any wrong practice, gold as a business continues to be attractive, and we will continue to grow that. The rate of growth depends on I think both the opportunity and the timing. If other businesses are growing rapidly, gold usually tends to grow slower. We believe between 20%, 25% growth in FY '24 is very possible in gold, and we will do.

And as a percentage of gold, as a percentage of overall portfolio, today it's about 1.9. So, it's about 10%, 11% of our overall outstanding. We have a internal cap, and it should never cross 15, but we are distance away from that.

So, you could believe that we will grow about 20%-odd in gold. Portfolio will be okay. Yes, there are some practices that needs to be corrected, but gold as a category continues to be profitable and growing and continues to be an opportunity to grow.

Simranjit Singh: So, then my last question is that sir, and my last question is, is there any acquisition target, you know, The Federal Bank is looking for in the upcoming time?

Shyam Srinivasan: Certainly, if there was one, I would not be just casually speaking in a call like this. I have to go through a process, but suffice to say, we are organically focused. If there is anything that's useful, relevant, accretive, and at an affordable price, we will consider. All four of this makes it a very

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rare opportunity that something will show up, but if it does, we will consider appropriate enough, but right now nothing.

Moderator: Thank you. Our next question comes from the line of Pranav from Rare. Please go ahead.

Pranav: Sir, thanks a lot for the opportunity. Sir, just have one query. In terms of CD ratio has actually reduced, but if we consider C plus I, that is credit plus investment to deposits plus borrowing, that ratio is almost constant. So, that, that should not have actually suppressed the NIM so much. So, that is one part.

So, congruous to that part, can you just, you know, elaborate how much percent of advances are yet to reprice? And how much percent of deposits are yet to repr ice and by what amount so that we can have a stable outlook for NIM for next coming quarters?

Shyam Srinivasan: Pranav, I think the answer to the question goes back to where I had guided. We think 330, 335 is the outlook that we are visualizing at this point in time. Certainly, in the quarters ahead, we will look at revisiting that guidance, but at this point in time, suffice to say that taking into consideration all the points you pointed out which are valid points, we think we are poised for a margin range of 330 to 335.

Pranav: So, this is just because of the mismatch between the timing, right?

Shyam Srinivasan: Yes. Largely yes.

Pranav: So, that is one question. Second is in terms of employee expenses, can we assume now this is as a stable base or are there any one-offs in this current quarter 597 crore of employee expense?

Shyam Srinivasan: One-off in this quarter nothing . I think in the last year , last quarter had the upfront of the entire family pension . That was not there this year . So, to that extent , yes, if pension requirements go up because yields fall , that can change , but at this point in time , this is the run rate. Venkat, would I be right ?

V. Venkateswaran : Yes, Shyam, that's right . There are no one -offs in this quarter's number .

Moderator: Thank you. Our next question comes from the line of M . B. Mahesh from Kotak Securities . Please go ahead .

M. B. Mahesh: Just two questions on my side . If you could just quantify what is the current cost of term deposits that you have carrying today as well as the savings deposits ?

Shyam Srinivasan: Current cost of ?

M. B. Mahesh: Term deposits .

Shyam Srinivasan: You mean the cost of

deposits or cost of term deposits ?

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M. B. Mahesh: Cost of term, because if I look at your website , you currently have let's say the one year book is at about 6.8 % to 7%. I am just trying to see where is the term deposit rate in your book as well .

Shyam Srinivasan: Venkat or Damodaran, would you have it off top of your head ?

V. Venkateswaran: Blended would be currently for deposits around 6.2 .

Shyam Srinivasan: I think he is looking at term.

V. Venkateswaran: Yes. I am talking about term.

M. B. Mahesh: So, you have the cost of deposits which you have reported is 5.1 . You have, but if you work backwards , it can't be at this number , right? It appears to be a bit low .

V. Venkateswaran : Mahesh , can you come again ? 5.1 you said is the cost of deposit , overall cost.

M. B. Mahesh: So, yes, for your CASA ratio that you have , just trying to work backwards as to what would be the implied term deposit book interest rate that you are carrying today ? I am just trying to, Shyam, just trying to work through this statement that you made that we have closer to the peak of cost of deposit repricing. Just trying to understand when we compare it with the headline base that you report as to whether we are there or not . Just trying to reconcile these numbers .

Shyam Srinivasan: Maybe we could pick that as Venkat, and he probably offline give you the details.

M. B. Mahesh: On the other side when you look at the yields , yields are up about let's say about a little over 120 basis points since the start of the state cycle . Your repo book is approximately a little over 50 %.

This by itself should have created a 120-basis points delta favorable , but if I look at the other parts of the book which also would have repriced during the course of the last nine months , where is it that we are missing here in terms of numbers ?

Shyam Srinivasan: Anybody wants to do it? Ashutosh or Venkat, do you have anything that you can offer or we should give that as a clarification later ?

M. B. Mahesh: Let me just rephrase it then . How much of room is still available for the yields to move up in your portfolio given the current interest rates ?

Ashutosh Khajuria : So, I think there are two parts . In MCLR , there is a room , in MCLR linked loans because that grows with the lag, and it's more to do with the proportion of the stock for a particular bucket and all . So, the computation of MCLR is like that . So, on repo side, the repricing has been happening at the same time when the repo rate hike was happening . Except in those cases where the reset period is monthly or quarterly or annual , so where like in case of , I mean , majority of these are T plus 1 itself , but in some cases where the reset would be for a longer frequency , that would be remaining , but that should not be material . MCLR linked loans, definitely there is a room to grow unless the repo rate itself goes up further . If assuming that that's the pivot , that's

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the maximum and all that , then I think it would only be the spread on which the yield would go up.

Harsh Dugar : 50% of our loans are repo linked which have been completely repriced . 13% to 14 % is MCLR based which I would feel half of it would have got repriced and half of it still keep getting repriced. Some are fixed rate loans , both shorter tenure and longer tenure. Those also will get repriced . So, about 15 % of our portfolio in advance s I think still has scope for improvement and repricing .

Moderator: Thank you. Our next question comes from the line of Anand Dama from Emkay Global . Please go ahead .

Anand Dama: First, we have seen some decline in the gold loan portfolio . So, that basically is primarily with the issue that we had with the rupee k earlier on or is there something else ?

Shyam Srinivasan:

No, I think you are partly right . It's not an issue . It's just a digital lending criteria required them to readjust . They did pick up , but unfortunately , there were more work to do . So, to that extent that slowed down , but the organic branch led is continuing to grow , but some of that go ld being a short tenure product did run off .

Anand Dama: So, next quarter onward we should see quarter -on-quarter growth ?

Shyam Srinivasan: We expect growth back again , also because it's growing up a smaller base , a lower base .

Anand Dama: Secondly , if you look at the risk weight assets growth , that seems to be far higher than somewhere about 2 8 odd percent versus the loan growth . So, is it primarily because of the growth that we have seen in the PL microfinance book and so on ? Or is there anything else in terms of , you know, risk weight adjustment that we have done ?

Shyam Srinivasan: I think it's the latter . You may all be aware , there is a regulatory requirement for clients who are unrated to carry a higher risk weight if there is an unrated and unrated a s in they are not declared .

So, we looked at our portfolio . If the client had not given their ratings , then it would be a higher risk weight . So, that's a one -time activity and should not be of any significant impact .

Ashutosh Khajuria : Basically, it used to align with the regulatory requirement . We have classified some of those rated accounts also as unrated because our amo unt is not reflected there in that rating . So, because of that , you know, some part has had to be classified , and that process is on to get our amounts included in the rating process .

Shyam Srinivasan: I hope you understood that explanation . That's important , Anand.

Anand Dama: Yes. And sir, lastly , if you can help with the LCR ratio that we have for the current quarter?

Shyam Srinivasan: Around 120. 120 point in time.

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Anand Dama: 120. And how much was that last quarter?

Shyam Srinivasan: Around the same , 124 or 125 . Damodaran, is it around that number ? But roughly 124 , 125.

Anand Dama: And sir, we have done any working on the ECL provisions ? And is there any shortfall or like we already carry excess provisions over there ?

V. Venkateswaran: Yes, we have worked on it , but at this stage , we don't disclose in terms of the workings at all . We have done the calculations , and we have confidence of meeting once the regulations come in play.

Anand Dama: We don't have to do any additional provisions, right? We have it comfortably placed .

Shyam Srinivasan: We will come back when we have present data on that. Better timing for that. I don't know if you can properly talk about it now.

Moderator: Thank you. Our next question comes from the line of Kunal Shah from Citigroup . Please go ahead .

Kunal Shah: So, firstly on wholesale, I missed the comment, but there was a significant increase in the wholesale portfolio on a quarter -on-quarter basis . And what cost are we raising? And how much was that impact in this particular quarter in cost of deposits? And given that it would be towards the end of March, do we see maybe a further imp act in Q1 of a relatively higher deposit cost because that will have a full quarter impact?

Shyam Srinivasan: Did we? Ashutosh, which one is that one? Lakshman an or Ashutosh?

Shyam Srinivasan: Wholesale deposits.

Kunal Shah: When we see there is a significant price on a quarter -on-quarter basis, if we just look at the calculate the numbers given from the

Ashutosh Khajuria: So, it's basically CD issuance.

Shyam Srinivasan: Yes. CD issuance.

Ashutosh Khajuria: For the short term . CD issuance for short term . Three months , two months CDs.

Kunal Shah: So, we will not see that full impact coming through in Q1 as well and keeping the deposit cost elevated .

Ashutosh Khajuria: It will matur

e . I mean , April also , part of it has already mature . I mean , April , part of that book has already matured . May also it would be mature. It's widely spread . So, I think if you compare the CD issuance number March '22 versus March '23, there was an increase and which is showing in a higher percentage of wholesale .

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Shyam Srinivasan: Yes. And even on a quarter -on-quarter I would say , yes.

Ashutosh Khajuria: Yes. I think that would not be material . CD rates are greatly cooled down . It has already come down by about 30 -40 basis points .

Moderator: Thank you. Our next question comes from the line of Gao Zhixuan from Schonfeld . Please go ahead.

Participant : I just have quick follow -up questions on the margins . First of all , do you mind sharing , you know, what's our exit margins for fourth quarter , i.e, what's the margin for month of March ?

Shyam Srinivasan: For the month of March ? I don't know if I would have that readymade , but the full quarter is 331. Can't be very different in March . In effect , March may have been a slightly higher month also. It's got 31 days .

Gao Zhixuan : I mean , adjusting for these , is it higher or lower than the average quarterly margin ?

Shyam Srinivasan: March would be higher . So, I would think you should -- the blended number is a better number for your calculation . I am guessing you want to do that for your extrapolation on what is the exit rate. I think 331 is the number you should pick .

Gao Zhixuan : And then on deposits, what's the average maturity of our fixed deposits and the average ?

Shyam Srinivasan: Large part is in 12-month bucket .

Gao Zhixuan : And also, on our guidance of , you know, margin FY '24 to be 300 to 305 basis points . How much of mix impact of these to margins are we assuming ?

Shyam Srinivasan: How much of ?

Gao Zhixuan : How much of increase in margin due to mix are we assuming in the forecast ?

Shyam Srinivasan: No, the 330 , 335 is quite reflective of where we are , right, at the exit rate . And that's the Bank .

Gao Zhixuan : I mean , we are increasing , you know, those higher yielding.

Shyam Srinivasan: Playthrough , right? There is a playthrough because like Ashutosh and others pointed out , some deposit cost accretion happens . So, some new business that goes at a higher margin , so the blended outcome will be 330, 335.

Gao Zhixuan : So, I just want to understand , you know, how much , how many basis points roughly increase in margins are we assuming in FY '24 is due to the improvement in mix towards higher yield products ?

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Shyam Srinivasan: You could do that , take the businesses that are relatively higher yielding , and they are growing at about , some of them are growing at , you know, well north of 30%, 40%. So, that should give some kind of indication . Businesses , credit card , personal loans , commercial vehicles , microfinance , and to some extent gold, these businesses are growing at, barring gold , others are growing at well north of 40% albeit on a small base .

Moderator: Thank you. Our next question comes from the line on Nitin Agarwal from Motilal Oswal . Please go ahead.

Nitin Agarwal: So, interesting to see that profits for four quarters of FY '23 have been 600 , 700, 800, and 900 crores . I hope this run rate sustains . I have three questions . First, while you indicated that depository pricing was higher in 4 Q, and you are guiding for a slightly higher margins now for FY '24 , can first off margins be lower versus second half as depository repricing will continue and benefits from improving mix of high yielding loans will take time to play out ? So, that's question one .

And second is on the restructured book wherein we still have 1.6 % of restructured loans . So, if I compare this to like most other large private b

anks , the restructured book has been fairly

resolved , and most of them are like fairly below 1 now. So, how do you see the dissolution of this restructured book going forward ?

And the third question is on core fee income , which has grown on a Y -o-Y basis but still broadly the same for past three quarters now . So, how do you see the trend here ?

Shyam Srinivasan: Let me take the fee income piece first, and we come back to all your questions . I think the number you mentioned about 540 odd crores but do see the mix on that. I think processing fees is broadly consistent . It's linked to volume , and it's trending quite well . The fee related to the third-party products and others have even sequentially moved quite well .

The one that is a little moving back and forth is the profit on FX which tends to be choppy only because it depends on the environment . In Q4, it was lower . Q3, Q2 was higher . We believe that should come back . So, the fee income fees , what is important is exchange commission brokerage , other fee income we have seen good progress , and that should continue . So, the overall fee income , non-treasury related is tracking well . FX continues to be opportunistic . Sometimes the environment is not conducive. So, we believe that should continue to grow .

The other two questions remind me the order . Sorry , I skipped the second question in the order .

Nitin Agarwal: Yes. One on the restructured book , how do you see the dissolution of that ? And the third on the margins . Can the first half margins be lower than the second half ?

Shyam Srinivasan: Your assumption would be probably right . I do think it will be consistently the same . The blended number is what we are talking of about 330, 335. It could have a slightly more softer start and then catch up . So, yes, that could be a fair assumption .

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On restructure , Raj, Ashutosh, you want to give the clarity on that ?

Ashutosh Khajuria: I think there are two ways of , you know, I mean having the restructured book measured . And one is , you know, when you have restructured as per new terms and conditions , and once the moratorium is over , and you have three installments or four installments , six installments coming in time or so , you take it out of restructured book and treat it as like any other standard asset . The other way is the , you know, I mean the tag continues as a restructured book, and you have a longer time period given to that to really assess . So, those which have either it gets reduced by repayment , but if you have housing or like the composition of our book and all , now these are the loans for say 15, 20 years or so . Now there the repayment would be gradual and all that , but we have not removed any of the accounts from restructured book as long as it is standard and meeting its new terms and conditions . So, that's the basic difference .

If you have a short-term restructured for two years or three years , by now , you know, a good chunk of it would have been repaid , and therefore , it would have come down some of their banks or so , or they would have taken it out on account of satisfactory performance as per the revised terms and conditions . So, I hope the composition is the one wherein , you know, we have not removed any account from that book as long as , I mean , even if it is meeting its so-called new revised terms and conditions .

Shyam Srinivasan: Just to add to that , Nitin, I think the performance on the restructured book , not just one , I think across all the four quarters of FY '23 in the quarter that the demand comes up , they have been consistently good and haven't shown any adverse behavior . So, they are not , the tag in itself doesn't mean that they are under any significant risk as evidenced by four quarters of performance post-COVID also.

Moderator: Thank you. O

Our next question comes from the line on Gaurav Jani from Prabhudas Lilladher.

Please go ahead.

Gaurav Jani: Just some clarifications on the yield and cost dynamics . Now basis the numbers that you guys have disclosed , quoting the cost of deposits have gone up by about 90 basis points over the last three quarters , right? Systemically , what we understand is cost of incremental deposits or cost of incremental TD has gone up by about 200 basis points . So, you know, is it a case that we have taken a lower increase in cost of TDs versus the system ? I mean , try to assume that , and going forward , do you see the run rate of increase in cost of deposits coming down ?

Shyam Srinivasan: Yes. I think I mentioned it earlier also , Gaurav, that we believe that most of the increases of deposits are in the price . I don't believe it should go up materially at this point in time . There may be some buckets , some tenure for a shorter period it maybe , but not significantly .

Gaurav Jani: Secondly , on the yield side , you know, there seems to be a bit of a negative surprise out here .

So, the last part of the portfolio, which is corporate and housing , did we see some bit of

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competition coming there which is why you would have taken a cut on yields or something of that sort ?

Shyam Srinivasan: A bit of competition here , I mean , you know, if we pursue the better credits which we do and quite uncompromisingly , we have to be thoughtful about pricing . We may not have all the pricing power we want . So, this reflects that . We haven't taken any undue risk , and I go back to originally where the business model of the Bank is. We will not be in the camp that takes disproportionate risk for growth .

Gaurav Jani: So, can you repeat , you know, your clarification on the RWA versus loan growth and a soft question to that is , how do we look at hence capital base if RWA growth would exceed loan growth in FY '24?

Ashutosh Khajuria: Yes. Actually there is a requirement , regulatory requirement , that if your loan amount is not included in the rating exercise specifically by name , then you cannot take it as a rated loan for your book , and therefore it would go into unrated and would require 150 % of risk weight and all even if it is Triple A or double A or A. So, what is required is to go back to client as well as to rating agency and say that why my name is not there ? So, this process was done . It has been resolved in majority of the cases . There are still some remaining cases where it is in process , work in progress . So, on 31st March, we straight away have taken it as an unrated one , and therefore a higher credit risk weighted assets are coming in disproportionately higher vis-à-vis the previous quarter because this phenomenon is a fourth quarter , so you see the difference between December and March . Loan book has not grown that much as the CRW has grown .

Gaurav Jani: So, they would have not really registered with the rating agency.

Ashutosh Khajuria: What I am saying is it will come back. So, there would be a release of capital .

Gaurav Jani: Just a clarification on , Ashutosh, on the higher treasury income, please, I mean , the reason for that?

Shyam Srinivasan: Higher treasury income ?

Gaurav Jani: Yes.

Shyam Srinivasan: I don't think . Higher it is just not good . I wish it was higher .

Ashutosh Khajuria: I mean, it is something which is independent of the interest rate cycle. So, whatever is coming through, you know, Forex side, it's more of customer derivatives transactions or Forex related sale to retail through our exchange bureaus and all other things. As far as the interest rate products are concerned, it's more or less the bare minimum which we earn in any quarter by, I mean, by recharge. It could be in one particular quarter last year, fourth quarter, it may not have

been there, but whatever is appearing is without any benefit of interest rate cycle at a stagnant yield basis.

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Gaurav Jani: Just one sort of guidance on the fees, like the fees to assets are done fairly well in FY '23 have increased to about 75 basis points versus 60 odd in the previous year on a full-year basis. So, you know, what would explain this? That's one and secondly, do we see this healthy cliff coming through, you know, FY '24 and FY '25?

Shyam Srinivasan: Yes. I think the track back many quarters, maybe many years, the conversation has been how is the Federal Bank capability to originate fee income and fee as a percentage of assets? And I think we have demonstrated for long periods of time, that's focus, and it's beginning to reflect a full range of products, disciplined origination capability, cross-sell to existing customers. I think I mentioned the corporate, when we get good corporate credits, we are looking at the client wallet. So, I think fee income on corporate has gone up 37%. So, I think that's a design, and there is a distribution capability for that design. The rates you are seeing growth should continue.

Moderator: Thank you. Our next question comes from the line of Sanket Kapoor from Kapoor and Company. Please go ahead.

Sanket Kapoor: First is a clarification, sir, on the treasury income part, it has not been affected by the softening of the G-Sec yields. This is what you were trying to narrate, and it is independent of that or to come again on the same?

Shyam Srinivasan: Yes. You are right. Your assumption is right.

Ashutosh Khajuria: Your assumption is right. Basically, some provision release has happened for the trading book and all. So, with the movement in that because the opportunity to, see, I will just give you some comparison. You know, in a falling yield scenario or even if the yields are lower and all that, we may profit on sale of investment which basically is the profit on the interest rate products is always for our Bank is in three digits. It could be 200 crores, 300 crores, 400 crores. As against that in this year, you would see it in the lower double digit. So, that's what, you know, the difference is. Otherwise, other than that, you have an HFT book, which is up to 90 days and all that, and the traders keep trading in that, and whenever the opportunities are there, they may come out, but the larger amount comes from the investment portfolio when the yields fall in. So, that opportunity has not been there for the last almost one and a half year or so.

Sanket Kapoor: No, what we have seen currently is the softening of yields and just at the...

Ashutosh Khajuria: So, that would turnover probably if this continues, we will see that in FY '24.

Lakshmanan V: If I were to just add, bulk of the softening of the yield has happened in the last...

Ashutosh Khajuria: After March.

Lakshmanan V: After March. Otherwise, through the last quarter, the yields have been fairly range bound. So, as has been clarified, the income that we are seeing on the treasury side is essentially the HFT

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trading activity on various asset classes, and that is what is showing over here plus a write back of provision serving to softening of fields relatively compared to the third quarter.

Sanket Kapoor: So, this line item will move significantly if the softening remains the way it is today. That is the...

Shyam Srinivasan: Let me clarify. I think this is a trader's call, and when the fruit is ripened is left to be trading desk and all that. Now if it falls from 7.30% to 7%, is it the time to book the profit or wait for expecting that it would go to 6.70%? Now this is something, you know, which you cannot project or you cannot extrapolate or give a guidance on because that

opportunity should be left to the trading

desk. So, sometimes you find such opportunities coming in a particular quarter where you see because of some measures sharp fall has happened. Trader moves the profit and buys again when it goes up and all. So, I think this is something which you cannot predict as to in one quarter how much would be there.

Sanket Kapoor: So, just to hopping on it, again, sir, it will mark-to-market at least. Even if you don't book the profit, this will be priced at, yes.

Ashutosh Khajuria: But you can't book it into profit. If you have a positive mark-to-market as per current

instructions, as per current Indian GAAP, you cannot take it to your profit book. You may simply show it on in your book, and it's a positive NPA.

Sanket Kapoor: So, the second point was, when the Board decided on the dividend payout, what worked for loading the dividend from last year levels when the profitability ...

Shyam Srinivasan: Yes. I think I responded to it. There was a question that was earlier asked about capital adequacy and capital raising. We considered, the Board considered multiple options, and it said, if you are going to be in the market for raising capital this year, we should be more thoughtful about how we use our capital, but having said that, we did believe that the reward for our shareholder should be there. We also considered the fact that in the last 12 months or last 18 months, The Federal Bank stock has delivered the best returns amongst all stocks. We I think had 46 %, 50% growth. So, on balance, the Board considered 50 % is an appropriate number.

Sanket Kapoor: Sir, I didn't get your points. How will the stock performance determine the dividend payout? Dividend payout is towards what the earnings have been. EPS is Rs. 15 and we are declaring Rs. 1 dividend?

Shyam Srinivasan: The shareholder looks at combination of things. Dividend is one stream, and if they have how does the stock perform? In the past period if the stock had not performed, there was a concern that this stock is not good, you know, is giving me return. So, it's a balancing act.

Sanket Kapoor: So, we will be into the CAPEX raising exercise going ahead.

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Shyam Srinivasan: We are considering. I don't have any timeline. I mentioned there is nothing that I can confirm at this point in time. The Bank is considering. We think in the course of FY '24, we will, but I don't have any commitment as yet. We are working on it.

Operator, I think it's coming up to six. If there are no other questions, is there anything else?

Moderator: We can stop the Q&A maybe.

Shyam Srinivasan: I just wanted to mention one thing. Most of you know, probably all of you do know. Mr.

Ashutosh Khajuria completed his term as the Executive Director of the Bank at the end of April and has accepted to continue with us for one more year as a Chief mentor and the focusing on a certain bunch of areas of his expertise and helping the Bank for another year. So, to the market, you know, we made the announcement the end of April that he is retiring, but the Board has reappointed him to be with us for one more year. So, I want to thank Ashutosh in this platform and also advise all of you that Ashutosh will be with us for another year and share his expertise and guide us through FY '24 as well. So, Ashutosh, thank you.

Ashutosh Khajuria: Thank you very much.

Shyam Srinivasan: If there are no other questions, we will bring this to close, Souvik, operator?

Souvik Roy: So, thank you, sir, and thank you all again for your participation on a late Friday evening. We appreciate the ongoing support of our stakeholders like yourself, and we remain committed to delivering value to all of you. So, look forward to updating you on our progress in the future.

Best wishes for Buddha Purnima,

and goodbye until we meet next with our next quarterly results, of course. Thank you.

Moderator: Thank you. On behalf of The Federal Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

The Federal Bank Ltd. Registered Office: Federal Towers, P O Box No.103, Aluva, Ernakulam, Kerala, India 683 101E -mail: secretarial@federalbank.co.in| Phone : 0484 -2622263 fax:04842623119CIN: L65191KL1931PLC000368,www.federalbank.co.in

Secretarial Department
SD/LODR /161/2023-24 July 20, 2023

The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051.
The Manager
Department of Corporate Services
BSE Limited , Phiroze Jeejeebhoy Towers,
Floor 25, Dalal Street, Mumbai – 400 001
Re: Scrip Symbol: FEDERALBNK/Scrip Code: 500469
Dear Sir ,
Sub: Transcript of Earnings Call for the quarter ended on June 30 , 2023

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited (“the Bank”) for the financial results of the quarter ended June 30 , 2023, has been made available on the Bank’s website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in/documents/10180/506730047/Transcript+Q1FY24.pdf/0470d0d6-ab7c-c45a-97bb-3143b47080bf?t=1689856283153>

We are also attaching the Transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

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“Federal Bank Limited
Q1 FY '24 Earnings Conference Call”
July 13, 2023

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE DIRECTOR –FEDERAL BANK
LIMITED
MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY – FEDERAL BANK
LIMITED
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR –
FEDERAL BANK LIMITED
MR. HARSH DUGAR – EXECUTIVE DIRECTOR –
FEDERAL BANK LIMITED
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CHIEF FINANCIAL OFFICER –

FEDERAL BANK LIMITED
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS –
FEDERAL BANK LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Federal Bank Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Souvik Roy, Head, Investor Relations, Federal Bank Limited. Thank you and over to you, sir.

Souvik Roy: Thank you so much and good evening, everyone. Thank you for joining us on this post-earnings call. We appreciate your time and continued interest in our bank's performance. We are delighted to continue our tradition of reporting our numbers early and providing you with timely insights into our financial results. Today, we are pleased to share, as you may already know, that our total business has crossed an impressive milestone exceeding INR4 lakh crores.

This achievement reflects the exceptional momentum we have experienced across all our businesses, highlighting a strong start to this fiscal year. To address your questions and to provide deeper insights, we have our MD and our senior management present on this call. They are here to provide you with valuable perspectives on our performance and shed more light on our strategic direction. So without further ado, I would hand this call over to our MD, who will provide you with additional details on our recent achievements. Thank you again for your participation and we look forward to a fruitful discussion. Over to you, sir.

Shyam Srinivasan: Good afternoon, everybody. Thanks, Souvik. By way of introduction and updates, I thought I would just begin by sharing some senior level inputs on the bank. Our Chairman Mr. Balagopal retired about 10 days ago after completing eight years on the board. The next Chairman, Mr. Hota, took charge on the 27th of last month. He needs no introduction. Mr. Hota has been a pioneer and the original sort of father of NPCI, if you will. So we're quite pleased that somebody of his capability is now the Chairperson of the bank. And in the board, Ashutosh completed his term as Executive Director and stayed on as a Chief Mentor for another year. And Harsh has become an Executive Director. So thanks to Ashutosh and compliments to Harsh, and I thought that's an important starting point for our conversations today.

The strength and the depth of the team is now both durable and known and they are executing quite well. Just now, sort of, Souvik talked about the 4 lakh crores. I want to point out the 1 lakh crores from three to four was done in two years. And the previous 1 lakh took us, I think, three years and the previous 1 lakh took us five years. So the bank is seeing consistent and steady growth and it's important to point out that in Q1 of this year, at least in all my time, first time we saw sequential, you know, traditionally Q1 and seasonally a slow quarter, we saw strong momentum and we saw all our businesses growing roughly about 5% sequentially.

It's not about the Y-on-Y growth, we saw momentum and we believe that that momentum should be sustainable into FY24 and probably beyond. I had guided at the beginning of this year, financial year, we would be able to grow 18% to 20% both on advances and on liabilities and I'm encouraged to see that that momentum is well in grasp and we've had a reasonably good start to the financial year. Normally, I resist giving commentary on the environment and the economy and neither am I an economist, but I thought this time since we are the first bank to declare

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results, maybe I will just take the liberty of giving a couple of points

specific to the market

and the environment as we see it from the ground.

The credit growth opportunities, particularly for a bank like us, still is intact and growing quite well. Even through the early part of July or in Q2, we are seeing demand sustained credit opportunities to grow are there and our choice has been that we don't want to dominate it to any one business. As I've said for long, we will have the retail mix, the wholesale mix, between them how it should be and within those businesses also where the opportunities are and we're seeing that sustained even in Q2 and I believe that should continue as we go into FY24 and beyond.

On the liability side, I do think, and I would think many in the industry do concur, the worst of the rate war is probably behind us and it did help that the Rupees 2,000 withdrawal aided us all

with some additional deposit growing opportunity and provided some much needed respite for that part of the bank. In particular for Federal, the remittance business, which remittance and the NR deposit business, which was kind of muted in most parts of FY23, towards the back end of FY23, we started seeing it pick up.

You may have seen our slides as well, the market share that had come off has come back to us now and likewise NR deposit share, particularly the Rupee deposit share for us is growing and we're seeing that momentum come back in and it's an interesting dynamic. The period post-COVID, we saw some behavioral changes, I was quite, you know, we were watching it quite closely to figure out if there is sort of a long duration change or is it just, you know, behavior correction, it appears to be the, you know, sort of the rubber band is back and growth on that front seems to be coming back up.

And the last point, which is important, which I think particularly in the last three weeks of June, we had an opportunity to go out and meet many current or prospective investors of the bank. We did share our business plans and our commitments and our guidance, so to say, on how the year will shape up and I do think on those points that we mentioned, the first quarter has pretty much stacked up on most of this count, be it growth or be it on the outlook on margins, the near-term impact and the longer-term outlook of margin, the business mix, and the steady overall credit cost that we will anticipate.

So I just want to reinforce our Q1 in the context of the environment we are operating in, we remain quite confident that the growth momentum we saw will sustain in FY24. The margin outlook is playing to what I think our model has suggested. As most of us know that Federal Bank re-prices T plus one, so the impact on advance gain was in earlier, so was the impact on margin compression. So between Q4 of last year and Q1 of this year, I think we have seen the impact play through.

I did mention in my calls with the earlier today with some of the media interactions that we believe that the compression we saw should start turning the way, there should be margin expansion that will come through because the tail end of the rate increase on deposits have played through, the yield expansion on both credit and also the business mix is beginning to show through. So our belief is that what we had said last quarter, that the full year margins will be somewhere around the 3.3 space, we will see that pick up from Q2 onwards.

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So in short, we have begun the year reasonably well, on guidance on most of the areas that we spoke of when we met, when we spoke in May 6th, I think after the Q4 results and the conversations I had subsequently with many of our investors and analysts who were keen to understand us better. Our outlook for FY24 remains reasonably intact, we believe 80% -20% credit growth is okay, possible. The margin we said will be a year of two halves, the first half being softer and the second

half picking up.

I am now encouraged to believe that in the second quarter itself it will start picking up. And lastly, the credit quality and the credit costs are certainly going to be in and around the number which we have talked about, about 40 basis points plus or minus. So with that, let me just mention that we are, as usual, the entire senior team is there and all of us are happy to take questions or clarify. So I am happy to open it up for questions.

Moderator: Thank you very much. The first question is from the line of Naysar Parikh from Native Capital. Please go ahead.

Naysar Parikh: Yeah. Hi. Thank you for taking my question. The first question is, you know, we are obviously growing the retail high-yield book strongly. Can you just talk a bit about how is the credit performance in that book, especially given the slippage rate has gone up further, you know, in the quarter to 1.9%. So just can you highlight the reasons for that and give some numbers of 6 MOV 30 plus for, you know, gold loans or MSME personal loans, etc?

Shyam Srinivasan: The retail assets that are growing in these so-called high-margin businesses, as I pointed out, they are early, so there is really not much in terms of slippages or even SMA position at this point in time that is uniquely different from our normal run rates. If you are referring to the slightly higher slippage on retail this quarter, I think we had mentioned that in the past, the moratorium on the March 31, 2021 book of retail, which is the COVID restructuring, a large part of the retail restructuring COVID moratorium book ended in March 31, 2023.

So those, their demand would have been in Q1 of this quarter. So of the INR250 odd crores of retail slippages, close to 30% of that is from the restructured portfolio. And that's the reason for the slight uptick in retail, but it was within our overall 40 basis point that we had visualized as credit cost. So in terms of incrementally, at this point in time, we are also acutely sensitive to the question you asked in the narrative that's going on in the market. We're not seeing any trend shift because the book is secured. The unsecured book is just growing at this point in time, hasn't

shown any adverse outcome, any differently from what we have faced in any of our credit books. Naysar Parikh: Got it. And the second question was, you know, on the liability, on the deposit side. So, you know, from a geography perspective, can you give a split of what percentage of that would be semi-urban rural and, is that area of semi-urban rural, is that a focus and are we seeing growth there? And secondly, just one data point, what percentage is outside of Kerala in the deposits? Shyam Srinivasan: Let me give you some of the details. First is, about 70 odd percent of our network is in semi-urban rural across India, right? In fact, unfortunately or fortunately, Kerala doesn't have anything which is rural. Kerala is a very urban, semi-urban market, but our large part of our network, particularly the incremental 800 branches that are outside of Kerala, are in, at least 70% are in Federal Bank Limited
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semi-urban rural. So, bulk of the growth that is coming in, therefore, you could attribute to geographies that are fairly widespread across the India. The non-Kerala, the biggest immediate geography is Tamil Nadu, where we have 200 branches. Out of that, I think the city of Chennai and the city of Coimbatore collectively have about 50 branches. So, the back 150 branches are in sort of spread, we are there in every district in Tamil Nadu. And likewise, we are working to be in every district across the country. And of course, the incrementally of our incremental deposits, say about 15% or so has been coming from FinTechs, which are coming from 18,000 pin codes. We have about close to INR800 crores to INR1,000 crores of deposits come from all our FinTech partner accounts that we have originated. And that's coming from 18,000 pin codes in India, India has 19,000 pin codes. So, it's coming from very distributed geographies. There was a question, sorry, I missed the other part of the question. Could you just expand on that? Sorry, I missed it. Naysar Parikh: Yeah, how much, like deposit, what percentage would be outside of Kerala? Shyam Srinivasan: 45% of the deposit is outside Kerala, 40%, 40% to 45%. Naysar Parikh: And is that number different for incremental deposits, are we seeing that? Shyam Srinivasan: Yeah, incrementally for the last two years, because of the expansion outside, that's where it is. The stock is where Kerala is bigger. Rate of growth of deposits outside Kerala has been higher than the rate of growth inside Kerala. Naysar Parikh: Okay. Thank you so much. I'll come back and look at it. Moderator: Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead. Anand Dama: Yeah. Thank you for the question. Moderator: Sorry to interrupt, sir, but the line for you is not very clear. We request you to please use the handset while you're speaking. Anand Dama: Yeah. I was asking that, was there any interest reversal on the NPAs in the current quarter? Shyam Srinivasan: They would have been, right? Our slippage is about INR495 crores. So, correspondingly, there would have been interest reversal, right? So, last quarter was INR454 crores. So, about INR40 crores extra. To that extent, there would have been reversal of about INR10 crores, INR15 crores. Anand Dama: Okay. And what basically gives us the confidence that the second quarter onward, basically, we will see a margin expansion? Shyam Srinivasan: So, the yield on advances, I think, we have shown that, has gone from 920, if I remember right. 921. Our model suggests this quarter will go to 927. The cost of deposit is at 534. Looks like it will start moderating. So, the spread will open up. Federal Bank Limited
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Anand Dama: So, basically, in that case, you mean that the yield expansion will happen in the second quarter as well, sir? Shyam Srinivasan: Yes, we are expecting that. Anand Dama: Yeah, that should be on a higher side, right? Because then only, basically, our spread would increase. Shyam Srinivasan: Yes. And the trend line, particularly the June-July bookings, are suggesting that. Anand Dama: Okay, sir. Thank you. Shyam Srinivasan: When we made our calendar -- I mean, FY24 opening and shared our updates and our outlook, it was designed with this. And I did recall distinctly saying it will be a year of two halves, with the first half being softer and the second half picking up. Now, I am encouraged to say that first quarter and then we think the pickup will be in second quarter because the model is reflecting that.

Anand Dama: Sure, sir. Thank you.

Shyam Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Kochar from Mirae Asset. Please go ahead.

Gaurav Kochar: Hi. Good evening. A few questions. I was asking, what is the breakup of the INR164 crores miscellaneous income that we have? There is a whole of -- lot of this thing. There is recovery from written-off accounts. There is revaluation of investments, which is there. Can you just give a breakup of this INR164 crores? And maybe corresponding to this last quarter breakup, Q4?

Shyam Srinivasan: Venkat, do you want to go?

Venkatraman V.: Yes, Shyam. Yeah, I can go ahead with that. Yeah. Broadly, in terms of the breakup, there we re profit on sale of investments, recoveries on assets previously written-off. That was about INR25 - odd crores. Then dividends from subsidiaries, we had about INR15 -odd crores. And then profit on revaluation of investment was around INR12 -odd crores. And P SL, this is the first time we have been net seller

rs of PSL. So we had a gain of about INR52 crores, which came in from the sale of PSL in this quarter. So this is broadly the breakup of that other income.

Gaurav Kochar: Okay. INR52 crores PSL, investment profit of INR12 crores, dividend of INR15 crores, and another INR25 crores of recovery from written-off...

Venkatraman V.: Recovery from a written-off assets. And then profit on sale of investments was about INR30 - odd crores.

Gaurav Kochar: Okay. Sure. So this PSL profit of INR52 crores, do we expect this to recur in the coming quarters also or this is like...

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Shyam Srinivasan: Unlikely to recur at scale. There will be some, but it's not at this scale.

Gaurav Kochar: Right.

Venkatraman V.: Typically, we can -- what we should note is that we have now moved to a situation where we are able to generate more and sell and make income out of it. So probably, hopefully, every year Q1, because Q1 if we sell is where we maximize for the full year. We should start seeing this recovering on an annual basis, may not be on a quarterly basis.

Gaurav Kochar: Sure. Understood. So on slide 14, where we give the breakup of the new businesses or so-called high yielding businesses, the share of that and the overall advances, and there's another chart, what is the share of revenue from these businesses? So I think, the revenue includes the revenue of treasury, miscellaneous income, everything, right, here in this case? And the interest income would also include interest income on your treasury book or cash, which may not be the right picture.

Like, what would be the core income shares of these high yielding? Typically, one would assume that the revenue share from these businesses should be much higher than their overall share in advances. But that same is not reflecting out, right? If you look at the average, 33% of the share in advances, but on the revenue, it's just 30%. Optically, it looks different. But if I were to exclude the treasury and the non-advances related income from the denominator, probably the shares of revenue of these items would go up. So just wanted to understand, what would that number be? If let's say, the share in advances is 33%, what would be the like-to-like income share?

Shyam Srinivasan: This wouldn't have a treasury income in this. I don't know where you're reading the part of treasury income in the high yielding part.

Gaurav Kochar: Okay. So here in the clarification down, you've given revenue is equal to interest income, plus non-interest income. So here I'm assuming that interest income includes...

Shyam Srinivasan: No, fees and other stuff, not treasury related. There will be the fee related to these businesses.

Gaurav Kochar: Okay. So in this interest income line, are you only taking interest income on advances or you're taking interest income, total interest income?

Shyam Srinivasan: Only on advances.

Gaurav Kochar: Okay. So in that case, sir, then why the revenue share is lower at 30 %? Because typically these are higher margin products. So the yield would be higher. So the share of these on the overall book should be much better than 30%.

Venkatraman V.: Also, you'll have to look at the period at which this growth in terms of average during the quarter or is it more towards back-ended. So there are different factors which come into play in the income number.

Shyam Srinivasan: Venkat, cost of origination will be there in the first year.

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Venkatraman V.: Yeah. The first year it will be there for some of the products. Yeah.

Gaurav Kochar: Sorry, sir, this is just revenue, right? So you also considered cost. Is it net of that or its only the...

Shyam Srinivasan: No, not the -- in some products, we'll have to do the net whereas in some of the m, the cost is shown in the expense line. That's

based on the accounting.

Gaurav Kochar: Okay. It's not very clear, sir. Maybe I'll take this offline.

Shyam Srinivasan: Yeah. I can give you the details separately which products we net of, what cost element. It's gross and then cost is shown separately.

Gaurav Kochar: Okay. Sure. The idea was that if these are higher yielding, typically they should fetch more on revenue despite being 33% of advances. Ideally, the revenue mix should be much higher. But the same is not reflecting in this chart. So I thought maybe you, on the denominator, there is other income also included. Sure. I'll take it offline.

Shyam Srinivasan: I think, the observation is valid. We will put out an explanation for everybody to see, not only the Mirae folks. We'll put out to everybody.

Gaurav Kochar: Sure, sir. And then the last question, what would be the incremental cost of term deposit? You mentioned that you expect the cost of deposits to trend down in this quarter. So I just wanted to understand what would be the incremental cost of term deposits and what would be the stock cost of term deposits?

Shyam Srinivasan: Venkat, Mani, you have it?

Venkatraman V.: Yeah, it should be another probably around 10 bps increase from where we are currently, right? Yeah. Its 6.4, 6.5, 10 bps movement.

Gaurav Kochar: Okay. So you're saying current stock is 6.5 and incremental is 6.4?

Venkatraman V.: No, the other way around.

Gaurav Kochar: Okay. Stock is 6.4 and incremental is 6.5. Okay. Sure. Helpful, sir. Thank you so much.

Venkatraman V.: Thank you.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yeah, thanks for taking my question. So firstly, with respect to yield repricing, no doubt repo has got repriced at 3 -plus 1. But last time you were highlighting that there could be benefit of MCLR repricing, plus the proportion of high yielding is actually moving up. So is there maybe only either on the business banking, commercial banking, we are seeing some competitive pressures with respect to yield on account of which there is only like 7 bps, 8 bps kind of a sequential rise?

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Shyam Srinivasan: Kunal, indeed, yes. I mean, we are -- the business model not willing to go at the segments that are willing to pay you price but has risk associated higher. Our model has always been where we get competitive price but try to get more business from the customer. And we are seeing that play through in all our full engagement. You are seeing our fee income steadily improve as you have seen this quarter also. So our model of the bank is to ensure that we go after the better rated segments in every -- better rated customer in every segment, be comparatively priced. So we may not enjoy very high margins on that count but get good credit quality and fee income increase. And therefore, the ROA expansion that we have seen will sustain.

Kunal Shah: Sure. So even in terms of like going forward, despite the proportion of high yielding expected to inch up, we will not see too much of improvement on the advanced side because of maybe moving towards the better rated customer segment.

Shyam Srinivasan: The margin expansion will be there. That's why we said it's troughed out and we believe it will go up by maybe 7 basis points, 8 basis points in this quarter, the quarter that succeeds. And that sustains from there on. But it is not going to go back, go to 3.8 basis points or 3.7 basis points in a hurry.

Kunal Shah: Okay. Sure. And last time you highlighted that the bulk deposit increase was largely due to CDs and most of it has unwind in 1Q. But again, if we look at it, in fact, there is still like 70%, 80% sequential growth seems to be there in the wholesale deposit while retail seems to be relatively low at less than 2 -odd percent. So maybe -- and maybe the deposit cost

unwinding we are

expecting because this proportion could actually come up or maybe what could be the proportion of the wholesale? Maybe if we have to look at it two quarters down the line, two, three quarters down the line?

Shyam Srinivasan: See, at the peak where we were 95% retail in the RBI definition of retail deposits, that's come down to about 86%, 85% now. This will be the baseline, but in 85% and 88% is where retail deposits will be.

Kunal Shah: Okay. And we see benefit of this reflected in the cost of deposits. Maybe is there any unwinding

of wholesale which is giving us the confidence that cost of deposits should be lower in Q2 compared to that of Q1 because otherwise the cost should actually rise upward only.

Shyam Srinivasan: We did mention, I think I did mention even today, so did Venkat. The Q2, our overall cost of funds will move up from, I think this quarter was 530 something, it'll go to 540, but the yield on advances expansion will be higher. That's how the margin expands.

Kunal Shah: Okay. Got that. And lastly, in terms of fee, so maybe excluding the forex, when we look at it in terms of card processing fee and all, there is a different level of traction. So should we see maybe what we highlighted in terms of that being one of the incremental delta to the ROAs, we are equally confident in terms of maybe given this kind of product segments and the process which is happening, we should be able to sustain this overall momentum on the fee side?

Shyam Srinivasan: I think, yes. If you see slide 19, where we have given the mix and fee income, it is distinctly pointing out the areas and many are volume and scale related. They are not one-off or unique to a quarter, as in the PSL one which Venkat spoke of. They are all transactions and we think that's

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sustained, right? So it should, we are confident that momentum will play through. In fact, we are pursuing fee as a share of assets closer to 1%.

Kunal Shah: Okay. Got it. Okay. Thanks a lot and all the best. Yeah.

Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R: Hi, sir. Thank you for taking my questions. This was already discussed, but I still would like to understand like a CASA-plus retail term deposit has been coming down. Even though like, in other peer companies, banks, CASA has been coming down. CASA-plus retail TD has been fairly stable. What gives you confidence that we will be able to bring it back up?

And like, I wanted to understand like, how much of this 7 bps to 8 bps is attributable to like a high yielding segment. Why I'm asking this is like as the repricing has already been done by now, like hereafter only the mixed change will contribute to higher yields? That's my question.

Shyam Srinivasan: Yeah, I think, you're right. Mixed change and incremental volume coming at pricing higher than what it was traditionally, which is what I said, we're extrapolating the last 45 days kind of run rates we are visualizing. And that's how the yield and advances expansion will happen.

On the mixed of retail deposits, I mentioned, the rate is between 85% and 95%. We were at 95%.

We are close to 85%. You know, there are probably banks which are at 70% and stable at 70%, 75%, but we were already at a high. So it's likely that we had to support our credit growth in an era where deposit costs were higher. We had to get term from retail customers. These are retail customers' term deposits. We have not done bulk borrowings in the market.

Aravind R: Okay, sir. Thank you. So, but if I see core fee income to average assets, that is actually fairly been stable. Maybe in the first quarter. It is slightly lower because of the seasonality in the fourth quarter. But you're talking about, it is a fee income actually inching up, but it is primarily due to treasury income

me, treasury gains and PSL income. This is not, these are all not recurring for every quarter on quarter.

Shyam Srinivasan: Well, you're right. This 535, which is the core fee income is the number that I'm also referring to because those are the rest tends to be, sort of choppy. This is going at about 20%, 22%.

Aravind R: And like the higher yielding segment of like, like I understand that it is 32%, 33% as of now.

But do we have any, medium term target in terms of like reaching 40% or 50%?

Shyam Srinivasan: No, I'll tell you, where we have mentioned that, quarter also. Overall book of the bank, we wouldn't want these segments to cross 10% of the overall outstanding of the bank. There are three guidelines, retail, wholesale, 55%, 45%. Unsecured as a part of the total portfolio, not more than 10%. And no segment will be more than 15% of the bank.

Aravind R: Okay, sir. Just one more thing, like, could you give me like a little more color on MSME segment? What is the usual average ticket size? And, maybe like, what could be the yields? Like, if you can give something like that, and like, whether it is predominantly working capital, term

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loan kind of thing, and what kind of sectors, they usually give to, like, is there any exposure to any particular sector or geography?

Shyam Srinivasan: Harsh and Shalini, do you want to go? Maybe Harsh and Shalini on this?

Harsh Dugar: Sure. Yes. I'll take it. Shalini, are you going to go ahead?

Shalini Warriar: Harsh, go ahead.

Harsh Dugar: Yes. Okay. MSME, for us, goes across all verticals. There are some at the higher end of the

MSME are in corporate banking, and up to the lower end, which is in business banking. So all three verticals have it. In terms of the things, which we are looking at the sectors, we are using every sector agnostic. Some of the places where we are very comfortable at is FMCG suppliers, vendors and suppliers, to some of the large OEMs. And some of the sectors, which we are looking at, like chemicals, like goods, all those sub-vendors over here.

MSME is quite broad-based across sectors, across regions. So this is on the MSME side. We are comfortable in terms of going with through the supply chain initiatives also, which again qualify us, apply MSME. The vendors and the dealers of the large corporates is what we are tapping on and going ahead.

Shalini Warriar: Yes.. If I can just add to that, on the lower end of the MSME, which is the business banking kind of segment that we call business banking, typically somewhere in the range of anything up to about five to about seven, seven and a half. That would be the ticket size for the lower end of the MSME. In this, we follow really a catchment approach. It's driven. It's very much a branch-centric business. And the catchment area of the branch is what becomes the target customer segment.

So industry agnostic, grow where India grows. So as you notice, we've added more branches, for example, in Tamil Nadu, Karnataka, Telangana, etc, because we're seeing growth opportunities over there from a B2B segment. So MSME kind of spans across all of these areas, and we get the benefit of PSL across all these areas. But within that, we've segregated it to see the lower end of it. The lower ticket sizes is primarily branch-driven, secured, term loans, working capital, both, a mix of both, but serviced by, serviced typically by the branch. So that's really, what it is.

The MSME under BUB, for example, the ticket size would be about 70 odd lakhs. Average ticket size, about 10.5% yield, etc. But to your broader question, MSME for us, and you'll see it in slide 14, actually spans across business banking, commercial banking also. Some data is there on slide 14.

Harsh Dugar: Yes. Just two points I'll add. On the working capital and term mix, we are roughly about 55% to 60% on working capital, the balance

of the term size. The average ticket size, if I look at the medium and the small category of the MSME, it would be in the region of about INR15 crores odd, INR15 crores to INR17 crores odd. Micro will obviously be smaller. That's what Shalini had covered.

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Aravind R: Okay. Thank you. Thank you so much.

Moderator: Thank you. We have the next question from the line of Jai Mundhra from ICICI Securities.

Please go ahead.

Jai Mundhra: Hi. Good evening, sir. I have this more or less same question on margins, but I wanted a few data points before that. If you can help me with the blended savings account cost for us, maybe for this quarter and last quarter, and the loan mix by benchmark, so fixed EBLR and MCLR?

Shyam Srinivasan: Yes, Venkat, go ahead.

Venkatraman V.: Shyam, I have the numbers for the savings in this detail, so I'm just thinking, whether we should be giving that level of details in the call.

Shyam Srinivasan: No, share whatever we can, and then they can interpret from there.

Venkatraman V.: 3.2 for the savings and blended.

Jai Mundhra: Sure, sir. And, just for comparison, if you have a large...

Shalini Warriar: Sorry, if I can just come in on the savings account, please. You know, Venkat, given the overall kind of blended number, but a very large part, we at the lowest end, we really offer only 3.05%.

We do have it on the, you'll see it in the public domain as to what our kind of thresholds are and what, not very extravagant in, how we pay for our savings account, Jai. Yes.

Jai Mundhra: Right.

Venkatraman V.: And also, just for your other question in terms of comparable, it will be around similar levels last quarter also, Jai.

Jai Mundhra: Sure. And, sir, the loan mix by benchmark.

Venkatraman V.: Yes. The repo link is around 49% plus. Fixed is 27%. And the MCLR is about 14%.

Jai Mundhra: Right. So, now, sir, the question is, if you see the, let's say, on both yield side as well as cost of deposit, slash cost of fund, the yield, if I see our reported yields in the last two quarters, three quarters, there has been a sharp, let's say, deceleration in the pace of yield expansion. 49 basis point rise was there in third quarter that decelerated to 35 and this quarter has been 8 basis point.

And while the loan mix may change and hence, let's say, it remains at similar levels, but then the cost of deposit, as you said, that the incremental TD is still outpacing the outstanding TD cost and the cost of deposit may still remain firm. So, it looks like the margin expansion, of course, it could be because of the capital raise, if that happens. Or is there any organic

mechanism also to sort of help NIM s? Because the high yielding product ...

Shyam Srinivasan: Let me just interrupt and say, in my calculation, when we have spoken, we have not taken capital increase, whenever we do that, into this conversation when I guided for 7 -8 basis point

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improvement. So, trust our mathematics and this is the final answer to this. I don't need any more conversation on this.

Jai Mundhra: Sure. No. That is...

Shyam Srinivasan: Don't try to cross question management's capability to calculate, guys.

Jai Mundhra : No, no sir. Anyway.

Shyam Srinivasan: I am putting a final word. I have not calculated capital raise in this conversation that of adding 7-8 basis point. If capital raise happens, when it happens, it will add its own value. But that is not in my conversation.

Jai Mundhra: Right.

Shyam Srinivasan: Okay . Now do your mathematics.

Jai Mundhra: Yes. Sure.

Shyam Srinivasan: Next question please.

Jai Mundhra: Yes. And sir, just a small question on PSL. So, I see that the CV, proportion of CV, which contributes to PSL is 69%. Is that the, is that a broad number to be taken or there is some, let us say, one of it.

I would have thought that the CV proportion to PSL would have been much higher? Just a small observation.

Harsh Dugar: It is actually 69% of the presentation, Harsh here. It is 69%. It is roughly about, because we also classified once we get the, whether this is a pre -certification, which we have been getting. And it is closer to 76% now. It typically hovers around 75% to 77%. A large portion of the school buses also, which we finance, come under commercial vehicles, but they do not qualify under URC, because schools do not qualify under that. So, given all of that, roughly about 70% to 80% would remain under PSL

Jai Mundhra: Right.

Harsh Dugar: And also of this, about 15% to 20% would be micro.

Jai Mundhra: Right. Understood, sir. Yes. Thank you and all the best, sir.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes. Good evening, sir. Sir, my question was firstly on deposit growth. Of course, it looks very good right now. It is on a sequential basis. Even for the sector, it is higher than loan growth because of the, possibly because of the INR2000 note deposits. But a lot of bankers point out

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that, this is not permanent flow. Right. And then, papers also point out that, the FM has asked PSU banks to focus on deposit mobilization given the HDFC bank's merger.

So, given all this news flow, do you see a situation, possibly when growth picks up in the second half, that banks may have to hike deposit rates through special schemes, even though RBI does not hike repo rates? Or does liquidity look like comfortable and sustaining? Because if PSU banks start attractive schemes, they had started festival schemes for deposits even in October last year like that?

Shyam Srinivasan: No, I think that challenge is an ongoing challenge. It could be PSU. It could be another private sector bank. But if credit expansion happens, deposit automatically follows, Mahrukh. You know that, right? Credit creates deposits. So, I do not believe, we will be in a situation of no deposit creation, but only asset creation. Then there is a fundamental problem. So, I do think the deposit, and I, for us, I mentioned, we have seen marked and quite defining changes in the deposit momentum, and in particular to the non -resident deposit momentum in the last 45 days. Quite meaningful.

So, I don't believe, in the positive direction, I do not believe it will, Nothing is easy, right? And our business is not like you can sit back and believe it will come to you. There will be competition, but the deposit, certainly at a price, it will be available, whether it will be at all CASA or whether it will be retail term and CASA, that is, as long as the bridge between savings and term is not very distinct, then you will see SA grow. If savings and term is 400 basis points gap, you will see deposit grow in the form of term. We have seen that for long periods of time. I can see that, slowly compressing.

Mah ruk Adajania: Okay, sir. Sir, and my second question is on loan deals again for this quarter, that is for the first quarter, that the mix has changed very favourably, right? The growth in, of course, on a low base growth in CVs, MFIs, credit cards has been very, very strong. So, even so, yields may not have risen at the pace of the change in loan mix, and that is because of competitive pressures in those price segments, is it?

Shyam Srinivasan: Partly that, partly, it's the growth could have been more at the second half of the quarter. So, we didn't get the full benefit of it in the quarter. But yes, it's a combination. I don't believe it's just one. It's a combination of all of this. Given in the CV business or the microfinance business, while they are higher yield than our average, we are not going after 24% or 36% or 28%. We

are still, if our run rate is 12%, we'll go at 14%, because we don't want to go into riskier of the nature, at least in the early days till we understand these businesses much better.

Mahruk Adajania: Sure. Sir, in general for the sector, there has been some, even based on sectorial data, some moderation in growth in mortgages, in home loans. Is it just seasonal or what is your take?

Shyam Srinivasan: We've also been talking about it, but you may have seen our numbers, it's still been consistent and growing, but we are seeing pressure on pricing in the segments we have been. There is a real fight for taking share. And in home loans, there is no cost, there is no foreclosure or nothing.

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So we have to worry about that. But yes, not seen any -- and we are -- our home loans are quite concentrated in five, six geographies. We are not very deeply into every part of the country in home loans. In those geographies, we haven't seen any slowdown. Shalini or Chitrabhanu, if any one of you are on the call, you can add.

Shalini Warrior: You're right. Shyam, we haven't seen any slowdown. Yes, there is competitive pressure on pricing, particularly new sourcing in some of the metros that we kind of compete in Mumbai, Bengaluru, Chennai, Delhi, etc. There is a pressure on pricing. So we're being quite disciplined about pricing. We look at the overall relationship, look at other aspects and do it, but momentum per se, haven't seen any concerns, touchwood.

Moderator: Thank you. We have the next question from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir, just two questions. One is, how would you think about opex growth, especially employee cost growth this year? Should we see any operating leverage come through? The second is again on NIM, sorry. So basis your guidance of 330, 335. Fair to say that your second half NIM will be touching 350?

Shyam Srinivasan: First quarter 315, we think second quarter onwards, it will start picking up. Now I'm not even venturing into talking about last quarter as yet. But we still think the full year NIM will be closer to 330.

Saurabh Kumar: Okay. And on the opex piece, on the employee cost?

Shyam Srinivasan: I think people cost is pretty much running on course, Saurabh because whatever the increments and the expected raises have been factored in. That's on the people cost. On the operating expenses, it should be more like a single digit or early double-digit kind of growth, but Venkat can expand on that.

Venkatraman V.: Yes. I think on the opex two parts, the staff and the other op ex. Staff cost what we have seen is the impact of the yield movements for the pension gratuity provisioning, which is actually a liability, which we have taken in. And that will move subject to the yields movement during the next few quarters.

And also in Q1, we traditionally see a slightly higher uptake on staff cost on leave encashment, leave travel and all that stuff. So that has come in. So I don't expect staff cost movement to be very nice from now on.

On the other opex, we've seen between Q4 and Q1 also, there's been a slight increase. And large part of it is variable business related. There is impact of some flow-through depreciation coming through for projects which have gone live over the last year. Other than that, there is no significant nonvolume-related costs which are likely to come through.

Saurabh Kumar: Got it, sir. And sir, on that pension piece, I mean, as it roll downs, the benefit is still at INR250 crores, INR300 odd crores or? The defined contribution, I mean, as you -- on the employee cost or the defined contribution share increases?

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Shyam Srinivasan: Yes, roughly about INR300 crores a year.

Moderator: The next question is from the

line of M B Mahesh from Kotak Securities. Please go ahead.

M B Mahesh: Just a few questions. One, on the demand environment, if you could just kind of briefly kind of highlight across the segments, how is it shaping up?

Shyam Srinivasan: I opened saying, Mahesh, we are at reasonable traction. We saw good traction in Q1. Even in Q2, just two weeks have passed, our credit committee has met four times. So we are seeing reasonable momentum in most of our businesses in volume and at least new proposals coming in.

Yes, I must admit, we are pursuing segments which are relatively on the lower risk spectrum.

So to that extent, it will be a very competitively priced, but we are seeing good -- reasonable good traction even now. And outlook for Q2 looks quite similar.

M B Mahesh: Okay. On the second question on NR deposits, there has been some level of slowdown there. Some clarification on that?

Shyam Srinivasan: No, NR deposits, I did mention at the beginning of the call and I will just reiterate. In fact, we are reasonably happy to see that come back profit in the second part of Q1 and the early part of Q2 and hope that sustained. We did see post COVID remittance is coming in, but not all of it translating into deposits, particularly this -- non FCNR.

We are not a big FCNR player, so our focus is on NRE -- savings and NRE terms. That's where we have a large share. That share has gone up, in fact, from 8-odd to 8.38% or 8.4% of India's NR deposit in that category is with us.

So we're gaining share there. What was a little behavioral change we saw is that remittances are coming, but not translating into deposits as it did in the past period. We thought there was some structural change of -- whatever post COVID. It looks like those -- either they were making investments or onetime -- whatever commitments being fulfilled, that is beginning to build back. In the normal quarter, we've seen in the past as high as INR2,000 crores to INR2,500 crores of incremental deposit build. For then it fell off materially, we are seeing it come back to about INR1,000 crores or so now. So there's a build back coming.

M B Mahesh: Okay. Perfect. My last question, sir, for a 250 basis points increase in lending rates, the corresponding increase that we've seen so far is about 130 basis points. Where are you seeing the pressure on the lending side from a pass-through perspective?

Shyam Srinivasan: Across the spectrum, Mahesh, I think we've discussed this at length, right? We have seen about 130 basis points, and there will be another -- residual of another 10-odd basis points will come through -- 10 to 15 basis points will come through. We did think that about 150 basis points is a maximum that can pass through.

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Again, going back to the segments that we are, I don't believe you can just transfer it entirely and expect because we are playing in a very competitive environment, right? Everybody is going after the best.

Moderator: The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Yes. Thank you, sir. Sir, just a couple of questions. Firstly, with respect to the increase in the cost of deposit, which is close to around 20 bps quarter-on-quarter. But we haven't increased our MCLR. Correct me if we are wrong.

Shyam Srinivasan: I think last month -- Damodaran, if you're there, MCLR went up, right, last month?

Damodaran: Actually, there was one reduction in between due to minor reduction in the operating cost factor. You see MCLR actually is driven by a formula given by RBI. So whatever is the number we are computing accordingly, it will come.

We have increased MCLR quite very well based on the increase in the marginal cost. From the original level, if you see, I will come back with the, say, total increase from the days we've started increasing the repo rate. I will

I come back with the number very quickly. There is a reasonable increase in our MCLR across this period.

Rakesh Kumar: No, I was looking at the RBI number, which is giving MCLR at 9.35 in March and 9.05 in February and 9.35 in June. So I was thinking like our ROE -- so if you look at MCLR template, what RBI gives, so like opex to asset ratio, your marginal cost, your ROE number...

Shyam Srinivasan: You're right. I think your point about MCLR 9.35, going to 9.05 coming to 9.35. So -- because the 9.35 coming down to 9.05 like Damodaran pointed out, it's not just cost of deposits, that's operational costs also. Some cost reduction happened that also as we pass through. So the formula at it takes not just entire cost of deposit alone, right? Cost of deposit is one element of the MCLR calculation.

Rakesh Kumar: So I was thinking, sir, like 14% of loan as we mentioned is on MCLR and 49% on repo-linked, 27% on fixed rate, what is -- where the remaining 10% would be, sir?

Shyam Srinivasan: Staff is about 5.5%, and then we have base rate foreign currency.

Rakesh Kumar: And sir, have we increased any spread on the fixed rate loans from March end to June end. So have been -- like there is some struggle to increase the spread on the fixed rate loans. So what is

our experience there, sir?

Shyam Srinivasan: Only when it comes up for renewal, right? Harsh do you have an y...

Harsh Dugar: Yes, let me clarify. Our fixed rate loan, technically speaking, we cannot change the rate because by the very nature of it is fixed. But let me clarify the number given is fixed was anchored. It also includes short-term one, which has been given. So it's not that we are carrying a long term or a low rate or something like that.

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So fixed rate, the fresh ones taken down at revised rates, like to give you an example, in commercial vehicles, the loans had gone to as less -- below 7%. Today, the loans are being done well above 9%. These are for fresh ones. The stock remains at what it is. Similarly, our fixed rate loan done with a large corporate remains fixed for the tenor or the period for which it has been fixed for.

Rakesh Kumar: So actually, sir, if we are not changed the MCLR and obviously, repo rate has not changed, fixed rate book, there is like we have not done much. Then whatever the increase in yield is there in this quarter is basically because of composition change?

Harsh Dugar: Part is composition change, part is fresh booking as well. To give an example, if a fixed rate loan book, which we have obviously constant maturities also, the lower end of the fixed rate, which was booked two years back or three years back, obviously comes off maturity -- and the fresh ones booked are at 1.5%, 2%, 2.5% higher than that. So that is also the question is what we also add to that. It's not just the mix alone.

Rakesh Kumar: No, but I was looking at the NSFR data. So that was showing that the amount on asset side, which was coming for repricing, that number was quite low actually. The number given in the March quarter number and as for disclosure. As per that number, the repricing was scheduled in this quarter or maybe for the 6 months, number was not much?

Harsh Dugar: This is the repricing that you are talking about?

Management: Shall I give you the updates. March 2022, our MCLR was 790 one year MCLR whereas it is now at 930. So there is an increase of 140 bps across this period. And this may again pick up based on the changes. It can go up or down, but generally the trend may be slightly higher.

Rakesh Kumar: And sorry to come back to the incremental TD cost and outstanding TD cost. So incremental TD cost, sir, is 6.4 and outstanding is 6.5. Correct, sir?

Management: The way it is worked out is slightly different. You need to take our latest cost of the profits that we are offering for the slabs and the facto

ratio to which we need to multiply it is basically our historical book distribution across those buckets. So though we call it marginal cost, slightly historical and slightly marginal. The assumption is that your growth -- incremental growth also is in the same portion for different buckets.

Moderator: Thank you. The next question is from the line of Tanika Agarwal from Green Portfolio Private Limited. Please go ahead.

Tanika Agarwal: So the question is also around like...

Shyam Srinivasan: We can't hear you.

Moderator: Ms. Agarwal, the line for you sounds muffled. It's not clear. We will move on to the next question, which is...

Management: Operator, we can probably close after two more questions.

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Moderator: Thank you. Yes, sir. The next question is from the line of Bunty Chawla from IDBI Capital.

Bunty Chawla: Small data point, if you can share. This quarter, retail NPA has been higher. So which segment under retail has shown this kind of a stress? And secondly, the restructured assets, as we have seen, it has declined, but still it remains INR2,500 crores kind of thing. So -- and as you said, almost two years moratorium, I believe all this portfolio has been completely out of the moratorium. So how we can see the NPA pressure coming from these books?

Shyam Srinivasan: No. The restructured book is restructured standard. As you know, the regulation is required to continue to be one year of servicing before you can upgrade it. So that period that's going on.

The demand of the restructured book in Q1 that we saw that I mentioned a third of the retail slippages is from restructured. Retail book is secured home or LAP. So the slippages is on that one.

Bunty Chawla: And sir, lastly, as you -- previous guidance was 5 to 10 bps improvement in ROA should be there in coming years as such? Now what is the guidance currently because as we have said, the margin should be remaining stable as compared to last year and credit cost should be also a

similar kind of this. So how one should see the ROA guidance going forward in the next 2 years?

Shyam Srinivasan: We had said when we started financial year, we ended last year at 128. We said 78 basis point improvement in FY '24 and a similar repeat in FY '25.

Bunty Chawla: So we maintained that guidance, sir?

Shyam Srinivasan: Yes.

Moderator: We will take the last question from the line of Darpin Shah from Haitong India. Please go ahead.

Darpin Shah: All my questions have been answered. Just one, how much will be the outstanding provisions on the standard restructured book?

Shyam Srinivasan: Including management overlay, we have a significant sum, not touched close to -- I don't know if you've shared in the past, but yes, a meaningful sum. It required us to have -- if I remember right, 15% provision on the restructured book. At the peak, the restructured book was INR3,600 crores -- so we had made that plus we made a significant overlay of another 10%. So you can do the math. And we haven't touched that.

Moderator: Thank you. I would now like to hand the conference over to Mr. Souvik Roy for closing comments. Over to you, sir.

Souvik Roy: Thank you so much, and thanks to all of you for joining us today. As always, we are committed to delivering value, and we'll continue to focus on our growth and strategies. As always, the management team is available to answer any questions that we may have skipped today. I believe we have answered all. And we, of course, appreciate your continued support. And we will keep in touch, and we'll keep updating you on our progress in the future. Thank you all, and have a great day ahead.

Shyam Srinivasan: Thank you.

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Moderator: With that, we conclude the conference on behalf of Federal Bank. Thank you for joining us. You may now disconnect your line

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Call: Oct 2023

The Federal Bank Ltd. Registered Office: Federal Towers, P O Box No.103, Aluva, Ernakulam, Kerala, India 683 101E -mail: secretarial@federalbank.co.in| Phone : 0484 -2622263 fax:04842623119CIN: L65191KL1931PLC000368,www.federalbank.co.in

Secretarial Department
SD/LODR /285/2023-24 October 21 , 2023

The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051.
The Manager
Department of Corporate Services
BSE Limited , Phiroze Jeejeebhoy Towers,
Floor 25, Dalal Street, Mumbai – 400 001
Re: Scrip Symbol: FEDERALBNK/Scrip Code: 500469
Dear Sir ,
Sub: Transcript of Earnings Call for the quarter ended on September 30, 2023

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited ("the Bank") for the financial results of the quarter ended September 30, 2023, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in/documents/10180/590176370/Earnings+Call+Transcript+Q2+FY24.pdf/d3ed4af1-3f94-7a1d-37d0-cef5b9962e77?t=1697866938779>

We are also attaching the Transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

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"Federal Bank Limited
Q2 FY '24 Earnings Conference Call"
October 16 , 2023

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. RAJANARAYANAN N – SR. VICE PRESIDENT &
HEAD (LOAN COLLECTION & RECOVERY)
MR. DAMODARAN – SR. VICE PRESIDENT & CHIEF
RISK OFFICER
MR. LAKSHMANAN V – SR. VICE PRESIDENT & HEAD

(TREASURY)
MR. JOY PV – SR. VP & HEAD PLANNING
MANIKANDAN M – DEPUTY VP & HEAD (FINANCIAL
REPORTING)
MR. SOUVIK ROY–HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of the Federal Bank Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Souvik Roy, Head, Investor Relations, the Federal Bank Limited. Thank you, and over to you, sir.

Souvik Roy : Thank you. And ladies and gentlemen, thank you for joining us on this busy results afternoon. We hope you've had a chance to review our latest quarterly results. It's my pleasure to share that we have had an outstanding quarter, and I would like to highlight some key points. First and foremost, we have reported broad-based growth across all segments and businesses, which is a clear sign that our strategies are yielding positive results. In particular, our net profit number for this quarter is the highest we have ever achieved.

Our ROA continues to trend well. And our ROA certainly underscores our commitment to efficient and sustainable operations. We have also successfully completed a significant capital raise in Q2, which now bolsters our financial position and allows us to pursue growth opportunities more aggressively. I'm also pleased to report that our NPA numbers remain well under control, which is a testament to our prudent risk management practices. Overall, we can confidently say that this quarter was a good one for us and the positive momentum continues. To provide further insights and discuss these results in detail, we have our entire senior management on this call. And I'll now hand over the call to our MD for a more in-depth analysis and to answer any questions you may have. Thank you again for being a part of this call. And please feel free to ask any questions that you may have as of now. Over to you, sir.

Shyam Srinivasan : Thanks, everybody. Good evening. This is Shyam here. Like Souvik mentioned, the entire senior team is there. We'll be happy to answer questions. I think the key messages, he did read them out, but that just reinforced the fact that many of our initiatives -- I think this is a sigma of all our initiatives coming together quite well. Over the last six, seven quarters, sequentially every quarter has been a strong performance.

In Q2, environment continued to be challenging, as it is likely to be for the periods ahead in certain areas. We've seen good progress on all accounts. Credit and deposit growth has been quite consistently good. I do believe, structurally the deposits market has changed probably globally, certainly in India, certainly for us. And not daunted by that, we are reorganizing ourselves to make sure that through this period also we will be able to grow and expand both the balance sheet and also the quality of assets.

And this quarter is a good testimony to pivot that we've had in terms of kind of businesses that we are ramping up on, with a keen eye on the credit quality being intact. Notable in Q2 are the features that Souvik just spoke and the provisional results that we had shared early in the part of the quarter and the results that we announced today. The NII for the quarter grew quite smartly, in fact it grew 7% sequentially. Credit grew about 5%. Evidently, the higher yield businesses are beginning to make an impact on the overall numbers. And we do think that will sustain.

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Fee income for the quarter and generally in the trend lines has been quite encouraging. And here, again, our philosophy of being a -- moving from being a pure lender to a banker, particularly as we

we seek out our business model, just at the cost of repeat, is about getting the better risk-weighted clients, pricing competitively, but asking for more business from the same client through I think the last two, three quarters are beginning to show results.

Earlier in the financial year, when we were meeting some of our potential investors, I explained the theory of trying to migrate from being a pure lender and being a peripheral banker to a more important banker, we are seeing traction on that account. Fee as a share of assets is almost near 1%, and we believe we have a path to get to 1.1% or better in the coming years.

So the environment for deposits continues to be challenging. Our term deposits have grown remarkably well through the quarter. Y-o-Y grew 33%. Domestic savings has gone reasonably well at about at our market kind of growth rate at 11%. What traditionally used to be a materially big part of our portfolio and our savings is seeing degrowth in some sense. We also quickly and constantly keep checking to see how the NR performance is.

Remittances have moved up materially. Our share has gone up substantially. So there is a pivot from NR savings to NR term or NR business money going into consumption and/or investment and/or setting up a new business and/or paying off loans. So there's some structural change happening and we have organized ourselves to make sure that we get more prominent in the domestic business.

We've seen good footprint expansion, and our fintech partnerships, particularly on deposits are beginning to give us some domestic savings increase. So on balance, Q2 has been good. We have seen progress on all accounts. There are challenges in terms of growth in deposits at a price. We have organized ourselves for that. And at the beginning of financial year, we did say that H2, we will see a pickup in margins.

We had also said that our dip in NIMs will be faster than the other, which it did. I do believe we've topped out our NIMs and the increase can happen here, too. So having said that, I must quickly add that the rate of growth of expectation in terms of NIM expansion will be more moderate. I don't believe some of our numbers that we visualized to get to 325 full year maybe a touch -- and this is using the old compute. We have recomputed at present both the old and new formula.

Our new formula assumes net earning assets. So you will see our NIM showing as 322, but in the spirit of full transparency, we have showed it's equivalent in both formats, so that nobody needs to worry whether the bank is trying to outsmart and trying to show different formats. No, we are representing both formats. But here on, we will present with net earning assets, which seems to be consistent with market practice.

So this expansion, from here on, we do believe, will be inching up, but the level of inching up, I'm not yet able to digest or comment, probably because cost of deposits is yet to defer down.

Though Q2 versus Q1, the rate of increase was consistent, it was not much higher. Yield on Federal Bank Limited

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advances has moved up from 7 basis points in Q1 to 14 basis points in Q2. So that trend line is quite encouraging.

So let me just pause here with the following messages. Growth, 18%, 20%, quite possible. Credit quality holding well. ROA and ROE expansion on track. We believe, we've been growing quite smartly on our net profit and traction has been strong, and we believe that will consistently hold. And the pivot in some of our high-yield businesses is working well. Deposits continues to be a higher cost item and we are organized for that.

So let me just pause here, and team and I will be able to answer questions or clarify anything that's required. Thank you very much.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line

of Gaurav Kochhar from Mirae Asset. Please go ahead.

Gaurav Kochhar: Congrats on the quarter. I have three questions. Firstly, on margins. I think Shyam sir alluded to the movement in margins here too. I just wanted some sense on the cost of funds repricing. In this quarter, we have seen around 20 basis points kind of repricing. So is it done fully now? Or there is still some repricing on the cost of fund side, which is yet to come in the third quarter?

Shyam Srinivasan: Venkat, do you want to go?

Moderator: Mr. Venkat is not yet connected. We are trying to connect him.

Shyam Srinivasan: Okay, fine. Okay. I think the rate of growth of deposit cost is beginning to moderate, but I think Gaurav it will be a little more contingent on how the environment is shaping up. It has certainly not yet cooled off. So to that extent, we have to be ready for one quarter or two quarters of more higher cost of deposits, because the bulk of -- as you would have noticed, this quarter we grew our deposits Y-o-Y 23% and 97% is core deposits of that, and a large part is in term. Term grew 33% Y-o-Y.

So there is money, but it's at a cost, and given everything that we are facing in the market, we believe, we should tank up when the money is available. Of course, we are finding alternate ways to ensure that the blended cost of funds is in control. That's why, I caution saying that the increase in NIM that was visualized cannot fully play through. But certainly, it is started improving, the trend line has reversed for us. In Q2, it improved, and we think it will improve in Q3 and Q4, too.

Gaurav Kochhar: Sure. And just on the yield on advance bit, you pointed out that the higher interest-bearing assets are sort of seeing improved traction. And as a result of that, the yields have improved 14 basis

points. So we'll be taking a step further. Let's say, the mix improves by 100 basis points. What is the delta we get on the margins?

On one of the slides, you've disclosed that on a Y-o-Y basis, there has been a 300 basis point improvement in the yield on assets or interest income coming from that asset. So I just wanted some context, for every 100 basis point kind of improvement in mix, what is the delta on margins?

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Shyam Srinivasan: We should see similar kind of traction, the higher yield businesses, as they grow. But here, again, I'm cautious saying these are businesses that also have higher risk associated. So we have been quite watchful about it. But yes, so for the increase in NIM and the increase in yield on advances, we saw sequentially 7 basis point improvement. So we think that kind of momentum going into the second half also will sustain.

Gaurav Kochar: Got it. Thanks. On the opex. My second question is on the other opex bit. There was a sequential jump of around INR100 crores. I see that you've added around 23 branches in this quarter, but just wanted to get some sense, what was this INR100 crores incremental about? Was it largely because of branch expansion, or some of it was one-off? Just wanted some color on this.

Shyam Srinivasan: No. There is no one-off in any large debt. It is sequentially many things that have -- volume increase is a material part. The branch expansion is only one element. All of the full-year branch expansion cost will play and the cost will play through. It's a mix of all the businesses that are growing. And there is a volume-related expense. There is the marketing and spend increase that increased about INR15-odd crores. Even the festive season, we had some very aggressive field related events. So it's a blend of a few things. I don't think there is any one-off expense sitting there.

Venkatraman V: I can come in here some. Gaurav, this is Venkat. This is largely volume-related increases in the opex which you have seen. There are no one-offs in that. And like Shyam said, some

element of marketing. Branch-related cost is not a significant sum in this increase.

Gaurav Kochar: Okay. Got it. So fair to assume this run rate would continue in 3Q, 4Q, something more than this given the volumes, if it grows beyond what we did in...

Shyam Srinivasan: Assuming the same growth in credits and NII, we should continue to see similar increase in variable cost.

Gaurav Kochar: Got it. And on the fee income bit -- I mean, the last question that I have on this -- we did about INR660 crores in the second quarter. Given the third-party related fee and even generally, the volume-related fee is much better in second half. Is it fair to assume that our fee income -- because if I look at last four quarters before this, we did about INR540 crores of fee income. This quarter, it has jumped to INR660 crores. So just wanted to ensure that in the next two quarters also, can we expect a similar INR660 crores kind of a run rate or more given that second half is typically better?

Shyam Srinivasan: Gaurav, I'd say there are no one-offs in this. The lender to banker strategy is playing through. Most of our corporates and retail customers are concentrating, are giving us a larger share of their business. So we are seeing -- that's why if you see slide number 19 in the deck is quite explanatory in terms of its diversity and granularity and that should sustain.

Gaurav Kochar: Sure. And just on this. The cost to income in this quarter was 52.5%. Earlier, I remember, I mean, you have guided that every year probably 100 basis point kind of improvement. Let's say, on a full year basis this year, can we see similar sort of what we did in FY '23, at least on the cost to income side, given that we've seen some inch-up in cost this quarter?

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Shyam Srinivasan: Yes, there is some inching up of costs that have happened. The volume related cost has gone up. Second is some of the businesses that we do with our partners requires us to take -- the accounting requirement is all the expenses, service charges come as a cost, and the interest income -- the income accounts -- so to that extent, these are relatively higher cost to income businesses, but higher ROA.

So we've made that conscious call saying for a couple of quarters or for a period of time, we may carry some extra cost because these come at about 65%, 70% cost to income, but are ROA accretive. So we've made that call and it's visible. You will see our ROA expanding, interest income expanding -- income expanding, but unfortunately, the cost also does. So until that normalizes, we may not -- we're struggling to pull back to the 50%, but that's what we are working towards. So back half, we are -- some of these expenses is still tracking to the 50%, but

yes, on a blended number, the 52 number that you see is a little higher than our original assumption.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello Sir, my first question is on credit costs. So you've done a good job and credit costs are really low this quarter. Where do they normalize, as in we were -- I mean, last quarter, it was around 39 basis points. Now it's much lower. So where does it normalize? And how long do they stay so low given that high -yield businesses are also increasing?

Shyam Srinivasan: Mahrukh, this is a question that I wish I had an answer very easy, because we certainly don't want to reverse the trend of improvement, right? That said, at 13 basis points, it's particularly low. We had said at the beginning of the year somewhere 35 bps, 40 basis points full year credit cost. First half, as you noticed, blended is in the 20s. 20 basis points second half may be a little more challenging, but somewhere late 20s, early 30s is better than where we had originally visualized the year to start. I'm happy that

that trajectory will continue. We've had no corporate banking losses for long periods of time. I hope that it sustains like that, but there can always be some challenges in the market.

Second, on unsecured and granular credit, we are tracking well. Our SMA book is at its lowest in many quarters, SMA -0, SMA -1, and SMA -2. And we believe that even through this period of growth in unsecured and higher -margin businesses, it should not fall off. We are not doing new to bank aggressively on unsecured. We are doing existing to bank and prequalified data basis. So, for the next two to three quarters, this trend line will continue and should be in the zone of 25, 30 basis points.

Mahrukh Adajania: Okay, sir. Makes sense. And sir, why has the recovery income dropped off so sharply this quarter?

Shyam Srinivasan: No, some parts of it is very -- if you have one good recovery, it plays out. So you can't quite model that. It's depending on when some charge -off happens and when the opportunity comes but would not put too much attention to whether it's high or low, because these tend to be sometimes opportunistic.

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Mahrukh Adajania: And sir, I just have one final question, which is that -- sorry, you just mentioned that you would still end the year with 3.25% margin, which is kind of three basis points above the current level, correct?

Shyam Srinivasan: In the case of current formula of compute of 3.22%. We are working to that 3.25% one.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Congrats on good results. Sir, a couple of questions. First is on the fee income side, if you can talk about what is this para banking really including and there has been a strong growth that we have seen this quarter on a sequential basis. So, what has driven that? Even on a Y-o-Y basis, the growth is very strong. How do you really see this?

Shyam Srinivasan: Yes. I think para banking is basically our insurance, investments, wealth management, largely these three businesses are all tracking well. Basically, higher penetration, good distribution and some level of product improvement and focus. And that's been the focus and will continue to be.

Nitin Aggarwal: Okay. And secondly, on margins, while there has been like similar rise in cost of deposits between the first quarter and now the second quarter, how do you compare this outstanding now portfolio deposit cost to the incremental costs so as to like have a view as to how the margin can trend in the coming quarters? How much is the gap rippling now?

Shyam Srinivasan: Sorry, you have to repeat this question didn't come through well.

Nitin Aggarwal: So actually, I want to understand as to how much of the incremental cost of deposits now vis-a-vis the outstanding cost of deposits, because CASA mix has been under pressure and may likely remain so. So given that over the past two quarters, the rise in cost of deposit has been pretty uniform. So how much is the gap between the incremental cost of deposit to the outstanding deposit costs?

Shyam Srinivasan: I have mentioned earlier in the call, I do believe that the cost of deposits we haven't seen the last of the story, it remains quite elevated for the industry and could remain so if the new originations of deposits are also going to be at a higher price. So somewhere in the 18, 20 basis point increase in the cost of deposits we should factor for and work our other lines to ensure the margin expansion happens and the ROA expansion happens, which is what we're doing. Some of the pivoted businesses recovery outplayed including during more high businesses, repricing existing assets, and a combination of that, and of course pursuing CA growth more aggressively in the context of our pricing line of credit and becoming a larger lender to bigger banks and bigger

customers, we are able to get some CA also. The blended car outcome will be through that.

Nitin Aggarwal: Right. And sir, on the asset quality side, we have seen very strong recoveries and upgrades and things are going really strong. So what has really driven this in this quarter, the recovery number?

Any one -off there?

Shyam Srinivasan: No, Nitin. I mentioned in the earlier response also, in this quarter, there's no one -off of any nature. In fact, this quarter, relatively recovery was lower than the previous quarter. Upgrades were higher.

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Nitin Aggarwal: Okay. And lastly, on the internal rating of the corporate book, there is a very sharp increase, almost 500 basis points. What has really driven this? How do you see the trend there?

Shyam Srinivasan: Harsh or Ashutosh, do you want to point out on that? Harsh, Ashutosh, Souvik?

Harsh Dugar: Yes, there has been a clear focus on the A category -- BBB+ and A category customers, which is what is shown over here, which we've seen a 5% uptick. So, a very clear target is -- because AAA and AA customers, we don't get the yield. So there's a clear focus on the A rated category of customers, which is where you have seen the increase, and also an uptick in the yield resulting because of that part.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So firstly, any impact of ICRR we saw this quarter? Or it was hardly -- maybe not even one basis point or so?

Shyam Srinivasan: No. The impact of ICRR was offset -- the benefit of increased capital was offset by ICRR, roughly about, both ways, about three or four basis points.

Kunal Shah: Okay. So three to four bps on ICRR, offset by...

Shyam Srinivasan: The capital increase. We had the QIPs that came in the quarter.

Kunal Shah: Yes. Okay. So three, four basis points getting offset. Okay. And secondly, just in terms of the overall cost of assets. So maybe I think you highlighted that there is no one -off as such and more marketing related. But overall, where should cost to assets settle when we guide for, say, ROA, ROE expansion as well? Because margins not too much of improvement, credit cost would also normalize. So, would there be any triggers for ROA, ROE expansion here on?

Shyam Srinivasan: Kunal, I long said that we'll get to 1.4% ROA in FY'25. Thankfully, we are well on course much earlier and that gives us some latitude to allow for some of these spends in expansion in branches. We are upfronting some of our branch expansion. This year, we may end up doing 100 branches or more in the full year, or a little more actually. So, to that extent, we are taking the luxury of spending a little more to ensure franchise expansion happens. So, I would think the cost of assets, where we are today, can't be very much -- there will be some improvement, but not material.

Kunal Shah: Okay. Okay. So it should stay largely here, maybe somewhere around these levels.

Shyam Srinivasan: We're working to bring it to -- earlier, we thought 48 % CI. Given some of the ROA expansion coming through higher cost to income on our fintech partnerships, we are allowing us that little attitude.

Moderator: The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir, just two questions. One is, what would be your LCR this quarter?

Shyam Srinivasan: What is the LCR?

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Saurabh Kumar: LCR for the quarter.

Shyam Srinivasan: For the quarter, 121 or 124, I'm not sure.

Saurabh Kumar: Okay. Okay. And the second is, sir, just NRI -- NRE deposits not growing? I mean, do higher rates globally impact this growth? Or will that not be sensitive to this NRE, to this...

Shyam Srinivasan: So, I think there are two parts to it, Saurabh. When you met us, we did explain. So we are -- in the NR, there is FCNR, there is NRO, and there is NRE. The remittances led businesses, which is our NR bread and butter of business, remittances are growing very strongly and our share is increasing even more visibly. However, the FCNR, we are not a big player though we are slowly putting our foot in to try and grow that. We have not seen any dips in the NR remittances in fact, it's growing.

They are not converting into deposits, either because savings -- it's growing into deposits certainly, is becoming term. Because the rate differential between term and savings is quite high, people are moving into term, or they are using it for consumption, paying off loans, starting businesses, committing to expenses that they had held back during the COVID period. No w whether this is a sustainable change, we have to see, but I think six quarters is a good period to

understand that something structurally has changed.

And we are watching this, having said that, our first and biggest feed is remittance share going up, which it is for us. The second and third part, which is the NRO and the FCNR has not been our biggest strength. We are working through. May be Shalini can also give us the numbers in terms of deposit share, NR, where we are gaining share. Shalini may be you want to add, please?

Shalini Warriar: Sure. Thanks for that. So as Shyam mentioned, this is sliced into three parts, which is NRE, FCNR and NRO. Our focus has entirely been, for very long, on NRE. And there, we assume significant market share growth, roughly about 8.32% March of last year, 8.45% this year.

FCNR -- and that Saurabh kind of addresses your question also. A lot of the customers who tend to put in FCNR are the ones who are now retaining their money abroad. And some of them are obviously using that as leverage to kind of get FCNR deposits in country. We don't play too much in that space of FCNR. So on FCNR, we've actually seen a reduction in market share. NRO is not something we've been kind of working on for a very long time, because our bread, butter, jam has always been NRE.

So the short point is, FCNR and NRO is where some of the growth is coming, which we have not been playing in. Coming -- going forward into the next few months, we will be playing a large part of the market in those areas also. We will be working on those, but the bread, butter, jam really is NRE, both term and savings. We find a lot of the movement is actually happening from savings into term, and that's because the differential in interest rates is high between the two of them.

Ashutosh Khajuria : Just to add, the FCNR segment of NRI deposits competes with the global rates and all. Because there you have no exchange -related so -called gain or risk. So therefore, even with interest rates going up overseas and naturally the impact on FCNR is there, unless you are ready to pay that

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type of cost or make it -- because this is a fixed rate, it's not floating. On the date of contracting, for next one to three years, it is going to remain at that level. So even banks are not probably pursuing that much of FCNR deposit growth.

On the other hand, on the NRE term and NRE savings bank's interest differential, which used to be around 200 basis points, now is about 400 basis points. So as a result of that, part of NRE savings is moving towards NRE TD. And also while remittances are increasing and all, they are getting initially parked in NRE FD for our clients, and then they are being used probably even for physical assets and consumption.

Saurabh Kumar: Okay. So FCNR will not -- like in the current rate environment, I don't think -- your on -book domestic TD will be cheaper than FCNR. Would that be a fair comment?

Shyam Srinivasan: Yes. Operate and do it domestically does not make sense.

Ashutosh Khajuria : On a fully hedged basis, yes.

Saurabh Kumar

: Okay. Thank you.

Shyam Srinivasan: Yes. I've said this three times already. Just to reinforce the same message. Deposits are available at a price and we have to make a call at what price and how much you want. We saw significant growth this quarter on deposits and we'll see. We grew from 33% this year, by this quarter sequentially, on Y -o-Y side. Next question please.

Moderator: Thank you. The next question is from the line of Pranav from HDFC Bank. Please go ahead.

Shyam Srinivasan: Pranav must be busy reporting his own numbers. His bank numbers are just on the screen.

Moderator: Right. As there seems to be no response from the line of Pranav, we'll move to the next question.

The next question is from Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Yes. Hi, sir. Thank you. Sir, on the MSME loan, like we have seen some reduction, some volatilities there on the sequential basis. So around INR2,000 crores like business banking plus commercial banking numbers. So could you tell us, what is the reason for this -- like this decrease from INR33,000 to around INR31,000 crores number? Especially in the commercial banking, this dip has happened. So any reason for the same, sir?

Shyam Srinivasan: Sorry, I have to pick up the slide. Where in the slide are you referring to?

Rakesh Kumar: Sir, this is Slide number 14. We have even MSME business banking plus commercial banking growth of 16%, INR31,000 crores number and similar numbers in the Q1 results, INR33,463 crores. So business banking has grown this quarter also...

Shalini Warriar: Which slide are you referring to?

Rakesh Kumar: This is, ma'am...

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Harsh Dugar: I think, I got it. Harsh here. I think, what he's referring to is on Slide number 14 regarding the MSM E growth being at 19%. Business banking has grown over 18%, 19% and commercial banking at 21%. The remaining portions are the non -MSME piece. What you see is the MSME piece. Commercial Banking and Business Banking is also a very small portion, which is non - MSME also.

Rakesh Kumar: No. Sir, firstly, this entire MSME book, which has come down to INR31,447 crores. So what is the reason, firstly -- so which part within that has come down? And why it has -- like is there any -- what is the reason behind it, basi cally?

Harsh Dugar: I'm not getting it. The MSME piece has grown by 19% Q -o-Q basis.

Souvik Roy: I think, there's some confusion, Rakesh. If you look at our presentation, on Page 14, we have mentioned MSME book at INR35,616 crores, there's no reduction.

Harsh Dugar: Exactly. There's a 19% growth.

Venkatraman V : Sorry, Souvik, just one point here. Just referring at our website, we may have to update that slide in the website. It's showing a different number.

Souvik Roy That's already updated, sir.

Management : Okay. Maybe just referring to that before the updation.

Souvik Roy: Okay, sir.

Rakesh Kumar: Okay, so there's a change in the slide. Okay. So number has been changed.

Shyam Srinivasan: INR35,616 crores, Rakesh.

Rakesh Kumar: Okay. And sir, in this credit risk weighted density, so we see -- like there is some increase there on the risk -- like especially the market risk also. Market risk number is slightly on the higher side. So is this because of the investment book growth?

Shyam Srinivasan: Your voice is not coming through. You have to repeat the question.

Rakesh Kumar: Sir, this market risk number, which has gone up slightly. So is it because of investment book growth or there is any other reason also to this investment book growth and the market risk weight number?

Shyam Srinivasan: Damodaran, are you there?

Damodaran C : This is due to growth in investments. We have certain growth in investments in NSLR book, bonds, and debentures.

Rakesh Kumar: Okay, sir. Maybe I will take it offline. Thank you, sir.

Moderator: Tha

nk you. The next question is from the line of Madhuchanda Dey from MC Pro. Please go ahead.

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Madhuchanda Dey: Hi, c ongratulations on very good set of numbers. I have a couple of questions. To an earlier participant, you mentioned that you do not expect a meaningful reduction in the cost -to-income ratio. And you also mentioned that you're targeting an ROA of 1.4% by the end of FY '25. Is my understanding correct, first of all, on this ROA?

Shyam Srinivasan: Yes. If you remember, when we sta rted FY '24, we had said, over two financial years, we'll get to 1.4% ROA. Happily, we're trending much earlier. And certainly, we'll now seek to do even better. Yes, I did say that number of 1.4%, that's what we had said at the beginning of the financial year. Thankfully, the traction is good and we'll hopefully keep this momentum going.

Madhuchanda Dey: Yes. So my question is, given that the credit costs are extremely benign, can't get better from here, and your net interest margin is also going to kind o f stabilize the high yield getting offset by high cost of deposits. So the only meaningful driver would be cost -to-income ratio. So given that you are saying that it's likely to be sticky, are we to expect a more gradual or virtually very little growth -- very little increase in the ROA going forward?

Shyam Srinivasan: Yes. I would think the improvement that you have seen, we should sustain them. There is opportunity to increase our fee as a share of assets by another 10 -odd basis points over the coming qua rters. And as we do that, by that window, we do believe cost of deposits will start trending down, which, again, is in expansion. The re -pivoting of some of our businesses will again aid in expansion.

These three elements, higher share of fee as a share of assets, deposit costs trending down or flattening out over the periods ahead, and the higher margin, higher yield businesses picking up scale, all are opportunities for expansion. And I'm sure over a two year period that we're working through, we will see even more efficiencies kick in. And the only reason we allow for a higher cost to income is only because it's ROA accretive. We are not raising businesses that are ROA decreative or on that same margin, not incremental, we won't do the higher cost to incom e. So the blend is -- ultimately, the ROA expansion is the driver, and we're working through that. So at this point in time, our guidance, which is, we are not altering the guidance, 1.4%, and looking up. Certainly, we'll try to improve that in FY '25, but yes, that's the trend line. So there are levers available, but yes, there is one single lever. We have a few basis points across all

parameters. And that's how we've become from 0.78% to 1.35% very steadily and consistently over five years.

Madhuchanda Dey: Okay. Got it. So is it -- I'm not asking you for a guidance, but is it reasonable to assume that from FY '24 level, given all the factors that you outlined, 10 basis points kind of an increase in ROA is possible?

Shyam Srinivasan: Which is, what we're working to, Madhu. There are no external -- Yes.

Madhuchanda Dey: I've got the answer. Thank you very much and all the best. Thank you.

Shyam Srinivasan: Thank you.

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Moderator: Thank you. The next question is from the line of Kaushik Poddar from KB Capital Markets.

Please go ahead.

Kaushik Poddar: See, your operating expenses in the first half, both the quarters combined, has gone up nearly 25%. And even your cost-to-income ratio is at a high of 52.6% or 52.5%. So that seems quite high. So what's the road ahead?

Shyam Srinivasan: That's what we were explaining also. I am allowing for that higher cost to income because these businesses are ROA accretive. So we have to sustain the higher cost to income because these are some

of these partner-led businesses, which is like credit cards and personal loans and gold and microfinance. That's how the ROA expansion is also happening.

If they were not happening and ROA was not expanding, we wouldn't be doing that. We will be going back to our 50-odd percent, because some of these service charges are directing the expense line, that is the corresponding revenue, and the cost to income is in the 60s or mid-60s, almost 70s.

So that set out, our core structure is performing on course, and we are spending on certain initiatives like brand and branch expansion, both of which are good for the periods ahead. But having said that, getting to the 50% and improving in a year's time is what we were pushing.

Kaushik Poddar: You'll be able to change -- I mean, the cost to income of 50%.

Shyam Srinivasan: Yes. So we were trending closer to 49%, but some of these developments and how accounting needs to be done for partner-led business is requiring us to take the cost to income higher. But the only trade-off here is like if these are distinctly and definitely and compellingly ROA accretive.

Kaushik Poddar: Including this incremental cost for this newer initiative, so this 50% will be at the firm level, at the bank level, or you are...

Shyam Srinivasan: Yes, yes, at the bank level. Yes. Going into FY '25.

Kaushik Poddar: Okay. And this people -- I think I remember you mentioning something about the older employee pension coming off or something sometime later?

Shyam Srinivasan: Yes, that's started trending down quite substantially. By FY '25, a large part of it will start falling off, because the majority of the recruitments -- I mean, all recruitments after 2010 have been on the new scheme, so to that extent, the retirement age of most of the people prior to that is beginning to taper. In fact, the last employee of that site will retire in 2037, but the bulk will retire, have retired, retiring.

And to that extent it is linked to yields Kaushik where every time there is a yield movement up, you will see a higher cost eventually. And that's partly playing to in this quarter also. We are fully funded on our pension. So we don't have any lag on that. To that extent, it has some impact. But having said that, the incremental requirement for pensioning in the period ahead will start moderating.

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Kaushik Poddar: Okay. So this 50%, you're talking last quarter of this financial year, right, cost to income?

Shyam Srinivasan: We are working towards that. It's not last. It's first quarter of FY '25.

Kaushik Poddar: Okay, okay. Thanks.

Shyam Srinivasan: More towards FY '25, yes.

Kaushik Poddar: More towards FY '25. Okay. Means FY '25 as a whole, right? That's what you are speaking of?

Shyam Srinivasan: Yes, yes.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: I have three questions. First is, if you can give the loan mix by benchmark. I mean, Repo, EBLR, fixed rate book?

Shyam Srinivasan: Venkat, do you want to go?

Management: Yes, yes. It's 51% on the EBLR, about 26% is fixed, and if I reflect, 13% is NPLR, which are

the big ones. And then we have FX link of 3%, staff 1.5%, and IBPT 1.85%.

Jai Mundhra: Sure. And sir, in this quarter, so the yields on advances have actually changed the trajectory.

Earlier, they were moderating for the last 3 quarters. But this quarter, there has been a rise at around 14 basis points. Apart from newer loans, which are high yielding, are you also seeing benefits on either fixed rate book or NCLR or T-bills linked repo, or that benefit is not that much and the benefit is coming from high-yielding book?

Shyam Srinivasan: So high-yielding book is only one element here. There are elements that are across the sector, renegotiations, writing up existing assets, negotiating better price requirement

s from customers.

So I think it's a combination.

Jai Mundhra: Right. Okay. And lastly, sir, on your deposit, right. So you mentioned that deposits are available at a certain rate. So when you intend to grow at 18%, 20% on loans, do you see a scenario where the retail card rates on deposit may have to be increased? Or you think that is an unlikely scenario in the near term?

Shyam Srinivasan: Our philosophy on deposits, we won't lead the price increase. We are tending to be competitive. We benchmark against 5, 6 banks which we compete with. And we won't be off, because I can't have my fee t disadvantaged in growth of deposits. As long as we are competitive, we will keep growing, and will get pricing appropriately.

Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. Souvik Roy for closing comments.

Souvik Roy: Thank you. And I want to extend my gratitude to all of you for joining us today, and your interest in the bank and your, of course, insightful questions are greatly appreciated.

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So before we close, answer to Rakesh's query, INR35,616 crores, and what we have reported as MSME plus CoB INR31,447 crores, the difference of INR169 crores has been reclassified, which is why it is not a part of BuB or CoB anymore. So which is why you see a 16% Y-o-Y growth, but happy to connect after the call and explain further.

And as we discussed throughout this call, the momentum is strong, and we are committed to further improving our performance. And we firmly believe that the future holds better and great opportunities for us.

If you have additional questions or need any further clarifications, please don't hesitate to reach out to us and we'll certainly answer you. And thanks again for your time and attention. We look forward to our continued journey from here on. Thank you so much. Have a great day.

Shyam Srinivasan: Thank you.

Shalini Warriar: Thank you.

Moderator: Thank you very much. On behalf of the Federal Bank Limited, that concludes this conference. Thank you for joining us. Ladies and gentle men, you may now disconnect your lines.

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Q2 FY '24 Earnings Conference Call"
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MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
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PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. RAJANARAYANAN N – SR. VICE PRESIDENT &
HEAD (LOAN COLLECTION & RECOVERY)
MR. DAMODARAN – SR. VICE PRESIDENT & CHIEF
RISK OFFICER
MR. LAKSHMANAN V – SR. VICE PRESIDENT & HEAD
(TREASURY)
MR. JOY PV – SR. VP & HEAD PLANNING
MANIKANDAN M – DEPUTY VP & HEAD (FINANCIAL
REPORTING)
MR. SOUVIK ROY–HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of the Federal Bank Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Souvik Roy, Head, Investor Relations, the Federal Bank Limited. Thank you, and over to you, sir.

Souvik Roy : Thank you. And ladies and gentlemen, thank you for joining us on this busy results afternoon. We hope you've had a chance to review our latest quarterly results. It's my pleasure to share that we have had an outstanding quarter, and I would like to highlight some key points. First and foremost, we have reported broad-based growth across all segments and businesses, which is a clear sign that our strategies are yielding positive results. In particular, our net profit number for this quarter is the highest we have ever achieved.

Our ROA continues to trend well. And our ROA certainly underscores our commitment to efficient and sustainable operations. We have also successfully completed a significant capital raise in Q2, which now bolsters our financial position and allows us to pursue growth opportunities more aggressively. I'm also pleased to report that our NPA numbers remain well under control, which is a testament to our prudent risk management practices. Overall, we can confidently say that this quarter was a good one for us and the positive momentum continues. To provide further insights and discuss these results in detail, we have our entire senior management on this call. And I'll now hand over the call to our MD for a more in-depth analysis and to answer any questions you may have. Thank you again for being a part of this call. And please feel free to ask any questions that you may have as of now. Over to you, sir.

Shyam Srinivasan : Thanks, everybody. Good evening. This is Shyam here. Like Souvik mentioned, the entire senior team is there. We'll be happy to answer questions. I think the key messages, he did read them out, but that just reinforced the fact that many of our initiatives -- I think this is a sign of all our initiatives coming together quite well. Over the last six, seven quarters, sequentially every quarter has been a strong performance.

In Q2, environment continued to be challenging, as it is likely to be for the periods ahead in certain areas. We've seen good progress on all accounts. Credit and deposit growth has been

quite consistently good. I do believe, structurally the deposits market has changed probably globally, certainly in India, certainly for us. And not daunted by that, we are reorganizing ourselves to make sure that through this period also we will be able to grow and expand both the balance sheet and also the quality of assets.

And this quarter is a good testimony to pivot that we've had in terms of kind of businesses that we are ramping up on, with a keen eye on the credit quality being intact. Notable in Q2 are the features that Souvik just spoke and the provisional results that we had shared early in the part of the quarter and the results that we announced today. The NII for the quarter grew quite smartly, in fact it grew 7% sequentially. Credit grew about 5%. Evidently, the higher yield businesses are beginning to make an impact on the overall numbers. And we do think that will sustain.

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Fee income for the quarter and generally in the trend lines has been quite encouraging. And here, again, our philosophy of being a -- moving from being a pure lender to a banker, particularly as we

we seek out our business model, just at the cost of repeat, is about getting the better risk-weighted clients, pricing competitively, but asking for more business from the same client through I think the last two, three quarters are beginning to show results.

Earlier in the financial year, when we were meeting some of our potential investors, I explained the theory of trying to migrate from being a pure lender and being a peripheral banker to a more important banker, we are seeing traction on that account. Fee as a share of assets is almost near 1%, and we believe we have a path to get to 1.1% or better in the coming years.

So the environment for deposits continues to be challenging. Our term deposits have grown remarkably well through the quarter. Y-o-Y grew 33%. Domestic savings has gone reasonably well at about at our market kind of growth rate at 11%. What traditionally used to be a materially big part of our portfolio and our savings is seeing degrowth in some sense. We also quickly and constantly keep checking to see how the NR performance is.

Remittances have moved up materially. Our share has gone up substantially. So there is a pivot from NR savings to NR term or NR business money going into consumption and/or investment and/or setting up a new business and/or paying off loans. So there's some structural change happening and we have organized ourselves to make sure that we get more prominent in the domestic business.

We've seen good footprint expansion, and our fintech partnerships, particularly on deposits are beginning to give us some domestic savings increase. So on balance, Q2 has been good. We have seen progress on all accounts. There are challenges in terms of growth in deposits at a price. We have organized ourselves for that. And at the beginning of financial year, we did say that H2, we will see a pickup in margins.

We had also said that our dip in NIMs will be faster than the other, which it did. I do believe we've topped out our NIMs and the increase can happen here, too. So having said that, I must quickly add that the rate of growth of expectation in terms of NIM expansion will be more moderate. I don't believe some of our numbers that we visualized to get to 3.25 full year maybe a touch -- and this is using the old compute. We have recomputed at present both the old and new formula.

Our new formula assumes net earning assets. So you will see our NIM showing as 3.22, but in the spirit of full transparency, we have showed it's equivalent in both formats, so that nobody needs to worry whether the bank is trying to outsmart and trying to show different formats. No, we are representing both formats. But here on, we will present with net earning assets, which seems to be consistent with market practice.

So this expansion, from here on, we do believe, will be inching up, but the level of inching up, I'm not yet able to digest or comment, probably because cost of deposits is yet to defer down.

Though Q2 versus Q1, the rate of increase was consistent, it was not much higher. Yield on

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advances has moved up from 7 basis points in Q1 to 14 basis points in Q2. So that trend line is quite encouraging.

So let me just pause here with the following messages. Growth, 18%, 20%, quite possible. Credit quality holding well. ROA and ROE expansion on track. We believe, we've been growing quite smartly on our net profit and traction has been strong, and we believe that will consistently hold. And the pivot in some of our high-yield businesses is working well. Deposits continues to be a higher cost item and we are organized for that.

So let me just pause here, and team and I will be able to answer questions or clarify anything that's required. Thank you very much.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line

of Gaurav Kochar from Mirae Asset. Please go ahead.

Gaurav Kochar: Congrats on the quarter. I have three questions. Firstly, on margins. I think Shyam sir alluded to the movement in margins here too. I just wanted some sense on the cost of funds repricing. In this quarter, we have seen around 20 basis points kind of repricing. So is it done fully now? Or there is still some repricing on the cost of fund side, which is yet to come in the third quarter?

Shyam Srinivasan: Venkat, do you want to go?

Moderator: Mr. Venkat is not yet connected. We are trying to connect him.

Shyam Srinivasan: Okay, fine. Okay. I think the rate of growth of deposit cost is beginning to moderate, but I think Gaurav it will be a little more contingent on how the environment is shaping up. It has certainly not yet cooled off. So to that extent, we have to be ready for one quarter or two quarters of more higher cost of deposits, because the bulk of -- as you would have noticed, this quarter we grew our deposits Y-o-Y 23% and 97% is core deposits of that, and a large part is in term. Term grew 33% Y-o-Y.

So there is money, but it's at a cost, and given everything that we are facing in the market, we believe, we should tank up when the money is available. Of course, we are finding alternate ways to ensure that the blended cost of funds is in control. That's why, I caution saying that the increase in NIM that was visualized cannot fully play through. But certainly, it is started improving, the trend line has reversed for us. In Q2, it improved, and we think it will improve in Q3 and Q4, too.

Gaurav Kochar: Sure. And just on the yield on advance bit, you pointed out that the higher interest -bearing assets are sort of seeing improved traction. And as a result of that, the yields have improved 14 basis points. So we'll be taking a step further. Let's say, the mix improves by 100 basis points. What is the delta we get on the margins?

On one of the slides, you've disclosed that on a Y-o-Y basis, there has been a 300 basis point improvement in the yield on assets or interest income coming from that asset. So I just wanted some context, for every 100 basis point kind of improvement in mix, what is the delta on margins?

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Shyam Srinivasan: We should see similar kind of traction, the higher yield businesses, as they grow. But here, again, I'm cautious saying these are businesses that also have higher risk associated. So we have been quite watchful about it. But yes, so for the increase in NIM and the increase in yield on advances, we saw sequentially 7 basis point improvement. So we think that kind of momentum going into the second half also will sustain.

Gaurav Kochar: Got it. Thanks. On the opex. My second question is on the other opex bit. There was a sequential jump of around INR100 crores. I see that you've added around 23 branches in this quarter, but just wanted to get some sense, what was this INR100 crores incremental about? Was it largely because of branch expansion, or some of it was one-off? Just wanted some color on this.

Shyam Srinivasan: No. There is no one-off in any large debt. It is sequentially many things that have -- volume increase is a material part. The branch expansion is only one element. All of the full-year branch expansion cost will play and the cost will play through. It's a mix of all the businesses that are growing. And there is a volume-related expense. There is the marketing and spend increase that increased about INR15-odd crores. Even the festive season, we had some very aggressive field related events. So it's a blend of a few things. I don't think there is any one-off expense sitting there.

Venkatraman V: I can come in here some. Gaurav, this is Venkat. This is largely volume-related increases in the opex which you have seen. There are no one-offs in that. And like Shyam said, some

element of

marketing. Branch-related cost is not a significant sum in this increase.

Gaurav Kochar: Okay. Got it. So fair to assume this run rate would continue in 3Q, 4Q, something more than this given the volumes, if it grows beyond what we did in...

Shyam Srinivasan: Assuming the same growth in credits and NII, we should continue to see similar increase in variable cost.

Gaurav Kochar: Got it. And on the fee income bit -- I mean, the last question that I have on this -- we did about INR660 crores in the second quarter. Given the third-party related fee and even generally, the volume-related fee is much better in second half. Is it fair to assume that our fee income -- because if I look at last four quarters before this, we did about INR540 crores of fee income. This quarter, it has jumped to INR660 crores. So just wanted to ensure that in the next two

quarters also, can we expect a similar INR660 crores kind of a run rate or more given that second half is typically better?

Shyam Srinivasan: Gaurav, I'd say there are no one-offs in this. The lender to banker strategy is playing through. Most of our corporates and retail customers are concentrating, are giving us a larger share of their business. So we are seeing -- that's why if you see slide number 19 in the deck is quite explanatory in terms of its diversity and granularity and that should sustain.

Gaurav Kochar: Sure. And just on this. The cost to income in this quarter was 52.5%. Earlier, I remember, I mean, you have guided that every year probably 100 basis point kind of improvement. Let's say, on a full year basis this year, can we see similar sort of what we did in FY '23, at least on the cost to income side, given that we've seen some inch-up in cost this quarter?

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Shyam Srinivasan: Yes, there is some inching up of costs that have happened. The volume related cost has gone up. Second is some of the businesses that we do with our partners requires us to take -- the accounting requirement is all the expenses, service charges come as a cost, and the interest income -- the income accounts -- so to that extent, these are relatively higher cost to income businesses, but higher ROA.

So we've made that conscious call saying for a couple of quarters or for a period of time, we may carry some extra cost because these come at about 65%, 70% cost to income, but are ROA accretive. So we've made that call and it's visible. You will see our ROA expanding, interest income expanding -- income expanding, but unfortunately, the cost also does. So until that normalizes, we may not -- we're struggling to pull back to the 50%, but that's what we are working towards. So back half, we are -- some of these expenses is still tracking to the 50%, but yes, on a blended number, the 52 number that you see is a little higher than our original assumption.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello Sir, my first question is on credit costs. So you've done a good job and credit costs are really low this quarter. Where do they normalize, as in we were -- I mean, last quarter, it was around 39 basis points. Now it's much lower. So where does it normalize? And how long do they stay so low given that high-yield businesses are also increasing?

Shyam Srinivasan: Mahrukh, this is a question that I wish I had an answer very easy, because we certainly don't want to reverse the trend of improvement, right? That said, at 13 basis points, it's particularly low. We had said at the beginning of the year somewhere 35 bps, 40 basis points full year credit cost. First half, as you noticed, blended is in the 20s. 20 basis points second half may be a little more challenging, but somewhere late 20s, early 30s is better than where we had originally visualized the year to start. I'm happy that

that trajectory will continue. We've had no corporate banking losses for long periods of time. I hope that it sustains like that, but there can always be some challenges in the market.

Second, on unsecured and granular credit, we are tracking well. Our SMA book is at its lowest in many quarters, SMA -0, SMA -1, and SMA -2. And we believe that even through this period of growth in unsecured and higher-margin businesses, it should not fall off. We are not doing new to bank aggressively on unsecured. We are doing existing to bank and prequalified data basis. So, for the next two three quarters, this trend line will continue and should be in the zone of 25, 30 basis points.

Mahrukh Adajania: Okay, sir. Makes sense. And sir, why has the recovery income dropped off so sharply this quarter?

Shyam Srinivasan: No, some parts of it is very -- if you have one good recovery, it plays out. So you can't quite model that. It's depending on when some charge-off happens and when the opportunity comes but would not put too much attention to whether it's high or low, because these tend to be sometimes opportunistic.

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Mahrukh Adajania: And sir, I just have one final question, which is that -- sorry, you just mentioned that you would still end the year with 3.25% margin, which is kind of three basis points above the current level, correct?

Shyam Srinivasan: In the case of current formula of compute of 3.22%. We are working to that 3.25% one.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Congrats on good results. Sir, a couple of questions. First is on the fee income side, if you can

talk about what is this para banking really including and there has been a strong growth that we have seen this quarter on a sequential basis. So, what has driven that? Even on a Y-o-Y basis, the growth is very strong. How do you really see this?

Shyam Srinivasan: Yes. I think para banking is basically our insurance, investments, wealth management, largely these three businesses are all tracking well. Basically, higher penetration, good distribution and some level of product improvement and focus. And that's been the focus and will continue to be.

Nitin Aggarwal: Okay. And secondly, on margins, while there has been like similar rise in cost of deposits between the first quarter and now the second quarter, how do you compare this outstanding now portfolio deposit cost to the incremental costs so as to like have a view as to how the margin can trend in the coming quarters? How much is the gap rippling now?

Shyam Srinivasan: Sorry, you have to repeat this question didn't come through well.

Nitin Aggarwal: So actually, I want to understand as to how much of the incremental cost of deposits now vis-à-vis the outstanding cost of deposits, because CASA mix has been under pressure and may likely remain so. So given that over the past two quarters, the rise in cost of deposit has been pretty uniform. So how much is the gap between the incremental cost of deposit to the outstanding deposit costs?

Shyam Srinivasan: I have mentioned earlier in the call, I do believe that the cost of deposits we haven't seen the last of the story, it remains quite elevated for the industry and could remain so if the new originations of deposits are also going to be at a higher price. So somewhere in the 18, 20 basis point increase in the cost of deposits we should factor for and work our other lines to ensure the margin expansion happens and the ROA expansion happens, which is what we're doing. Some of the pivoted businesses recovery outplayed including during more high businesses, repricing existing assets, and a combination of that, and of course pursuing CA growth more aggressively in the context of our pricing line of credit and becoming a larger lender to bigger banks and bigger

customers, we are able to get some CA also. The blended car outcome will be through that.

Nitin Aggarwal: Right. And sir, on the asset quality side, we have seen very strong recoveries and upgrades and things are going really strong. So what has really driven this in this quarter, the recovery number?

Any one -off there?

Shyam Srinivasan: No, Nitin. I mentioned in the earlier response also, in this quarter, there's no one -off of any nature. In fact, this quarter, relatively recovery was lower than the previous quarter. Upgrades were higher.

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Nitin Aggarwal: Okay. And lastly, on the internal rating of the corporate book, there is a very sharp increase, almost 500 basis points. What has really driven this? How do you see the trend there?

Shyam Srinivasan: Harsh or Ashutosh, do you want to point out on that? Harsh, Ashutosh, Souvik?

Harsh Dugar: Yes, there has been a clear focus on the A category -- BBB+ and A category customers, which is what is shown over here, which we've seen a 5% uptick. So, a very clear target is -- because AAA and AA customers, we don't get the yield. So there's a clear focus on the A rated category of customers, which is where you have seen the increase, and also an uptick in the yield resulting because of that part.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So firstly, any impact of ICRR we saw this quarter? Or it was hardly -- maybe not even one basis point or so?

Shyam Srinivasan: No. The impact of ICRR was offset -- the benefit of increased capital was offset by ICRR, roughly about, both ways, about three or four basis points.

Kunal Shah: Okay. So three to four bps on ICRR, offset by...

Shyam Srinivasan: The capital increase. We had the QIPs that came in the quarter.

Kunal Shah: Yes. Okay. So three, four basis points getting offset. Okay. And secondly, just in terms of the overall cost of assets. So maybe I think you highlighted that there is no one -off as such and more marketing related. But overall, where should cost to assets settle when we guide for, say, ROA, ROE expansion as well? Because margins not too much of improvement, credit cost would also normalize. So, would there be any triggers for ROA, ROE expansion here on?

Shyam Srinivasan: Kunal, I long said that we'll get to 1.4% ROA in FY'25. Thankfully, we are well on course much earlier and that gives us some latitude to allow for some of these spends in expansion in branches.

We are upfronting some of our branch expansion. This year, we may end up doing 100 branches or more in the full year, or a little more actually. So, to that extent, we are taking the luxury of spending a little more to ensure franchise expansion happens. So, I would think the cost of assets, where we are today, can't be very much -- there will be some improvement, but not material.

Kunal Shah: Okay. Okay. So it should stay largely here, maybe somewhere around these levels.

Shyam Srinivasan: We're working to bring it to -- earlier, we thought 48 % CI. Given some of the ROA expansion coming through higher cost to income on our fintech partnerships, we are allowing us that little

attitude.

Moderator: The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir, just two questions. One is, what would be your LCR this quarter?

Shyam Srinivasan: What is the LCR?

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Saurabh Kumar: LCR for the quarter.

Shyam Srinivasan: For the quarter, 121 or 124, I'm not sure.

Saurabh Kumar: Okay. Okay. And the second is, sir, just NRI -- NRE deposits not growing? I mean, do higher rates globally impact this growth? Or will that not be sensitive to this NRE, to this...

Shyam Srinivasan: So, I think there are two parts to it, Saurabh. When you met us, we did explain. So

we are -- in

the NR, there is FCNR, there is NRO, and there is NRE. The remittances led businesses, which is our NR bread and butter of business, remittances are growing very strongly and our share is increasing even more visibly. However, the FCNR, we are not a big player though we are slowly putting our foot in to try and grow that. We have not seen any dips in the NR remittances in fact, it's growing.

They are not converting into deposits, either because savings -- it's growing into deposits certainly, is becoming term. Because the rate differential between term and savings is quite high, people are moving into term, or they are using it for consumption, paying off loans, starting businesses, committing to expenses that they had held back during the COVID period. No matter whether this is a sustainable change, we have to see, but I think six quarters is a good period to understand that something structurally has changed.

And we are watching this, having said that, our first and biggest feed is remittance share going up, which it is for us. The second and third part, which is the NRO and the FCNR has not been our biggest strength. We are working through. Maybe Shalini can also give us the numbers in terms of deposit share, NR, where we are gaining share. Shalini may be you want to add, please?

Shalini Warriar: Sure. Thanks for that. So as Shyam mentioned, this is sliced into three parts, which is NRE, FCNR and NRO. Our focus has entirely been, for very long, on NRE. And there, we assume significant market share growth, roughly about 8.32% March of last year, 8.45% this year.

FCNR -- and that Saurabh kind of addresses your question also. A lot of the customers who tend to put in FCNR are the ones who are now retaining their money abroad. And some of them are obviously using that as leverage to kind of get FCNR deposits in country. We don't play too much in that space of FCNR. So on FCNR, we've actually seen a reduction in market share.

NRO is not something we've been kind of working on for a very long time, because our bread, butter, jam has always been NRE.

So the short point is, FCNR and NRO is where some of the growth is coming, which we have not been playing in. Coming -- going forward into the next few months, we will be playing a large part of the market in those areas also. We will be working on those, but the bread, butter, jam really is NRE, both term and savings. We find a lot of the movement is actually happening from savings into term, and that's because the differential in interest rates is high between the two of them.

Ashutosh Khajuria: Just to add, the FCNR segment of NRI deposits competes with the global rates and all. Because there you have no exchange-related so-called gain or risk. So therefore, even with interest rates going up overseas and naturally the impact on FCNR is there, unless you are ready to pay that

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type of cost or make it -- because this is a fixed rate, it's not floating. On the date of contracting, for next one to three years, it is going to remain at that level. So even banks are not probably pursuing that much of FCNR deposit growth.

On the other hand, on the NRE term and NRE savings bank's interest differential, which used to be around 200 basis points, now is about 400 basis points. So as a result of that, part of NRE savings is moving towards NRE TD. And also while remittances are increasing and all, they are getting initially parked in NRE FD for our clients, and then they are being used probably even for physical assets and consumption.

Saurabh Kumar: Okay. So FCNR will not -- like in the current rate environment, I don't think -- your on-book domestic TD will be cheaper than FCNR. Would that be a fair comment?

Shyam Srinivasan: Yes. Operate and do it domestically does not make sense.

Ashutosh Khajuria: On a fully hedged basis, yes.

Saurabh Kumar

: Okay. Thank you.

Shyam Srinivasan: Yes. I've said this three times already. Just to reinforce the same message. Deposits are available at a price and we have to make a call at what price and how much you want. We saw significant growth this quarter on deposits and we'll see. We grew from 33% this year, by this quarter sequentially, on Y-o-Y side. Next question please.

Moderator: Thank you. The next question is from the line of Pranav from HDFC Bank. Please go ahead.

Shyam Srinivasan: Pranav must be busy reporting his own numbers. His bank numbers are just on the screen.

Moderator: Right. As there seems to be no response from the line of Pranav, we'll move to the next question.

The next question is from Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Yes. Hi, sir. Thank you. Sir, on the MSME loan, like we have seen some reduction, some volatilities there on the sequential basis. So around INR2,000 crores like business banking plus commercial banking numbers. So could you tell us, what is the reason for this -- like this decrease from INR33,000 to around INR31,000 crores number? Especially in the commercial banking, this dip has happened. So any reason for the same, sir?

Shyam Srinivasan: Sorry, I have to pick up the slide. Where in the slide are you referring to?

Rakesh Kumar: Sir, this is Slide number 14. We have even MSME business banking plus commercial banking growth of 16%, INR31,000 crores number and similar numbers in the Q1 results, INR33,463 crores. So business banking has grown this quarter also...

Shalini Warriar: Which slide are you referring to?

Rakesh Kumar: This is, ma'am...

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Harsh Dugar: I think, I got it. Harsh here. I think, what he's referring to is on Slide number 14 regarding the MSME growth being at 19%. Business banking has grown over 18%, 19% and commercial banking at 21%. The remaining portions are the non-MSME piece. What you see is the MSME piece. Commercial Banking and Business Banking is also a very small portion, which is non-MSME also.

Rakesh Kumar: No. Sir, firstly, this entire MSME book, which has come down to INR31,447 crores. So what is the reason, firstly -- so which part within that has come down? And why it has -- like is there any -- what is the reason behind it, basically?

Harsh Dugar: I'm not getting it. The MSME piece has grown by 19% Q-o-Q basis.

Souvik Roy: I think, there's some confusion, Rakesh. If you look at our presentation, on Page 14, we have mentioned MSME book at INR35,616 crores, there's no reduction.

Harsh Dugar: Exactly. There's a 19% growth.

Venkatraman V: Sorry, Souvik, just one point here. Just referring at our website, we may have to update that slide in the website. It's showing a different number.

Souvik Roy: That's already updated, sir.

Management: Okay. Maybe just referring to that before the updation.

Souvik Roy: Okay, sir.

Rakesh Kumar: Okay, so there's a change in the slide. Okay. So number has been changed.

Shyam Srinivasan: INR35,616 crores, Rakesh.

Rakesh Kumar: Okay. And sir, in this credit risk weighted density, so we see -- like there is some increase there on the risk -- like especially the market risk also. Market risk number is slightly on the higher side. So is this because of the investment book growth?

Shyam Srinivasan: Your voice is not coming through. You have to repeat the question.

Rakesh Kumar: Sir, this market risk number, which has gone up slightly. So is it because of investment book growth or there is any other reason also to this investment book growth and the market risk weight number?

Shyam Srinivasan: Damodaran, are you there?

Damodaran C: This is due to growth in investments. We have certain growth in investments in NSLR book, bonds, and debentures.

Rakesh Kumar: Okay, sir. Maybe I will take it offline. Thank you, sir.

Moderator: Thank

you. The next question is from the line of Madhuchanda Dey from MC Pro. Please go ahead.

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Madhuchanda Dey: Hi, congratulations on very good set of numbers. I have a couple of questions. To an earlier participant, you mentioned that you do not expect a meaningful reduction in the cost-to-income ratio. And you also mentioned that you're targeting an ROA of 1.4% by the end of FY '25. Is my understanding correct, first of all, on this ROA?

Shyam Srinivasan: Yes. If you remember, when we started FY '24, we had said, over two financial years, we'll get to 1.4% ROA. Happily, we're trending much earlier. And certainly, we'll now seek to do even better. Yes, I did say that number of 1.4%, that's what we had said at the beginning of the financial year. Thankfully, the traction is good and we'll hopefully keep this momentum going.

Madhuchanda Dey: Yes. So my question is, given that the credit costs are extremely benign, can't get better from here, and your net interest margin is also going to kind of stabilize the high yield getting offset by high cost of deposits. So the only meaningful driver would be cost-to-income ratio. So given that you are saying that it's likely to be sticky, are we to expect a more gradual or virtually very little growth -- very little increase in the ROA going forward?

Shyam Srinivasan: Yes. I would think the improvement that you have seen, we should sustain them. There is opportunity to increase our fee as a share of assets by another 10-odd basis points over the coming quarters. And as we do that, by that window, we do believe cost of deposits will start trending down, which, again, is in expansion. The re-pivoting of some of our businesses will again aid in expansion.

These three elements, higher share of fee as a share of assets, deposit costs trending down or flattening out over the periods ahead, and the higher margin, higher yield businesses picking up scale, all are opportunities for expansion. And I'm sure over a two year period that we're working through, we will see even more efficiencies kick in. And the only reason we allow for a higher cost to income is only because it's ROA accretive. We are not raising businesses that are ROA decreative or on that same margin, not incremental, we won't do the higher cost to income.

So the blend is -- ultimately, the ROA expansion is the driver, and we're working through that. So at this point in time, our guidance, which is, we are not altering the guidance, 1.4%, and looking up. Certainly, we'll try to improve that in FY '25, but yes, that's the trend line. So there are levers available, but yes, there is one single lever. We have a few basis points across all parameters. And that's how we've become from 0.78% to 1.35% very steadily and consistently over five years.

Madhuchanda Dey: Okay. Got it. So is it -- I'm not asking you for a guidance, but is it reasonable to assume that from FY '24 level, given all the factors that you outlined, 10 basis points kind of an increase in ROA is possible?

Shyam Srinivasan: Which is, what we're working to, Madhu. There are no external -- Yes.

Madhuchanda Dey: I've got the answer. Thank you very much and all the best. Thank you.

Shyam Srinivasan: Thank you.

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Moderator: Thank you. The next question is from the line of Kaushik Poddar from KB Capital Markets.

Please go ahead.

Kaushik Poddar: See, your operating expenses in the first half, both the quarters combined, has gone up nearly 25%. And even your cost-to-income ratio is at a high of 52.6% or 52.5%. So that seems quite high. So what's the road ahead?

Shyam Srinivasan: That's what we were explaining also. I am allowing for that higher cost to income because these businesses are ROA accretive. So we have to sustain the higher cost to income because these are some

of these partner-led businesses, which is like credit cards and personal loans and gold and microfinance. That's how the ROA expansion is also happening.

If they were not happening and ROA was not expanding, we wouldn't be doing that. We will be going back to our 50-odd percent, because some of these service charges are directing the expense line, that is the corresponding revenue, and the cost to income is in the 60s or mid-, almost 70s.

So that set out, our core structure is performing on course, and we are spending on certain initiatives like brand and branch expansion, both of which are good for the periods ahead. But having said that, getting to the 50% and improving in a year's time is what we were pushing.

Kaushik Poddar: You'll be able to change -- I mean, the cost to income of 50%.

Shyam Srinivasan: Yes. So we were trending closer to 49%, but some of these developments and how accounting needs to be done for partner-led business is requiring us to take the cost to income higher. But the only trade-off here is like if these are distinctly and definitely and compellingly ROA accretive.

Kaushik Poddar: Including this incremental cost for this newer initiative, so this 50% will be at the firm level, at the bank level, or you are...

Shyam Srinivasan: Yes, yes, at the bank level. Yes. Going into FY '25.

Kaushik Poddar: Okay. And this people -- I think I remember you mentioning something about the older employee pension coming off or something sometime later?

Shyam Srinivasan: Yes, that's started trending down quite substantially. By FY '25, a large part of it will start falling off, because the majority of the recruitments -- I mean, all recruitments after 2010 have been on

the new scheme, so to that extent, the retirement age of most of the people prior to that is beginning to taper. In fact, the last employee of that site will retire in 2037, but the bulk will retire, have retired, retiring.

And to far extent it is linked to yields Kaushik where every time there is a yield movement up, you will see a higher cost eventually. And that's partly playing to in this quarter also. We are fully funded on our pension. So we don't have any lag on that. To that extent, it has some impact. But having said that, the incremental requirement for pensioning in the period ahead will start moderating.

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Kaushik Poddar: Okay. So this 50%, you're talking last quarter of this financial year, right, cost to income?

Shyam Srinivasan: We are working towards that. It's not last. It's first quarter of FY '25.

Kaushik Poddar: Okay, okay. Thanks.

Shyam Srinivasan: More towards FY '25, yes.

Kaushik Poddar: More towards FY '25. Okay. Means FY '25 as a whole, right? That's what you are speaking of?

Shyam Srinivasan: Yes, yes.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: I have three questions. First is, if you can give the loan mix by benchmark. I mean, Repo, EBLR, fixed rate book?

Shyam Srinivasan: Venkat, do you want to go?

Management: Yes, yes. It's 51% on the EBLR, about 26% is fixed, and if I reflect, 13% is NPLR, which are the big ones. And then we have FX link of 3%, staff 1.5%, and IBPT 1.85%.

Jai Mundhra: Sure. And sir, in this quarter, so the yields on advances have actually changed the trajectory.

Earlier, they were moderating for the last 3 quarters. But this quarter, there has been a rise at around 14 basis points. Apart from newer loans, which are high yielding, are you also seeing benefits on either fixed rate book or NCLR or T-bills linked repo, or that benefit is not that much and the benefit is coming from high-yielding book?

Shyam Srinivasan: So high-yielding book is only one element here. There are elements that are across the sector, renegotiations, writing up existing assets, negotiating better price requirement

s from customers.

So I think it's a combination.

Jai Mundhra: Right. Okay. And lastly, sir, on your deposit, right. So you mentioned that deposits are available at a certain rate. So when you intend to grow at 18%, 20% on loans, do you see a scenario where the retail card rates on deposit may have to be increased? Or you think that is an unlikely scenario in the near term?

Shyam Srinivasan: Our philosophy on deposits, we won't lead the price increase. We are tending to be competitive. We benchmark against 5, 6 banks which we compete with. And we won't be off, because I can't have my fee t disadvantaged in growth of deposits. As long as we are competitive, we will keep growing, and will get pricing appropriately.

Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. Souvik Roy for closing comments.

Souvik Roy: Thank you. And I want to extend my gratitude to all of you for joining us today, and your interest in the bank and your, of course, insightful questions are greatly appreciated.

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So before we close, answer to Rakesh's query, INR35,616 crores, and what we have reported as MSME plus CoB INR31,447 crores, the difference of INR169 crores has been reclassified, which is why it is not a part of BuB or CoB anymore. So which is why you see a 16% Y-o-Y growth, but happy to connect after the call and explain further.

And as we discussed throughout this call, the momentum is strong, and we are committed to further improving our performance. And we firmly believe that the future holds better and great opportunities for us.

If you have additional questions or need any further clarifications, please don't hesitate to reach out to us and we'll certainly answer you. And thanks again for your time and attention. We look forward to our continued journey from here on. Thank you so much. Have a great day.

Shyam Srinivasan: Thank you.

Shalini Warriar: Thank you.

Moderator: Thank you very much. On behalf of the Federal Bank Limited, that concludes this conference. Thank you for joining us. Ladies and gentle men, you may now disconnect your lines.

Call: Jan 2024

The Federal Bank Ltd. Registered Office: Federal Towers, P O Box No.103, Aluva, Ernakulam, Kerala, India 683 101E -mail: secretarial@federalbank.co.in| Phone : 0484 -2622263 fax:04842623119CIN: L65191KL1931PLC000368,www.federalbank.co.in

Secretarial Department

SD/LODR /384/2023-24 January 19,2024

The Manager

The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051.

The Manager

Department of Corporate Services

BSE Limited , Phiroze Jeejeebhoy Towers,
Floor 25, Dalal Street, Mumbai – 400 001

Re: Scrip Symbol: FEDERALBNK/Scrip Code: 500469

Dear Sir ,

Sub: Transcript of Earnings Call for the quarter ended on December 31 , 2023

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited ("the Bank") for the financial results of the quarter ended December 31 , 2023, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in /documents/10180/687974595 /Transcript+Q3FY24.pdf /e6d4891f -3fad -b569 -7d29 -906c724c8986?t=1705649909079>

We are also attaching the Transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,

For The Federal Bank Limited

Samir P Rajdev

Company Secretary

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"Federal Bank Limited

Q3 FY '24 Earnings Conference Call"

January 16, 2024

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY

MS. SHALINI WARRIER – EXECUTIVE DIRECTOR

MR. HARSH DUGAR – EXECUTIVE DIRECTOR

MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CHIEF FINANCIAL OFFICER

MR. LAKSHMANAN V – EXECUTIVE VICE PRESIDENT
& HEAD (TREASURY)

MR. RAJANARAYANAN N – SR. VICE PRESIDENT &
HEAD (LOAN COLLECTION & RECOVERY)

MR. DAMODARAN – SR. VICE PRESIDENT & CHIEF

RISK OFFICER
MR. RAVI RANJIT - SR. VICE PRESIDENT & HEAD
(PLANNING)
MANIKANDAN M – DEPUTY VP & HEAD (FINANCIAL
REPORTING)
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS –
FEDERAL BANK LIMITED

Federal Bank Limited
January 16, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY'24 Earnings Conference Call of the Federal Bank Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Souvik Roy, Head Investor Relations, The Federal Bank Limited. Thank you, and over to you, sir.

Souvik Roy : Thank you so much. Good afternoon, and a warm welcome to our Q3 Earnings Call . I wish you all a very happy new year. I'm sure you've had a chance to delve into our numbers. It's evident they are not just good , they are quite promising. This quarter, we achieved a historic milestone with our first ever 4 -digit profit number, reaching an impressive INR1,007 crores.

Our NII, too, has soared to new heights, standing at an all -time high as well. The strategic expansion of our branch network remains robust. We added close to 65 new branches in H1, 30 of which materialized in the last quarter itself. Our commitment to grow with asset quality and ROA is paying off at well and it's evident in our strong performance across these metrics. Both ROA and ROE, as you already see, are on a trajectory that aligns with our strategic growth as well. The listing of our subsidiary, Fedfina, in the last quarter was a standout success and they do mark their best quarter ever. They just gave out their numbers yesterday. While we acknowledge a slightly elevated credit cost this quarter, it's essential to highlight that it has outperformed our earlier guidance. And we are sure that we'll navigate these dynamics quite well.

Pleased to inform all of you that our entire senior management is on this call. And with this, I'll hand it over to our MD to share his insights and perspectives on the quarter which went by. Over to you, sir.

Shyam Srinivasan : Thanks, Souvik. Good afternoon, everybody, and once again, happy 2024 to everybody. The numbers and the highlights that Souvik pointed out, certainly are noteworthy. I am particularly pleased that we did get to that 4 -digit number. We have fair amount of years on this job at some stage many years ago, this looked like a dream, and I'm pleased that our bank has consistently worked our way up to get to this point, and this looks like a new base of which we will work to make sure that the periods ahead are only better.

Business momentum for us has been fairly strong along the lines we've been guiding for in the high teens closer to 20%. Some of our newer businesses are on course and traction is strong. Environment continues to be challenging for everybody, no less for anybody. I think there is, there will be -- there is and it's likely to remain for a while in terms of the cost of deposits being high, the traditional stronghold of banks able to grow savings that will in a high interest rate environment continues to be sober.

That said, our retail deposits are strong. We're still in the high 90s in terms of our deposits being retail in nature. Having said that, the overall CASA, in particular, SA growth and in particular , NR SA is seeing a material change from its past period. business -wise, credit quality -wise,
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growth -wise, market share -wise, I remain confident that the momentum, the trajectory, the plans that we put in place are working, some better than others.

Credit quality, in particular, like Souvik just pointed out, there was one account which was about INR70 -odd crores slipped in this quarter. It's been our highest per account slippage in a long period of time. Thankfully, this quarter, as in Q4, t

that account will get upgraded because the client had a fire in their factory, and that seems to come through and they have sorted it out. So we are hoping that net account too will get restored. So overall, momentum for business despite a challenging environment still is intact.

I do believe, in Q4, we will repeat the same underlying business growth momentum, and that

should keep the structural changes going quite well. That said, Q4, there are some challenges in terms of the impact of what may happen on the AIF and what may happen on account of higher costs for provisions in pension.

Those are things we are working through, but underlying business, granularity of business, business mix, productivity at individual level, our influence of technology, use of AI our structural changes that we are putting in place, the business mix, retail, wholesale, within retail, the kind of business we want on the secured, unsecured, the new age businesses. I'm pleased that, that we haven't taken our eyes off that traction continues.

Through the cycle, there will be ups and downs in terms of interest rate movements. I think we are learning to weather that and still deliver our promised growth on return ratios, principally on ROA and ROE. And I'm quite inclined to believe that the period ahead should reflect all this in the numbers. And then the Federal story will continue quite impressively.

So, with that, as my opening remarks, as always, me and the entire senior team are there. Happy to take questions from any or all of you. Thank you very much.

Mod erator : Thank you very much. First question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania : Hello . Sir, I have three questions. My first question is on deposits. You did mention rising deposit costs, but there is a lot of talk about RBI being worried about loan -to-deposit ratios and having discussions with individual banks. And then in general, November, December was very tight for deposit taking with CD rates also moving up.

So where do you see your LDR and in general deposit growth settling in FY'24 end and FY'25? And what will be the impact on loan growth because of that and on margin? Because it's tighter than what we had expected even in the second quarter. So plus all the talks about RBI.

Shyam Srinivasan : I think, Mahrukh, the question you asked is in terms of how do we expect CD ratios to play out across -- for us, for the banking industry. Clear that the regulators are probably looking at banks moderating their CD ratio, banks like us, which have about early 80s. Maybe less on a first term there are I think some players are probably at the higher end of the spectrum. That said, I think most of us or the regulators may be comfortable around 80.

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So we have to work through that over a period of time. That will be a blight path. I think the issue is not about growth, it's a ratio that is important, and we are not sort of overheating the market. Probably, that's the direction that they are guiding back to. As I can't quite guess what they see at an aggregate level, we only see our numbers.

Cost of deposits certainly is something that all of us are dealing with. We have learned to construct our business models with this as a reality till it changes ROI, right? If the interest rates remain where they are and liquidity is kind of tightish, I do believe we will see this kind of environment prevail for some more time. Our own direction for ourselves is get closer to an 80% CD ratio over the calendar '24, and which means we have to rebalance our mix of business where we amplify where we tone down. It's not just C or D, it's C and D and also the kind of C -- kind of credit, right, risk weights too have been adjusted.

So what it may result in margins, which may see challenges. I think we have to c

onstruct the

P&L differently from just looking at NIM as a sole driver. Growth should be intact. NIMs may not be the highest, but I think you have to figure out your other income, have you look at efficiency and ensure that the credit quality is intact to make sure the return ratios are intact. So banks like us, which have been guiding to 1.35% to 1.4% ROA, thankfully, we are almost there. Now how do we sustain that and keep improving on it? So I don't think there is one silver bullet to say I will do this and sort this out. I do believe that we, at least, for ourselves, are quite clear. We don't want to get spooked by NIM by itself. We want to make sure that we are on course delivering our ROA on trajectory ultimately, ROA, ROE are good drivers to determine strength, health, and consistency of our franchise I'm reasonably confident on both those counts, we are on course to delivering what we had set out to do, most recently when we raised capital. We had talked about being closer to 1.4% ROA at end of '24. We seem to be on course for that.

Mahrukh Adajania : Got it. But that would mean that deposit rates would rise from here, correct?

Shyam Srinivasan : Deposit rates rising from here, hopefully, Mahrukh will not be material increase. It seems more or less in that space. Yes, some buckets, some tenors, you could see increase, but I think blender rates going up may start moderating.

Mahrukh Adajania : Oh, because the CD ratio for the system is quite tight, no?

Shyam Srinivasan : Mahrukh, I've been wrong before. I'm this calm because I think these are moving parts. We are still a 1.3% player, a 10%, 7%, 8% market share player can change course. If SBI or HDFC and/or both choose to play market differently, that can be -- the narrative can change. But I think we are fluid enough to readjust quickly.

Mahrukh Adajania : Got it. Got it, sir. And my second question is, you did mention that you're working out on your wages and your AIF, but your employee expenses did go up around 10% Q-o-Q. So have you factored in anything of the wage agreement either on pension or provision or that will be separate over and above this?

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Shyam Srinivasan : No, no, we have. If you remember, at the last call, we had standard planning for 15% from November '22, but it looks like it may be 17%. So we have done a catch-up. So we don't want to be lagging on that count.

Mahrukh Adajania : Okay. So this is for both wages and pension, right?

Shyam Srinivasan : Some elements of pension impact will come through in the quarters ahead. That is something that we will evaluate as the quarter plays out between Q4 and early part of next financial year.

We don't know when the agreement is signed. So those are elements that are interminate at this point in time. What we've done is the wage increase part we have factored.

Mahrukh Adajania : Got it. And in terms of AIF?

Shyam Srinivasan : AIF, there is a representation from the banking system to the regulators. I think today's news flow suggests that they may look at it differently for banks. So I can't quite comment at this point in time.

Mahrukh Adajania : Okay. But any exposure you would like to give out?

Shyam Srinivasan : No. We do have an exposure. I don't know -- it depends on what the filters and what the carve-outs are, the impact will vary.

Mahrukh Adajania: Okay sir, I'll come back for my third question then. Thank you.

Shyam Srinivasan: Welcome.

Mod erator : Thank you. Our next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das : Hi thanks for the opportunity and c ongratulations on a good set of numbers. Just one question, sir, in terms of NIMs. So if I see your yield on advances, that has been pretty stable on a Q -o-Q basis over the past 2, 3 quarters. However, at the same time, I think incrementally, your focus h

as always been on the higher -yielding segment. So despite your incremental focus on the higher yielding segments, your overall yield on advances is not going up. So just wanted to check what is -- I mean, what c ould be the rationale -- are you becoming more risk averse on your existing book on the core book? Or I mean, is it the deviation that is changing the whole game? Or I mean what could be your reading into that?

Shyam Srinivasan : No. I think it's very clear. See the fact is higher yielding is relative, right, relative to our other books, these are higher yielding. Certainly, these are not in the teens. The rate of interest charge is not in the high teens. So to that extent, higher yield, but higher than our other book. So I don't believe this will be a single driver. Please look at us in direction of growth. And as we keep building this book, when the markets open up and interest rate opportunities come for us, we will be able to get a higher momentum on that. So I would not look at this thing just because we are doing those businesses automatically, the business momentum shifts and NIMs starts tapping up because that would mean define gravity.

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You cannot play price out of the market with our risk appetite. We are not inclined to grow by flexing our risks. One of our -- thankfully our strength across long periods of time, both our credit costs have been intact as also our portfolio has been pretty high quality. So even as we start doing businesses with like credit cards, personal loans, microfinance, commercial vehicles, which are relatively higher yield, we are not growing that by flexing or dropping our credit standards. To that extent, even in those segments, we are picking the better customers. Certainly, there will be a pricing pressure. And we believe that in that segment, we are getting better pricing than doing businesses which are lower in price. So will yield pickup materially over time? Yes, it will, but not instantly as the share of these businesses go up. We also believe as cost of funds come down, which I think is not very far from now, we will see that benefit coming through.

Yes, there are some things that we have to redo in terms of fixed rate and floating. We're working through that. So are we thinking about what FY'25 will look like? Yes, the teams are working on many plans. And our desire for us is to ensure that the NIMs composition may vary, but the NIM number that we are currently at is protected, preserved without much violation.

Suraj Das: Right. Okay. Sure, sir, understood. Thanks.

Shyam Srinivasan: Thank you.

Moderator: Thank you. Our next question is from the line of Madhuchanda Dey from MC Pro. Please go ahead.

Madhuchanda Dey: Hi. I have two questions. You explained the reason for the higher corporate slippage. But anything that you want to call out on the retail slippage, which is also sequentially a tad higher?

Shyam Srinivasan: Madhu, it's only a tad higher, right? If you look at three quarters, it will be 190, 200, 204, 194, 213. So it's not materially off. Second is, the denominator is growing quite handsomely. So really, there is nothing unique to call out or add to. I don't know, Ashutosh, Shalini, if you want to pipe in, you may also want to.

Shalini Warrier : As Shyam mentioned, the denominator is also growing quite handsomely on the retail side. So the small shift that you see is natural as part of the business growth that we've had, nothing to call out specifically on retail slippages, Madhu.

Madhuchanda Dey: I have a slightly long-term question which is more for the banking sector and also definitely relevant for your bank. As we see now that this deposit growth and deposit cost problem is getting more structural. I mean banks are really competing with the capital markets to get that saving and there is a definite struggle out there.

Should the

continue, banks will either have to compromise a bit on the margin or if they are not willing to compromise on the margins, it will result in higher credit costs, and in any case, this scenario points to higher cost-to-income ratio as banks are growing for branch expansion, etcetera, etcetera, to garner that deposit, which means structurally, there is going to be a pressure

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on ROA. Do you think this scenario could play out? And in that case, where do you see your ROA settling maybe in two years down the line?

Shyam Srinivasan: Madhu, thank you. That's a good question. And I just want to reflect back on a few quarters back where I had pointed out. It is almost impossible to believe the 2%, 1.8% kind of ROAs will sustain forever even for the best in class. That's not my job to guess, but that's for them to defend. I do believe for banks like us getting to 1.4%, 1.5% is a good milestone. And from there, we have to fight our way up.

But the reasons are that with the capability sets increasing materially in banks like ours, the arbitrage opportunity of somebody cleaning away the share is not going to happen. Structurally, even in the West or more advanced markets if there are any that you can call that, margins tend to be lower.

ROAs around this kind of number is where the best-in-class are, which means efficiently, which means other income, which means credit standards have to be sacrosanct, which is a model we've followed for long. We've been faulted for it, but we've followed for long. We have not been a very high margin bank. But our ROA from 0.7% to 1.4% has come in five financial years. I think we are at a place where we can defend it quite nicely. For the capital, we have 1.4%, 1.5% ROA makes us, I think, a good solid franchise.

Madhuchanda Dey: So that is like 1.5% is now the aspirational ROA that you're working?

Shyam Srinivasan: We will work towards it over the next 12, 18 months.

Madhuchanda Dey: Thank you and all the best in this journey.

Shyam Srinivasan: Thank you.

Moderator: Thank you. Our next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi. Good afternoon, everyone. Sir, three questions. First is, again, taking forward from the CD ratio that you talked about will want to moderate to 80. So will this have implications on loan growth? Or do you think Federal Bank has the ability to raise as much deposits and still sustain 18%, 19% loan growth?

Shyam Srinivasan: Nitin, I think the ability to grow deposits, we've demonstrated for long periods of time, even though they are toughest of times we've been growing even as we did in the Q3. And the cost of that deposit is something that we have to be thoughtful about and decide where we want to draw the line. At this juncture, we haven't altered our 18% kind of credit and deposit growth capability and plan, and I do think we will be able to hold that.

Nitin Aggarwal: Right. And related to it, I was looking to Slide 23, wherein we talked about the growth through partnership. So across most other unsecured segments, we are growing very well, both in number of accounts and balances, but since franchise account opening run rate is nearly flat over past

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many quarters, while the account balance has almost doubled Y-o-Y. So what is limiting us to step up the account opening run rate here?

Shyam Srinivasan: I think it's the effect of learning. We started this partnership-led new account opening about 2.5 years back. We have learned a lot in terms of -- so that we can cut wastage between us and our partners. We were at some stage doing maybe 13,000, 14,000 accounts a day on the savings side. We've brought it down to 4,000, 5,000. And the good news is we are able to sort of filter out either waste or fraudulent efforts

or whatever other combination.

I'm happy that our ability to sort of narrow down and get the right base is improving with each passing month. And balance growth is a function of also vintage on the book. And as we keep getting the better quality and seasoning them, this should continue.

Nitin Aggarwal: Okay. And sir, if you can also comment on the core earnings strategy there. Any changes in underwriting that you have made while working along with fintechs given all the ongoing noise around the unsecured loans?

Shyam Srinivasan: I think our co-lending is still starting off. I don't know, Shalini, Harsh, do you want to point out? There's nothing much to call out in my view, but Shalini, Harsh?

Shalini Warriar: Yes. So Nitin, on co-lending per se, honestly, nothing much. We've done some work on the microfinance side, which Harsh can speak to. But on the others, we are reviewing what the partnerships available are from a co-lending perspective and getting the technology operational aspects kind of worked on.

The other part of, I think, what your question was is when we do underwriting -- when we do fintech-led partnerships for credit card, personal loans, are there any differences from an underwriting perspective? To clarify completely the underwriting criteria are entirely as laid down by the bank in accordance with the bank's risk appetite and completely governed by the bank.

We have not done anything on the risk appetite side, change how we work with partners, Nitin.

Harsh, I don't know whether you want to add on something on co-lending.

Harsh Dugar: We have covered it, Shalini, just one point. We have obviously started co-lending as Shalini also has mentioned. The credit standards and stipulations of filters remain just the same. We are at this point of time experimenting to see how scale works over here. We started with microfinance for two reasons. One, we can cover deeper geographies. And secondly, the manpower cost in the co-lending part is something which we can leverage on both sides, with NBFC having low-cost structures over here, we can leverage on that. That's how we are looking at doing it. And at certain scale and size, we will decide whether to deepen or how we will take it forward.

Nitin Aggarwal: Right. Thanks. And sir, last question is on the management succession. Given the recent communication from the RBI, so how do you plan to approach like shortlisting two more names? Will it be open to external candidates, will you be hiring an external search firm? And because the time that we have is still limited versus the planned succession that happened at some of the other large private banks. So how do you look at that?

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Shyam Srinivasan: Yes. I think the Board has already commissioned a search process. I think our exchange announcement also sort of reflects the regulatory letter. So there's a very effective and active search process using top quality search firm is on. And we believe in the next two to three months between our internal candidates and an external option, the Board will choose the most preferred list and send it to RBI.

Nitin Aggarwal: Okay. Sir, thank you. I wish you all the best.

Shyam Srinivasan: Thank you.

Moderator: Thank you. Our next question is from the line of Pritesh Bumb from DAM Capital Advisors. Please go ahead.

Pritesh Bumb: Hi, sir. Good evening. Sir, one question from my side is on the risk weight side. You touched upon it, but when I look at the credit risk, which has gone up this quarter, how much will be from the changes from RBI? And how much would be from the regular business growth which we are having in the unsecured. And if you can quantify what changes...

Shyam Srinivasan: I think blended comes to, if I remember right, what, 35-odd basis points, largely driven by the change in the regulatory standards reflected in the bus

iness we are writing. Damodaran or

Venkat, do you want to add? Venkat?

Venkatraman V: Can you hear me?

Shyam Srinivasan: Yes, Venkat.

Venkatraman V: Yes. So credit risk moment has seen an increase -- has been around INR10,000 crores, of which nearly 75%, INR7,200-odd crores is driven by the regulatory change. That's in the absolute value

terms.

Shyam Srinivasan: I think it's in the Slide #20.

Pritesh Bumb: Sure. So that will be predominantly because we have a slightly higher NBFC book, right? So that's because -- unsecured is relatively low.

Venkatraman V : And NBFC both put together. That's the normal [16th] regulation.

Pritesh Bumb: Got it. Okay. And second question was in terms of other income. What will be our breakup from these trading gains? I believe you will have about INR80 crores, INR90 crores from Fedfina proceeds?

Shyam Srinivasan: Yes.

Pritesh Bumb: Okay. Fair enough. Thanks so much.

Moderator: Thank you. Our next question is from the line of Gaurav Dilip Kochar from Mirae Asset. Please go ahead.

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Gaurav Kochar: Yes, hi. Good evening, team. Sir, a couple of questions on...

Moderator: Sorry to interrupt, sir. May we request you to use your handset, sir? You're not audible, sir.

Gaurav Kochar: Is it better?

Moderator: Yes, sir.

Shyam Srinivasan: Yes, it is.

Gaurav Kochar: Yes, sure. Thanks. Good evening, everyone. Just on the provisions, Slide #16, I think there is -- can you explain the INR112 crores reversal on standard asset provision that you have taken. And also, there is INR62 crores provision for other purpose. So just wanted to understand these two-line items.

Shyam Srinivasan: Venkat, do you want to go?

Venkatraman V : Yes, Shyam. So you're referring to the standard asset provision reversal, right, Gaurav?

Gaurav Kochar: Yes, INR112 crores reversal, first, what is that? And second, there is INR62 crores provided for other purpose. So is it the AIF provision that is lying over there, INR62 crores? Or what is that INR62 crores?

Management: No, that INR62 crores is not related to AIF. Like Shyam said, the AIF impact will take it based on what comes through in Q4. That's a different one. Gaurav, I will share the details with you separately. I don't want to take the time of others on this.

On the INR112 crores, we have reviewed the restructuring provisions which we had [RF1] since all of them have now started repayments and all that. We had assumed a certain percentage of slippage in that, and they have actually turned out to be much lower. So base is that, but there's been some reversals which we have done, but that pertain only to RF1.

Gaurav Kochar: Okay. So now, cumulatively, what would be the provisions that we are carrying on restructured book?

Management: Around 20 -odd percent.

Gaurav Kochar: Okay. 20%. Got it. And second question is on the wage revision. So we would have done some backlog provisioning, as Shyam sir also pointed out too. Can you quantify what was the one - time hit in this quarter?

Shyam Srinivasan : INR50-plus crores, I think.

Gaurav Kochar: Sorry, INR50 crores?

Shyam Srinivasan: Yes, I think it's higher than 50, right Venkat? It is a catch up of the past periods, for the last two years or 18 months?

Venkatraman V : Yes. 18 months, yes. That's the catch -up.

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Gaurav Kochar: Okay. So going forward, so INR693 crores is what you reported, so INR693 crores minus INR50 -odd crores would be the run rate going forward?

Shyam Srinivasan: Slightly higher because...

Venkatraman V : Some elements of that which pertains to the quarter also, Gaurav. Last quarter was INR626 crores, if I am not mistaken.

Gaurav Kochar: Correct.

Shyam Srinivasan: I think we should have INR650 crores.

Management: Will have impact for that quarter as well.

Shyam Srinivasan:

INR650 -ish crores.

Gaurav Kochar: Got it. And another question on recovery. So there is one account I have, I guess you have the ADAG Group exposure, which has been in the news for resolution. So is that account resolved

in this quarter or that resolution will be in fourth quarter?

Shyam Srinivasan : It's not in any number as of now. We hope it is in the fourth quarter.

Gaurav Kochar: Okay. Okay. But what is the total exposure you have to that group?

Shyam Srinivasan: The NBFC part about INR100 crores. The other account is about INR180 crores.

Gaurav Kochar: Okay. Put together, INR280 crores.

Shyam Srinivasan: Yes, in that zone. But they come with different structures.

Gaurav Kochar: Sure. Understood. And just lastly, just to clarify, the Tier 1 that you mentioned does not include the 9 -month profit?

Shyam Srinivasan: No.

Management: No, that's not added. If we add 75%, assuming 25% payoff, Gaurav, the total CRAR would be over 16%, 16.15%, 16.2%.

Gaurav Kochar: Perfect, sir. Thank you. Those were my questions.

Moderator: Thank you. Our next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Yes, hi. Thanks for the opportunity and congratulations on the quarter. My first question is on the unsecured piece. Shyam and team – hello...

Moderator: May I request you to use your handset sir.

Param Subramanian: Yes, I guess. Is this better?

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Shyam Srinivasan: Yes, please go ahead.

Param Subramanian: My first question, Shyam, was on the unsecured. So after this RBI increase in risk weight. Has there been any rethink in our thought process when we're talking about scaling up the unsecured fees from, say, about 5% to say 10% of the book over the next 2, 3 years because that was something that we'd highlighted earlier. And also, there are some media reports saying that we are scaling down some partnerships in, say, credit cards. Is that just a one-off case or are we sticking to our guns as far as unsecured is concerned? That's my first question.

Shyam Srinivasan: Param, I think two things there are, the media has probably greater intelligence than what we actually have on this matter. As they've correlated two events and made a story. The line-cut was specific to a particular program where we believe it was higher than the normal utilization. So the line is like a normal line intervention in any unsecured program.

At this juncture, given the size and shape of our unsecured and the growth and the early indicators, we haven't revised anything on the directional cap -- but if we were to get to 8% and things were not moving on, we could reuse it.

But at this point in time, nothing is changed, our growth continues to -- but we haven't dropped any filters. In fact, we are only tightening it to reflect the times, but our growth rate of 40%, 50% on the low base contributes.

Param Subramanian: Perfect. That's clear, Shyam. My other question was on the margins, again, picking up on a previous question, now the unsecured has now scaled up to like 4.5%, 5% of the loan book. And this business is like ideally, it should be more than double the margin of your existing book, right? So -- why is it not exactly reflecting in a margin uptick? Or when does it actually start reflecting in our headline margin numbers?

Shyam Srinivasan: See, I think the -- I mean, I know I'm not going to be popular in saying this. Unsecured doesn't equal to very high extraordinarily high margins. Higher than our normal run rate because the revolve rate in base is about 30%, the EMI is about 30%. If you're growing INR100, only INR30 is evolving. And another 30 is EMI, the balance is zero revolves -- it's a transaction account.

So I would enter not to extrapolate all growth equal to all high equal to all high margins.

Therefore, the overall should happen. As the book grows

their size and stabilizes, I think this will

start reflecting a higher yield -- but I think it's another year, 1.5 years away from us. scale point of view.

Param Subramanian: Perfect. One question on your core fees, you saw a decline in the loan processing fee this quarter. So is there anything to read into that.

Shyam Srinivasan: Actually, it's showing slight decline, Param, but please look at the quarter 2 -- quarter 1 and quarter 3, it's more like quarter 1. Quarter 2 has exaggerated because we had 2 variables corporate bank transactions, which gave us higher fees. Otherwise, it's normalizing around INR150 crores.

Param Subramanian: Perfect. Very helpful. Thank you a lot, Shyam. All the best to you and your team.

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Shyam Srinivasan: Thank you.

Moderator: Thank you. Our next question is from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: Thanks for the opportunity, had couple of questions. First one, in this quarter, there has been a meaningful difference between the gross and the net loans probably attributable to IBPC. So just wanted to understand the thought process of doing more IBPC in the quarter? And secondly, in the earlier remarks, you mentioned that you'd want to get closer to 80% CD ratio, in this calendar year itself versus 83%.

But in the same breath we are holding our loan growth guidance of 18%, 18% -19% or whatever that would be around that. How do you bring down the CD ratio? Would you be meaningfully accelerating on the deposit growth from the current levels because that is what that would imply? Thanks.

Shyam Srinivasan: You're right. We are hoping to make sure that happens. Don't hold us if say 18% become 17% on credits and 19% on deposits, that is also a formulation we are happy to live with. The mix in the 17% was varied. How do we get higher -- relatively higher yield businesses. That's how we will ensure that we get closer to the 80%. Sorry, the first part of your question I missed. I mean can't quite think of it.

Rikin Shah: The IBPC. So in this quarter, there seems there was around INR4,500 crores of IBPC done. So just wanted to understand the thought process behind doing this. This seems to be a larger number than the usual run rate.

Shyam Srinivasan: Harsh, do you want to point -- you want to talk about that?

Harsh Dugar : I do think on the IBPC side, we are looking at IBPC not just from a point of asset management, but from a resource mobilization point of view. We saw opportunities of raising funding at a reasonably attractive cost through the IBPC assets, which we which what they are leveraged on. Secondly, between the various categories of PSL, we will look at doing swaps on IBPC, which helps us in nimble accretion. Without diluting any credit standards or anything. It's more like a treasury management and a fund-raising opportunity. And also leveraging on the PSL book. The two areas.

Rikin Shah: Got it. Perfect. That answers both the questions. Thank you so much.

Moderator: Thank you. Our next question is from the line of Manav Mehta from Axis Securities. Please go ahead.

Manav Mehta: Congratulations, sir, for your wonderful quarter. Sir, I wanted to ask you that what is the new innovative product line that the bank is aiming for...

Shyam Srinivasan: You're very feeble my friend.

Moderator: Mr. Mehta, could you please use your handset?

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Manav Mehta: Hello, can you hear me, now?

Shyam Srinivasan: It's still feeble, but please go ahead. We will strain ourselves to listen.

Manav Mehta: Hello, could you hear me?

Shyam Srinivasan: Yes.

Moderator: Yes sir. Now it is better.

Manav Mehta: Sir, I wanted to ask you that the bank is always aiming for some innovative products in the field of fintech or credit cards. So what is the current innovation that the bank is aiming for keeping

in mind that the bank has tie-up with start-ups with OneCard, Sca pia and other brands like that?

Shyam Srinivasan: Give us 2 weeks and you will see it in the media.

Manav Mehta: All right. And sir, could you give us a brief about what it will be about?

Shyam Srinivasan: It will be in area ease of payment for clients and yes, it will be quite cutting edge.

Manav Mehta: All right looking forward.

Shyam Srinivasan: Thank you.

Moderator: Thank you. Our next question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: Yes, hi. Thanks for taking the question. Yes. So firstly, Shyam after long, we are seeing that the cost of deposits are almost like 30, 40 bps premium, we are at 7.5% Otherwise, we have been neck-to-neck with some of the leading banks earlier. But still in terms of the traction, maybe if you can highlight how the traction has been?

And would there be need to further increase it given the intensity from other banks as well to go beyond 7.5% as you want to maintain like still 18%, 20% kind of a deposit growth?

Shyam Srinivasan: Like I mentioned earlier in the call, Kunal, in certain buckets, certain tenors based on our outlook on rates, we will be competitive. Over the last 18 months, we've been on term, quite competitive and benchmarked against the better banks. We're certainly not competing with the small finance or some of those banks which pay disproportionately higher.

But amongst the leading banks in the country with benchmark. In one of the buckets, we try to be more attractive so that we can -- based on our liquidity profile, we try to get in those bases.

That will continue.

Kunal Shah: Okay. No, but the only thing was maybe earlier, given that we are now at 7.5, even in this bucket of 1 to 3 odd years maybe generally, we used to be...

Shyam Srinivasan: One or two tenors we will be -- like a 15 -month back at a 500 -day bucket, we will be quite compelling and in the better paying so that we get share and our view on interest rate and our book build will reflect that.

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Kunal Shah: Okay, sure. And secondly, with respect to the NBFC exposure post their entire increase in the risk weights, how much have we been able to pass it on in terms of the higher lending rates? So how much we would have asked for the NBFC. And finally, what has been the effective increase post the risk weight increase in lending rate to NBFC's?

Shyam Srinivasan: Harsh you want to come in?

Harsh Dugar : Yes, I'll go ahead. Two things, one is on the stock, the other is on the flow. On the flow, in general, in the industry, we are seeing an uptick of anywhere between 30 -35 basis points to 40-45 basis points, depending on the breakeven bracket, where the costs have gone up for NBFC. This obviously is the non -PSL, non -housing category.

Even on the existing side, we have managed to reprice some of our existing book. Obviously, there have been pushbacks, but that's also being done. So the fresh origination is clearly about 30-35 basis points higher, and depending on the rating also, it could be even going up to higher 30 basis points.

Kunal Shah: Okay. Because the question was given that we also have like 11 -odd percent, but still maybe in terms of the yield, it is not yet reflected. So I just wanted would there be like maybe it would come with a lag or something. How should we look at it?

Management: Yes, like I mentioned, for the new, exactly like what I mentioned, it typically will apply for the new origination, new dispersal, number one. Secondly, please also note that this does not apply for HFC. It does not apply the PSL category.

So a significant portion of our NBFC lending actually qualifies for PSL and is done keeping PSL in mind. So our increasing risk over there has been there, but it wouldn't be there. But it's been largely also bei

ng managed because of the PSL or housing finance company as well, within the NBFC category.

Kunal Shah: Okay. Sure. Thanks. That helps. Yes. Thank you.

Shyam Srinivasan: One more, one or two more, and then we can wind up, please.

Moderator: Thank you, sir. Our next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

M B Mahesh: Yes, hi. Just in continuation to Kunal's question, also the changes that you have done, you would have done on the personal loan side as well, on the unsecured portfolio . What kind of interest rate changes have you been doing there?

Shyam Srinivasan: Shalini, do you want to comment?

Shalini Warriar : Yes. Hi, Mahesh. So effective December after due advance notice, we've done it. The existing stock, we can't do anything. It's a fixed rate book that we have. But the flow has on personal loans. It's graded by CIBIL score. It varies according to the risk profile of the customer. But broadly speaking, about anywhere between 75 to 125 basis points increases have been passed on effective December, Mahesh, on the personal loan book.

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Credit card book, as Shyam mentioned in response to an earlier question, the revolver rates are a very small percentage. And you know revolver rates are already at a high interest rate. So we haven't really touched that.

But the EMI is again calibrated by CIBIL score, all of which went into effect in December. The impact will probably come in this quarter because we only had one month's impact. And it's a small book even now, Mahesh.

M B Mahesh: And just one additional question is if your partnerships slowed down growth by any chance, would there be an impact on the fee income line that you have today?

Shyam Srinivasan: Partnerships on the liability side are slowing down, not on the credit side. And liability side, less fee, more balance built.

M B Mahesh: Okay. And just one final question then...

Shyam Srinivasan: Apologies, it's not slowing down. It's filtering out because slowdown suggests that there's a problem. It's a lesson or a learning using analytics.

Shalini Warriar : Yes. So just to add to what Shyam is saying on the liability side, based on the history that we've had now for about 18 months, we've been able to understand what's the profile of the customer, what's the kind of usage on debit cards that we see, what's the kind of usage on UPI that we see, and what kind of balance buildup we have. That's coupled with the fact that MOB, you know, savings account book grows on MOB as has helped us.

So yes, we've calibrated through the though population for a savings account perspective. But Mahesh, no, we're not likely to see any impact on the fee income side, yes.

M B Mahesh: Shyam, just one last question. If you speak to your branch managers or the regional managers and you ask them why has deposits not grown of your customers. What is the usual response that you get today? Because you can keep increasing interest rates and everyone keeps increasing interest rates, but if deposit itself is a problem, how do you mobilize that?

Shyam Srinivasan: I think Shalini and others will give you an even more nuanced answer. The share of deposit per customer that the branch is getting, they are trying to maximize that in a very competitive environment. It's just love and affection and relationship, alone won't work. That gives you some edge. So some pricing benefit or something because now the customer is faced with opportunities from a range of banks and small finance and whatever the other players who are trying to lure with 8% and 9%, right?

So, to that extent, the branch manager or the branch staff need some ammunition beyond just relationships. So we try to provide that. And we demand of them, get a higher wallet share per customer. And we track to see that, that is happening. Will we win as a case? No. Do we

win

more cases? Yes.

M.B. Mahesh: Okay. Done. Thanks.

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Shalini Warriar : So just to add to that, a quick one, Mahesh, I think the way to look at it has been located as term deposits difference to CASA. In term deposits, honestly, it ends up being a price issue more than anything else. Any amount of relationship management can compensate for small differences, but not likely to compensate for material differences when it comes to it. From a savings account perspective, there is, obviously, the stock market, are the competing kind of investment opportunities have grown materially in the last 12 to 18 months.

So that, coupled with the whole digital technology and the ease of investing, the ease of moving money around has meant people are optimizing their cash management. This is happening for small corporates; this is happening for individuals. So I think we need to look at each of these differently no easy answers, but we're working through that.

M.B. Mahesh: Sure ma'am. Done. Thanks a lot.

Mod erator: Thank you. Our next question is from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh: Just two questions. So one is what -- on the opex side, -- how much do you think you can pull back from this 2.3 -odd percent that you're running at today? Can you get back to the 2%? Or should we assume that it should stabilize at a higher level? And the second is just on the NRE deposits. So I understand your market share is intact. But broadly, what will explain this lower growth? Is it just higher yields outside? Or is there anything else which is impacting?

Shyam Srinivasan: I'll give you mind, Shalini and Venkat also add in each of these points. On the opex part, the nature of the spend is changing. We are, in some sense, quite pleased with the some of the spend because technology costs, which has sub -6, is now 6.5%, 6.6% of our cost, operating cost. So to that extent, this number is getting some efficiency that is building up is getting repivoted into these costs, which probably is a good cost given where we are with the cycle. And I don't believe you will see much come off because there are certain regulatory costs of compliance, cost of technology for compliance is increasing quite materially, right ?

For example, if you book more accounts, the weak KYC costs are also -- it's done by employees of the bank, right? So these are all purely the cost creep in. Will it all disappear? No. But are we trying to accommodate that cost by using technology, which means the technology cost is going up? Yes. On other parts I'm slightly blanked out. Shalini, that was the second part of the question.

Shalini Warriar : NRE deposits. Shyam NRE deposits.

Shyam Srinivasan: You want to go? I'll comment later.

Shalini Warriar : I think to some extent, what I said to Mahesh earlier, the NR customers are obviously having a lot of choices. One is I think you alluded to it, the fact that investment opportunities in their country of residents have become a lot more attractive. There are lots more opportunities. And the interest rate arbitrage has kind of narrowed down, particularly on U.S. dollar deposits. If you look at some of the banks in the Middle East, bring U.S. dollar deposits, which are probably equivalent to what we're paying.

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So that plus the opportunity for investment in stock market real estate, etcetera, has gone up. So again, this is a little bit of a structural shift that is happening in the savings piece. We've identified the fact that if you are on FCNR, for example, we've gained market share, but it's obviously at a certain rate. So whatever resident opportunities are there, the NR seem to have even more opportunities. That's really what's happening out there on the savings side.

Shyam Srinivasan: But I think the underlying point,

Saurabh is that structurally the non-resident behaviour post-

COVID has changed. And we've said this in earlier calls, I'm reemphasizing. Remittance part is okay. We are holding out quite well. In fact, we're gaining share. The behaviour of that converting to deposits has changed. Some of them Shalini explained. And we are sort of flexibly fluidly readjusting to gather that and gain share. It's not like we are losing somebody else's gain. It's just that the structure has changed.

Venkatraman V: I just want to add points to the cost question Saurabh. The other way of looking at it is how do we make the cost which we are incurring, and these are costs which we believe is right investment. How do you make it more productive. For example, we are investing in new branches. We have opened 65 branches in the nine months. Last year, we added 75 branches. And we believe adding branches in the right locations is to our advantage, given we need to get deposits and various other reasons.

We are taking steps to ensure that we get the breakeven for these branches faster than what we used to see in the past. For example, one data point is last year after 75 branches we opened, 41 of them have already touched breakeven in less than one year, which is a significant productivity enhancement. Similarly, on the staff -- opex staff, opex staff cost line.

How do we invest in tools which will make some of the regular operational processes more automated technology-driven and then the existing people are able to absorb additional work which comes through so that we don't have to add more people as we grow in the future. So the combination of all this will continue. We will invest in branches; we will invest in technology.

It's a question of how do we make sure it pays us well in the coming years.

Saurabh: Okay. Thank you, sir.

Moderator: Thank you. Our last question for today is from the line of Pranav from Rare. Please go ahead.

Pranav: First, sir, what is RBI exactly alluding saying that we should improve, like banking should improve cost to -- sorry, credit to deposit ratio and what is the mechanism that it can do it by?

Shyam Srinivasan: I think they are not saying improve, they are saying unimproved as in reduce your C D ratio. I think they are indicating the credit markets are probably overheated or certain segments are growing at much higher speed than they would like it. So I think they're asking banks to apply caution in some fashion and readjust their business models. I don't think it's a generic statement. I think they're working bank to bank to my knowledge, and their guidance could vary by bank to bank.

It's getting interpreted as everybody should reduce the C D ratio. I don't know if that's a universal truth. I would think they are guiding banks to bank based on each bank's asset liability profile, Federal Bank Limited

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credit profile, mix of credit and probably credit quality. So that's my interpretation. I can't speak with authority, but I sense that's how they are viewing.

Pranav: Right. Sir, last question from my side. Out of the total customers that we have active customers, how much is the percentage penetration from personal loans and how you view growth in existing customer in personal loans vis-à-vis, say, microfinance growth in a little bit a newer category of loans in terms of risk-adjusted, deterred or over a cycle?

Shyam Srinivasan: Personal loans, Shalini will comment, but all our personal loan growth is pre-approved on our - pre-approved or pre-qualified on our base. Only when we do partner-led personal loans, it pre-approve, pre-qualify on their base. We don't do new to category, fresh, unverified DSA sourced personal loans. Shalini, is that right?

Shalini Warriar: Yes, Shyam. So as just to kind of elaborate what Shyam said. In all our partnerships, we work with the partners to do a pre-qualif

ication of their base to meet our risk criteria and basis which

the offer is made to the customer, they ask us to take the offer and goes through the underwriting process. Our entire organic book has also grown on the back of pre-approved offers to our existing customers using score cards and a range of metrics that are there, including a lot of CIBIL and other related stuff. So we don't do open market, if I can just frame it that way. We don't do open market sourcing for personal loans or credit cards Pranav.

Pranav: Right. So won't it be less risky to say triple this book rather than say double the microfinance book is it a new category?

Shyam Srinivasan: I think it's not a either or...

Shalini Warriar : I don't think either...Sorry, Shyam, go ahead.

Shyam Srinivasan: Hang on, you said it. Please go ahead.

Shalini Warriar : No, no. I think both of us were going to say the same thing. Pranav It's not an either or an or each of these have -- meet a certain customer need, have a certain risk profile, have a certain distribution mechanism. So we've got to make sure that and that's in the kind of the foundation on which we've built up book, right? It's more diversified by geography. It's diversified by product type; it's diversified by kind of security. So we will do personal loans, we will do microfinance, Pranav.

Pranav: Okay, okay. Thanks a lot. Thanks a lot.

Shyam Srinivasan: I think we thought, we should call it because I have another meeting to enter, please?

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and-answer session.

I would now like to hand the conference over to Mr. Souvik Roy for closing comments.

Souvik Roy: Thank you so much, and we all appreciate your time and attention. I'm sure our results reflect the kind of dedication our management has towards sustaining this positive momentum. And thank you for all your questions, and I'm sure we look forward to more personal engagements

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going ahead. And it's result season, so I'm sure you going to have a long evening ahead. Thank you again for joining and for staying with us.

Shyam Srinivasan: Souvik, on a lighter note, some of them must be dialled into two calls, I'm told HDFC call has started.

Souvik Roy: Quite possible, sir. So, before we sign off, wish you all a very Happy New Year again. Thank you.

Shyam Srinivasan: Thank you very much.

Shalini Warriar : Thanks everybody, bye.

Harsh Dugar : Thank you everyone.

Moderator: Thank you. On behalf of the Federal Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Secretarial Department
SEC/LODR /55/2024-25 May 07, 2024

The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051. The Manager
Department of Corporate Services
BSE Limited , Phiroze Jeejeebhoy Towers,
Floor 25, Dalal Street, Mumbai – 400 001
Re: Scrip Symbol: FEDERALBNK/Scrip Code: 500469
Dear Sir ,
Sub: Transcript of the Earnings Call for the quarter and year ended March 31, 2024

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited ("the Bank") for the financial results of the quarter and year ended March 31, 2024, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in/documents/10180/835736513/Transcript+Q4FY24.pdf/87239261-a16c-b8f6-2613-a075c0042ce7?t=1715079725479>
We are also attaching the Transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

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"Federal Bank Limited
Q4 FY '24 Earnings Conference Call"
May 02, 2024

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHUTOSH KHAJURIA – CHIEF MENTOR AND
OFFICER ON SPECIAL DUTY
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. LAKSHMANAN V – EXECUTIVE VICE PRESIDENT
& HEAD (TREASURY)
MR. RAJANARAYANAN N – SR. VICE PRESIDENT &
HEAD (LOAN COLLECTION & RECOVERY)
MR. DAMODARAN – SR. VICE PRESIDENT & CHIEF
RISK OFFICER
MR. RAVI RANJIT - SR. VICE PRESIDENT & HEAD
(PLANNING)

MR. MANIKANDAN M – DEPUTY VP & HEAD
(FINANCIAL REPORTING)
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS –
FEDERAL BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of The Federal Bank Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Souvik Roy, Head, Investor Relations, The Federal Bank Limited. Thank you, and over to you, sir.

Souvik Roy: Thank you, Sagar. Good evening to all of you, and welcome to our earnings call to discuss the results for the quarter that went by. I am sure you all had a chance to go through the results deck, reviewed them well and also heard our post -result press -con in which our MD has probably answered a lot of questions already.

We have had a strong year of performance, and we have delivered on most of our aspirational return ratios with the right consistency on earnings while maintaining a very good balance sheet as well. During the year, we also maintained the right growth trajectory as you have seen in our deck, of course, across all our focused business segments. We scaled up the branch network as we crossed a milestone of 1,500 branches, and that's almost a 10% increase in our network.

We exited the year with an all -time high annual profit. Our total business crossed INR4.6 lakh crores and our balance sheet also crossed the milestone figure of INR3 lakh crores. The last quarter, in particular, as MD already mentioned during the press con, was operationally one of our strongest ever. Some of the numbers, as mentioned in the deck, we did give a call out there, has slight wrinkles due to a one -off impact on account of certain wage -related matters . I'm sure most of you have noticed that and made the right calculations already. Our margins did expand marginally, but it did, and our asset quality continues to remain pristine.

With this, I'll hand over the call to our MD, Mr. Shyam Srinivasan, who is also joined by the entire senior team. Thank you. Thanks again for joining, and over to you, sir.

Shyam Srinivasan: Thanks, Souvik. Good afternoon, everybody. I think Souvik mentioned the high points of the financial outcomes. I'll just draw our attention or take us back to March '23 when we had our Investor/Analyst Day and spoke about our outlook and our aspiration for the -over the 2 -, 3-year period. And one of them was to ensure, if you all recall or many of you may recall, we talked about the three ends that are non -negotiable. One is around NP S improvement. Second is around the NPA being best -in-class. And the third is accretion and net worth. And those are obviously driven outcomes, but driven by a meaningful improvement in our return ratios.

So I'm happy that in FY '24, along those lines, we did deliver. While Q4 reported net profit is INR906 crores, it did have the one -off impact of the pension effect of about INR160-odd crores. So barring that, I think the quarter was quite along predicted lines. Growth has been consistently good. Expansion in the margin is beginning to trickle through, even though the cost of deposits seems -- remains elevated. That's because of the pivot in business. But at the scale we operate, Federal Bank Limited

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it takes a while for margin expansion to happen, while the cost of deposits remained high. The trajectory return has happened, and we believe that going into FY '25, that should sustain. Operationally, a strong quarter, like Souvik pointed out, but I just want to call out the remarkable consistency and quality of credit is something that we are very proud of. And Q4 was particularly exaggeratedly good. I've said

this in 3, 4 earlier calls. So looks like it's a repeat. But in Q4, in particular, our slippages were lower than the recovery and upgrade. And the recovery and upgrade didn't have any one -off chunky cases that came through. It's more the structural, granular, regular accounts that sort of recovered or upgraded.

So on balance, the year that went by was strong. Our outlook going into FY '25 remains quite confident. We are entering '25 with some industry -level tailwinds and headwinds, I would say, tailwind in terms of credit growth looks quite promising. There is demand that is consistently good across business -- across business segments.

Deposits are growing, but the quality of deposit and the cost of the deposit structure is something that we have to deal with. In particular, for us, thankfully, our footprint expansion across the country has played out well. You may have noticed our rate of growth of our CASA in the geographies that were not traditionally as stronghold as now in mid - to high double digit -- sorry, high teens, and that's something that we are confident of -- to keep sort of that trajectory up, while we deal with some structural changes that have happened and how the non -resident flows come in.

Flows are coming in, but it comes in, in the form of term more than savings. So I think we enter FY '25, quite mindful of the business model that we're pursuing, the commitments we have made in terms of our return ratios. ROA expansion was guided for about 4 to 5 basis point improvement every -- sequentially every year. I think for the seventh year on track ROA expansion has moved up. We are now correcting for the one -off. It would have been a strong quarter, but full year was 1.32 in ROA, previous year at about 1.28. I see that expansion continuing into FY '25 and beyond.

So with those sort of opening words, as usual, we have the entire senior team, we'll be happy to take calls -- take questions and give insights wherever you guys want to. So I'm opening this up. Operator, you can open it up for questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello Sir, I have three questions. So the first question is on your recovery upgrades, which are almost at an all -time high for you. So congratulations for that. But would there be an impact of the recovery and upgrades on the NII because a lot of PSU banks take some amount of recovery income through the NII. So was there any interest -- recovery interest income in the NII? And then if there was, what was it last quarter or some comparison like that? That's my first question.

Shyam Srinivasan: Yes, go ahead complete the questions, I'm sure between Venkat and other, they will take care. Federal Bank Limited

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Mahrukh Adajania: Sure. Then the second question is on fees. So if you see on an annual basis, your fee growth other than investment profit is strong at just a little under 30% other than investment gains. But the problem is that just like in the fourth quarter, there's been some softness. So while the card fees have been strong, para banking has been softer, and there's a lot of movement across segments.

So any longer -term guidance we can get on fee income and what drove the Y -o-Y growth and the Q -o-Q growth in the fourth quarter to look a little softer than earlier quarters, if there's any seasonality or any reason? And how -- what growth do we build in, in the next year or so? Does it be 25% up or what?

And then the third is on opex . So if you exclude the employee provision from your annual opex , right, of 1.62 billion, you still have a growth of around 25%, a little higher than 25% year -on-year. So is that -- will that run rate continue? Or how does it moderate from hereon , on an annual basis? These were my questions, sir.

ions, sir.

Shyam Srinivasan: Okay, all useful and good. On fee income, I think, it's -- no, I don't believe you can sort of sequentially plot it and say this will grow at. But a Y -on-Y basis, anything between 20%, 25% is very much on the cards, and we believe FY '25 will also see that kind of momentum. Q4, you did see a pickup in card fee going up, loan processing fee going up materially, but some of the lines like para banking was slightly lower, but that's certainly a sort of a modest change versus the sequentially previous quarter, it was much higher. Q3 was a little higher than Q4. Otherwise, it's been on trajectory around INR50 crores to INR55 crores or INR 60 crores.

So you could -- we believe the core fee income growth, roughly about 20%, 25% is something that minimally what we will do, we will seek to do it even higher without any one -offs. The one -offs will hopefully be positive and kick it up higher. So that's on the fee income. On the first question on recovery, upgrades. Yes, that recoveries and upgrades happen, certain degree of interest income benefit also comes through because the URI benefit also comes through. And the third question was on -- sorry, remind me the third question.

Venkatraman V .: Opex growth.

Shyam Srinivasan: Yes, yes, go ahead, Venkat, maybe you can take the second question.

Venkatraman V .: Yes. So thanks, Shyam. Mahrukh, on the opex growth, if you exclude the staff cost, onetime impact, the growth levels would probably be around the same, considering the fact that we'll continue to invest in new branches. Our investment in technology will continue at pace, and there will be a small uptick in the staff cost with all these recent changes also, which will come through next year. So a combination of all this will see the opex around the same levels. But what is important to note is that the branches, which we are investing, you'll notice that the payback is now getting faster. It's approximately 18 months. Of the 75 branches we opened in

last year, FY '23, almost 55% of them, about 40 -plus branches are already now profitable. So it's encouraging to see that the pace at which we are able to make the branches productive is faster. But having said that, we will continue to be investing in these areas as we believe that

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this will be the drivers for the strategic levers, which we have outlined in terms of NII growth, CASA and distribution.

Moderator: The next question is from the line of Rikin Shah from IIFL.

Rikin Shah: I have a few questions. So the first one is on the restriction placed on the co -branded credit card. May I check what are the corrective actions which are underway? And how soon do you expect that to resolve? So that's question number one. Question number two, an extension of the first one, if you could help us think through the financial impact of the same, right? While this proportion of that credit card book is less than 2% of the total loan, the card fee income had been growing at a very strong rate of 50% Y -o-Y. And even the digital personal loan, which we believe is the cross -sell to those customers has been growing north of 50%. So how do you think about that going ahead?

The third question is on the yield. So if we look at the increase in the yield since the rate hike cycle started, the yields have gone up around 150 basis points in total for you, which is the least amongst most of the banks. And this is despite we having the highest share of floating rate loans. So is there any pressure points in some of the segments that we operate in? Or are we pushing on growth at the expense of profitability? That's the third one. And the fourth one is on the asset quality. If we look at the provisioning part, there was expected to be AIF related provision in 4Q, has that come through in fourth quarter? And in the presentation, you have mentioned there

is some reversal of provision even on other purpose loans. So if you could elaborate what is that? Those are my questions.

Shyam Srinivasan: Okay. Shalini, do you want to go on co -brand?

Shalini Warriar: Sure, Shyam. Thanks. On the core brands sector, as you rightly indicated, we have paused the co-brand credit card. We are in the process of working through the details of what RBI has requested us to look at. And we worked through most of the details that need to be done. In the next few days, we will be going back to RBI and presenting our plan, indicating where the corrections have been made. If all goes well, RBI should be able to allow us to resume. I can't give you dates and timelines as to when RBI can come back because that's really dependent on the RBI's review thereof.

In terms of financial implications, as you indicated, its contribution from an overall asset perspective, cards is really small in its overall perspective, and there are other products that are able to kind of lift the potential flat that will come from non availability of credit cards on the co - brand cards.

On the fee income side, also, as Shyam referred to when he was answering the question to Mahrukh, we do expect that the fee, overall fee income will continue to keep up the pace of growth we've seen so far. Cards will definitely earn whatever we don't get on credit cards will get compensated by other products. On personal loans, you refer to that also, our personal loans are not necessarily tied into our credit cards. The personal loan book that we have built had two kind of fundamental pillars. One is cross-sell to our existing savings bank customers, who have

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been with us and who we can assess through various means from a credit perspective. That's one part of the book.

The other part of the book is new to bank customers, who are coming in for a personal loan through our digital lending partners. So summary of earnings and where we put together is we don't expect too much of an implication either on the balance sheet or on the fee income. We will be going back to RBI and as always, I'm sure they will bless our resumption very shortly.

Rikin Shah: A couple of clarifications, please. When you say that the corrective actions are underway, would the partnership with OneCard continue? Or is this something where in you can tweak the processes and fix it?

Shalini Warriar: So for us, all our partners are critical, and we've been -- as much as a partner has invested in it, we have also invested in it. We will be going back to RBI with corrective actions on the partnership. So we do expect that with the corrections we have taken, RBI should be -- this is really a discussion that we will have with RBI when we are ready.

Shyam Srinivasan: Just to add, I think the question was will partnerships continue. I don't believe either the regulator

who asked us to stop partnerships and or we are looking at that direction. Certainly, when we started out, our fintech partners and where we are now, a lot of evolution has happened. We have learned, they have learned, regulations have changed. Now we are continuously readjusting to it. But the fundamental objective of expanding reach and digitally using partners has not evaporated. The scale, size, quantum will vary based on how much filters and how much guardrails are there. But structurally, we are not saying we are going to shut out of partners, unless there is a regulatory requirement to do so. Hopefully, that won't happen.

Rikin Shah: Got it, sir. So OneCard should be able to share the customer -- or transfer the customer data back to Federal Bank and give away that data access.

Shyam Srinivasan: Yes. Unfortunately, what gets reported, written about is all conjecture, it's never the full fact, right? It's not like we were lax about letting somebody else take our data and so on and so

forth.

But there were some additional firewalling that have to be done, additional controls that have to be put in place, and those are effectively happening.

Rikin Shah: Got it, sir. And Shalini, if you could just give a number as to what kind of cross-selling do we do to the credit card customers for personal loans? That number would be helpful as well.

Shalini Warriar: So like I said, both of our -- both our credit card proposition and our personal loan proposition are currently cross-sold to our savings bank customers. We honestly don't do much of a cross-sell between the two. I don't have the number readily available, but it's not a very large number.

Our cross-sell is primarily to our savings bank customers.

Rikin Shah: Got it. Okay. Thanks for first two questions. The remaining two?

Shyam Srinivasan: I just said we have got long again. So you have to remind us the question three and four of yours.

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Shalini Warriar: The question number three was on yield, I think, Shyam. The increase in yields of between the repo price hike and -- right that was the question number three on yields.

Shyam Srinivasan: Yes. I think I'll take that. On yields, the expansion, like you pointed out, is a more modest than it has been for some other banks, which it may be. I think we have to understand that our structure of how we do business is we don't trade risk for growth. I've said this for 14 years, and I'll say it for the remaining five months. We are very clear that we will do business from segments that we can manage well. And our credit costs have held admirably because of that. So to that extent, ability to go and demand, command extremely high sort of readjusting to prices is not that easy. Within that framework, our expansion has been quite considerable keeping the risk profile in mind. So as we pivot more into the newer higher-yield businesses, which we are, you are seeing through these last four quarters, once the businesses like credit card, microfinance, personal loans, commercial vehicles are kicking in better, we are seeing the yield uptick in the blended margin increase. And I believe as we go into FY '25, that will get a little more pronounced. So we have to deal with a rising cost of deposit situation. We thankfully, I think this is moderating at this point in time. As we do that, our business pivoting into the higher yield businesses, combined with our repricing wherever possible without compromising on risk will see pickup. But yes, I agree, the yield pickup that you may have wanted us to see, may not be fully playing through, but our overall ROA and ROE commitments are factoring in for all of that.

That's why the blended rate of growth we are committing for and we think we are honoring that, delivering it and hopefully deliver even higher in the quarters ahead.

Rikin Shah: Got it, sir. And then the last question on provisioning, AIF and the reversal in other purpose.

Shyam Srinivasan: There was no AIF provisioning in Q3 nor in Q4.

Rikin Shah: Okay. And the reversal for other purpose that we saw in the...

Shyam Srinivasan: Yes, the others -- the provisioning of INR 67 crores reversal that you saw was -- we had taken an extra provision in Q3 which now has been reversed out and that has hit our income line because there were some excess fee charges that had to be reversed that were not crystallized. So we took the hit in Q3 on provision line. So the profit was correct and that has since been corrected in Q4. So you will see a reversal interest in provision line, but corresponding hit on the fee income also.

Rikin Shah: Got it sir. Thank you for patiently answering all the questions.

Moderator: Thank you. Our next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Thanks for the opportunity and congrats on the good results,

sir. Sir, a couple of questions. First

is like on the recoveries taking it forward like what has really driven this strong recoveries and upgrade this quarter? Is there any one-off in this number?

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Shyam Srinivasan: Nitin, I said it upfront, there were no one-off, no chunky gains. Raj, if you are on the call, you can come back, but none of them Nitin.

Rajanarayanan N : So there are no chunky calls. This has been completely granular and all the regular recoveries in upgrade.

Nitin Aggarwal: Okay. And second, sir, is on the succession planning like if you can talk about where are we on that? And by when do we plan to submit the names to the RBI? Any progress if you can comment around that?

Shyam Srinivasan: Thanks, Nitin. Yes, the board has set up the search panel. The search panel has been doing a great job. They have gathered a good slate of candidates from outside, inside. They are processing through it. I do believe in the next week, fortnight, 2 weeks, 3 weeks, they will be able in a position to share with RBI. And once it goes into RBI the process works, and they'll do the due diligence. So anything it's between 3 and 4 months for clarity around who the candidate is. But at this point in time, it's going well. We are quite encouraged by all the developments.

Nitin Aggarwal: Okay. And sir, the other question is on the branches. We have been opening branches at a healthy rate in this quarter like we have opened at a very accelerated pace. So how are we looking at in FY '25, the pace of branch expansion? And related to it, how do you see the cost income ratios moving from here?

Shyam Srinivasan: About 4 years back just coming out of COVID we had said -- 3 years back, we'd like our expansion to be between 5% and 7% increase in network every year. This year was closer to 10% because we saw some opportunities and we were willing to put in that extra energy to get that going.

So we think FY '25, we will do certainly between 5% and 7%. If P&L can accommodate we will do a little more. But a consequence of that, like Venkat said that breakeven is turning to be faster.

And if that stays because those are businesses that are microfinance, gold loans and deposits then maybe the business case for expanding it to will be higher. But I would think in FY '25, about 100 branches minimally, more than that depends on what kind of P&L space we have.

Nitin Aggarwal: Sure. And sir, lastly, one observation on the business concentration. If I look at the deposit concentration has been inching up like over the last 2 years and has, like almost, say, doubled in the last 2 years. So generally, as the bank gain size, this is either in control or it improves. So why is it so and how do you really see that internally?

Shyam Srinivasan: Sorry, I didn't get the question to be honest.

Nitin Aggarwal: Sorry, this is in respect to the deposit and advances concentration one of the slides in the presentation. The top 20 depositors concentration has been like on a rise. And if you see like the trend over the last 2 years this number is going up significantly. So how do you really read that, while there is no harm as such this number is still pretty much in control, but how do you read this trend internally and any level that you will want to watch out over here?

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Shyam Srinivasan: Nothing to comment on, Nitin. There's nothing at least in our dashboard nothing shows us anything that is alarming or change in direction. If we are going at term deposits which is the trend of the market, then there will be some kind of concentration, but largely customers who are consistent. But apart from that, honestly there's nothing to add as an insight here. We still would like to be granular, but retail in nature.

Nitin Aggarwal: Sure, sir. Wish you all the best.

Shyam Srinivasan: Thanks, Nitin.

Moderator: The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Good evening and thanks for taking my question. First question is on provisioning. So we've -- this year the standard asset provisioning line has been INR 200 crores of write-backs. And I'm assuming it's coming from the restructured asset provisioning reversal. So just trying to get a sense on what is the PCR we have on the restructured assets? And we are seeing INR200 crores of reduction in this restructured portfolio every quarter. Is that something that will continue going over the coming years? That's my first question.

Shyam Srinivasan: Outlook for FY '25 looks consistent to '24, Param.

Param Subramanian: So -- and Shyam, what is the provision cover we have on the restructured portfolio? And has it changed through the year?

Shyam Srinivasan: Raj or Venkat.

Venkatraman V : Yes, we are maintaining the regulatory minimum provision, Param. So they are well above that for the restructured part.

Param Subramanian: So it's close to 10%, is it because I remember it used to be 20%?

Venkatraman V: 15%-plus.

Param Subramanian: 15%-plus okay. Okay. Fair enough. And secondly, again on the provisioning so because some of these unsecured portfolios have become -- have grown quite a bit like credit cards and they tend to be higher credit cost businesses once they get seasoned. Do we see any upward delta on credit cost as such going into FY '25 or would you like to put some outlook on credit costs in FY '25?

Shyam Srinivasan: If you normalize for FY '24 overall credit cost is about 24. Is it Venkat 24 basis points full year?

Venkatraman V: 23.

Shyam Srinivasan: 23. Yes. I've said that, that is low, but I'm happy that low may not dramatically alter and shift up. But yes you could argue that somewhere around 30 basis points is what we would push and try to deliver in FY '25, but that's the run rate.

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Param Subramanian: Fair enough, Shyam. And one last question again on the corrective action you've taken on the partnership. Is there -- on the Fintech partnership, is there any opex that one should expect related to that? Yes, that's my last question.

Shyam Srinivasan: Not significant in opex. It's only a model of where data resides, how it resides, who holds it. To that extent, we don't believe any cost impact should be there.

Param Subramanian: Okay. Fair enough. Thanks Shyam and team. Thank you.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi group. Please go ahead.

Kunal Shah: So firstly just with respect to fee income on the general banking charges. So is it like we need to add this INR60 crores to INR67 crores of reversal to it or there was no impact in this quarter and that fee income was also in Q3 itself?

Shyam Srinivasan: No. The reversal is from the fee income in Q4.

Kunal Shah: General banking also there is a similar gap on a quarter -on-quarter basis of INR 60-odd crores. So is that the impact?

Shyam Srinivasan: Yes.

Kunal Shah: Okay. So last time we just made the provisioning of INR 62 crores maybe the provisions were almost like INR 62-odd crores in Q3. So last quarter we merely made the provisions out there.

And was it booked in some other line item maybe in opex also and this quarter we are doing it in say more of a fee income and reversing the provision how is that happening here?

Shyam Srinivasan: Last quarter provision was made. This quarter the provision has been released and the fee income has been hit by that amount.

Kunal Shah: Okay, INR60 to INR 62 crores. So ideally when we look at it in terms of the fee income it should have been near INR680 crores, INR 690-odd crores for this quarter?

Shyam Srinivasan: Yes, you see general service charges for three precedi

ng quarters were in the region of about INR100 crores.

Kunal Shah: Yes that's what. So that INR 60 crores need to get arrear out there. And secondly in terms of the overall opex. So last quarter also there was some provisioning towards the wage revision. This time it is towards the retirement benefit. So we need to adjust almost like, say, INR200 -odd crores in the employee cost just to make sure that the entire wage provisioning impact gets over and that should be the normalized level of employee cost for full year FY'24, just deducting INR200 -odd crores?

Venkatraman V: Yes, that's correct. Yes, it's approximately around INR200 crores, INR162 crores plus there were some arrears and all which we had, and there were a lot of other new things which have come in with the wage agreement. So we factored all of that.

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Kunal Shah: Yes. So if we have to look at it ideally the normalized opex for FY'24 in terms of be it either cost to assets and where should we see it settling if you can just guide in terms of how it should move in FY'25?

Venkatraman V: FY'25, excluding this one -off impact, we should look at similar levels. I would add probably another 5% more to the opex cost.

Kunal Shah: Okay. So 5% to the overall opex cost?

Venkatraman V: Overall opex, yes.

Kunal Shah: Okay. Got it. And there were no one -offs during the year on the overhead side?

Venkatraman V: In the overheads, there were no major one -offs. Because the spend -- like I said earlier, the spend on branches, technology, all of them have been happening, which will continue as well.

Kunal Shah: Yes. So more business related without any one-offs?

Venkatraman V: Yes.

Kunal Shah: Okay. Yes. Thanks and all the best.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: So firstly, you mentioned about this ROA expansion continuation that 4 to 5 bps in FY'25 as well. So given that credit cost will idly normalize at higher levels and there could be some headwinds to margin with interest rates may be declining and the impact on floating rate loans.

So what accordingly to you would be the key levers with the assumed expansion here on?

Shyam Srinivasan: You rewind 2 years, 1 year, 3 years, which [inaudible 32:30] the credit costs are low, you don't have much space left, how will my ROA expand? You have seen ROA expand over the last 3 years. We've always maintained a little bit -- a few basis points here. We don't have one silver bullet, which will change the narrative. So our NIM expansion by a few basis points, credit cost holding well, efficiency kicking in, fee income growing should be the driver of this.

Mona Khetan: Okay. And sorry, you guided for credit cost of around 30 bps for FY '25 if I got it right?

Shyam Srinivasan: Yes, in that range. Yes, you're right in that range.

Mona Khetan: Got it. And just finally, there was -- on this opex growth guidance that we talked about in the previous question, so ex of the INR200 crore s one-off, what you are saying is opex could rise by about 5% year-on-year. Is that what I understood correctly?

Venkatraman V: Yes, excluding the INR162 crores, you'll have to -- see, there are costs which are directly proportional to business growth. That will continue to rise in line with business expansion, but the other overheads and opex costs overall increase will be curtailed within the 5% of the Q4 exit run rate.

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Moderator: The next question is from the line of Saurabh Kumar from JP Morgan.

Saurabh Kumar Sir, just one question. On your current accounts, normally you see seasonality in Q4, you are flat. Is there something happening there?

Shyam Srinivasan: No particular answer. Actually, I'm quite pleased it didn't show any swing because usually it tends to bulk up at the end of

the quarter and fall off. I'm pleased that Q4 didn't see anything and not have we seen any fall in Q1. So it's a more sustainable outcome, I would believe. Harsh or Shalini, if you want to comment?

Shalini Warriar: No, Shyam has covered this. Sorry, Harsh, go ahead.

Harsh Dugar: Yes, sure. More or less what Shyam is saying is right. We have been increasingly focusing on current account balances. But there's no bulk up that is happening, and the current account balances average issuing a steady increase.

Shalini Warriar: Yes. Just to add to what Harsh says, our entire kind of focus has been that on an average is what we measure ourselves on. So we don't see too many month end or quarter end or year-end kind of spikes here.

Moderator: The next question is from the line of Pritesh Bumb from DAM Capital.

Pritesh Bumb: Two questions from my side. One is on the retail gold loans. This quarter, also, we've not seen any material growth despite gold prices being up, our LTV being stable. Any strategy on that because this is one important piece for our high-yielding group strategy?

Shyam Srinivasan: Is that true, Harsh? Sequentially, we...

Harsh Dugar: No, it's not. 27% is what is grown.

Shyam Srinivasan: Yes. Sequentially, it grew 6%...

Venkatraman V: I think this question is on retail gold, which is separately shown in the investor deck. Retail loan growth...

Shyam Srinivasan: Okay. Retail growth.

Venkatraman V: Okay. If I recollect, it was 4,540 to 4,572 or something like that.

Pritesh Bumb: Yes. It was flattish, like 1% odd, quarter-on-quarter despite gold prices being so high in the last quarter. So anything on that?

Harsh Dugar: Harsh, here. Nothing specific over here. We have been tracking the entire overall portfolio. We've been monitoring the LTV. We do not encourage top-ups just because the gold prices go up because it tends to hurt us when the reversal happens. So that's there. So from that point of view, we have been monitoring it. Our organic growth was robust. The one which you're seeing in retail has a mix of both. The organic growth has shown robust growth over there, on the retail gold side.

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Shyam Srinivasan: But your question on can retail growth happen? I think there is certainly an opportunity, but there is a pricing game there. People are tending to price it and take share there. So it's not as easy as it appears, but certainly, there's an opportunity.

Pritesh Bumb: What I see is that the ticket sizes are falling quite sharply, and it's from about INR40,000 to below INR30,000 now. So I just wanted to check what are you thinking on that side?

Shyam Srinivasan: Yes, I mean, since we are all giving you an answer, which is kind of not very research, it's best we'll come back to you.

Pritesh Bumb: Got it. Second, sir, you mentioned about the partnership correction in terms of co-branded. Are we taking a corrective action, if any, in the other partnerships as well, lending or otherwise apart from the co-branded cards?

Shyam Srinivasan: Yes, let me help you with this. We have, on the lending side, on the credit card side, two material co-brand partners. One is OneCard and the other is Scapia. The others are more the deposit side into which we cross-sell. On both these things, the corrective actions are happening. On the personal loan side, they are really not impacted by this process. That said, all our fintech or partnership, any partner we are subjecting it to the same level of scrutiny to ensure that gaps, if any, are addressed.

Pritesh Bumb: Got it. And the last question was basically our retail share of deposits slightly dropping from a few quarters and bulk has been now at about, I think, 20%. So any gap there we want to put in terms of how much we can go to in terms of bulk deposits and retail deposits.

Shyam Srinivasan: I think I mentioned it earlier

when one of your colleagues asked it. Yes, we are probably at the top end of it, around these numbers where we will be.

Pritesh Bumb: Sir, given that this is more likely a top and the retail term deposits are quite high in terms of rates, where do you see our cost of funds? This quarter also, we've seen 20 basis points up. So how do we see that going in FY'25?

Shyam Srinivasan: Venkat, do you want to comment?

Venkatraman V: Yes, Shyam. Yes. So in terms of cost of funds, whilst we are seeing how the market is and the demand for deposits continues to be quite tough, whilst they will see the pressure on deposit pricing, and there will be some impact of the translating. What we are trying to mitigate that is with the yield side, as mentioned earlier by Shyam and others, working through the mix and making sure that we are able to maintain the NIMs either at the current level or improve it. So we will see the cost of funds moving up marginally going ahead, at least for the next couple of quarters.

Pritesh Bumb: Got it, sir. Thank you and all the best.

Moderator: The next question is from the line of Rakesh Kumar from B&K Securities.

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Rakesh Kumar: Sir, slightly -- so broader question. So one thing that for this quarter, the calculated term deposit cost has not increased. So correct me if I am wrong or if there is a flat number on the term deposit cost?

Venkatraman V.: For this quarter, TD cost has gone up. I don't know how you arrived at that calculated number being flat. Last quarter, it was 7.06% cost of term deposits that has gone up to around 7.25%.

Rakesh Kumar: Okay. So we have calculated on the -- based on the quarterly average balances, but thanks sir. Second thing, sir, like, if I see...

Venkatraman V.: Rakesh, that's what translates to the cost of funds. Because savings is pretty much flat.

Rakesh Kumar: True. So what I was looking at is that like for the last 3 years, like whatever increase in credit yield has happened, that has largely happened with the increase in credit risk weight that -- credit risk weight density that has increased. Now with this, -- and we have around 25%, 27% of the loans, which are on a fixed rate basis. So -- and with the 175 bps increase in the cost of deposit, we have transmitted around 155 bps in the credit yield. So is there any scope to further enhance the margin at this level without increasing the credit risk weight?

Shyam Srinivasan: Yes, the account portfolio by portfolio managed. Besides that, we have to look at -- we are looking at opportunities to find how we can hedge some of our portfolios to ensure that we are in a falling rate environment, reasonably well protected. We believe we are getting to a good success on that account by managing it through multiple levers as opposed to just one that may be very visible. So it has to be seen as we slice the book, the entire INR200,000 crores into multiple buckets filled with opportunities for each of them. And all of them are in play.

Rakesh Kumar: So net, sir, margin, how do you see that -- giving these numbers like for the last 3 years or maybe after May '22 when the interest rate cycle rise has started. So if we see since then now how do we see the margin panning out?

Shyam Srinivasan: I thought I mentioned at the earlier part of the call, we think that 320 should inject about 2-3 basis points in this financial year.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: I have 2 questions. First, I think it was asked a little bit earlier on yield. So apart from the loan mix change and maybe the usual MCLR pricing, is there anything else which could help on the yield side? Maybe if there are few loans, which are hybrid or maybe which may convert from fixed to floating? Is there such meaningful quantum of such loans?

Shyam Srinivasan: Venkat, do you want

to go? Venkat or Harsh? I thought I answered earlier part, that's why I ask one of you, maybe I missed saying something.

Venkatraman V.: I think pretty much summarizes what we plan to do there, and there isn't any other silver bullet, which we have. It's all about looking at portfolio mix change, pushing through or cutting the tail or low yielding. So a combination of all this only will help us ensure that we maintain the NIMs.

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Harsh Dugar: I'll just add a few points here. What we are looking at what we've been articulating is increasing the focus on the high businesses, which we have spoken about. But even within each business vertical, the focus is shifting more towards one which will give us a higher yield. For example, in wholesale banking, we clearly see a shift from our share of commercial banking increase in SIB to corporate banking. Similarly in commercial vehicle, we see a shift more increasing share towards used commercial vehicles. In corporate banking, we're looking at increasing the share of supply chain businesses. In corporate banking, again, we're looking at leaving out those very finely priced assets with the reciprocity. So this is a combination of those things, which will help us in terms of pushing up the yield in general, apart from focusing on the high yield businesses. Shalini Warriar: So just to add to that, again, as Harsh and Venkat has alluded on the retail side also. If you look at kind of home loans and prices into parts like just regular home loans and loans against properties, we've expanded our presence in the loan against property market, where the margins tend to be a little better. Within the auto loan segment, we are gradually increasing our entry into the new car segment within business banking, for example, we're granularizing our portfolio because of the lower end, you can get slightly better pricing. So there's no silver bullet for it as I think we've all, I think, many, many actions taken, and you will see the kind of the improvements on the yield coming out of all these multitude of actions.

Jai Mundhra: Right. And if you can highlight the loan mix by benchmark, I mean by MCLR, EBLR, fixed rate and beyond that.

Venkatraman V.: It's mentioned it's 51% is EBLR, 51 point something, 11% is MCLR and 27% is fixed. And the rest of them is Forex linked, staff loans and base rates.

Jai Mundhra: Sir, my second question is on the deposits. So if I see the NR deposit has grown only by 8%, whereas the overall domestic deposits has gone up slightly higher, and the overall deposit growth is 18%. I remember that there was not too much difference on the NR TD and domestic TD quarter back. Wanted to check, is there any significant difference between blended NR TD and domestic TD? And what is the reason that NR deposit is growing at a little bit slower pace or much slower pace?

Shyam Srinivasan: Yes. Deposit rates are the same across whether it's domestic INR. I think we've been mentioning for a few calls now. Post-COVID the nature of how NR remittances and behaviour of remittances converting into deposit has material change. Remittances have gone up, and our share has kept pace. But the remittances are not translating to deposits, either -- not either, our hypothesis as follows. It's getting -- it's being used for paying off debt -- that's why credit quality is improving substantially even in Kerala, one, setting up new businesses because many of them are probably returning and setting up some shop here and for consumption like family wedding, marriage, schools, college, whatever.

And the last is the non-Middle East Kerala remittances probably have not moved much, and it's probably getting into FCNR. And we are not a big FCNR player because rates don't necessarily work in favour. Rupee deposits coming in. Rupee remittances coming in are continuing to be vibrant. We are

seeing a larger share of it. But unfortunately, they are not translating into deposits directly. Indirectly, it was because it creates commercial activity and it comes back as deposit.

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Directly, it doesn't go into deposits. Which is why 4, 5 years back, as we started dialling up our outside of this norm business and those are tracking quite well.

Jai Mundhra: Understood. That is helpful. Sorry, I have 2 more questions. One is the opex, I think earlier you mentioned that ex of this INR200 crores of staff cost, which is one-off, the growth should be 5%

only. But when you sort of qualified that by saying that the usual business as usual costs will still be there. So if you can help us understand what's -- how should one look at the opex growth for maybe 1, 2 years that will be helpful.

Shyam Srinivasan: Venkat, do you want to go.

Venkatraman V.: I didn't get the last part of the question. Could you just...

Shyam Srinivasan: How should we look at our opex increase in the year ahead -- years ahead?

Venkatraman V.: Two years -- so again, it's dependent on our strategy, on investment in branches, that is one main part. For FY '25, the current outlook is we will probably look at, like Shyam said, another 100 branches to be added. The technology it's IT expense as a percentage of opex, we are now close to around 6.7%. And that's an area where we'll continue to invest, and we would like that to be closer to around 8% of opex. So in the next FY '25 and even FY '26 early part, the current outlook with investments in these two will continue at pace at the same rate at which we have been doing. On staff costs, if you exclude the one-off, like I said, there will be -- I would put another 5% increase on a year-on-year basis. And the other fixed cost would be around capex, max 5% increase. But the variable costs related to businesses would continue to be in line with business growth. As long as it's positive jobs, we'll continue to invest. So overall cost, the controllable cost, staff cost would be about 5% more than the current Q4 exit run rate.

Jai Mundhra: Sure. And last question, sir, if you could highlight -- is there any impact on the capital because of the new investment guidelines, which were implemented with respect from GPL first regarding HPM and ESS reclassification? Thank you.

Shyam Srinivasan: No, nothing at all.

Venkatraman V.: Nothing.

Jai Mundhra: No. Accretion, no impact...

Shyam Srinivasan: Nothing material. Nothing significant.

Jai Mundhra: Thank you.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Namaskar team and thank you for the opportunity. Firstly, about the treasury part under the segment revenue. To what extent that is in the profitability if you could give some understanding on the same?

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Venkatraman V.: Yes. Last quarter, we had the Fedfina listing gain. So that is not repeated in this quarter. That's the main difference.

Saket Kapoor: Okay. And sir, in your opening remarks and also during the call, sir, Shyam sir, you mentioned about we are looking for a 25% growth in the NII, the net interest income for FY '25, '24-'25.

Shyam Srinivasan: Fee income, not NII. Fee income.

Saket Kapoor: Fee income.

Shyam Srinivasan: Yes.

Saket Kapoor: Okay. And what would be the NII trajectory likely, the growth in the...?

Shyam Srinivasan: This year, we grew 15, our credit grew 20. We would like to be better on both counts, but we just have to work through this cost of funds challenge. But yes, in that zone.

Saket Kapoor: Okay. We are very likely to remain in this trajectory, what we have performed for this financial year.

Shyam Srinivasan: Improve slightly.

Saket Kapoor: We will improve slightly. Sir, on the cost-to-income ratio, where should we stabilize? This

quarter was, I think, an aberration.

Shyam Srinivasan: No. This quarter is an aberration. We were looking to be -- last year was 49 and change. We

were looking to be in that 49 or better, but some of these costs have come and impacted us. So I think FY '25 should be back to about 50-odd percent and then improving from there.

Saket Kapoor: Okay. And two small points. Firstly, on the dividend payout part, sir. I think we have done the

fundraising exercise also earlier. So I think that we are very well capitalized. What have been the factors on which we have decided the payout to be lower than 10% of the EPS for this financial year, sir? And then one closing remark from, Shyam sir.

Shyam Srinivasan: No, we are looking to preserve capital as we grow. We think we should be able to strike a sort of a sensible balance between plowback and also reward shareholders. So the Board in its wisdom has taken the decision to recommend a 60% dividend.

Saket Kapoor: Because, sir, as you mentioned, rewarding your investors and shareholders, if you take the trajectory of the market cap change over the period, I think it has been subdued in comparison to the other listed banking space. So that was a very small and -- that was a very brief understanding on how well will you see the market cap or the type of net to book value that should -- the stock trend going ahead. These are few of the parameters which investors also look in terms of the payout ratios also.

And lastly, sir, Shyam sir, your term come to -- and as you alluded earlier, also 5 months. And we have seen that in many of the bank, the people -- the personnel have tried their hand at other small banks. So can we look forward for your role and some other small banking entities, who
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are also scouting for experienced people like you or veterans like you, and we can see you in other -- in other entity altogether? Or is it curtain down for your career in the terms of being the MD, what's the thought process if you would like to share? And any message to us, sir.
Shyam Srinivasan: Thank you, Kapoor -saab. We'll talk on September 24, 2024, till that time I am in the seat, and I'm enjoying the seat.
Saket Kapoor: Okay, sir. Thank you. For shareholder value creation idea, sir, I think so please dwell on the metrics. I think, sir, our banking -- our bank is lacking on that behalf -- on that account. That's our feedback.
Shyam Srinivasan: Thank you, sir. Thank you.
Venkatraman V.: Souvik we are just left with a couple of minutes before...
Souvik Roy: So Sagar, I think one more question and then we can wrap it up.
Moderator: Sure. So the next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.
M.B. Mahesh: Congratulations on good result. Just 1 question. Just a comment, if I missed it, on the non -staff expenses, it was up from INR850 crores to INR950 crores, I don't know if you made a comment on it. That's it from my side.
Shyam Srinivasan: We didn't comment on it, but I think Venkat alluded to the overall investment in technology and branch expansion as primary drivers of expansion of cost.
M.B. Mahesh: But Shyam, sir, is that, that high because during...
Venkatraman V.: Mahesh, typically, in Q4, we normally see an uptick in the other opex. So it's in line with what we have seen. It will normalize in the first 2 quarters and then again, pick up because there were some one -offs with -- not one -offs, some IT spends, which normally happen, whether it's in EULA renewal or some infrastructure purchase, which gets charged off that usually happens. It's a timing of the renewal as well which happens. So it's -- Q4 is usually the quarter where you see a higher IT spend.
Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr

. Souvik Roy for closing comments.

Souvik Roy: Thanks, Sagar, and thanks everyone for taking time and joining us on the call today. I hope we have been able to address all your questions, if not most. And if any questions remain unanswered, please feel free to reach out to our IR team. We'd be more than happy to take those questions on a one -on-one basis and offer further clarification. Going ahead, we definitely continue to drive risk calibrated profitable growth, and our focus will definitely remain on market share growth as well.
Shyam Srinivasan: Souvik 1 second. Good evening, everybody. Thank you. I just wanted to point out that our stalwart in the bank, Ashutosh Khajuria after almost 13 years in various capacities, is retiring as
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of business close this evening. He'll be associated in the bank in some advisory role, but his formal term end as of today. So join me in congratulating and thanking Ashutosh for an exemplary support and performance in the bank.
Ashutosh Khajuria: Thank you.
Souvik Roy: Thank you. Ashutosh, sir. Thank you for all these many years of amazing service to the bank and everybody. Thank you so much. And with that, Ladies and gentlemen, we'll sign off for today. Please feel...
Shyam Srinivasan: I also wanted to add one more thing. Our senior colleague, who heads HR here, is moving to another bank as an MD and it's a proud moment for Federal Bank. So I have to complement our colleague Ajith Kumar for that.
Souvik Roy: Yes, sir. So thanks Ajith sir as well. Ajith sir, if you're on the call, thank you. Thanks again, sir.
Shalini Warriar: Thanks everybody. Bye. Bye, everybody.
Souvik Roy: And see you all after even probably a better next quarter. Thank you. Bye -bye.
Moderator: Thank you. On behalf of The Federal Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

The Federal Bank Ltd. Registered Office: Federal Towers, P O Box No.103, Aluva, Ernakulam, Kerala, India 683 101E-mail: secretarial@federalbank.co.in | Phone : 0484-2622263 fax:04842623119CIN: L65191KL1931PLC000368, www.federalbank.co.in

Secretarial Department
SEC/LODR/161/2024-25 July 29, 2024

The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051. The Manager
Department of Corporate Services
BSE Limited, Phiroze Jeejeebhoy Towers,
Floor 25, Dalal Street, Mumbai – 400 001

Re: Scrip Symbol: FEDERALBNK/Scrip Code: 500469

Dear Sir,

Sub: Transcript of the Earnings Call for the quarter ended June 30, 2024

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited ("the Bank") for the un-audited financial results for the quarter ended June 30, 2024, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in/documents/10180/939263905/Transcript+Q1FY25.pdf/08e5297c-2536-39f5-602d-c41b951b7b4d?t=1722245637685>

We are also attaching the Transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

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Q1 FY'25 Earnings Conference Call
July 24, 2024

MANAGEMENT : MR. SHYAM SRINIVASAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. LAKSHMANAN V – GROUP PRESIDENT &
HEAD (TREASURY)
MR. DAMODARAN – EXE . VICE PRESIDENT &
CHIEF RISK OFFICER
MR. MAHESH R – SR. VICE PRESIDENT & HEAD

(LOAN COLLECTION & RECOVERY)
MR. RAVI RANJIT - SR. VICE PRESIDENT & HEAD
(PLANNING)
MR. MANIKANDAN M – DEPUTY VP & HEAD
(FINANCIAL REPORTING)
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call of the Federal Bank Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Souvik Roy, Head of Investor Relations Federal Bank Limited. Thank you, and over to you, sir.

Souvik Roy : Thank you so much. And ladies and gentlemen, thank you for joining us today. Apologies for the slight delay. We were facing some tech glitches. Pretty sure you have seen our deck. We have delivered quite well this quarter. It's been a quarter of several all-time highs, reflecting our strong operational excellence.

We have achieved the highest ever quarterly net profit of INR1,010 crores and the highest ever operating profit of INR1,501 crores. Additionally, we have recorded our highest ever NII and other income as well. This further underscores our financial strength as well as our strategic execution.

Our Q1 performance sets a robust platform for the financial year ahead as our MD had mentioned in his release to the media. And despite the challenging environment, we have led the market in both credit as well as deposit growth. Our business strategy, focused on diversification across products and segments, continues to yield positive results with nearly all our businesses showing sequential growth of 4% to 5%.

Noteworthy among our achievements this quarter is the significant recovery in deposit growth, driven by our recent expansions and product launches, and we have also successfully reversed the previous challenges in NR growth as well. In summary, Q1 has been a quarter of exceptional operational performance and we are confident that this momentum will sustain through the year.

I have the entire senior team here with me to answer your queries. But before that -- before I hand over the call to them, I would like to make a short comment. This success of our entire franchise is definitely a tribute to the exceptional leadership of our MD and CEO, Mr. Shyam Srinivasan, who for 56 quarters has guided our bank to unprecedented levels of success. His vision and direction has always been instrumental in navigating us through various market conditions and consistently achieving superior results.

With this, I'll hand it over to you, sir, and thank you. Thank you again, sir.

Shyam Srinivasan : Thanks. Thanks, everybody. Thanks for joining in. Thanks, Souvik. Yes, like Souvik pointed out, I think we had a good quarter and I would like to believe operationally it's a very strong quarter, sets the tone for a strong FY '25. You all cover the market and you know it very well. It has been challenging and it is likely to remain in this kind of environment. So through this, Federal Bank's capabilities are now getting well recognized, and both growth in credit and

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deposits have been strong, almost 5% sequentially, and that sets the tone for a strong financial year. Importantly, market share gains are visible.

The one thing that I did want to call out, which Souvik referred to is on the deposits side through what arguably is a challenging period for everybody. Not only did we grow higher than many, but I think the important driver for us is what we've been struggling with for almost two-plus years is the non-resident domestic money, as in the money they put in India, not through FCNR or NRO, but the NRE-led deposit growth was kind of sort of tapering off and we've seen good pickup on that count, and I think that augurs well. We've reversed the trend.

Barring that, our

expansion has helped us grow our deposits well.

Credit quality, something that we take great pride in, has been stable for long periods of time, and I believe outlook remains quite robust. There are, at best, some glitches here and there, but

nothing that at this point in time we are flagging as any kind of risk. So we are setting the stage for a good FY '25. We've opened well on many accounts, interest income being -- recording the highest and importantly, interest income growth has matched credit growth. Often the question is, is credit growing but not interest income. We believe that the structure and the business mix is influencing that outcome and I suspect that momentum should continue.

There are further opportunities of how we get some of our higher margin businesses growing through periods that are both opportunity is high, but one has to keep a tight vigil on all the businesses that are relatively higher margin. We have never shied away from slowing down if we see any kind of environmental sort of stress building out. At this point in time, we are encouraged by all that we see.

The team is quite excited about the opportunity ahead. I'm also happy that through this period, we have got our successor identified, so the transition should be relatively smooth. The team that helped me build the bank is intact, and they will work with the new leader to take it to another level.

So, let me just open for questions with the summary being, we've begun well this financial year.

The underlying indicators, both on the credit and deposit side, look quite encouraging.

Momentum is with us, and financial outcomes you have seen.

So let me just pause here and ask the operator to open for questions. As always, the entire senior team is there to take questions and give responses on areas that may require attention. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, hello. First of all, congratulations, Shyam, on a very successful journey and a very successful stint at Federal Bank. And thank you for the interactions and sharing your expertise with us. So thanks a lot, and we'll miss interacting with you.

Shyam Srinivasan: Thanks, Mahrukh. Thank you so much. Thank you.

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Mahrukh Adajania: Yes. And congratulations on this quarter as well. I just had a few questions. Firstly, in terms of the other miscellaneous income, if you could quantify what the PSLC income was and what the revaluation on investment was? So if you could give a breakdown because it's much stronger even than last year, which was 1.6 billion. So a breakdown of the 2.2 billion that is the first question. And then I have two others.

Shyam Srinivasan: Between the investments, revaluation and PSL, the net benefit incremental to last year would have been about INR75 crores to INR80 crores. PSL last year was about INR52 crores; this year, I think, is about INR90 crores. And the investment revaluation net is about INR45 crores to INR50 crores.

Mahrukh Adajania: Yes. Got it. And the other question is on slippage and credit costs, right? You've done very well. Your slippage and even your credit cost is contained within 30 basis points. Of course, you've guided to a strong risk matrix, but even so, it's really much lower than normalized. So where do you think the normalized level settles at and when do you reach it?

Shyam Srinivasan: I don't want to reach a higher number, Mahrukh. Our business has been, I think, underlined by our conservatism, often for which I've been criticized. But I think it pays off when things are not looking good. We believe 30 basis points, 35 basis points credit cost is what we should operate at. And this quarter, if I remember right, 27 basis points.

So we are in that ballpark, and credit quality should hold because we've been quite thoughtful about where we write the credit, how we write the credit. And I mean, we also upfronted our collection capability even more materially. So I think at this level, 27 basis points being what it is, maybe 30-odd basis points -- 30 basis points, plus/minus a few basis points is what we will be fully year FY '25.

Mahrukh Adajania: Okay. And just last question on the new investment norm. So what has been the impact on net worth? Of course, on revaluation you explained, but on net worth and on investment yield. And is the improvement in investment yield, if any, because of this sustainable?

Shyam Srinivasan: Venkat, do you want to take that, please?

Venkatraman V.: Yes. Let me answer that. On the reserves, it's about INR339 crores net of tax. That's the impact which we have due to the new investment guidelines.

Mahrukh Adajania: And in terms of investment yield?

Venkatraman V.: We haven't quantified that. We are not disclosing that...

Mahrukh Adajania: Because that seems to have gone up, right? The investment income is up quite sharply. Okay.

Venkatraman V.: We can say approximately, like -- we can say around 10 bps increase.

Mahrukh Adajania: Okay. Thank you. Thanks a lot.

Shyam Srinivasan: Welcome.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: Thank you for the opportunity. I had two questions. First one, Shyam sir, you had alluded to in your opening remarks that the interest income has kept pace with the loan growth in this quarter. However, if we look at the yield on advance disclosure, as per the PPT, it has gone down by 5 basis points sequentially. So, if you could just explain what's happening there? That's number one.

And number two. Just wanted to get an update on where are we in terms of the RBI embargo on the co-branded cards. And more importantly, once -- whenever that gets lifted, is there going to be any fundamental change or shift in the strategy of sourcing the cards and personal loans over a medium term?

Shyam Srinivasan: On yield on advances and interest income, you'll not see much variance. I mean, yield on advances is only one element of the interest income number, right? Interest income has a few other elements also playing around in it. So it's not that grossly variant.

Rikin Shah: Advance yield went down. So -- and the high-yielding portfolio has been growing, barring the slowdown in personal loan, credit card. So just wondering, why is the yield on advances going down if the high-yielding portfolio is growing faster?

Venkatraman V.: Yes. Let me just comment here. See, Q4, usually the yield on advances is on the higher side, including higher recoveries. So it's not fair to compare Q4 to Q1. So to that extent, if you exclude some element of that, the 3.16 is where we have landed this quarter.

Rikin Shah: Okay.

Shyam Srinivasan: On the co-branded card, and I think I did mention in an earlier engagement with the media, we are working with RBI. It's not one pass -- one letter, one response. I think it's an active engagement with the regulator. We believe we are in sort of good discussions. Sometime between now and end of Q2 or early Q3, we should have some clearance. Does it change the way we do business? We just want to remind ourselves that co-branded credit cards with fintech partners was to increase reach and distribution. So as we get the approvals again, we'll certainly work with them.

In all instances, the risk is ours, the underwriting criteria is ours, so that should not alter anything. We want reach and distribution, which we were getting through our partnerships, which is now going through whatever the regulatory changes which has to be guided by co-branding guidelines, has to be by techno

logy outsourcing guidelines, and IT -- and financial outsourcing guidelines. So there are three guidelines that we'll work through, which is what we are doing. So I think between Q2 and Q3 we should get hopefully a majority of the clearances and then we will be back in business.

Like Shalini explained in an earlier thing, we are actively pushing up organic, which is doing well, but hard to match up the gap that has come up, which we will work through in the quarters ahead. On PL, it is nothing to do with the outsourcing guidelines or co-brand. It just we are being

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quite thoughtful about how much incremental risk we want to take in PL given all that we see in the environment.

Rikin Shah: Noted, sir. Thank you very much and wishing you the best for future, sir.

Shyam Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes. Hi, sir. Congrats on a good quarter. A few questions. Firstly on the cost-income ratio, like while sequentially, of course, there is an improvement but still we are fairly elevated at around 53%. So how do you see this over the medium term and what will be the drivers of potential improvement in this metric?

Shyam Srinivasan: We are targeting 50% over a longer period of time, we would have liked it earlier, but it will require us the income momentum further gathering steam because some of the costs are good costs and we don't want to cut down on that, technology, people, and branch expansion costs. So the income flow through on that may be a little lagged. But we have seen good pickup in deposits, as you saw observed in this quarter. That is a consequence of almost 210 branches we added in about an 18-month period.

So we are mindful of this balancing out that we need to do. So we see improvement of about 100 basis points every quarter -- every one or two quarters. So I think getting to 50% will take -

- it's taking longer. We would have liked it to happen earlier, but in the context of having to invest behind these three areas, we can't believe that we can shave that cost off. So I think over the next, you could say four quarters, five quarters, you will start seeing closer to 50%.

Venkat, do you want to add?

Venkatraman V.: Yes, Shyam. Just by way of another data point to add to what Shyam said, Nitin. The spends which the bank has incurred on two of the large elements, good costs, IT and distribution, Q1 over Q1 is almost a 75% increase in cost in just these two lines. It just goes to show that the focus we have on making sure that the spend is in the right area and these are costs which are required to ensure that the ecosystem is in place to sustain the growth rates which we envisage.

Shyam Srinivasan: Nitin, as a boring old hat in the system, I want to comment this slightly fixation on lower cost - to-income is probably a thing that will change in the industry.

Nitin Aggarwal: Okay, sir. And sir, like on slide 15, wherein there are details about the high margin business. So most of the high margin segments are between now INR3,000 crores to INR4,000 crores. So what will be the cost -income ratio in these businesses which all have breakeven? How do you see the like breakeven points for them? So, will this be like a material thing from this cost - income reduction perspective?

Shyam Srinivasan: It should, but these things, by the nature of what it is, I've said in a few earlier engagements, they are still, size -wise, relatively small compared to our close to INR220,000 crores, right? So for it

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to have a bearing on the overall dynamic will take a fair bit of doing. But that requires us to be a little more courageous on the level of growth, which I think is not our DNA. We have to be a little more calibrated on it. So

on by themselves, these are certainly way more income generating and relatively lower cost as long as collections is well in control and we are putting in collection costs there.

On the blended cost income, will this have a material bearing in the nearest term? Like I said, that's -- the numbers I promised of four to six quarters coming closer to 50 is a consequence of all these things working through. By themselves, they are yet not of such size that they can swing it one way or the other.

Nitin Aggarwal: Right. And the last question is on the rating distribution. As in like the BBB and below, this quarter has come down materially. So it's like a 4%, 5% drop sequentially. So what has really driven this?

Shyam Srinivasan: Souvik, do you want to give?

Harsh Dugar: Yes. Harsh here, am I audible?

Shyam Srinivasan: Yes, Harsh, go ahead.

Harsh Dugar: Yes. So last time there was some issues with corporate required rating with the names captured. As a result of that last quarter, we couldn't get the benefit of rating, which is what was pursued. This is what the steady state would be. Apart from that, we are very clear about in terms of the segment which we are pursuing, and above is the most preferred segment and BBB followed by that. So part was a correction of ratings which were not because there were new guidelines that required a specific name of the banks to be there. So that was the reason why it was a little lower in the last quarter.

Nitin Aggarwal: Okay, sure. Thank you so much and wish you all the best, sir.

Shyam Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Pratik Chheda from Guardian Capital Partners. Please go ahead.

Pratik Chheda: Yes, hi. Thanks for taking my question. Sir, I have a question on the gold loan yields. So if I look at the gold loan yields, it has been coming off past six, seven quarters on a consistent basis, and now it is sort of below 10%. So I just want to understand what is the reason. Is it -- are you lending to higher ticket sizes in gold loans or is there any specific other reason?

And I mean, I understand, obviously, NBFC is a way ahead in terms of yields, but even the -- even if you look at some other banks, mid -size and larger banks, even they are slightly ahead on in terms of gold loan yield. So what is the reason for such a decline in these numbers?

Harsh Dugar: Yes. Harsh here. Three, four reasons. One is the ticket size, which we have as compared to that of an NBFC is almost threefold. And as a result of that, the cost to income is also different, so not technically comparable. Then -- they have a different cost structure, we have a different one,

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and definitely are -- ticket prices are definitely larger than them. The competition which we get

is largely from the PSU bank. That was one.

Second point, which I would like to add that if you recall, a year before, there was almost a price war where everybody was falling over each other because of which significant price cuts have been given. This seems to be getting corrected. Another point which is not covered over here is that the fee. The average fee -to-asset ratio in gold has been steadily rising and it's about 85 basis points, 86 basis points at this point in time.

Apart from that, there are certain benefits in terms of capital requirements, in terms of PSL benefits and other -- and no loss ratios. So has the rates bottomed out? The answer is yes. And we -- actually steadily, I think we're going to move up. What is not shown over here is the increase in the fee income, which is also contributing towards the overall yield on the portfolio.

Pratik Chheda: Sure. So what I'm understanding is the direction, at least, this is bottomed out and the direction is on the upper side going forward.

Harsh Dugar: Absolutely. Yes, it is. Absolutely.

Pratik Chheda: O

kay, great. So the second question, so you prescribed one of the reasons, as for the good show on deposit as branch addition. So just wanted to understand in the next, say for the 12 months to 24 months, what is the branch addition plan?

Shyam Srinivasan: We added, like I said, 140 in the last financial year. We are targeting in that zone to 100 or plus depending on how our costs shape up. But we believe what about 100 branches this FY. We will do about 40 -odd in the first half and the balance in the second half. That's how the teams are preparing for. And I think that's what will happen. Shalini, would that be right?

Shalini Warriar: Yes, Shyam. So around 40 by the end of September and then the balance somewhere between 60 to 65 in the second half of this financial year. So that's the plan. And in a slightly more longer term, people continue to look at this calibrated. I just want to add that distribution branches are very critical and form a very core component of our distribution strategy. But there are other components of distribution also which we refer to in our deck. Whether it's in the form of relationship management expansion, whether it's in the form of more effective utilization of our very, very good DC network that we have. So a combination of all that will ensure distribution is expanded. Branches per se, the numbers are as Shyam and I referred to. Okay?

Pratik Chheda: Okay. Perfect. Thank you very much.

Shalini Warriar: Thank you.

Moderator: Thank you. The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Yes, hi, good evening. Thanks for the opportunity. Firstly, Shyam, congratulations on a fantastic innings at the bank and congratulations on a great quarter as well. So, my first question is on the deposit growth again. Now, I think -- so if we look at your deposit growth, you're tracking at Federal Bank Limited

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20%. Even quarter -on-quarter, it's very strong. The system is tracking at something like 11%. So you're growing at double that pace.

So what are the -- what's driving this outperformance on deposit growth? I think in your initial commentary, you spoke about NR flows. The data you've given in the presentation, it's only showing 1% quarter -on-quarter on NR. So if you could expand on that. And between that and the new branches contributing, what's driving this outperformance? Yes, that's my first question. Shyam Srinivasan: Thanks. Thanks, Param, for all the nice words. I'll give you one line and then Shalini, she explained it beautifully in the Board, so she'll give it to you. Firstly, on the NR, you mentioned 1%, but remember, we were de -growing for two quarters, so the comeback is quite strong. We reversed the negative growth, so that is the positive. But Shalini will give you more texture around how scorecards have been altered, how products -- Shalini, maybe you can comment on that.

Shalini Warriar: Yes. Thanks, Shyam. Thanks for the kind words on the deposit growth, something that we've been working on. As I said at the Board earlier internally as well as I tell my team very often, there is no one single silver bullet that works for deposits. And over the last probably three or four quarters, in particular, we've been very, very focused on making sure that the franchise has a whole kind of calibrates ourselves towards deposit growth. So in that direction, a few initiatives that have been taken -- that have taken place and we're bearing the good benefits of that.

One, we are still -- the distribution is largely branch -led. In addition to the new branches that we spoke about, our existing branches are obviously a treasure trove for catchment area banking, and therefore, we've done some calibration on their scorecard, which recognizes the role that they play on deposits and how we can make sure that we get more deposits through them. This

is both new to bank customers, which has been specifically kind of highlighted in the scorecard, and deepening of our existing relationships.

We've done a range of changes that we needed to do from a process standpoint. In particular, non-resident was something of concern for us, so we streamlined a large part of the account opening process on the NR front, both for non-resident NRE accounts and NRO accounts, both now are very heavily digitally oriented, subject to large KYC requirements has helped us from a process standpoint.

Digital, a large part of our customer base is very dependent on using digital. In particular, our non-resident customers are heavily dependent on digital technology. We've calibrated and introduced a range of capabilities through WhatsApp, through FedMobil e, etc., to cater to them. And the new products, we launched Stellar, which is a very unique savings bank product. We launched that in February of this year. We added -- for the current accounts, we added soundboxes as a capability. So many, many initiatives. But like I said, if you put it across product, process, digital scorecards, all of that coming together has truly helped us. We do believe that this trajectory will continue. The teams are well-gearred to do that. And it's also evident in the fact that we're gaining market share on deposits. So, we'll continue that. Every
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quarter, you'll see some product innovation or the other, as well as some process changes and some digital capabilities being launched.

Param Subramanian: Thanks, Shalini. That was really helpful. So it could be fair to say that this sort of 18% to 20% deposit growth is something that you think is sustainable, right?

Shalini Warriar: Yes. That's what we're working towards. We're gaining market share. Literally every fortnight, we look at it like a very -- with a microscope as to where we've gained market share, but that's the expectation, yes.

Param Subramanian: Perfect, perfect. Thanks for that. My second question is on asset quality to Shyam. Shyam, we've actually heard quite a few banks and even the NBFCs call out credit cost pressures in unsecured retail, in credit cards, in personal loans. So I know we have a small portfolio, but it's been growing very fast for us. So if you could shed some light on how the asset quality is showing up in our own portfolio? Yes, that's it from me.

Shyam Srinivasan: No, I think overall, the mix of slippages in a quarter, in retail, if you see for almost six, seven quarters, been in the INR210 crores to INR240 crores per quarter, despite a good denominator growth. So it's only a sustained outcome. Now, within that INR240 crores, you could see some plus/minus, some home loan reduction, but increase in credit card slippages. But I don't see it going out of hand and turning the tide.

So in the ballpark, in the vicinity of about INR240 crores, which is roughly about 55% to 60% of our overall slippages. Our book slippage is about 0.8% this quarter. Normally, we are well below 1%. So I think in that 0.8% -odd, we may see about 60% coming in from retail. Of that, the mix could be plus/minus, depending on how our home loan, lab, credit cards, personal loan is. But at this juncture, it doesn't look anything substantial.

Param Subramanian: Great, great. Thanks a lot, Shyam. All the best. Thank you so much.

Shyam Srinivasan: Thank you. Thank you, Param.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes, hi. Good evening and congratulations, Shyam, for a very long and satisfying career. Thanks for all your wisdom and insights shared. I have a few questions, sir. First on, I mean, the previous participant also asked on the deposit growth, which -- so you have been industry-leading so far on both Y-o-Y and Q-o-Q basis on the deposit growth

. At the same time, your cost of deposit has also seemed to have declined, right, Q-o-Q.

Now, in the previous quarter, you know, SBI and maybe some other large private banks, they had raised their TD rates, minor upwards. With your expectations of continued healthy deposit growth, would you believe that your -- you need not tinker with your rate and your cost of deposit is broadly flattened at your end.

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Shyam Srinivasan: Thanks, Jai. Thanks for the nice words. See, I think it's very hard to say that it will be -- we can't tweak with rates because these are super dynamic. We have made general criteria that we don't want to grow credit too far ahead of deposits. So fund before you lend is one. Two, we want to respect our LCR and CD ratio criteria. If that means we need to price some buckets more attractively to get deposits, we will. So what we are trying to stay away from going into, large-category bulk deposits or purchase deposits, but go after client deposits.

Thankfully, in the quarter that went by and even in the previous, we've been able to deliver on that. I think that capability will continue into Q2 and Q3. We are also actively retiring some of our high -cost borrowings and replacing with relatively attractive for the customer, but lower cost for us, a blended rate. So, we are able to manage the cost of deposits but yet keep the momentum going.

Jai Mundhra: Right. And sir, if you can call out your LCR -- average LCR for the quarter? And in your view, what kind of changes could there be in the LCR framework if RBI were to strengthen it, maybe in terms of run -off rates or it could be something else?

Shyam Srinivasan: I'll give you the sort of basic logic on LCR, right? If we are getting good quality, attractive client, sticky money, it's a big plus. So we are going after that quite intensely. Second, as a consequence, if you have a lesser short -term borrowings, it helps again. Third, if it's -- the borrowing is not from a financial services institution, it's even better. So there are many constituents of this LCR and our teams track it up to me, on a daily basis we watch it, and take very instant corrective actions should things start looking out of range.

We are in -- we have a threshold in the bank in the 105 to 120 kind of band is where we want to be. We are right now operating in that band and we have to keep sort of constantly calibrating, like I said in an earlier instance, LCR/CD ratio and the eagerness to grow credit too far ahead of deposit, we have to rein in. So broadly with this criteria and the LCR band between 105 and 120, we are operating.

Jai Mundhra: Great. Okay. And sir, there was a question on non -stop opex, I think you mentioned sometimes, but I just want to check the growth has been like 30% Y -o-Y. Partly, we have been growing high-yielding, high -touch retail segments. So is this -- is there any one -off or how should one look at the non -staff opex growth for the next maybe one -year, two -year types?

Shyam Srinivasan: Venkat, do you want to comment?

Venkatraman V.: Yes, Shyam. Yes. I think there is no one -off in the non -stop opex, which you see in this quarter. And to your question about how do we see this going forward, it would be in the similar lines and on the teams which we've mentioned earlier in terms of investment in distribution, technology, and control systems, whether it's audit systems or compliance systems, a combination of all this.

And we don't see the rest of the cost would all be directly variable to the business growth. So, largely, if you see the cost pertaining to distribution and tech would be ahead of other spends in terms of percentage. But most of the other way, expense would be variable to business growth and in line with the current -- around the same levels of cost -income ratio.

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Jai Mundhra: Sure. And lastly, sir, what would be your total -- I think you used to give the total employee number. I think that is not given this quarter. What is the staff count? And if you were to bifurcate to IBA -linked and maybe CTC model, a broad number?

Shyam Srinivasan: Total headcount is about -- somewhere in the vicinity of middle 15,000. 15,500 and change. We are largely IBA -linked, Jai. We don't -- a maximum of about 1,500 people, 10% is not in the IBA.

Jai Mundhra: Right. Okay. Sure, sir. And lastly, sir, if you could answer, I mean, this is a bit intriguing question that you have appointed your successor, a worthy successor, but he had resigned much earlier before taking his job and getting an RBI approval -- final RBI approval. So if you would like to comment here to the extent possible. Thank you.

Shyam Srinivasan: Two -- three things. Three things here. First, I did not appoint my successor, my Board and RBI did. And we certainly welcome and he is a high -quality professional, as you mentioned. I think you're asking the question, he resigned there and he got the appointment later. It's probably the question. I don't even know if they are linked, Jai. I think he resigned, maybe did not want to hold any job while he's in discussion with another opportunity. I can't quite comment. But other than that, I really have nothing to offer other than say that I've known him for long and he's a high-quality professional. And I'm sure the bank will greatly benefit by his presence here.

Jai Mundhra: Thank you and all the very best, sir.

Shyam Srinivasan: Thank you. Thank you, Jai.

Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Yes. Hi, sir. Hi. Thanks a lot for the opportunity, sir. So, sir, firstly, like, on the network side, so like, if we exclude the profit for this quarter and the accretion that we have done, INR339 crores, there is some more addition to reserves is there. So what is the reason behind that, sir? I couldn't get it completely. So I am deducting the profit and INR339 crores that we have accreted to the AFS reserve. So what is the residual number could be?

Shyam Srinivasan: Venkat, Mani?

Venkatraman V.: Well, it's only the INR339 crores and profit, there's nothing else material which is coming.

Rakesh Kumar: Okay.

Venkatraman V.: And share premium.

Shyam Srinivasan: And share premium will be there. That's in the normal premium.

Rakesh Kumar: Share premium will anyway come into the total reserves. Anyway, okay, I will discuss it offline, sir, maybe. Sir, this total miscellaneous income, sir, as you explained, sir, we have PSLC gain.

But this number is quite volatile. Like, the full year in FY '24, we had INR635 crore s. In this quarter, we have INR227 crore s. So how do we, like, see this number? And out of this INR2,700

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crore s total written -off pool that we have as on March '24 approximately, what is the recovery number that is sitting in here, sir, from the return of pool out of INR227 crores?

Venkatraman V.: That's about -- approximately INR30 crores sits on return of pool.

Rakesh Kumar: And INR90 crore s from this PSLC, sir?

Venkatraman V.: Yes. 90 PSLC and approximately around 50 from the revaluation .

Rakesh Kumar: And the remaining, sir?

Venkatraman V.: Last year also we had. There's a dividend from our AFLIC, which is our...

Shyam Srinivasan: Life insurance partner.

Venkatraman V.: Yes, insurance -- associate company.

Rakesh Kumar: So remaining dividend, sir, like excluding dividend, how do we see this number, sir? Like the PSLC gain and recovery on return of pool for the remaining three quarters?

Venkatraman V.: Like we said earlier, every year in Q1 you would see the PSLC upon coming and dividends coming in. So incremental, what you should

see is around that INR50 crores -odd number on

reval and INR40 crores , which we got from the additional PSLC. And as we grow, the PSLC income will also continue to grow, we'll be able to get more income from it. And recovery from return -offs is again something, these are all small accounts and we continue to recover from it .

There is no big chunky number in this quarter's recovery from written -off.

Rakesh Kumar: Got it. Okay, sir. Okay. Thanks a lot, sir. Thank you.

Moderator: Thank you. The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: Yes. Hi. I hope I'm audible. First and foremost, hearty congrats to Shyam, and the team you have built up over the last many years. The true test is how you leave the organization from the time how you found it. I think you're leaving it in much, much better shape. I think all credit to you as you don't get due credit, you don't even seek it, but I thought that was relevant. You'll be missed.

I just had one query. I mean, in the last three, four years, and probably even earlier than that, you've been very particularly focused on making sure risk is the first thing that you tend to address. There is now a tendency that your yields are sometimes probably the lowest in the system. I'm not talking about the yields that you report, but I'm saying in general, when you look at asset classes, we tend to find that Federal Bank is amongst these lowest -priced banks, right. So you get of course the creamiest asset, but it comes at the cost of you probably underpricing yourself. Is there a good risk you are leaving on the table sometimes? I mean, could you just throw some light around how you want to triangulate, revisiting the portfolio versus not taking the unacceptable risk?

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Shyam Srinivasan: Thanks, Krishnan. I think we've tried very hard to ensure that balance between risk and growth, and we want both as in low risk and high growth. But it's always the tough act. In each business, we have very tight criteria for how much we want to take. But the idea of our growth and I hope it's vindicated and validated across time, we want to be a banker and not a lender. So if I give a AAA or AA or an A, a very attractive credit pricing, then we ask for more business from that customer.

As a consequence, if we see our corporate banking, commercial banking, other income is growing quite smartly. Our PSL, which was we were deficit 2.5 -3 years back is now a revenue - generating opportunity is only because we have gotten those assets which are helping us -- our PSL go up and therefore we are able to sell and make.

Harsh explained the gold loan philosophy of how price right on the interest rate. But 80 -odd percent -- INR80 crores, INR85 crores is fee income. So I think we are trying to keep that balance. So I want to believe that lagged credit costs on our book applied on our margin, we are not widely off from better banks. You know the industry better, but somebody has a NIM of

3.75 and a credit cost of 75 on a sustained basis.

In our case, 3.20 NIM and 30 basis point credit costs, we are not like wildly off. That we are not recognized for it is a quirk that I have never been able to explain, but I think the reckoning has come. We will get recognized and probably rewarded too. But we've held quite tight on that and I think we shouldn't go away from that is our belief, Krishnan.

Krishnan ASV: Understood. That's helpful. I mean, if I have room for one more question maybe. You did mention something about NRE deposits in your opening remarks. I don't know if this was addressed subsequently, I might have lost it. But just wanted to understand what helped you claw back your way into the NRE deposits this quarter. Why do you believe that's sustainable now?

Shyam Srinivasan: Yes. I think maybe, Param from Nomura asked that question and Sha

lini explained, but I'll try

to add some value. First is we didn't lose share of NRE as much as NR deposits were coming down into India. It's not like we were gaining share, but the quantum was coming down. What has changed and improved in the quarter that went by and even in the first month of this quarter is encouraging is that to some extent, money has started flowing in probably because one, our own tweaking of our scorecard of our people, encouraging them to go much more into deposits than any other product. Second, these are all sort of our guessing but borne out by some data. The period that -- this started post -COVID, right, towards the back end of '22, '21 and early '22 is when this two -year period of people, NRIs bringing in less money was visible or whatever was coming in remittances were not coming into deposits because people were paying off loans, setting up small businesses, doing whatever that money goes into for various other instruments. We are now thinking that era is over. Their loan payoff is typically two years into that. They've probably sorted that out. So, money -- the remittance is coming into deposits also. Remittances were not shying away. Remittance was not converting into deposits. I think that's the biggest change that has happened in the last 100 -odd days.

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Krishnan ASV: And that's largely the system tailwind rather than the Federal Bank having had to do something, right?

Shyam Srinivasan: No, no, no. Federal Bank's strength has been great ownership and relationship and percentage of clients who bank with us. So what Federal Bank is benefiting by that is aiding the money, client behavior shifting from only into paying off loans and spending into deposits, and we are benefiting from that.

Krishnan ASV: Perfect. Very helpful. Thanks a lot. And -- Yes, sorry, Shalini, I think...

Shalini Warriar: No, I think Shyam supplementally addressed it, Krishnan. So it's not just the kind of -- only the environment changing, but a lot of interventions from our side have also helped.

Krishnan ASV: Okay. It's very helpful, Shalini and Shyam. Thanks a lot. Wish you all the very best Shyam personal -- in your personal capacity and obviously to Federal Bank as a franchise.

Shyam Srinivasan: Thanks, guys. Thank you.

Shalini Warriar: Thank you.

Moderator: Thank you. The next question is from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Prakhar Agarwal: Yes, hi. Thanks for the opportunity. Just a couple of questions and sorry if I'm being repeated. Why -- what would explain the cost of deposit decline on a sequential basis? We probably have around 6 basis points of reduction. What would rather explain this?

Shyam Srinivasan: Venkat, do you want to go?

Venkatraman V.: Yes, Shyam. Sorry, can you just repeat? I was just talking to...

Shyam Srinivasan: Yes. I was saying there was a 6 basis points of decline in cost of deposit on a sequential basis. What would explain that?

Venkatraman V.: Just one second. To a large extent, in our case, the interest payable is once a year in March, in Q4, which you saw in last quarter. So if you exclude that, that's the reason why you see the difference in this quarter. That's the main reason.

Prakhar Agarwal: Okay. And in conjunction to that, last time Shalini mentioned that margins probably for the full year, maybe 2 basis points to 3 basis points higher than where we closed for FY '24. Do we maintain that stance or probably given what we have seen in Q1 and probably some -- what is our stance on that strategically?

Venkatraman V.: Yes, I think like what Shyam mentioned at the beginning, margin, at this stage, we expect it to be around the same levels, at least for the next couple of quarters. And then since entire deposit pricing is very dynamic, we will review it post that. So at this stage, we expect the margins, NIMs

to be around similar levels as we saw in Q1.
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Prakhar Agarwal: Got it. And just one last data -keeping question. There seems to be some reclassification in the gross advances across various buckets on wholesale. Could you explain what is the changes and what is the rationale around the same? So prior period number has also been restated to some extent.

Venkatraman V.: I didn't get your question, sorry. Sorry, I didn't get your question.

Prakhar Agarwal: So when I look at your gross advances and the composition of that, there seems to be some reclassification in the prior period quarters as well. What explains that and which are the segments that we've changed, so across various segments we have changed?

Venkatraman V.: Let me check and we come back to separately on that. I don't have the numbers in front of me now. Yes.

Prakhar Agarwal: Sure. Thank you, I'll wait.

Venkatraman V.: I don't recollect any major reason for the reclassification, but I'll check and come back.

Prakhar Agarwal: Sure, sure. That helps. Thank you so much. That's it from my side.

Venkatraman V.: Thank you.

Moderator: Thank you. The next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: Hey. Hi, Shyam. Thanks a lot for what you have delivered at Federal. Love the interactions that we've had in the last 15 years. A few very basic questions from my side. Just wanted to understand, what was the LCR that you've reported for the end of this quarter?

Shyam Srinivasan: I don't know if we have reported a number, but I guided that it's in the 105 to 120 bracket, which is our guideline. If I recall right, it's about 111 or 112.

MB Mahesh: Okay. Sir, just checking on this deposit -- on the balance sheet for the quarter, there has been improvement in the deposit book as well as the borrowing book, which was a bit more than what was the need for the -- what the balance sheet was showing. Just trying to understand what you have done here. Because borrowings is up from INR18,000 crores to about INR22,000 crores, and the deposit book has also gone up. Any reason for the increase in borrowings from your end?

Shyam Srinivasan: Lakshman, are you there? Or Venkat?

Lakshman V: We have had -- Yes, so we've had some refinance happening. Beyond that, our liability, some amount of our activity goes into the investment activities for the treasury book as well, and some products around that. So the refinance plus this, it would answered a part of what you're asking.

MB Mahesh: Okay. Sorry, the second question was to -- was a continuation of the previous one. I think what you've done is that you've reclassified the agri book, as well as the gold loan portfolio within retail and on the agri side. But if you look at the gross NPL line, which is in slide 34, that NPA

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number continues to remain the same at INR930 crores, whereas against that if you look at the agri book, which is in slide nine, which is about INR7,684 crores, the NPL ratios in the agri book looks to be fairly high. Are we all looking at the right set of numbers here?

Shyam Srinivasan: Souvik, you can reconcile that and share it with them.

Venkatraman V.: Yes, we'll come back to that.

Souvik Roy: Sure, I'll do that. Mahesh, I'll share it with you. It's not really reclassified, what we have done is we have just taken out gold as a separate entity, I'll have a separate chat with you.

MB Mahesh: You have taken it out on one side, whereas on the other side, when you look at the gross NPL book line and the slippages line, we don't know whether the two talks to each other, that's the only thing.

Souvik Roy: Understood, Mahesh. Understood. There is a rationale behind there. I'll come back to you.

MB Mahesh: Okay, perfect. Last question, sir. Have you reached a point where

you've started -- you've had

to invoke FLDGs on your, let's say, MFI partners or things on the ground continues to remain fairly okay? Just wanted to check on that...

Shyam Srinivasan: As of now, everything looks okay, Mahesh.

MB Mahesh: Okay, sir. Perfect. Done. Thanks a lot for this.

Shyam Srinivasan: Thank you. You and Krishnan, I think are the longest in this conversation brigade we have had for 15 years.

MB Mahesh: Is it good or bad, sir?

Shyam Srinivasan: Time will tell. I think you and I have served in the same company. Krishnan has had four.

MB Mahesh: Yes. We shall cheers for that.

Moderator: Thank you. The next question is from the line of Pranav Tendulkar from Rare Enterprises. Please go ahead.

Pranav Tendulkar: Hi, Shyam. No questions this time. Just thanks a lot for being at it. And I can certainly say that in that mid-cap range of banks, our bank is one of the best in terms of technology and various tie-ups and various improvements that we have done over 10 years. So just a thanks -- thanks.

Big thanks.

Shyam Srinivasan: Thanks, Pranav. I know one person would have been happy with us was the big boss of your organization.

Pranav Tendulkar: Yes sir, definitely, definitely. Thank you, sir.

Moderator: Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead.

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Anand Dama: Yes. Hi sir, thank you for the opportunity, and really thanks for you being there. Sir, my question is basically, you had such a long career in Federal Bank. There were a lot of ups and downs that you would have seen. Now that the new MD is going to come, basically what would be the ask from the new MD? Any unfinished business that you believe should be taken up on a finality basis, particularly on asset side, liability side, people? Don't know anything basically to be done on the technology front because I think there we have done a lot.

Then the another part is also basically the co-lending arrangement. I think you certainly led this co-lending, co-sourcing kind of arrangements very well on the liability and the asset side. But somewhere it seems like, they're not too happy with these kind of arrangements? And I think being it gold loan sourcing business or on cards something or the other has cropped up. So maybe a better engagement with RBI. So any ask or basically answering that you will want that you have to take it up on time.

Shyam Srinivasan: Anand, I think that's like a very difficult to answer because I think the -- these are journeys, right? There's always something and something more to do. I'm sure when Manian said this, comes in here he'll find through his pair of eyes many opportunities and things that can be dialed up. But I think all I would say is the core of the franchise is super intact and the team is like, quite excited. There will be lots of things, right? How do we expand margins? Which other new geographies we can scale up?

But at least for eight, 10 years, the Board and we've been saying, we want to be the most admired bank. And that is a hard journey. On every count, we want to be good. On governance, on credit quality, on employee engagement and client service, NPS ratios. So I think it's going to be one sort of, hopefully, a good journey. But this is far from over. A lot can be done, a lot will be done. But margin expansion would be one big agenda item and I would think seeking greater market recognition also will be another one for him.

Moderator: Thank you very much. The next question is from the line of Saket Kapoor. Please go ahead.

Saket Kapoor: Yes. Namaskar, Shyam, sir, and thank you for this opportunity. Sir, with the end of the first quarter, so what should be our NII growth trajectory for the current year? And what should be the number for slippage and recovery as a percentage of book or an absolute number if you could give

us some understanding?

Shyam Srinivasan: Sir, I think the answer to that is, we are guiding for overall credit costs to be around 30 basis points, 35 basis points, right? So everything is subsumed in that. Interest income, I also said, will match credit growth. So those are the two metrics we are working on. And as a result of it, the momentum on profitability and ROA should keep flowing through.

Saket Kapoor: In terms of exit for the year, what should be the numbers that we should keep in mind in terms of NII and ROA?

Shyam Srinivasan: No, ROA we've been saying we are at about 1.27%, we believe we'll get to around 1.30%, 1.35%. And that automatically means improvement in the run rate on interest income also.

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Saket Kapoor: Right, sir. Sir, on the employee cost, I think, so Q4 we had a higher provisioning of the early prior period also. So this number of 7 -- the current quarter number of employee cost of INR738 crores is the one which we should analyze?

Shyam Srinivasan: Venkat, would that be right?

Venkatraman V.: Yes, that's correct. Just some minor non-IBA stuff, is there any changes that would come in. But largely, yes, that would be the staff cost.

Saket Kapoor: Okay. And in terms of the repricing of deposit, you did alluded to the fact of 20% deposit growth

that we are working with. So in terms of the repricing of the deposit, what percentage of the total deposit are being repriced to and what are going to come for repricing for the current year in percentage terms or in absolute number?

Shyam Srinivasan: I think that will come in our annual report very soon. You'll just see that by vintage the book maturity. In the next week, you will see. In the next two weeks, you'll see that in our reporting.

Saket Kapoor: Okay. And lastly, a question to you, Shyam, sir, with closing remarks. We know you being a banker for an elongated period and what should we take into account going ahead? Because as an illustrative career, people will always be pursuing their ambition. So there are regulatory norms and things which do not allow you to be I think so a part of this organization going ahead.

Please correct me in my words and if the choice of words are wrong.

So going ahead, can we look at Mr. Shyam as a banker with another institution giving his valuable insight and guiding another set of institution to another milestone going ahead? Or are you on the verge of hanging your boots once the 22nd September comes in?

Shyam Srinivasan: Certainly, calendar '24 I have no other than working in Federal Bank and signing off. In '25, we'll figure out. But I'll continue hopefully with the regulators permitting to be associated with the bank in some fashion or the other. Otherwise, I don't have any executive role responsibility aspirations.

Saket Kapoor: With other institutions also, sir? You are not aspiring to lead any other institution?

Shyam Srinivasan: This is my biggest baby in life. So this is my job. This is my bank.

Saket Kapoor: Okay. Right, sir. So all the best to you, sir, and best wishes from investing community, shareholders at large. And sir, last point on the other income, if you could give the -- we have provided the granular details. So, on a consistent basis, what should this number can be? Because we have highlighted this to be the highest other income number wherein I think so the major component has been the reversal in recovery from the return of assets at the highest at INR227 crores. So, on the other parameters like loan processing, card, parabanking, and other ones, what should be this number that should be consistent going ahead depending upon the nature of the...

Shyam Srinivasan: We're working to taking it to 1% of our assets. Currently, it's 0.8%, 0.9%. We're working to take it to closer to 1% of assets.

Saket Kapoor: Right, sir. Thank you once again, sir, and all the be

st. Thank you, sir.

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Shyam Srinivasan: Thank you. Thank you so much. Souvik, if there are no other questions we can bring this...

Souvik Roy: Sure, sir. We'll probably wrap it up.

Venkatraman V.: Souvik, just before we close, can I just take a couple of minutes?

Souvik Roy: Please, sir. Please.

Venkatraman V.: Thank you. Shyam, on behalf of everyone in the bank and the investing community, I take this opportunity to thank you from the bottom of our hearts for the transformational journey, which you have led this bank from 2010 till now. Though we have these calls with the investing and analyst community on a quarterly basis, it's only fair when we step back and look at what the bank was in 2010 and where we are today. It wouldn't have been possible without your leadership. So big thanks from all of us and we wish you all the very best in your future endeavours. Thank you.

Shyam Srinivasan: Thanks, Venkat, you're very kind. But to our entire friends in the investor community, I've said this and now I can say it with even greater courage and conviction, don't look further. This is the best bank you will ever see. And I genuinely mean it. Every time I've said, you see what you see is the truth in this bank. And I'm sure you will all accept the fact that at least if nothing else, our balance is playing out quite well. So thank you very much. And for those of you who have been with us throughout, thank you so much. Thank you.

Venkatraman V.: Thank you all. Bye.

Moderator: Thank you.

Shyam Srinivasan: Thanks, everybody.

Souvik Roy: Thank you so much.

Harsh Dugar: Thank you, sir.

Shalini Warriar: Thank you. Thank you, Shyam. Thank you, everybody else. Bye.

Moderator: On behalf of Federal Bank Limited, that concludes this conference. Thank you for joining us.

You may now disconnect your lines.

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

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Dear Madam/ Sir,

Sub: Transcript of the Earnings Call for Un-audited Financial Results for the quarter and nine months ended December 31, 2024, and Business updates .

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited ("the Bank") for the un-audited financial results for the quarter and nine months ended December 31, 202 4, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

<https://www.federalbank.co.in/documents/10180/1124357561/Transcript+Q3FY25.pdf/e3e03011 -fc33 -4593 -f043 -bacb680c47e1?t=1738070854398>

We are also enclosing the transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

Encl: As above

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The Federal Bank Limited
Q3 FY'25 Earnings Conference Call

January 28, 2025

MANAGEMENT : Mr. KVS M ANIAN – MD & CEO

MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN – GROUP
PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. LAKSHMANAN V – GROUP PRESIDENT &
HEAD (TREASURY)
MR. DAMODARAN – EXE. VICE PRESIDENT &
CHIEF RISK OFFICER
MR. MAHESH R – SR. VICE PRESIDENT & HEAD
(LOAN COLLECTION & RECOVERY)
MR. RAVI RANJIT - SR. VICE PRESIDENT & HEAD
(PLANNING)
MR. MANIKANDAN M – DEPUTY VP & HEAD
(FINANCIAL REPORTING)
Mr. S OUVIK ROY – AVP & HEAD , INVESTOR
RELATIONS

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Moderator : Ladies and gentlemen, good day, and welcome to the Q 3 FY25 Earnings Conference Call of The Federal Bank Limited .

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Souvik Roy, Head Investor Relations , The Federal Bank Limited . Thank you, and over to you, sir.

Souvik Roy : Thank you and good morning, everyone. Thank you for joining us on this early call today. We truly appreciate your flexibility in accommodating this one of schedule change and we are hopeful to return to our regular timelines moving forward.

Most of you know, we have scheduled our analyst meet on the 21st of February at Trident BKC, which was announced on the exchanges a while ago. Given the limited seating capacity, we encourage you to register at the earliest. Registration will certainly close by 30th of January and confirmations will follow in early February. At the analyst meet, we will discuss our strategic roadmap in greater details.

But for today, let's focus on the quarter that went by and the progress that we've made. This quarter is particularly noteworthy as it marks the full first quarter under the leadership of our new MD & CEO, Mr. KVS Manian. And joining in today as always is a senior leadership team who are here to address your questions, provide deeper insights into the numbers and key developments.

With that, I am pleased to hand over the call to Mr. Manian over to you, sir.

KVS Manian : Good morning, everyone. Thank you for taking the time to join us today.

This moment is particularly special for me as it marks my first opportunity to address you after completing my initial quarter as the MD & CEO of Federal Bank. I want to begin by expressing my heartfelt gratitude for the warm welcome I have received and for the incredible support from this remarkable team.

The last three months of 2024 have been quite a learning curve —perhaps more accurately, a 'listening' curve. This period has been a journey of exploration, understanding, and, most importantly, listening through a process that I called my 'Listening Tours,' where I travelled extensively across all the zones, meeting with over 2,000 Federals. When I visited each of the nine zones with the sole intention of listening, I gained a deep understanding of how our bank operates. I heard the aspirations, ambitions, and apprehensions, and I also witnessed the fierce pride that the team has as 'Federals.' I have endeavoured to make these exchanges a two-way

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street, to exchange ideas, challenge norms, and forge a new way of thinking within the bank — one of being astute, agile, and alert, what I call the triple A culture.

From these interactions, and others, we have formulated a detailed strategic plan, which reflects the collective aspirations of our people. This plan is not just about scaling; it is about scaling with purpose, with responsibility, and with quality. It is about building a future where every aspect of what we do —whether it is the quality of our franchise, our earnings, our people, or our service —is held to the highest standards.

When I presented the strategy to the board, I emphasized our aspiration to gain more relevant

scale beyond Kerala. As we look ahead, we need some breakthrough effort to make this happen. Our priorities are clear. This quarter, we made pivotal decisions that I would call a strategic reorientation without disruption. These changes are essential for creating a solid foundation on which we

can build Federal to the next level.

While reorientation is never an easy task, I am proud that my team has embraced these adjustments with remarkable clarity and purpose. The transition process to these new changes is smooth, focused, and largely free of disruption. As we recalibrate our strategy, we are firmly grounded in a philosophy of granular growth —growth that strengthens the very foundation of Federal Bank. It is abundantly clear that high-value deposit-driven asset growth is not our path forward. While such growth may appear impressive in the short term, it is inherently risky and unsustainable.

Our reorientation on the liability side of our balance sheet has been a critical pillar of our overall approach. We have implemented several changes aimed at improving the quality of our liability base, and I am pleased to report that we are seeing clear and tangible signs of progress. One of the most significant changes has been shifting our internal focus to Average CASA as a key metric. This shift is both operational and cultural, aligning our internal scorecards with a more meaningful and sustainable measure of performance.

Externally, we have ensured that our reporting reflects this strategic shift as well. Implemented two months ago, the impact is already evident. While our EOP CASA shows a decline — primarily due to a drop in wholesale business current accounts —our average CASA metrics tell a much more compelling story: SA averages grew by 2.5% quarter-on-quarter, CA averages increased by 1%, and overall, Average CASA grew by 2.3% this quarter. This shift to average metrics ensures that we focus on quality, stability, and sustainability in our deposit base rather than short-term, end-of-period fluctuations. Moving beyond EOP metrics, we are freeing up bandwidth for our teams to concentrate on more meaningful activities and aligning our efforts with a strategy that genuinely supports the growth and funding of the balance sheet.

We Federals are now better aligned with a philosophy that prioritizes long-term value creation over short-term optics. While our total deposits have marginally dropped from ₹266,563 crore to ₹264,829 crore, it's important to unpack the context behind this reduction. Much of this change is attributable to the strategic changes that I just spoke about. However, if you look

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deeper into the numbers, there are many points that become discernible. Firstly, the end-of-period CASA decline, particularly in CA accounts, accounts for nearly ₹1,100 crore of the reduction. Additionally, wholesale term deposits — specifically those above ₹3 crore —have decreased from ₹37,821 crore to ₹33,848 crore, representing a drop of nearly ₹4,000 crore. The concentration from our top 20 depositors has decreased by 33%, aligning with our broader goal of reducing risk by diversifying our deposit base. Deposits from LCR unfriendly sectors such as the financial sector, have dropped significantly from ₹18,912 crore to ₹13,593 crore, a reduction of over ₹5,000 crore. Furthermore, wholesale deposits plus CDs and IB term deposits have fallen from 19.5% of our total deposit base to 18.2%, reflecting a drop of approximately ₹4,000 crore. This is another step toward de-risking our deposit base and aligning with our quality-first strategy.

On liquidity and deposit-related metrics from this quarter, which reflect our deliberate focus on building a more stable and sustainable liability base. Our LCR has seen a remarkable improvement. Last quarter, our LCR stood at 111%, and this quarter, it has increased to 133%. On the asset side, we have taken significant and forward-looking measures this quarter as part of our broader reorientation strategy. We are navigating these times with measured prudence and strategic foresight, adopting a deliberate and calculated approach. This is not the moment to acc

elerate growth in unsecured lending; instead, we are waiting for the credit cost environment to stabilize before expanding in this segment. While increasing high-yield unsecured loans like MFI and personal loans is not an immediate option, we are tweaking other variables to enhance yields and optimize our portfolio's performance. Our approach to low-yield assets, such as home loans, reflects this strategy, with the segment growing 9% year-on-year and achieving 80% penetration for savings accounts with home loan customers. However, rate competitiveness remains a challenge. Our auto loan portfolio grew 25% year-on-year, despite a slower growth last quarter due to a strategic pivot from a floating rate model to a fixed rate model. In one quarter, we transitioned to 80% fixed-rate disbursements, causing short-term volume and revenue impacts but positioning us for medium-term NIM improvement. Yields in this segment have already shown a small uptick. Our medium and high-yield businesses have grown faster than the book average. Commercial Banking grew 5.65% quarter-on-quarter and 24.5% year-

on-year, reflecting healthy momentum. Business Banking grew 13% year -on-year, with record disbursements in December. Gold Loans increased over 30% year -on-year, though new RBI guidelines may slightly impact growth in the near future. LAP grew 20% year -on-year, with marginal improvements in pricing. The microfinance portfolio remains an area of cautious navigation, focusing on managing risks for long -term sustainability. Our credit card business is growing rapidly, both in organic card sourcing and ENR, albeit on a small base. In our Corporate and Institutional Banking portfolio, we have taken deliberate steps to ensure a prudent and balanced approach, particularly in our exposure to sensitive sectors such as NBFCs and power. By actively managing these exposures, we are reinforcing the strength and stability of our loan book. We are revamping our RAROC framework, ensuring that profitability and risk -adjusted returns remain central to our decision making. We have also made a strategic decision to refrain from engaging in DA business, as it does not align with our broader goals of building a

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sustainable and high -quality franchise. Despite these shifts, I am pleased to report that we have been able to maintain our NIMs even though the cost of deposits has increased marginally. This reflects the success of our proactive margin management efforts, which are already yielding results. Some of the measures we've implemented to improve NIMs will take time to reflect fully, but they are designed to deliver a positive impact over the medium term. To sum up, our asset -side strategy is underpinned by balance, discipline, and a long-term view. We are methodically aligning our portfolio to ensure higher yields, responsible growth, and a focus on quality. Each of these measures—from optimizing low -yield products to pivoting business models and enhancing pricing—brings us closer to a more profitable, sustainable, and well -rounded franchise. While some transitions may create short -term headwinds, they are deliberate choices that will deliver significant benefits in the medium to long term.

Our confidence in the resilience and potential of our asset book remains strong, and we are well -positioned to capture opportunities in the quarters to come. One of the key changes we've made is in our approach to NPA provisioning for retail unsecured loans. We recognized the need to adopt a more robust provisioning framework—one that more closely reflects the reality of potential credit risks in terms of both quantum and timing. This shift is not just a technical adjustment; it's a strategic step to ensure that our foundations are solid as and when we scale this portfolio. By aligning our provisioning norms with industry best practices,

we are creating

a framework that supports sustainable growth while bringing our operating teams closer to the realities of risk management. With this change, while our year -to-date annualized credit cost has increased to 41 basis points, our guidance for the year continues to be 40 to 45 basis points. You would have noticed that we have taken this accelerated provision even while the overall quality of the book has remained stable. There has been a slight increase in fresh slippages rising from 428 Crores to 486 Crores compared to last quarter. This quarter, we have written off ₹496 crore, effectively reducing our net advances. This move is part of our broader effort to maintain a clean and focused balance sheet, ensuring that we operate with a higher degree of transparency and efficiency. These steps represent a significant reorientation of our asset -side strategy. While there has been an immediate impact on profitability due to the provisioning changes, we are confident that this proactive approach will yield long -term benefits. Even more importantly, we have managed to execute all these changes without compromising on our employee connect and engagement.

Our teams remain motivated and aligned with the bank's vision, which is a critical factor in our continued success. I also want to highlight that we have successfully protected our P&L while implementing these measures. The one -time impact of the reorientation on our Profit Before Tax is ₹292 crores. Had it not been for this provision we would have ended the quarter with record profits. What we are effectively doing is keeping the plane flying while refuelling it mid -air. While this might sound risky, let me assure you that it is anything but. We have a clear roadmap ahead, and every decision we make is deliberate, strategic, and aligned with our long -term objectives.

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As I conclude, let me leave you with a thought inspired by my time spent in Kerala as well as something I recently read about what Steve Jobs said: 'Fishermen repair their nets before they set sail.' When the sea is too rough to sail, the smart ones don't wait—they get to work. They mend their nets, sharpen their tools, and prepare for the moment the storm breaks. Even in moments of stillness, there is progress. It's not about waiting passively; it's about preparing actively. Every measure we've implemented this quarter is part of our preparation. We are

building a stronger foundation, sharpening our processes, and positioning ourselves to sail faster and farther when the winds permit. Because even in stillness, there is growth, and in preparation, there is strength. Thank you. Thank you so much. We are open for questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Mahrukh Adajania from Nuvama . Please go ahead.

Mahrukh Adajania : Hi, good morning and congratulations on the new strategy. I had a few questions. Firstly, is the reorientation of deposits and loans complete or will there be some more consolidation even in the current quarter? Or putting it in other words, would it be fair to say that the deposit and loan growth would have been higher if there was no reorientation in the quarter? So, that's my first question and my second question is on margins. So, some of the unprofitable growth has been given up and NII has also grown 3% through Q-Q, which is good. But the reason why NII growth is higher than asset growth is because of average balance is being higher or is there some cost which will pick up in the next quarter? Would there be some quarter end mobilization of deposits which should reflect in the next quarter?

And the last one, if you could explain what exactly was written off because your credit costs excluding the 292 crores is a very small number, 0.5 billion. So,

there's no impact of the big

write-off on credit costs. So, were these all 100% provided accounts or how do we view it? These are my questions.

KVS Manian : I mean some part of it, I will ask CFO to take, but the reorientation part, Mahrukh reorientation is never complete, I think it's a process. We cannot expect it to be over in a month, but like I said, we will balance growth and reorientation all the time, like we have done this quarter, maybe the first quarter where we gave up growth in favour of the reorientation, but we will strike a balance as we go forward. And that process is a reasonably medium-term process I would say. Other questions would Venkat want to take?

Venkatraman V. : I think the other question, Mahrukh you had was on the credit cost, like you've seen the credit cost for YTD is 41 bps. But for this, like you said, the credit cost would have been quite a small percentage. Having said that with this catch up, we do expect even for the full year to remain in the 40 to 45 bps range for the full year credit cost. On the right offs, the right offs are all basically fully provided accounts. So, there is nothing, no impact on the financials. These are fully provided accounts. And this is in line with the board approved frameworks.

Mahrukh Adajania : And margins?

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KVS Manian : So, margins you are right. The NIM improvement was the average advances where average liability and advances is what influenced the NIM.

Venkatraman V. : And there is no other one or for any other. No one else. It is likely to impact this going forward. This is a pure operating performance .

Moderator : Thank you. Our next question is from Jai Mundhra from ICICI Securities . Please go ahead.

Jai Mundhra : Good morning. And congratulations on a steady quarter. In your opening remarks, you mentioned about auto loans, you have changed from floating to fixed . I believe there could be some other products, also maybe gold and maybe business banking, maybe some other products, where you can sort of, if you want to, you can change this. Any update on, you know, this floating to fixed thing, is this completed bank level or there will be some other portfolio where you wanted to do this.

KVS Manian : Yeah, you are right. There are other products where this is possible. In fact, what I did not mention is even in our small business segment, BUB segment, we have moved almost 20 or percent of the portfolio to fixed rate. So, this is a process after like, like I answered in the first question as well. This is a process. We can't do everything overnight, but we are quite clear that there is opportunity to do more of this. And you know that auto, auto finance, most of the industry is on fixed rate, right? So, it was a low hanging fruit to change. And like I said, what is remarkable is probably this month we will do 100 percent of our business in fixed rate from 100 percent variable three months back. So, I think these are all processes which will take transition time, but you are right. There is opportunity to do more in more areas and we are working towards that. ?

Jai Mundhra : So, while you reorient the portfolio and the loan portfolio and at the same time, of course, there are few products related, not otherwise able to grow all out. Your sense on the overall loan growth, would it be when so far we were, a growth leader, if we want to look at across most of the banks, how would this status change, would it be okay growing similar to system level or maybe a certain percentage points over system level, while you keep doing this reorientation?

KVS Manian : Our intention is to get back to a growth which is, I would say a broad number of one and a half times the system growth is what we will typically tend to target. Yes, that remains our target.

The reorientation will take us there at the point in time

me. Yes, like I said, we are preparing for doing better. In my concluding remarks, I did say that we are preparing ourselves for better growth. So, growth, of course, is an important imperative for us. We are not going to forego growth for the sake of this. And gaining market share is an important matrix we want to keep for ourselves.

Jai Mundhra : Sorry sir, so you said 1.5 times of the banking system growth .

KVS Manian : Yes yes .

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Jai Mundhra : And lastly, that on deposits. So, of course, there is a huge competition on deposits. One way to, of course, increase the deposits or maybe CASA is to offer a staggered pay out or staggered offering, which, you know, some of the banks do, they do, and they do it very well. Any thought s on, you know, how do you want to improve the CASA and maybe the granular deposits . That will be very helpful.

KVS Manian : So, I look at it this way. The easy way out is to go and work on the price and get CASA and deposits. I would say that I know the bank now for the last four months, I have reasonable confidence in the bank's franchise and its distribution. I think there is potential to leverage the distribution. So, I think we have to do the hard work part o f it better and get more out of our network and distribution. And I think we have the brand and the franchise to do that. So, my initial reaction to your comment is we will not take the easy way out. We may have to work harder, but we will try to get it mo re granular and qualitatively superior way. I hope that answers your question.

Jai Mundhra : Yes, sir. Thank you . I think in your opening remarks, you mentioned that there are few low hanging schools. I believe they would be there across most of the line it em. I think we have talked about the growth, but if you can also touch upon maybe the OPEX and maybe the other income line items, that will be the last question. As to what kind of a qualitative change that we can see on the OPEX .

Souvik Roy : Jai, given the paucity of time and as this is related to our strategy , better we discuss it on our strategy day. I am sure you will be there .

Jai Mundhra : Sure. No problem. Thank you.

Moderator : Thank you. The next question comes from the line of Nitin Agarwal from Motilal Oswal Financial Services Limited. Please go ahead.

Nitin Agarwal : Hi, everyone. Good morning . We appreciate the steps that we are taking to deliver better results and improvement of profitability over the years. A few questions I have like one is around the slippages. So, if I look at retail slippages overall have been holding very stable. And so, how is the mix trending between secured and unsecured? Any color around MFI segment if you can provide and what is really li ke driving this? The stability in the slippages and retail therefore

KVS Manian: I will ask Harsh to answer this question.

Harsh Dugar : Hi Nitin, this is Harsh here. On MFI, there is definitely a high level of stress compared to what it has been across, mi rroring what the sector has been facing. Comparatively, we have a better asset quality is still holding on. If I look at Q1, Q 2, Q3 has definitely been higher. But if I dissect Q3 into October, November, December, we have seen two -three things emerging. Th e on-time collection has marginally improved in December. And there has been some movement in buckets from SMA2 to SMA1, which is a healthy sign. Is the stress there answer is yes, higher than ever, but better than industry. And it seems, but it's too early for me to comment and say that it seems

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to be at the bottoming out kind of a phase . You could see some pain in Q4, but nothing substantial . And then it should start improving in the field which we get from the sector also.

KVS Manian : And I would say unsecured, these

sensitive advances are still a small percentage of our balance is below 5% . And therefore, while there is stress on that, we have tapered our QoQ growth on these sensitive segments. If you have noticed our MFI segment is flat and personal loan is actually negative.

Harsh Dugar : Actually, the Q oQ growth on MFI is hardly 1%. And cumulatively, between our unsecured portfolio of car ds, MFI and personal loan is just about 5% of our total advances.

Venkatraman V.: And just to add Nitin, the slippage percentage annualized progress is still well below the 1% which we have been guiding over the last many years. It's still around 0.83% of the advances.

Nitin Agarwal : Right. And so, that actually was my second question as to how are we looking at the unsecured loan segment as a part of our strategy to drive ease? Because all along, Federal has always the intent has been to drive the unsecured business because the mix is very low . And now with the decline in P.L. and the ongoing pressures in MFI, what is our strategy there to grow the unsecured business over the next few quarters?

KVS Manian: Nitin, I partly answered that question. As I said that in the short term, just now, I don't think we are going to press the pedal on these segments because it will be like wading into the storm. So, we are not planning to do that. Having said that in the medium term, will we marginally increase this portfolio we will work towards increasing. But philosophically, on e thing I would like to just put on the table is I don't particularly like a dumbbell kind of strategy where you at one end you have very high yielding assets and on other end you have very low yielding assets. And the average doesn't make any sense. So, I like you noticed, we have stepped up volumes in the medium yield segment which is more core to the bank. And therefore, I don't want to be on this trajectory of saying that let's build unsecured to some percent to get our yield. In the short term or yield management will focus also on the mid yield relatively risk-free segments rather than focus on the high yield high risk segment in this environment.

Shalini Warriar: So, I can just add to that to just take off from where Manian left it. Clearly, on the unsecured reach inside credit cards continues to be a focus for the bank because we do believe it's a payment instrument cum a credit instrument and is well positioned given the demographics of the country.

So, we've been growing our credit card business and with adequate emphasis on distribution, product enhancement, etc. So, while personal loans have shown a decline, credit card has been noticed, has actually shown an improvement quarter on quarter albeit on a small base.

Moderator: Thank you. The next question comes from MB Mahesh from Kotak Securities . Please go ahead

MB Mahesh : Hi. I mean, there's this question on these 290 crores of provisions that you have made. If you could just tell us, how did you come to this number? What are the conditions under which it will be utilized? ?

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KVS Manian : Yeah. So, Mahesh, this is basically what we have done is we have benchmarked our provisioning practices to the best in class in the industry and from whatever we know and therefore and what these do essentially, Mahesh is they prepone the debit rather than change the debit. These debits would have happened losses over a period they would have happened. The idea is to recognize them in a timely manner and get them provided in a timely manner because you know many of these decisions we take to grow or not grow are determined by how the profit and loss looks at this point in time and like I said in my introductory remarks, our managers also need to be aligned to the risks that come from the business and it is better to reflect those risks in a timely manner to ensure that the tea

acts at an appropriate time. So, I would say these are essentially timing differences in some ways and not incremental . These costs would have anyway hit us in due course. We have just taken them ahead . Just a lead lag.

MB Mahesh : The question is in the sense that we are not seeing like the front -line points don't kind of make provisions on the from the standard book outside of what is available outside of what contingent buffer that there was created during COVID. So, when you say that I have done this in line with some of the best in the industry , how do you kind of make that comment?

KVS Manian: Mahesh, these are not provisions against standard assets. These are provisions against NPAs. That is why you can see our GNPA s has not gone up and our NNPA has gone down and PCR has gone up. So, these are provisions against NPAs. That is why I said that these costs would have come in any case in due course, we have just advanced them. We were following prudential IRAC norms, but we have improved the norms of provisioning. That is the basic difference

MB Mahesh : So, the second question is that if you look at your early buckets, are there any kinds of stress in the balance sheet building up there? See, the reason of asking this question is that given that this provision has come in this quarter , the worry is that in the next couple of quarters , we are not kind of put in a bit of surprise or with the highest slippages coming in from some of the unsecured portfolios, where there is a little bit of height ed to risk at this point of time. ?

KVS Manian: Mahesh , the unsecured portfolio risk as Harsh e xplained earlier, we can't say it is not there, it is of course there. It is and that is reflected in the current quarter as well, but I do not see significant dramatic change or surprises coming out of that. I think it will be business as usual and of cou rse, the unsecured like Harsh said, one more quarter of pain is there, it will be maybe marginally higher, maybe marginally lower we do not know how it pans out, but we do not expect surprises, on the asset quality.

Moderator: Thank you. The next question comes from Param Subramanian from Nomura. Please go ahead

Param Subramanian : Hi, congratulations on the quarter and thanks for taking my question. Firstly, again on the provisioning rate, so on this 292 cr you called it accelerated, but if you could break it up, between how much was for the back group or how much is for the structurally higher PCR, because we are holding on to this 40 to 45 basis point of credit cost guidance rate, if we are going to be conservative in terms of provision going ahead also, how confident are we of retaining that credit cost guidance.

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KVS Manian: So, like we said, this whole provision, is on existing NPA accounts, it is not on standard book at all, so that is one clarity I am reiterating. And second, we are clear that in spite of changing the norms on the 292 crore has a catch-up effect as well as the current effect, our guidance that we will be between 0.4 to 0.5 continues to hold good, we are reasonably confident of that.

Param Subramanian : Secondly, Manian, this, you know, in the slide 6 of the presentation, we shown the risk adjusted NIMs, so it is down over the last two quarters. Of course, this quarter, you have been affected by the accelerated provision as well. Going ahead, if we are looking at an environment where rates will get cut and we have also added some risk on the book, right, unsecured and say that all this 5 percent of the overall book, so we have suggested margin is despite that. So, how we planning to manage overall margins and ROA going ahead, you know, in that context that, you know, rates might come down, maybe the cost of this is going up.

KVS Manian: So, Param, this is a dynamic thing, I mean, we will have to

watch quarter by quarter, we do not

know when the rate drop happens. Rate drop obviously has an impact on the book, we have a significant book which is floating rate. So, I would say that I would not commit myself on the front foot, I will watch the ball and play.

Venkatraman V.: And also to add to what Manian said, Param, two, three things which he said earlier, the NIM was influenced both by liability and the asset. So, all the work which we are doing on the average CASA growing and all that will continue to help us offset some of the, you know, if the rate drops, if the rate cut happens. Secondly, the pivot towards the mid segment, medium risk business where we are saying uptick in margins, even though it's a bit small now, but I am sure all of this will add up and help us try and maintain the NIMs around the current levels.

Param Subramanian : One last question, if I may, how we thinking about capital going ahead? So, we are at 13.8% Tier 1 . So, anything on that?

KVS Manian: No thinking just now. As you know, we have not taken the current year's profit and the rate of dividends, of course, into the capital adequacy calculation as of now. And that will add something to the 13.8 number. So, just now, I would not guide on anything on capital .

Moderator: Thank you. The next question comes from Kunal Shah from CITI group. Please go ahead

Kunal Shah : Yeah, thanks for taking the question. First on cost, so you indicated we have been taking measures in terms of at least reducing the wholesale , improving the LCR. But the impact is still there in terms of the cost of deposits that's when we look at it slightly, maybe that's going up. So, just want to get the sense in terms of why that benefit is not reflected in terms of the cost. And second, you mentioned the LCR when I was looking, the LCR disclosure that seems like LCR is still 118. You indicated the LCR at 133. So, was that like NSFR which you are referring to?

KVS Manian: So, Kunal, just to clarify, the LCR bit first, 118 is the average for the quarter and 133 is the exit LCR. 111 was the exit LCR last time. So, that's 111 to 133, I mentioned 118 is the average LCR

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to the quarter. So, that is one. On the cost of funds, Kunal, of course, these things are playing out. It is a in two months, we cannot change the cost of funds quickly. Directionally these efforts will show results. I am sure over medium term because all these changes, some of these have played out during the quarter till the end of the month. So, I think the impact may not show now, but we are confident that over a period of time it will show. And second is of course, the CASA mix has to change. Of course, as you see, we have maintained our casa mix through the quarter, as we as we drive towards improving that mix is when real cost of funds benefit comes. I also wanted to just clarify here since you asked, this is just a trigger that you asked, but it addresses many other questions raised. The NIM game is as much a liability game as an asset game. And we are very conscious of that. And NIM game is not only about choosing the right asset portfolio, it is also about choosing the right liability portfolio. And we are extremely conscious of that. And whatever we do, we will take that into account. For example, one of the liability mix issue is around current accounts. Our proportion is lower. So, there are things we need to do to change that. These are not quick fixes that can be made. Having said that, over a medium term, we will correct some of these to get those benefits.

Kunal Shah : Also, CA we saw the decline which is again creating some pressure on cost of deposits. So, is it more to do with maybe as we indicated some declining more than three crores plus when you look at it in terms of the concentration and anything with current and what initiatives we would

be taking to manage the current account deposits?

KVS Manian: So, just to clarify, the current account EOP is showing negative, but average in current account

has grown during the quarter by 1.5, 1.6 percent. So average is what determines our cost of funds

and not the EOP numbers, so that I just wanted to clarify that as a fact. Having said that, we will talk more about the strategy on current account in our 21st meeting, but it is clearly one of the areas which is important to get our cost of funds down.

Kunal Shah : And just one comment you indicated that the reorientation would also create some kind of a short term headwinds. So, any areas wherein we could see for the pressure or maybe this would again be with respect to slightly lower growth and increasing the coverage because there could be more headwinds in some other operating metrics.

KVS Manian: So, of course, you have seen some kind of asset growth side, you have seen the headwinds already, right. So, that is what I meant by that. Of course, there headwinds in the sense as we choose each area and try to transition any transfer, any transition from one approach to another approach does go through some friction, right. So, there are multiple initiatives and some initiatives will work, some will not work, some will take some time to mature , some will take less time to mature . Like I told you, the auto transition has worked almost with very little headwind, right. But I can't say that everything we do will have no headwind. So, I am just being I would say cautious on that and we have to be practical about what works, what doesn't work. Everything we do, we will never have 100% success rate on everything we do, right. We need a reasonable success percentage.

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Venkatraman V.: This is largely in line also with our philosophy of fund before lending. So, we want to make sure we get the deposit story strong, and in line with that, we'll grow the advances.

Kunal Shah : Okay, got it. Thanks , and all the best .

Moderator: Thank you. The next question comes from the line of Suraj Das from Sundaram Mutual Fund . Please go ahead

Suraj Das: Sir, two questions. One, I think in the initial remarks, you mentioned some headwinds on the gold loan growth going ahead. So, if you can maybe elaborate on that. The second one is on the CV and CE book. So, basically, if I see the disbursement growth this quarter, it has been pretty good. I mean, on a QoQ basis, it's roughly 20 –25 odd percent. So, what kind of growth are you seeing, and how do you see this growth going ahead? And also, I think you mentioned that you are now changing this group from floating to fixed. So, what could be the blended rate on the CV and CE book if you can highlight? Is it low single digits, mid -single digits, or higher?

KVS Manian: I'll ask Harsh to take these questions.

Harsh Dugar : Hi, Suraj. On the gold piece, as you are aware, the RBI letter of 30th September has been sent across to all banks and NBFCs, and there are quite a few changes in terms of processes and practices that were being done, which has definitely caused a little bit of a disruption in the industry as a whole . Banks and NBFCs have reached out to RBI in terms of how to soften this and take it forward. We are also in discussion with them . So, there's nothing too different from that part. There have been challenges in terms of some NBFCs having issues regarding LTV, on AGR I classification, and on the renewal of gold loans. These continue to be industry -level phenomena. We are reasonably confident in terms of compliance with all these changes. There will be a requirement for customer reorientation because of these changes. Plus, RBI is also looking into it and will come back shortly on how this can be smoothed out. So, this is something industry wide . We may see one or two

quarters of disruption before things stabilize and growth comes back. Coming to commercial vehicles, the growth has been good. It's on a smaller base, and we continue to look at growing this significantly more. The growth rates may taper off, as in we may not see a 39% YoY kind of growth. It may gradually come down as the base increases, but it will still be significantly higher than the industry . A couple of things have been done. It's a pan -India rollout. We are now going into tier -two and tier -three cities also. Additionally, some new products have been added, and the customer base is being expanded. We continue that our entire commercial vehicle book is on a fixed rate only. The one which Manian had mentioned about earlier was on auto loans, where we have moved retail auto loans from floating to fixed. Commercial vehicles obviously remain fixed.

Suraj Das: Sure, and on the gold loan piece, in terms of these regulatory things, are we compliant at the moment, or are there still some changes to make?

Harsh Dugar: No, we are compliant, and whatever we are doing is in complete discussion with the Reserve Bank.

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Moderator: Sure, sir. The next question comes from the line of Abhishek from HSBC. Please go ahead

Abhishek: Hi, good morning, and thanks for taking my question. These 40 to 45 basis points credit costs that you mentioned —this is the estimate for FY25, or is this a BAU kind of level that you think

you could maintain for a slightly longer time frame?

Venkatraman V.: Hi, Abhishek. For the full -year guidance, it's 40 to 45 bps. But going forward as well, we do expect the credit cost to be in the 40-bps range .

Abhishek: Because I would think that, you know, going forward, there would be some more normalization. But you think you can maintain the 40 bps, and that won't inch up next year?

Venkatraman V.: It also depends on how we grow, which part of the business grows, and how much is the growth in the unsecured. So, there are a lot of factors which come into play. But based on current visibility, we expect it to be around the 40 bps range going forward as well —40 to 45 bps as a range

Abhishek: Understood. And one question on growth, especially deposit growth. So, I understand that you want to choose better -quality deposits. But it's a slightly more difficult thing to do than being choosy on loans, I would think. And, you know, your deposit growth is still not ahead of the system, despite the size not being really large. We see two or three really large banks still growing their deposits much faster than system deposit growth and gaining market share. So, how choosy can you really be? Because this limits your overall loan growth going forward. So, what's the thought process there? Do you see yourself at the 15%, 18%, 16% deposit growth mark, or does that require s you to take deposits which you don't want to take?

KVS Manian: Abhishek, we will talk more about this on our 21st meeting. Having said that, there is a level of confidence we have in our franchise and our network. I think there is potential to leverage the network to deliver more. There are steps that we are taking, and we will talk about some of them in our 21st strategy discussions. But, yeah, I understand where you come from. Like I said, it's the easy way out to incrementally raise deposits at 7% and lend at 8% on the corporate book. On the other side, there can be growth, but there can't be NIM, and there can't be profitability. So, I think we have to be deliberate. We have to make the right choices. And given our current state, we do believe that we should make the right choices and build a more sustainable franchise rather than look for short -term benefits.

Abhishek: Sure, okay. We can probably discuss this further offline. Thanks.

Moderator: Thank you. We take the last question from the line of Gaurav Jani

from Prabhudas Lilladher.

Please go ahead.

Gaurav: Thank you for taking my question. Just firstly, on this recalibration or reorientation —do you actually envisage an improvement i n margins after this entire exercise is done? Over the last
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seven or eight quarters, we have been in the 3.1% to 3.2% levels. Structurally, do you see that margins are improving after this exercise?

KVS Manian: Gaurav, as you've heard me through the call, obviously, the measures we are taking are to work towards an improvement in net interest margin. But you also know that going ahead, we might have a drop in repo rates and things like that. So , like I said, we'll have to play. Of course, we are playing for improving NIMs. Having said that, the NIM is dependent on several factors, and we'll have to see how it goes. But obviously, the objective is to improve NIMs

Gaurav: Secondly, sir, on the fixed versus floating —just to harp a bit more on that. We're already at about a 30% fixed number, which is in line with the larger banks. So, because of this recalibration, do you see that mix going up further, or is it just an internal rebalancing that will happen, and the mix will remain at 30%?

KVS Manian: Yeah. So, as you've seen in our investor deck where we give this MCLR and the loan book by interest rate split, we believe there is scope to increase the fixed rate book in some of these products which we talked about earlier. In a declining interest rate scenario, that might actually be a better strategy. But even structurally, on the balance sheet, I would say that we would generally prefer a slightly higher proportion of fixed -rate books. Don't forget that banks essentially borrow fixed rate on the liability side. There is no floating rate borrowing on the borrowing side. So, fundamentally, fixed -rate assets are a better ALM match for balance sheets of banks, and that's what we keep in mind.

Gaurav: Lastly, on the credit cost bit. So, barring Q3, which is the reported numbers, the previous seven to eight quarters saw provisions of about, say, 20 –25 bps, adjusted for the aggressive growth that Federal would have seen, right? So, my question is, what is actually leading to a higher credit cost guidance?

KVS Manian: Gaurav, like we said earlier, the credit cost is over a period, not an additional credit cost we are taking. We are bringing forward the debits on credit cost. This credit cost would have hit us under our earlier norms as well, but with a lag. So, it is more of a lead -lag effect. Therefore, fundamentally, over a period of time, it does not change our credit cost guidance because, over time, it would have resulted in the same credit cost.

Gaurav: No, my sense was that this probably would have only impacted a few quarters, right? I mean, this may not sustain.

KVS Manian: These debits depend on the performance of the portfolio and the composition of the portfolio as we go forward. That guidance we gave you —that we are not, just now, proposing to grow our unsecured side so much —therefore, we are not expecting that to change in the next few quarters.

As and when we change the proportion, we will come back to you with a revised guidance.

Moderator: Thank you. Ladies and gentlemen, that concludes the question -and-answer session. I now hand the conference over to Mr. Souvik Roy for his closing comments .

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Souvik Roy: Thank you, and thanks, everybody, for joining us today and for your thoughtful questions and feedback. With that, I think we wish you a great day ahead. Thank you once again, and we look forward to connecting with you on our analyst day, which is scheduled for the 21st of February.

Take care and see you all then .

Moderator: Thank you. On behalf of the Federal Bank Limited, that concludes this conference. Thank you for joining us.

You may now disconnect your line .

Call: May 2025

Secretarial Department

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Dalal Street, Fort,
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Ref.: Scrip Symbol: FEDERALBNK/Scrip Code: 500469

Dear Madam/ Sir,

Sub: Transcript of the Earnings Call for Audited Financial Results for the quarter and year ended March 31, 2025, and Business updates .

We wish to inform you that the transcript of the earnings call hosted by The Federal Bank Limited ("the Bank") for the Audited Financial Results for the quarter and year ended March 31, 202 5, has been made available on the Bank's website at the following link, within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

https://www.federalbank.co.in/documents/10180/1124414626/Transcript_Q4FY25.pdf/6ee3be49-5f6f-b835-8770-3aebef4e342a?t=1746527368619

We are also enclosing the transcript of the earnings call with this intimation.

This is for your information and appropriate dissemination.

Thanking you,

Yours faithfully,
For The Federal Bank Limited

Samir P Rajdev
Company Secretary

Encl: As above

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Federal Bank Limited
Q4 FY'2 5 Earnings Conference Call
April 30, 202 5

MANAGEMENT : MR. KVS MANIAN – MD & CEO
MS. SHALINI WARRIER – EXECUTIVE DIRECTOR
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN –
GROUP PRESIDENT & CFO
MR. LAKSHMANAN V – GROUP PRESIDENT &
HEAD (TREASURY)
MR. SOUVIK ROY –HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of The Federal Bank Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start and zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Souvik Roy, Head Investor Relations, The Federal Bank Limited. Thank you, and over to you, sir.

Souvik Roy: Thank you so much, and good evening, ladies and gentlemen. Thanks for joining us this evening. I hope you had the opportunity to review our results and go through the investor deck, which we had already shared earlier. As always, I have been -- we are here with our entire senior leadership team, who will provide a comprehensive overview of the quarter that went by and our strategic priorities moving forward.

We will begin with our CFO, who'll walk you through the key financial highlights and the performance metrics for the last quarter. Following his remarks, our MD will share insights on our strategic direction, and we'll then open the floor for your questions.

So without further ado, I'll hand it over to our CFO.

Venkatraman V: Thank you, Souvik. Good evening, all of you, ladies and gentlemen, and thank you for joining this earnings call. Apologies for this 10 -minute delayed start. Let me begin with a brief overview of the macroeconomic and banking sector backdrop. The Indian economy remained resilient amid global uncertainties. This was also bolstered by stable domestic demand and prudence monitoring policies.

RBI REPO rate cut and liquidity -enhancing measures will ensure that the economic focus on growth continues. Inflation is now within the RBI band and with increased liquidity, banks should be in a position to support growth. The banking sector experienced intensifying competition for retail and MSME deposits.

Asset quality remained stable with improvement in recovery, though challenges persisted in certain unsecured segments. Our bank navigated this environment by prioritizing growth, in the mid yielding, mass affluent and MSME segments to drive sustainable profitability and ensure quality growth.

Turning to our FY '25 quarter and full year performance, I'm happy to share a few highlights. We crossed a major milestone of INR5 lakh crore business at INR5.18 lakh crore was the 31st March number, which marks a significant milestone and our net profit entered the league of INR4,000 crores plus.

Our other income soared to a new high of INR1,006 crores driven by robust fee -based services. Our NIM improved by 1 basis point to 3.12% by despite the rate cut. And as you know, more

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than half of our book is back to external benchmark, showcasing our agility in a dynamic rate environment.

Core fee income grew at 6% Q -o-Q outpacing asset growth, reflecting our team's alignment towards a more rewarding franchise. We achieved our decadal best asset quality, supported by strong recoveries and adaptive slippages, a feat we have consistently delivered every quarter, even in a tough macro environment.

Credit costs for FY '25 was 38 bps, in line with our earlier guidance of 35 bps to 40 bps. On the deposit front, CASA grew by a very healthy 6.74% Q -o-Q. And more importantly, CA growth happened at a very, very strong 27% Q -o-Q and 35% Y -o-Y. The focus on liability growth is yielding results.

On the asset side, loans against property grew 20.5% Y -o-Y, gold loans grew 21% year -on-year despite a slowdown in Q4 due to certain regulatory guidelines. And our micro finance portfolio

grew 19% despite we taking a conscious

call to stall or rather to slow down the growth and not

grow in Q3 and Q4. CV/CE grew at 35% year-on-year and credit card business grew at 19%.

All of these play to the plan, which we had outlined in our Analyst Day of focusing on the mid yielding segments.

Our CRR stood at a healthy 16.4%, positioning us for a self-sustaining franchise. In terms of distribution, we opened 85 branches during the year, and we were quite careful in terms of choosing the locations of this expansion.

On the quarterly results, net profit for the quarter was INR1,030 crores, up 14% year-on-year, driven by strong revenue growth and operational efficiency. On cost, we had a few one-off costs in the opex, which -- and traditionally, in Q4, our cost is always higher as compared to the other quarters. And in this quarter, we had a few one-offs, which is more towards the branch expansion.

We had almost 39 of the 85 branches opened in Q4. Our spends on campaign advertisement and card campaigns and a few other related expenses increase the cost. And hence, you see a slightly uptick in the CI ratio for this quarter. Having said that, our opex to assets for this year FY '25 is 1 bps lower than last FY.

On the balance sheet, total deposits grew 6.5% quarter-on-quarter to INR2.83 lakh crores and CASA deposits at INR85.7 lakh crores, up 6.74% Q-o-Q. Our CASA ratio was at 30.23% better than last year's CASA ratio. Advances rose 12% this year to INR2.38 lakhs. Our CD ratio was at a very comfortable 82.79% in Q4, ensuring balanced growth and liquidity. The focus on LCR continues, and we saw impressive results in this quarter in that direction. We degrew our wholesale deposits from financial entities which meant sure that our LCR improved further. And as at 31st March, it was at 145.

Asset quality, as I mentioned earlier, is robust with GNPA at 1.84% of advances, down 11 bps Q-o-Q and NNPA at 0.44%, stable sequentially. We strengthened our provision coverage to 75.37% over 400 bps improvement over last year.

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Our capital position is strong with CET1 ratio at 15.04, well above regulatory requirements, providing ample headroom for growth. ROA was 1.24, up 2 bps over last year, and ROE of 12.82%, underscoring our progress towards sustainable profitability.

Strategically, we have accelerated our focus on mid yielding segments, which Mr. Manian will cover in his update. Before I hand over to Manian for his comments, I want to take this opportunity to thank our ED, Ms. Shalini Warriar, as this will be her last earnings call at Federal Bank. I want to take the opportunity to thank her on all our behalf for the excellent contribution and guiding the bank during the last few years. Over to you, Manian.

KVS Manian: Thanks, Venkat. Venkat has provided a detailed overview of our financial performance for the quarter, and I would like to offer some insights and highlights that underscore our progress and strategy execution. This marks my second full quarter leading the organization, and I'm confident in our direction and ability to execute.

In February, we shared our strategic vision and while 2 months is a short time frame to demonstrate transformative results, we are making meaningful strides in the areas we prioritized. Each month is an opportunity to advance our objectives, and we are pursuing our strategic teams with focus and momentum.

The quarterly results reflect several positive developments that align closely with our outlined strategy demonstrating our ability to deliver on our commitments. Our deposit growth has been good, with particular strength in CASA and even more notably in current account. Retail current accounts as well as wholesale current account acquisition has accelerated, acquisition of high-value savings account variant -- higher value savings account variant have shown significant uptick. Current

account acquisition running at a 50% higher rate compared to the previous period.

The deposit mix has improved with greater granularity and enhanced LCR alignment as our reliance on financial sector deposits have significantly decreased. These factors have contributed to a robust LCR position.

We have successfully implemented key initiatives to strengthen our financial and operational framework. These include a new transfer pricing methodology, a RaRoC-based pricing model and a comprehensive business-wise profit and loss system, fostering a culture of accountability among business managers for profitability and ROE.

Additionally, we have introduced a robust business budgeting approach, tied to branch potential and rolled out revised score cards, aligned with our strategic priorities. These initiatives have

been well received by our teams and are driving renewed energy and focus, positioning us for long-term success. These efforts have also optimized capital utilization, resulting in improved capital adequacy, a testament to our disciplined approach to resource management.

On the asset side, we set a strategic goal to accelerate growth in our Middle East portfolio. And we have achieved a robust 19% growth rate across most products in this segment. While gold loan faced challenges in the last quarter due to recent regulatory issues, the recent regulatory

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clarity positions us to resume steady growth in that product as well, consistent with our performance over the past year.

In the low-yield segment like home loans, HL and Corporate Banking, we are adopting a nuanced approach to growth. For HL, we are focusing on risk return trade-offs prioritizing customers who offer a broader revenue opportunity and relationship rather than competing on ultra-competitive pricing.

In Corporate Banking, we have significantly outpaced book growth with faster expansion in liabilities and fee income, guided by our customer level RaRoC framework. We also identified and exited a few large transactions which were not aligned to our strategic customer level RaRoC aspirations.

Our self-funding ratio has increased, as highlighted in the presentation, and fee income in this segment has risen significantly faster than the asset growth. Notably, 75% of our new corporate client acquisitions are in the mid-market segment, reinforcing our commitment to sustainable profitable growth, as outlined in our strategy document.

In the high-yield segment, our cards business is performing strongly with healthy growth in card acquisitions and balanced mix of organic and co-branded cards. As the credit environment stabilizes, we will increase our focus on personal loans to capture growth opportunities in this product. The microfinance segment requires continued caution, and we are approaching it prudently.

We have largely maintained our NIMs while achieving growth in our targeted areas. To enhance NIM stability, we have introduced measures such as resetting new floating rate loans at T+ 90 instead of T+1, shifting our car loan business to fixed rates and offering medium-tenure fixed rate loans in our Business Banking segment.

We have also reviewed and implemented new savings and term deposit rates recently. These steps reflect our proactive approach to balancing growth and profitability in a challenging environment.

On asset side, our asset side progress aligns with our strategic objectives, and we are confident in our ability to sustain growth in the coming quarters while managing NIM pressures and maintaining prudent risk return dynamics. As policy rates trend downwards, we are strategically managing asset yields and deposit pricing to balance growth and cost of funds objectives effectively.

Fee income growth has outpaced asset growth materially aligning with our strategy to diversify revenue streams. We continue

to maintain and enhance asset quality and recovery efficiency, reinforcing the resilience of our portfolio. We have taken a significant accelerated provision against our unsecured book in the current year, thereby enhancing our book quality. All this is in line with our strategic objective of quality of earnings.

On the operational front, we are making steady progress across our strategic themes that I outlined -- the 12 themes that I outlined in our strategy document. For instance, our talent

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acquisition efforts have been highly successful with overwhelmingly strong interest from top professionals.

Of the 14 key N minus 2 level positions identified, we have filled 9 with new hires expected to join over the next 3 to 4 months. We are also thrilled to welcome Virat Diwanji, who will assume responsibilities from Shalini Warriar as she transitions to her entrepreneurial journey. Virat's addition significantly enhances our strategic and execution capabilities.

We have launched Operation Udaan previously known as Free the Branch in my strategy document led by a senior internal leader and supported by a big 4 consulting firm. This initiative is set to modernize our branch operations over the next 12 to 18 months, unlocking significant potential for efficiency and customer experience.

On the brand front, we are excited to have appointed Vidya Balan as our brand ambassador with

our first ATL campaign featuring her set to launch in the coming couple of months. We are also collaborating with a brand design firm to refresh and elevate our brand identity with updates expected to roll out in the near term.

While it has only been a few months since we embarked on our strategic journey across 12 key themes, the progress we have achieved is encouraging. We are committed to maintaining this momentum. Our focus on these themes is laying a solid foundation for our future success. With a clear strategy, deliberate execution and a confident team, we are well positioned to continue driving progress and delivering value.

Thank you, and we are now open for questions.

Moderator: The first question is from the line of Mahrukh Adajania from Nuvama.

Mahrukh Adajania: I had a couple of questions. Now that you have already started focusing on maybe loans and there was progress on that even in the fourth quarter, and do we expect that most of the consolidation on the lower yield segment is done? And can we return to the high teen loan growth in next year, that is in this year FY '26? That's my first question, and then I have a few others.

KVS Manian: Yes, you want to ask your questions and then...

Mahrukh Adajania: Yes. Okay. Then in terms of deposits, congratulations on the strong growth in current accounts.

You had already -- that was the key takeaway even in your strategy day. But is most of it very sticky because for many other banks, the year-end CASA is not very sticky. But given that you've kind of started on a low base, will most of it be very sticky and will stay on the book. And also in terms of margins, right, there are many -- I mean, there are many more or at least 2 more repo rate cuts expected?

So where do you -- and then you will have an uptick in your mid-yield proportion. So what according to you is the level of margins below which you will not go overall for FY '26, right?

Because the EBLR book is a high proportion. If you just do a rough math, it shows a big decline.

But then the loan mix is also changing. CASA is also improving. So where do you see the bottom of margins in FY '26? These are my questions.

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KVS Manian.: So coming to your questions, Mahrukh, if you really look at the -- we have provided that data. If you look at the medium yield segment, which I had also focused during my strategic presentations, the growth

rates on our medium yield segment is fairly strong at 19%, right, on a Y-o-Y basis. And even on quarter-to-quarter basis, it's a strong number. So we are quite clear that that effort will continue.

There are a couple of things there, which can actually grow better. In fact, if you look at that our gold growth Q-o-Q was not as strong as the Y-o-Y number, and that was because of the regulatory issues headwinds that we faced at that point in time. The new circular is -- draft circular is, in fact, favorable from our point of view, and we are quite confident that we will be able to resume growth in the gold loan product.

So our mid-yielding segment has shown strong potential for growth, demonstrated growth in the last quarter, and we are confident we'll continue the growth. On the -- you've also seen cards, which is what we have categorized as high-yielding products, has also grown strongly through the year. The product that has not grown there is personal loan which we believe that through this year, we will be able to revive growth in that product because we see, at least from our data, see clarity on credit environment being positive.

And of course, the MFI, which we want to be -- continue to be -- we'll continue to be cautious for a couple of more quarters or maybe at least 1 more quarter, if not further to see whether we can grow that. So I see immense potential in growing all these businesses. And I also mentioned to you that in the corporate side, as our -- while we have just begun the journey on the mid-market acquisition as we build that acquisition, I think we'll be able to build growth even in the corporate segment overall through the mid-market route.

On the home loan is where just now the last quarter and last year, the growth was muted -- relatively muted. That's the segment where, like I mentioned, we want to look at a holistic approach to customers there, and grow that business. Given all of this, I am reasonably confident we'll be able to get a reasonable rate of growth going on the asset side in the next year.

On the NIM, I would put it this way, Mahrukh, nobody knows that number. There are too many things there from our perspective. One is, of course, the policy itself -- policy rates themselves. Second is, we are changing our mix, as you can see, mid-yield segments growing faster. Also, we have converted many of our products to fix from floating. We have changed T+1, to T+90, multiple factors playing, of course, our objective. And of course, we have cut savings rate, as you know, in April, so there are multiple levers playing.

Our objective is to try and minimize the impact, but it is difficult to yet give you the guidance for the year on where the NIM will be. Obviously, our attempt is to minimize the impact on NIM

and try to keep it as opposed to it is today. But it is going to be challenging to keep it exactly at that level through the year.

And on the CASA side, let me put it this way that, yes, there is year -end effect in CA. We were also lucky to some extent because these happened at the end of the year, and we had large remittances inward into India, and they stayed for a few days with us, before getting remitted

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out to the final destination. So we were a bit lucky. But having said that, even on an average basis, CA has shown over -- close to 7% kind of average growth rate in the quarter -- for the quarter.

So while yes, there is -- as is usual in the CA business towards the end of the year, things do bump up a bit. But even on an average basis, we are fairly -- we have a strong growth there. So there is a fundamental change in CA acquisition, our CA acquisition rate on the retail side, are at least 50% -- or close to 50% higher than what they were in the first 6 months of the year in terms of numbers and value.

So there is a fundamental shift that has also

happened, and we are hoping to sustain momentum

on CASA growth -- CA growth and SA growth, of course, SA we can do more. But it will remain a focus, and we are fairly confident the team will be able to deliver that. I hope I have answered all your 3 questions.

Mahrukh Adajania: Yes, thank you so much. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: I actually had quite a few questions. I'll bunch them up together unless you want me to break it down. But -- so the first one is that if we look at the reported margins, they are flat sequentially, but your loan yields are down 8 basis points and cost of fund is up 5 basis points sequentially.

So how is the reported margin flat Q -o-Q? So that's the first question.

The second question is on the transition of REPO repricing from T+1 to T+90 days. I wanted to check whether this will be applicable only for the new disbursements or even the entire back book gets repriced accordingly. And an extension to this is that you did highlight that the SA rates have been cut by 25 basis points. But now given that your SA rates are in line with the front line banks for most of the buckets until INR5 million, do you see any other levers beyond INR5 million SA rate cuts, potentially or maybe TD rate cut to offset any margin pressure? So that's the second question.

The third one is on the quantum of corporate recovery, which you had highlighted in the presentation. So what is the quantum of the same? And where would it be included? Would it be included in the recoveries from the written-off accounts, which is shown under other income? Or is it netted off from the provisions? Because both of them are moving very favorably Q -o-Q. So that's the third one.

The fourth one is on the LTV on gold loans, right? So that has come off significantly by 6 percentage points to 62% now. So given that it was well below 75% limit, what were we trying to optimize here, which resulted in the degrowth and now that you believe that it can start growing? So that's the fourth question.

The fifth one is on the cost. So I just wanted to understand why are we attributing the cost related to branch expansion as a one-off because this is the medium-term strategy to go after the branch expansion, right? So why is that a one-off and why that may not recur in the future? And how do we think about the opex growth going ahead? So those are my 5 questions.

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KVS Manian: Okay. Yes. So first one was NIM -- on NIM, Venkat?

Venkatraman V: Yes, I can. Rikin, on the NIM, what has happened is, the increase in yield on investments and increase in other earning assets have helped us ensure that the NIM is maintained, in fact, it's 1 bps higher than what it was in last quarter, 3.12 and the retained capital, which is as the 9 months capital, which is being used. That's number one.

Second one, your question was on transition, T+1 to T+90, whether it's on new or existing, it's on new. Third question was on SA rate cut 25 bps, this is beyond INR5 million, any other actions I'll ask Manian to respond on that. Before that, I will answer your question on the corporate recovery, it is shown in the provision line, it's netted there. Manian, the question on SA rate cut and LTV for gold, Harsh if you can just have some...

Rikin Shah: Venkat, sorry, just a follow-up on this before Manian takes the remaining questions. What will be the quantum of corporate recovery?

Venkatraman V: That was 97 was one big account. Yes, there are a few others. It will be around 110 to 115.
Rikin Shah: Okay. Got it. So if it is included in the or netted off from the provisions, then why is there a significant jump in the recovery from written off? Do we expect that to kind of taper down in going ahead or it can sustain at the current

level s?

KVS Manian: Rikin, if you have seen traditionally, Q4, we have very good recovery from written-off assets because there's a large push and focus on that. I don't expect us to repeat that level of recovery at least in the coming quarters.

Rikin Shah: Got it. Perfect. Very clear. Thank you.

KVS Manian: On SA rate cut, Rikin, I mean, as you saw, we have cut based on what the market has done. And we -- our actions on that will remain agile and watch the market and do as per what the market demands. I mean if the market goes further down, we will go further down. We will remain our -- retain our competitiveness and yet try and optimize costs to the extent possible on the rate cut.

Harsh Dugar : I'll come on the LTV on gold loans. There has been on account of two reasons. One, the LTV is at 75%, but banks in general are required to maintain the LTV throughout the tenure of the loan and not just time of origination . Even accrued interest is what we factor in, and we keep a little bit extra margin so that we don't cross LTV at 75% at any point. That's number one.

The second point is that the gold prices has also increased significantly. Hence, LTV does look attractive, unless people take top up, and we do not really chase top-ups either. So that automatically also helps us because the gold prices has, in fact, done a significant uptick because of the gold price itself.

Venkatraman V : And Rikin, you had a question on the operating cost advance related. I think the context there is -- of the 85 branches which we opened in FY '25, nearly 50% of it was in Q4. That was one of the reasons where it got bunched up a bit, and you saw a bump in Q4. Having said that, it's one

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of the core costs based on our distribution strategy. And over the year, we will see it getting flat line.

Rikin Shah: Fair enough. Sir, the only extension Venkat here is that how should we think about op ex growth going ahead? Because we are in the investment phase and those branch related costs is unlikely to taper off in the near term. So how should we think about it in next couple of years?

Venkatraman V: See, on the branch related, I will ask Manian to respond on that. But on the cost income related question which you asked, we expect to be operating around the 53% level. The range will be around 52.5% to 53.5% in the next few quarters. And then based on how the growth plays out, we will give you further guidance.

KVS Manian: If you look at our strategy document as well over the 3 years, we have not shown dramatic savings out of the operating cost, right? We are not guided a downward trajectory -- significant downward trajectory on the operating costs, and we stick to that as of now, we stick to that guidance.

Moderator: The next question is from the line of Xiyuan Gau from Schoenfeld .

Xiyuan Gau : Congratulations on a good set of numbers. Just want to understand on the remittance market share that has been trending down over the year. Just want to understand what's happening there?

And what's our strategy on that? Is that one of the key focus? Or it's more like we are focusing more on the CA and...

Management : One sec please. You have to repeat your question. That was not very clear. We couldn't hear you.

Xiyuan Gau : Yes. Sorry about it. Just one question on the remittance market share, which has been declining a little bit over the years. But what's our strategy there? And what's driving that decline going forward?

KVS Manian: Yes. I'll ask my colleague, Shalini, to take this question.

Shalini Warriar: So just to come back on the remittance question that you've asked, our remittance market share has normally remained in the range of between 18% to 20%. We do some -- see some differences on a quarter-to-quarter basis, but we operate in that range. Having said that, over the last 6 to 9 months, we have focused

also increasingly on 2 things: one, we've ensured from a profitability standpoint that we don't follow some of the trends of giving unnecessary discounts on rates, etcetera. So we've been quite disciplined about pricing. And therefore, our profitability from a remittance engine has actually gone up 14% year-on-year. That's one thing.

The second thing is in order to ensure that volumes continue to come through our counters, we've increased our exchange house partnership and other aggregator partnerships, including stretching out into non-GCC geographies like the U.S., the U.K., etcetera. We signed up with a few more remittance companies, and we are starting to see throughput to our counters. The

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gets embedded. So through both profitability action and volume actions, our remittance market share remains in that range bound that you saw in the presentation.

We are committed and clearly, it's a very integral part of the business. It's a corollary to our NR business. It's a business we know and understand very well. We have a 3-pronged strategy, including relationship management, operations and technology. We will continue to invest in that business to make it more and more robust and increase volumes on that. Hope that answers the question.

Xiyuan Gau : Yes. And on the corporate recovery, is any of the amount booked in the NII line? Recovery or corporate recovery?

KVS Manian: No. No, the recovery is booked in the provision line.

Xiyuan Gau : Got it. And also, you said that on the yield on investment, we managed to get it higher. Just want to understand, do we change prominently some of our portfolio allocation ? Or how does that happen?

KVS Manian: I didn't get your question. Can you repeat it, please?

Xiyuan Gau : Yes. So you're saying that the yield on investment is helping margin this quarter. Just want to understand...

Lakshmanan V : There is no significant change on the investment strategy on the bank. Overall, from an investment standpoint, the mix, duration, etcetera, has already remained the same. It is a marginal move, but nothing significantly on the approach.

Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: So just a few questions and firstly, congrats on the quarter. Our agri slippages have been inching up for the past few quarters. Anything to read into this? That's question number one. The second is just a reiteration or just getting back to Mahrukh's question, on loan growth outlook, are we saying that it picks up from this 12%, 13% or 14% level currently in over the next 2, 3 quarters? Or are we refraining from giving any guidance? And third, if you could give us the average CASA ratio for the quarter and the prior quarter, that would be useful.

KVS Manian: So coming to the agri thing it is -- please read MFI in that. It is the MFI slippage that is causing that agri to be higher. Of course, our MFI portfolio is a small portfolio. But yes, there is slippage coming from that portfolio that is reflected in that agri number. So that is one. And as we've said, we have not grown that portfolio.

We have remained focused on asset quality there. And -- but having said that, the slippages are coming from there. That is number one. Second point you had was a guidance on the growth.

Yes, we are guiding that -- the growth will -- should get better than 12% that we have seen. Yes, that is a broad guidance. That is true. We don't disclose our -- the CASA number, the average...

Piran Engineer: I mean you've given the rupee crore number, but you've not given the average deposit, so it's sort of you have a numerator not denominator....

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KVS Manian: We have not followed the practice

of giving that, we can...

Management : Given average CASA and EOP -- details of EOP for the rest of the split.

Piran Engineer: Yes, exactly, which is what the question is...

KVS Manian: We've already disclosed the CASA average, right?

Piran Engineer: Okay. Fair enough. And just one clarification, this 25 bps February repo rate cut was passed through right from the day after this repo rate cut, correct?

KVS Manian: Yes, yes, yes.

Piran Engineer: That's how we calculate the limit ?

KVS Manian: We are on T+1 and 50% of our book is close to 50% of our book is repo. We are trying to migrate the new loans as well as existing loan on renewals, on non-retail loans to T+90, but that is a process, and that will not have an immediate impact on the -- it will take some time to migrate to that.

Moderator: The next question is from the line of Param Subramanian from Investec.

Param Subramanian: Firstly, again, on the NII line or margin. So the NII is down quarter-on-quarter, right, about 2.2%. So I want to understand, there is loan growth in the quarter. So how exactly are we saying that margins are flat quarter-on-quarter because that would imply that interest earning advances are down, right, on an average basis quarter-on-quarter?

KVS Manian: No. So -- Param, the loan growth -- average loan growth is -- and it is about average loan growth

and EOP loan growth. That's the difference. That's what is causing the drop in NII.

Venkatraman V: Plus, it's a 90 -day.

KVS Manian: Plus, it's a 90 -day quarter instead of 91 -day quarter. There are small, small things that are making it...

Venkatraman V: REPO rate cut.

KVS Manian: And REPO rate cut. Yes all 3 put together basically.

Param Subramanian: Okay. So actually -- so for example, last quarter on a flat loan book quarter -on-quarter you had shown a NII growth. Is it something related to that as well? You had shown 3% quarter -on-quarter NII growth. So is it that the base was inflated because we're just trying to understand this quarter -on-quarter movement because that is not tallying the margin that you are reporting.

KVS Manian: Yes it's a very technical thing Param. Last month there were 2 extra days. We'll pick it up separately and explain to you. Last month there were 2 extra days . So a lot of these calculations we have gone through. But yes there is no inflation of one and deflation of other all that business in any case.

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Param Subramanian: I think I'll take this off -line. Yes. Another question I had on this -- on Slide 35 where you're showing that you've brought down the concentration of top 20 borrowers, depositors. But incrementally we are seeing that bulk rates have gone down right . And gone down more sharply than some of the retail rates. So is this -- are we sticking to this? Or will we be more nimble going ahead because opportunistically that's where the lower cost is?

KVS Manian: So Param actually we have been nimble. If you really look at the quarter 2 to quarter 3 our wholesale deposits drop significantly, and they have actually risen in the last quarter. Top 20 is about concentration not about the overall book. So if you look at wholesale rates were lower, so we did increase our wholesale deposits in the quarter. Q4, the wholesale deposits have actually gone up. And the mix has changed.

Our earlier wholesale deposits used to come from the financial entities. We have reduced dependence on them and actually got it from more LCR friendly and DICGC friendly sources.

So therefore, we are absolutely nimble and agile in making sure the top 20 is about concentration.

So actually we have expanded the base of wholesale depositors and increased our deposits without increasing the concentration.

Param Subramanian: Fair enough Manian. So basically going ahead also we will be nimble and looking at -- if it is...

KVS Manian:

Absolutely. We will optimize cost of funds whichever way we can. And as I said earlier, in an environment where repo rates are only headed downwards . We have to be absolutely nimble in managing our cost of funds and therefore NIM. We will remain on top of that. And I didn't say that. But a small thing like our cash retention limits in our branches have halved in the last quarter . And that adds almost 1 bps to the NIM. So there are a number of things that are possible, and we will remain alert and agile to make sure that we optimize our NIMs.

Param Subramanian: Great very helpful Manian. Just one last question if I may. This has been asked before. Any number you would like to put around the medium -term growth say balance sheet growth that one should be looking forward to?

KVS Manian: Param we have given that guidance right? We have always said we will lay in 1.2x to 1.5x the industry growth rate or the nominal GDP growth rate both are roughly the same metrics, roughly come to the same thing. So that's the guidance that continues. And Param the evidences in seeing that in the results this quarter. If you see we chose to -- we had earlier said that we will choose to grow in mid yield segment.

And we have grown that mid -yield segment at an average of 19%. So clearly our intentions are evident right what we want to do.

Management : Param also on Page 17 of the deck we have also shown a trend analysis of our asset book, please go through that. It's something new that we have added. I think it will offer you a better explanation there as well.

Moderator: The next question is from the line of Deekshant B from DB Wealth .

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Deekshant B: Sir congratulations on the strategy working out in our favour. Sir my first question is that, in the previous quarter you have mentioned -- actually in the previous quarter you have mentioned that we will wait for the credit cost environment to stabilize before we expand in the unsecured credit. Can you just paint a word picture at what point will press the accelerator to capture that market which can help us get more sort of credit growth in that market?

KVS Manian: Deekshant you can already see that on our credit card book, we have already started growing much faster. The growth rate is significant. If you have noticed the growth rate on our credit card book. So we think on credit cards, we were more -- we were getting more comfortable based on our underwriting standards and our book. We have got more comfortable and we are already pushing for growth in credit cards.

And both organic and inorganic have grown. We have got a balanced growth going there. That is one. On personal loan as I mentioned I think we have noticed that the slippages have come off. And we are getting more comfortable in growing that segment going forward. And that is one area where we are about to start pushing for higher growth.

The area that we are not yet I would wait for a quarter or 2 maybe is the MFI where we have still not seen slippages or the quality of the portfolio give us comfort to push the accelerator on that. So on the unsecured I would say, cards and PL we are okay to grow. On one we have begun to grow already. On one we will begin to grow now. And on one we will pause for a while more if that answers your question.

Deekshant B: Sir you mentioned the credit costs. If you can give us a ballpark number on like out of our total profitability, INR4,000 crores this year how much would be the profit from credit cards?

KVS Manian: It's still very small, very small Deekshant. So...

Deekshant B: So any ballpark number would be fine because the...

KVS Manian: And card business is about scale as well. It needs some time to scale up and deliver profitability. So right now the profitability is nothing much to write on about, still early.

Deekshant B: Are we above our breakeven

or not cost right now sir?

KVS Manian: Yes we don't lose money. We don't lose money but we don't make money. Enough yes.

Deekshant B: Got it. Sir you have mentioned that we are right now going towards much more of a fixed interest loan book. And as you -- from a philosophical perspective also from a value perspective also, we believe in having much more fixed loan interest book going forward. So let's say in the next 6 to 7 quarters from 30% what is the growth that we are aiming to achieve?

KVS Manian: No, no. Deekshant there is a nuance difference between what you are seeing and what I would like to communicate. It's not that we prefer a fixed rate book. It is just that there are products which are better done on fixed rates. And when we move car loans from floating to fixed we thought we were getting more aligned to the markets. And also playing some part of our book - better ALM match on some part of the book.

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Playing -- we don't want to overplay the fixed rate game because that game looks good in some part of the cycle. And it will not look good in some other part of cycles. So we don't want to overdo any of this. We need to get the right portfolio mix, right balance the portfolio between fixed and floating, long and short. All of that we need a reasonable mix so we don't have a strategy to push very strongly for fixed product -- fixed rate growth.

Deekshant B: It would be in this range, plus-minus 2% to 3%?

KVS Manian: Difficult to comment -- I don't know the math on that. But let me put it this way. If you see CVC we want to grow fast which are fixed rate products right? Car loans we want to grow fast which are fixed-rate products. Personal loans and gold loans are fixed rate products right? So I would say -- and you know we want to grow these. So it will play out. I would say and corporate is largely floating rate and therefore it will be lower growth than these. So I would say, yes, it will inch upwards. I haven't done the math on where it will get, frankly.

Deekshant B: Sir, one last question here is as we are going towards more of expanding our CA book and also our corporate banking, could you just give us some sort of clarity into what is our major focus into the next -- which is the current financial year? I'm sorry, I wasn't able to enter into the Mumbai event that you had, I wasn't in town?

KVS Manian: No. So broadly speaking, current account is, of course, not only corporate. It is a corporate and retail strategy. We have said that we need to bring more focus into that. And, of course, there are many things, products, distribution, all of that we have to see. So current account is clearly -- as we had explained at that time, the big gap CASA ratio is on the current account side because we had 24% plus 6%, 6% was our CA ratio and 24% was the SA ratio.

So therefore, we saw an opportunity in CA and that's what we are continuing to focus both on retail and wholesale. And on the wholesale book otherwise, of course, our focus remains more holistic in terms of a customer based, RaRoC based approach to a customer. We want wallet share, which is a mix of advances, current account, foreign exchange business and any other fee business.

So we remain focused on maintaining customer level risk-adjusted returns. That's our strategy, and that will continue. And that has already begun to play out, as I explained in the -- in my opening remarks, beginning today and we will continue to be the focus.

Deekshant B: Sir, last question here. Our peers in the market have been able to be in the 40% ranges of our CASA book. Do you think that we can achieve that going forward, maybe in the next 1.5 years?

KVS Manian: 1.5 years?

Deekshant B: Like 6 to 7 quarters, 8 quarters?

KVS Manian: No. Look at our strategy document. We have guided that over 3 years we will get to 36% is what we

have guided. We're not changing CASA ratio, at the same time growing the book is not possible to change it by 4%, 5% in a year. We will be realistic about it, but we will be able to grow it to those levels. Maybe in 5 years, if you are.

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Deekshant B: Okay. Thank you so much. Really appreciate this.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Hi, sir. Just coming back on that margins again. So your yield on advances and cost of deposits have moved into different directions. So the number of days doesn't explain that moment. That's one. Second one is that in the last two quarters, you have significantly reduced your wholesale or the lower -yielding advances, it should have been margin positive on the yield side, even if you have some offsetting factors on the EBLR reduction? Just trying to understand what are we missing here?

KVS Manian: Mahesh, as I said, there are many small elements which have caused the -- Venkat, do you want to take that?

Venkatraman. V: Sir I am saying only on the absolute NII drop, Mahesh is the 90 and 92 days, not on the NIM percentage. I hope that is clear.

KVS Manian: Yes. So the response on the 90 days was NII minus 2%, not on the NIM, okay? So just -- just clarifying that.

Moderator: Thank you. The next question is from the line of Jignesh Shial from Ambit Capital. Please go ahead.

Jignesh Shial: Thanks for the opportunity. Primarily, I wanted to understand, we are seeing a stagnation in your home loan book overall. You are saying you're focusing on better yield home loan product altogether. So if you can give some clarity what kind of customer profile or what kind of portfolio are you building it out here? Can you give some clarity on that, that would be really helpful. I have one more, but we will take it up later. But this is, if you can answer it?

KVS Manian: So we are not saying that we want to build a different customer profile. We are saying, as I said, we want to -- we want a more holistic relationship customers while doing home loan business, which means home loan customers should give us multiproduct relationship rather than just home loan because home loan per se is not a profitable enough for ROE accretive product. So the idea is not a different segment, the idea is to have a relationship which is more holistic and therefore look for growth in that kind of a segment.

Venkatraman. V: CA, SA, Insurance.

KVS Manian: Yes. So it can be multiple customers like we have SA he can be a saving account customer, he can be -- he can have our card, he can have wealth management business with us, he can do many things, insurance many things.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So questions are firstly on the ROA levers. When you look at it maybe because of EBLR, we will see compression on margins. Opex also you indicated it might not come off, credit cost also to remain broadly in a similar range. So would fee income maybe the only lever in the near term

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to manage the ROAs. And when we look at it particularly on the credit RWA, in fact, that's going up because of our focus on the mid -yielding segment.

So if I -- if we have to look at it in terms of return on risk -weighted assets then that seems to be still lower. So what initiatives are we taking to manage that? And secondly, on your EBLR. So EBLR, we could say one daily set, what is the kind of proportion if you look at because of changes which we are making up maybe based on the T-bills and moving more towards the fixed rate. So should we assume that EBLR on one day, in fact, would be broadly at a similar range or it might come up as the proportion of the overall

book?

KVS Manian: Second part of the question, I didn't understand. First part of the question, Kunal, of course, like

we said this is a multiple variables at play and we have to be agile. I think the only alternative in the current environment is to remain agile and manage these multiple variables. I mean, it is very difficult to say that this is one thing we will do and get our NIM management correct. So I think our approach to this is like you have seen in the last quarter, remain agile, find options which will keep control on our NIM to the extent possible. Sitting here just now I cannot be telling you what exactly I will do two quarters later because I don't know what the exact situation, and facts at that point will be. All I can assure you is we are being extremely watchful and agile about this and we will watch what are the right steps at each point in time.

Like somebody mentioned on the call, we are on our first few banks to cut our interest rates on savings. So we will remain agile as all I can tell you and that's the initiative if you ask me. And the second part of your question, I didn't exactly understand EBLR related question, Kunal. If you want, we'll take that offline, I didn't exactly understand that question. We can take it offline.

Kunal Shah: Okay.

Moderator: Thank you. The next question is from the line of Parash Thakkar from SORT Capital. Please go ahead.

Parash Thakkar: Yes, thanks a lot and congratulations on a good set of numbers. Sir, first of all, fee income growth was very healthy. So do you expect the fee income growth to remain -- continue this kind of traction going ahead also?

KVS Manian: That is what our desire and intention will be Parash, that is what our intention and desire will be. We will do our best to keep that momentum.

Parash Thakkar: Correct. And basically based on your asset plan for the duration when can we return to the normal NIM, even if the repo rates are cut by 50 bps more, you will try and protect your NIMs, as you said in various ways. But just based on asset liability duration point of view, when can you come back to the normal. I mean that when the deposit gets repriced to the extent the rate cuts happen on the asset side?

KVS Manian: Yes. So about a year, if you ask me, the broad principle wise about a year.

Moderator: The next question is from the line of Krishnan ASV from HDFC Securities.

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Krishnan ASV: This was related to Slide 17. I just want to understand the mix as it is moving towards mid-yielding businesses, that's very visible '24 over '25. But is the economics in any of these businesses is also trending given your focus on doing more with the same customers. Can you just walk us through how this economics used to be, say, 2 years back vis-a-vis what are we targeting now and next few years?

KVS Manian: I didn't get your question. Economics in what Krishnan?

Krishnan ASV: The economics of that segment. So the mid-yielding segment, which you have highlighted in orange, which is now at 50%, earlier it used to be at 48%, is the economics of that business.

What I mean is the return on assets that you make on that business, what did it used to be, say, 2 years back, The Federal Bank of -- The Federal Bank 2 years back, what would it have looked like? Vis-a-vis what's your aspiration? Where do you intend to take it? Where do you think are the low-hanging fruits to take?

KVS Manian: So Krishnan, broadly in principle, I'm not getting into specifics of each product. But the fundamental choice of mid-yielding assets was that they will be more ROA accretive than the low-yielding products, right? And low-yielding products for ROA accretion need other -- like corporate, for example, can be low ROA lending, but it can enhance ROA through other means like fees and things like that.

Whereas products like CV/CE

, these products, they -- on a standalone basis, they have the ability to deliver reasonable ROA, right? Of course, any cross-sell and anything is a bonus on top of that. But fundamentally, some of these mid-yielding products have ability to deliver better ROA. So that's the principle behind chasing what I call the mid-yielding segment.

And historically, of course, there are products there which were -- like, for example, CV/CE is a new business, a relatively new business. It is about a 3-, 4-year old business, a 4-year-old business. And it has gone through a learning phase. Now the team is more confident of pressing the accelerator on that, which was not the case, say, 2 years back or 3 years back, right? They were still learning the business.

We have stated in our strategy document that we'll get into businesses like tractor, we'll get into businesses like business loans, so there are all these mid-yielding -- I think there is immense potential in the mid-yielding segment to look for products which are stand alone better ROA products. And that's part of the strategy. I don't know whether I answered what you're looking for.

Moderator: The next question is from the line of Kaushik Poddar from KB Capital Markets.

Kaushik Poddar: Yes. On the cost-income ratio, which is a little high around 56%, 57%, where do you see it in

another 2 years?

KVS Manian: In our strategy document, we have given a guidance on our cost -to-income ratio. In fact, it is one item, on which I have not shown gain in reaching our targeted ROA and ROE. And we have essentially guided a flattish cost -to-income number over the next 2 to 3 years. So 53 handles -- that handle is what you should expect in the medium term for us to remain at .

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Because we will invest -- we have several elements of investments, which, of course, we will -- as I have always said, we will calibrate those investments along with outcomes on revenue so that we can -- we earned the right to invest through enhancing revenues. But broadly, I would say, we are not expecting significant deviation either way from our cost to income. So if you look at the annual cost to income this year is what 54.

Moderator: The next question is from the line of Anand Swaminathan from BofA.

Anand Swaminathan: Manian, since you've joined, has there been any change in the structure of the relationship in any of the fintech, any product changes, anything you can highlight in terms of any change in approach to your fintech channels?

KVS Manian: So on the card side -- credit card side, of course, we had a regulatory issue on doing business.

We have resumed business with one of the fintechs on that, which is Scapia . The other 1 is still under scrutiny in RBI and dialogues at RBI and the partner level. We will see and resume it in a form that may be slightly different, but we'll work towards -- will fit into our strategy.

On the personal loan side, from a distribution perspective, we are enhancing relationships with more fintechs , because we are treating them as distribution partners. And that is something that we are expanding. On the savings account side, just now, there are 2 partners we had, we continue to engage with them in the same way, except that we have reduced focus on numbers and focus a bit more on quality of acquisition of accounts with them and cross -sell. Cross -sell and quality of acquisition has been a higher focus with those 2 partners. So those are the changes.

Anand Swaminathan: Sure. And the decline in the personal loan account number is purely on a conservatism or anything else happening there?

KVS Manian: Yes, like I said, through the last year, we remain conservative on the personal loan. We are looking at relaxing some of that, given the portfolio performance, which has given us confidence to go back and relax some of those norms. But yes, t

through the last year, we had taken our loans, and that is reflected in the lack of growth in the portfolio and also, of course, the decline rates that you see. Yes. Can we take one last question?

Moderator: Sure. Ladies and gentlemen, this will be the last question for today, which is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Just one question. Assuming no further rate cut from RBI and the basis you have tweaked your savings account, how should one look at the margins in the near term?

KVS Manian : First of all, I must say, ghee sugar in your mouth. No rate cuts from RBI is not something that I'm thinking about just now. But that situation is quite hypothetical. I think there are going to be rate cuts and we have to remain agile and see how we manage our NIM. No rate cut is not even a base case scenario or extreme case scenario probably just now.

Jai Mundhra: Sure, thank you, sir.

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KVS Manian: Thank you, everybody. Thank you for joining us today. We really appreciate it. Thank you for all the questions, and we remain committed and confident of continuing on our -- this journey, which is an exciting journey, that we are all looking forward to. Thank you so much.

Moderator: Thank you. On behalf of The Federal Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q1 FY'26 Earnings Conference Call

August 02, 2025

MANAGEMENT : MR. KVS MANIAN – MD & CEO
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN –
EXECUTIVE DIRECTOR & CFO
MR. LAKSHMANAN V – GROUP PRESIDENT &
HEAD (TREASURY)
MR. VIRAT DIWANJI – GROUP PRESIDENT &
NATIONAL HEAD (CONSUMER BANKING)
MR. DAMODARAN – EVP & CHIEF RISK OFFICER
MR. MAHESH R – EVP & HEAD (LOAN
COLLECTION & RECOVERY)
MR. RAVI RANJIT – SVP & HEAD (PLANNING)
MR. MANIKANDAN M – HEAD, FINANCIAL
REPORTING
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day and welcome to Q1 FY '26 Earnings Conference Call of the Federal Bank Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Souvik Roy - Head, Investor Relations, the Federal Bank Limited. Thank you and over to you, Mr. Roy.

Souvik Roy : Thank you so much and good evening , everyone. Thank you for joining us, especially on a weekend. I have got quite a few messages over the past couple of days asking if Saturday is going to be the new normal for our Earnings Call. Well, I can assure you it is still undecided and we promise you this wasn't by design.

As always, I am joined by our full Leadership Team led by our MD and CEO along with our Executive Directors and Senior Business Heads.

We will start with some strategic updates from our MD followed by the CFO walking you through the financials and business performance for the quarter. After that, we will of course, as always, open the floor for discussions and questions.

With that, over to you, sir.

KVS Manian : Thank you, Souvik. Good evening , everyone. Thank you for joining us this Saturday evening. Before we dive into the quarterly numbers, let me make some introductory remarks :

While we will present to you a detailed review of our strategy implementation in January 2026, about a year after we first announced it, I thought a quick and a short interim update on the same may be useful. Earlier this February, when we introduced Federal 4.0, it was not just a catchphrase but was a transformation blueprint to reshape the way we operate, compete and grow. We are focused on execution as I hope you will realize as we move ahead in this update. If I had to oversimplify our strategy, and I mean oversimplify, it really comes down to getting three things right ; improving our CASA, especially the current account piece, to address our cost of funds; driving better yield on advances, largely by reshaping the asset mix and increasing granularity and volume of our fee income. In the quarter gone by, there is clear evidence that our execution is in sync with all these three objectives. And we are making good progress on all three fronts in spite of systemic headwinds on a few aspects. There remains, of course, a lot more to do. Later on this call, Venkat will take you through these details when he discusses the

quarterly results .
Coming to the execution elements :
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We began by refocusing our energies on the most vital part of the Bank , our branches , people and profitability models. The “Free The Branch” initiative is now fully underway. We have already created 70 regional business support centers, which are our BUB and Agri hubs, which are now fully functional , helping free up frontline teams from all activities other than relationship and sourcing aspects. The establishment of regional loan service centers, which will take care of the retail asset related work at branches, is progressing smoothly and should be fully in place in the 2nd quarter.

We continue to focus on what we call CODES, centralized, outsourced, digitized, eliminate, simplify. And several initiatives have already been put in place and more are in the pipeline to operationalize each of these. Our goal here is clear, remove friction from day -to-day work and allow branch teams to focus squarely on customer engagement and business development. This process will continue and gain even more momentum in the next 2-3 quarters. We are in the final stage

of finalization of standardized branch formats and manning models in them. For CASA account opening, turnaround times have been improved by realigning staffing models and improvement in processes. However, TATs across products are an important area of focus for the future quarters as well. We are investing in capability building across all levels. Sales management training is underway for identified managers in partnership with a globally renowned sales training firm. A lower cost sales force structure has already been deployed in select branches and we will enhance the scope of this initiative as we get more comfortable with the outcomes. We have kicked off the process of identifying new branch locations based on data -backed inputs and we have commissioned an external agency to help us assess our network scientifically. We have already begun a process of reviewing our branch locations and performance to evaluate shifting and upgrading branches to improve their catchment and visibility. We are also working with a partner for redesigning our physical branch formats. This may mean slightly lower number of branches this year, but with better foundational work, we can be surer of the way forward and also gather speed later.

We have overhauled our performance scorecards for branches as well as individual officers, RMs, etc., sharpening focus on CASA growth and profitability. A department -level P&L framework going down to the branch -level P&L has been rolled out and is now published frequently based on needs. Now , the teams can see the actual financial impact of their actions. We have also made the Branch Manager role more aspirational with a higher incentive structure, performance -linked metrics, and alignment to business priorities and freeing them from a lot of routine. We want to ensure that the Branch Managers and our Regional and Zonal Heads of all businesses function like mini -CEOs. That is the final goal.

In some sense, we are refueling mid -air, re -engineering the business while we are still delivering the business numbers that we have delivered. Fee income and pricing reforms have kicked off with several important changes. We have revised our fee and charges in line with competition, energized our product partners, and improved our revenue structures. Some of the impact of that is already visible in our fee growth for the last quarter. We have also implemented a new loan pricing and delegation structure. Our RAROC -based pricing models and transfer pricing models
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have been fully revamped, giving us sharper insight into segment -level profitability, product -level pricing decisions across the Bank , and customer -level pricing and profitability decisions in the corporate businesses. With this methodology, a more holistic customer -level approach to business with the right balance between wallet share and pricing, and also the right mix between fund-based revenues and fee revenues is enabled.

The Wealth Management and Banca Vertical is now well underway. With experienced hires onboarded, Head of Business, Head of Products, and Sales Head are all in place. Technology enablement is underway. Our partnerships are being renegotiated or restructured to better align outcomes and ensure we build a scalable platform. We have also made strong progress in strengthening our Trade and Forex capabilities. We also now have a Head of Global Transaction Banking who joined us last month. The central teams have been strengthened. A team of RMs across the branch network, now called PRM Business, Priority Relationship Managers (Business), have been identified and trained to give a push to the retail trade and F business as well as current account business.

Our retail assets team has been restructured to have separate heads for unsecured and secured

businesses. Both are now headed by new talent

that we acquired last quarter. Also within the secured business, separate verticals have been created for LAP and Home Loan, Auto, as well as branch distribution of secured assets to bring sharper focus. A Retail Credit Head would be soon joining our team under the Chief Credit Officer. In the corporate Bank business, we have created a separate vertical focusing on the B-FIG segment, which will also help us enhance our focus on capital markets and correspondent Banking. This allows the rest of the corporate Bank to focus more sharply on growing the mid-market corporate segment. Foundational work has been already done for Tractor Finance, EMI-based business loans and Agri-based SME loans. These products will be rolled out in the coming quarters.

Tech is of course the backbone of Federal 4.0. Our corporate and commercial credit underwriting automation has just gone live. On the customer side, FedOne, our unified interface for corporates, has gone live with a new collection and payment solution, thereby completing the Phase -1 of rollout and will undergo monthly upgrades with a few feature additions from here on. Online trade is our next big project within this unified interface. FedMobile app has seen over 15 new features rolled out this quarter. A GenAI-powered chatbot as an internal co-pilot for our employees is in alpha testing. It has been trained on our internal knowledge base. And this is just the first step in embedding AI into both customer and employee journeys.

At the infrastructure level, we are engaging a partner to undertake a full review of our IT architecture and create a roadmap for the future, ensuring our digital and technology backbone is future proof. We have strengthened the technology team with three key new hires just below the CTO level. We have placed customer experience at the center of all this transformation. Our CRM platform revamp has already delivered over 15 key enhancements. We have kicked off a deep dive study to improve adoption and usage of the platform, ensuring we are not just building tools, but driving value through better account management, lead management, and organizing

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our cross-sell processes better. There is a lot more work to be done in this area to leverage the investment we have already made in this platform.

This year, we have taken a bolder step in brand building. The Savings Ki Vidya campaign featuring Vidya Balan is now live. It is not just a celebrity endorsement. It is about repositioning the Bank in the minds of retail savers. This is an integrated transformation with over 50 large and 100 small projects under execution designed to make Federal Bank faster, simpler, more profitable, and more agile. Federal 4.0 is not just a plan anymore. We are transforming where it matters, and we remain focused on doing it at speed. But this is surely a multi-quarter journey. This journey will come with some air pockets at times, but we remain resolute in our execution. My team fully shares my excitement as we take this journey forward. Thank you for walking this journey with us. Now, let me hand it over to Venkat for a more detailed walkthrough of the quarter in particular that went by. Incidentally, he recently got elevated to the Board as Executive Director. Welcome, Venkat and all yours. Thank you.

Venkatraman V : Thank you, Manian, and good evening to all of you. Thank you for joining us to discuss our Q1 FY '26 Financial Results. I hope you have had a chance to go through our Investor Presentation and Detailed Disclosures. As always, we will use this forum to go through the key developments and then take questions.

Let me begin by providing some macro context :

The 1st Quarter of the year is typically soft for the Banking industry. The seasonal factors, particularly around collections, disbursements, asset segments like MFI, Agri, and

and CV. This year

was no different. And as you know, Reserve Bank of India cuts a repo rate by a cumulative 100 basis points since February, including a 50-bps cut in June. This was done with the intent to spur growth and improve liquidity. Inflation is under control and rural consumption is showing signs of revival. Credit growth in Q1 is seasonally muted across the Banking system.

Corporate loan demand continues to remain selective with many large borrowers opting for bond market and other alternate sources of funding. At the same time, unsecured retail portfolios, especially microfinance and cards, remain under scrutiny, and the industry has seen a calibrated pullback in new originations in certain subsegments. On the liability side, deposit repricing has commenced in a small way, and we will see a lagged impact of the rate cut on deposits. From our perspective, we believe the medium-term environment remains conducive for Banks with disciplined credit filters and a diversified lending engine.

Now, coming to the metrics of the Bank's performance :

We delivered a strong operational performance in Q1 and by the way, we are now the 6th largest private sector Bank by total business. Gross advances grew by 9.15% year-on-year and 3% sequentially. On the back of our strategy to grow medium-yield businesses, the growth was led

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by commercial Banking, which grew by 5.5% Q-o-Q and 30.28% Y-o-Y, credit cards, which grew 8% Q-o-Q, CVCE, which grew 5% Q-o-Q.

With the recent circular on gold, the gold loan business grew quite strongly in June, and we will see the full impact of that playing through from this quarter onwards. As mentioned by Manian, the retail restructuring is almost complete, and this will aid in stronger retail growth in H2. Also, with the festive season around the corner, we expect growth to gain further momentum. We are in line to grow at 1.2x nominal GDP.

On the deposit side, growth was 8.03% Y-o-Y and 1.34% Q-o-Q, with retail TD seeing strong traction and steady CASA growth. In fact, our average CASA growth was 3% this quarter. Our CASA ratio stands at 30.35, which is an improvement of 108 bps year-on-year and 12 bps quarter-on-quarter and average deposit growth was 6% Q-o-Q. Our net interest income for the quarter stood at Rs. 2,337 crore, growing at 2%. Now, this 2% growth, we must note that Y-o-Y, last year their rates were 100 bps higher, whereas we have got 100 bps rate cut in fact in this Q1.

The NIM for the quarter was 2.94%. As you are aware, we follow a T+1 repricing for the stock, and a large part of the 100-bps rate cut is already reflected. We had some offsets including lower savings rate, which full impact will be seen in Q2. We did quite well to manage the impact of the NIM drop and end at 2.94%. We expect NIMs to bottom out in Q2, subject to no further rate cuts, and improve in H2 as cost of funds falls. Total non-interest income, which was mentioned earlier, was the highest ever for the Bank at Rs 1,113 crores. Core fee income grew by a healthy 20% year-on-year and other income by 22% year-on-year.

Operating expenses were flat sequentially, and our cost-to-income ratio is 54.89%. We will continue to focus on operating leverage, especially through digital origination and process optimization. On asset quality, gross slippages for the quarter stood at Rs. 658.19 crore, with MFI/Agri being a large part of it. Gross NPA was 1.91%, and net NPA 0.48%, broadly stable. PCR stands at a healthy 74.41%, and credit cost for the quarter was 65 bps. Excluding the MFI/Agri impact, our credit costs are well in line with historical trend, and in fact flat as compared to the last few quarters, including last year's same period. Having seen the trend of the slippages in the month of May, June, July, and the downward trajectory, we are confident that we will maintain our full

year credit cost guidance around 55 bps.

It is important to reiterate that outside of MFI/Agri, and slight uptake in business Banking, slippages were either stable or improved. Our CET1 stands at 14.69%, and overall capital adequacy is at 16.03%. ROA for the quarter was at 1%, and ROE at 10.3%. Disbursement momentum should improve post-monsoon, especially in retail and MSME. Combination of a better macro backdrop, declining cost of funds, and recovery in unsecured lending should support margin and bottomline normalization. The external environment is improving, albeit there are some geopolitical and tariff-related uncertainties. Inflation is moderating and early signs of consumption revival are visible. However, competition remains intense, especially on pricing, and we will be guided by risk-adjusted profitability.

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We see strong opportunities in secured MSME, business Banking, gold-backed lending, and the other medium-yielding segments like LAP and CVC E, as highlighted by Manian on the progress made on the 12 themes. We continue to invest in distribution, digital, and data to scale the franchise efficiently. Our focus will remain on sustainable growth, risk discipline, and improving productivity across the board.

Thank you and I will now open the floor for questions.

Moderator: Thank you. We will now begin with the question-and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: So, one question on MFI that quite a few lenders recognized MFI stress in 3rd and 4th quarters, and of course it continues to some extent even in the 1st quarter. So, for us, it bunched up only in the 1st quarter, is it? And there would be accelerated or aging provisions on the slippages this quarter and the next few quarters as well, right because the write-offs are not materially different from 4th quarter overall in general? So, that is my first question. And then in general, there appears to be a stress in the very retail segments like unsecured, business Banking, and of course the MFI stress may peak in one or two quarters wherein CVs, business Banking, we hear a lot of lenders talking about new stress build-ups. So, how do you view the environment and do you see credit costs remaining high in the 2nd quarter and then moderating or how do we view it? So, that is my first question. And then my next question is on margins. Of course, you have

repriced faster. So, that explains the margin decline, but you also got benefit on cost of funds. But how much do they fall in the 2nd quarter before stabilizing? The quantum should be much lower or how do we view that?

KVS Manian : So, Mahrukh, multiple questions. So, yes, it is correct that our MFI stress had begun to show up a little bit on the 4th quarter, but yes, significantly showed up in this quarter. And as I mentioned, we saw the peak of our slippages in May and in June and July, we have seen drop in slippages in MFI. And of course, you know that since last year, December quarter, we take an accelerated provision on our unsecured loans. So, that policy continues. So, therefore, this at best lingers for a quarter more, this effect lingers for a quarter more at best, not more than that, because we take 100% provision by that time. So, that is point #1. And second, I will ask Harsh to add something on the business part of that. The second question you asked was the NIM impact. Like you rightly pointed out, because we repriced faster because of our T+1 policy. But interestingly, as you said, our cost of funds have also dropped significantly over this period of time and we have been able to defend some of our NIM pressure. And since we have repriced faster, we don't expect our further NIM pressure to be more than 5-10 basis point range in the next quarter. I hope that answers

your question and on MFI, Harsh wants to add some color.

Harsh Dugar : Yes, on MFI, you are right. We did a peak in May, as Manian mentioned, and we have seen June to be better than May and July to be better than June. So, we do see slippages kind of coming off. Also, other indicators such as the SMA book and collection efficiency seems to be improving from what it was. So, we do feel that we should see improvements going forward from here.

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KVS Manian : Mahrukh, I would add one more thing just to clarify. But for the MFI/Agri piece, our slippages have remained in the same range that they have been all through the last year. In fact, in some products, they are better or equal or very marginally higher. But nothing alarming, nothing out of the way, no significant change in asset quality other than MFI/Agri segment.

Mahrukh Adajania : And business Banking is also good?

KVS Manian : It is also within the same range as it was in the first. See, business Banking, of course, had a very good quarter last Q4. But if you look at seasonality in that and Q1 of last year, it is ballpark in the same range, very marginal uptick, yes.

Mahrukh Adajania : Thank you.

KVS Manian : Thank you.

Moderator : Thank you. Next question is from Rikish Shah from IIFL Capital Service. Please go ahead.

Rikish Shah : Hi, good evening, and thank you for the opportunity. Just three quick questions. The first one, we spoke briefly about business Banking and MFI, but would you be able to supplement it with some more color and data, so specifically on business Banking, I wanted to understand what proportion of the book is secured versus unsecured? How much of that is backed by any government guarantee schemes? And how the slippages have kind of moved Y-o-Y. 4Q, you did mention it was very strong. And even on MFI, if you could talk a bit more about X bucket collection efficiency in April, May, June, and how that has moved in July that will help us to understand how the forward flows are and how much of improvement we can expect in the 2nd Quarter. So, that is my first question? Maybe I will ask the other two questions after this.

KVS Manian : So, Rikish, on business Banking, almost very large part of that book is secured book. It is not unsecured book. Almost entirely, it is a secured book. And there is very little of CG TSME and those kinds of products we have done. Largely, it is pure lending, secured lending. That is the nature of that business. That hope clarifies your doubt on that. On MFI, of course, we don't disclose the roll forward and those kind of like, but let me clarify to you again, that we saw the peak of this in May and both in the month of June and in July, we have seen a secular fall in slippages even in our MFI book. And we are hoping that the trend is there to stay. And also our SMA book, which is a precursor to slippage, is also lower than as we exit the quarter is lower than previous quarter. So, I would say that clearly on this part, as things stand now, we think the worst is behind us. Of course, provisioning comes with some lag, so it may moderate down, but with a lag of a quarter, but slippages have at least shown a trend onwards.

Rikish Shah : Got it. The second one was more like a clarificatory. The credit cost guidance has actually been up to 55 basis points. I think we used to earlier guide below 50 basis points. So, is that a correct understanding?

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Venkatraman V : Not really, Rikish. Last time, we guided 50-60 bps. So, right now, the guidance is around midway on that.

KVS Manian : We used to guide that lower figure last year, Rikish. This year, last time itself, we had said 50-60

as the guidance.

Rikin Shah : Got it. And sir, last question is for Manian sir. Sir, historically, the one comforting factor for the Bank has alw

ays been a very stellar and stable kind of outcomes on asset quality. For a much lower share of unsecured loans, we have started seeing stress , 3Q, we took accelerated provisions. Again, this quarter, this is happening and margins given the startin g point for Federal Bank itself was low and then you have this cyclical downturn. How do we really think about the ROAs, right? Because you had guided in the analyst earlier that we aspire to improve our ROAs meaningfully. Is this now pushed back given how the macro environment is or would you want to revisit your ROA growth trajectory or guidance? Those are all my questions.

KVS Manian : So, Rikin, if you see even this quarter performance and if you were to take the net interest on average assets and fee on average assets, our fee on average assets has also grown. In fact, if you technically look at it, we have been able to defend the ROA, but for the MFI provision that we have taken, we would have defended our ROA at the same level as last quarter, but for the MFI provision. So, I remain optimistic. The structure change as you can also see in our presentation of the mid -yielding assets is consistently happening. You have even this quarter seen improvement in mid -yielding asset proportion compared to last quarter and Venkat mentioned that we are more optimistic about some of the products like gold, for example, the real change in regulation happened in June. So, the growth you see in this quarter is effectively a month growth which will give us more growth in the coming quarters . And retail assets like Venkat mentioned, we have restructured the business, we are more hopeful that things are now in place to push for growth , so mid-yielding assets is part of the strategy. So, I continue to say that our ROA is defined by improvement in CASA, which you can see evidence of in the quarter 1 results, improvement in fees, which again you can see the ev idence in the 1st quarter results and change in mix on assets, which again you can see the evidence of that in the results. So, all those three that we guided improvement in ROA based on, all those three parameters are playing out clearly. Yes, the asset q uality , like we again clarified, but for the MFI, the asset quality on rest of the book has remained absolutely at the same level that it was till last year.

Rikin Shah : Got it, sir. Thank you very much.

Moderator : Thank you. Nex t ques tion is from the line of Piran Engineer from CLSA India. Please go ahead.

Piran Engineer : Yes, hi team. Thanks for taking my question and congrats on the quarter. Just a couple of questions. Firstly, on fee income now, we have done a good job on fee income over the last 3-4 quarters since you joined. Is this more a case of low hanging fruit being p lucked and now fees will grow in line with balance sheet or can fees continue to sustainably grow for a long period faster than the balance sheet? And if so, then what are the drivers, of course?

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KVS Manian : So, Piran, we would like to believe that, of cou rse, this is there to stay and not just because we hope for it. I just mentioned that our wealth vertical is just about falling in place. We will have to grow our Wealth business, which will add to fees. I also mentioned that we now have a team in place on the transaction Bank ing side and therefore we are expecting our trade and Forex fees to grow from here. Our current Bank assurance growth has been very good. Even in this quarter, if you see the para-Banking fees have grown very very handsomely. So, I think we are still scratching the surface, and our cards business continues to grow, which will add to fees. So, I think there are enough levers for us to sustain the fee growth at a good momentum , much faster than the growth in balance sheet for some man y more quarters to come. I am hoping, yes.

Piran Engineer : Fair enough

h. Secondly, just on growth, two questions are both related to growth. One is, I think I heard as mentioned that growth will be 1.2x of nominal GDP. Did I hear that? Is that only for FY '26? Because we used to usually grow at 18 %-20%, then we did this recalibration?

KVS Manian : Piran, we have been always saying 1.2 to 1.5, 1.4, 1.5 times, but that also depends on the environment. If the environment is of a low growth environment, then the faster growth becomes tougher and that is why we guide towards the lower end of that band.

Piran Engineer : But this is only for FY '26, right?

Venkatraman V : Yes, Piran and see 18 %-20%, you should know the context at that time, economy, let us say, growing at 7 and inflation was 7 and then you apply the 1.2 -1.4x, you will still get to that 18 %-20%. So, it is a context to that growth and that is why we stick to nominal GDP and a multiplier.

Piran Engineer : Understood. And also on growth and business Bank ing, we have slowed down quite a bit. Is this more of a pricing related tweak? It is just very competitive .

KVS Manian : No, Piran, what we are doing in business Bank ing is, of course, generally the environmen t is, you have heard many calls where people are warning against SME credit w hile I mentioned that our book is not seeing particularly higher stress than in the past, but it is important for us to be cautious. So, we have made some internal rejigs on our c redit buying decisions and we have

been slightly more cautious while growing that while on the commercial Bank side, we have continued to grow faster and because we have felt more confident of the market as well as our book on that and it is the upper end of the SME. So, we are pushing the upper end of SME growth faster than the lower end, but we have also created a new team there. There is a new leader there. There is a set of new RMs that we have created dedicated to that business. So, some of that is playing out, but I am sure that in quarters to come, we will pick up some growth in that segment as well.

Piran Engineer : Got it. That was all that I had. Just one thing since Souvik mentioned it about this Saturday thing, I hope this is just a one-off. You will get much more clients on the call when you do it on weekdays and literally every Bank has started doing it on Saturday, which is just very surprising and when it clashes, imagine if you all clash with an ICICI or Kotak, people will obviously give more importance. I am just being very honest here.

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KVS Manian : Try and not follow the path. Let's see. Yes, it's better on a weekly basis. Noted your feedback. We will.

Piran Engineer : Yes, thank you and wish you all the best.

Moderator : Thank you. Next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama : Yes, sir. Thank you for the opportunity and congratulations for the strong operating performance. My question is on the stress again, like you said that microfinance, we have seen a stress in this quarter. If you can quantify what the stress is in microfinance and I believe our portfolio is towards Kerala rather than Karnataka or state where there were ordinances related impacts. So, what basically led to this kind of higher stress in microfinance? That is my first question. Second, is that CVCE book that also seems to be now freezing out and so business Banking, can there be some surprises over there in terms of asset quality that you see going forward?

KVS Manian : So, Anand, right?

Anand Dama : Yes.

KVS Manian : Anand, on MFI, our portfolio is not Kerala. Our portfolio is actually across the country over multiple states, but 20% odd is in Karnataka. So, that is where the big pain is coming. And our slippery numbers are there in our deck in MFI /Agri. We call it Agri /MFI. So, it is there in the deck for you to get. On CVCE and business Bank

ing, as I mentioned, yes, we have seen marginally higher stress than in the past. But I would say it is not yet something that is alarming. On the CV and CE, we are largely not on the very retail end of that business. We are in the medium to large size strategic customers and retail premium customers, if you might want to call them. So, we are not at the lowest end in the LCV and the lower end of the business. So, while we have seen marginal deterioration, it is not yet alarming us. Of course, if the data tells us something else, we will change our mind. But right now, it does not give us any reason to change our mind on wanting to continue to grow the CVCE. Business Banking, I mentioned to you again, very marginal change, broadly in line with what we have seen in Q1 of last year and Q1 of this year is similar. That of course, in Business Banking, we have more Kerala focused book, about 30% of the book is Kerala. But like I said, that is not showing any abnormal signs to us just now. Again, we have been cautious. We have not grown that book very fast and we have taken some protective measures over the last 2-3 quarters on that book. And we have done some tinkering with our underwriting as well there to make sure that we have, because there are too many people calling out stress in that sector and we don't want to wade into the storm. So, we have been cautious, though our portfolio per se has not exhibited any alarming tendencies.

Anand Dama : And do you plan to build some buffer on the provision front? Because you may never know the stress on your portfolio, incrementally, obviously you can?

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KVS Manian : Anand, it is a secured book. It is not an unsecured book. So, we are not yet thinking in terms of that.

Anand Dama : Sir, secondly, cost implications of your transformation process, how that would look like in FY '26 in terms of overall OPEX? Because you talked about branch transformation, you talked about people, changes that you are doing and stuff. So, if you can just talk about that in terms of what kind of OPEX that we should build in for FY '26 and FY '27?

KVS Manian : So, Anand, we have always guided that do not assume any benefits out of cost to income and they will remain in the same range that they have been. As you can see, even this quarter, while we have taken all those initiatives, we have created the 70 RBSCs. We are also trying to optimize. The fact that we have created 70 retail business centers does not mean we have added

people from outside. We have also optimized internally, re-transferred people from one role to other and created. When I said we have created 70 business PRMs, it is not an addition to our manpower, it is more realignment of our manpower. So, we are trying to optimize whatever we can and we are trying to get efficiencies that we can get. However, as per our past guidance, I continue to say that since we will be in the investment mode and all these talents that we have added will of course add cost to us and therefore we have to continue to optimize this. So, we do not want to guide for any benefits arising out of, so we will remain in the mid -50s range that we have always guided.

Anand Dama : Thank you.

Moderator : Thank you. Next question is from the line of Madhuchanda Dey from Money Control . Please go ahead.

Madhuchanda Dey : Hi, good evening. I have a couple of questions. The first is, you sounded quite confident on the MFI as set quality not deteriorating from hereon and you also said that there is a marginal down take in NIMs that are expected in Q2. So, is it correct to assume that 1% is kind of the bottom of ROA for us?

KVS Manian : Yes, I think we are close to the bottom of the ROA side. Like I mentioned to you, had it not been for the extra MFI provision that we took this quarter, we would have defended our ROA at 1.24 itself almost. So,

of course, who knows, we are assuming no rate cuts happen from here . Yes, we would say NIM 5 -10 basis points downside possible, but hopefully we will defend that through fees and other means and ROAs will sustain from here and upwards.

Madhuchanda Dey : My second question is on the asset quality. You sounded quite confident on broad array of asset classes. So, is there any pocket of worry incrementally from here on?

KVS Manian : So, Madhu, as we mentioned, if we go back to the data and strip it off the MFI situation, MFI/Agri, if I take that segment out and look at the rest of the book, we have currently no reason to assume that there is any stress building up in our book. Our current SMA position even as of July, not only June, but July as well is not indicative of any stress that is building up in our book
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as of now. So, is there a marginal deterioration in BUB, CVC E? Yes, there is. But like I said, there is a marginal deterioration, but that is not yet, I would say alarming or anything like that to us. Unless this data changes, yes, we remain confident of our asset quality, yes .

Madhuchanda Dey : And one last small question, will it be possible to quantify what percentage of our loan book or borrowers have exposure to the US market?

KVS Manian : That is a tough one. Difficult to say that. Madhu, I know where you are getting there, but the way I look at the tariff situation is first, it may not be the last word yet. There will be more developments on this, I am sure government will get into some negotiation, do something to defend the situation. So, we may not yet have the last word on it. But once it is there, then I would say this is some monitorable for us. But difficult to say what the impact of this will be, difficult to say. Frankly, we have never looked at our portfolio from this lens and analyzed it in that manner.

Madhuchanda Dey : Thanks a lot and all the best.

Moderator : Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : Hi. Thanks for taking the question. So, firstly, if you can highlight in terms of, have you aligned the KRAs of the employees you indicated that now you are freeing the capacity at the branch and focusing on more business development, customer engagement, be it para Banking plus CASA. So, how have the KRAs of the employees changed? And eventually, in terms of the priorities, fair to assume that maybe CA and fee income are the initial priorities and would we be tweaking KRAs 6 months, 12 months down the line? Because now maybe, you are well aware of how it is working and what are the low hanging fruits ?

KVS Manian : Yes, Kunal, all branch scorecards have been changed. All employees and sales profiles have a scorecard which reflect our Bank 's priority and that has been rolled out across the Bank for all profiles. So, that has been implemented and is in place and scores are declared every month for every profile. So, that is all in place. Yes, CA and fee, but asset mix too , if you look at our data that we have shown you, asset mix is showing steadily improvement towards the medium yield. Even in this quarter, we have made 50 -60 basis points improvement in the mid -yield. And as I told you, the retail products as we get traction, gold as we get traction will all add to this bucket. And therefore, all three, as I said, oversimplified strategy of CASA, getting CA right, getting fee right and getting asset mix right. All three absolutely built into the scorecards of people and the way we are evaluating them. It is very much.

Kunal Shah : Got it. So, the weightages would have gone up for these three in particular?

KVS Manian : Yes, absolutely , branches, for example, the CASA weightage for branches has gone up dramatically more than it used to be.

Kunal Shah : If you can quantify?

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KVS Manian : Let me put it this way. More than half the weightage is for liability products.

Kunal Shah : Great. And earlier, it would have been more tilted towards assets?

KVS Manian : Well, that is in the past, Kunal. For now, it is more than 50. Let us stick to that.

Kunal Shah : Got it. And two more questions. Firstly, fair to say the increase in A gri is purely on MFI or MFI is there in retail as well?

KVS Manian : There is no MFI anywhere other than what we classify as A gri/MFI.

Kunal Shah : So, then, what is leading to the increase in the retail slippage is when we look at it, also, it has gone up a bit in the 1st quarter. Is it more of seasonality or maybe some?

KVS Manian : Yes. Is it more seasonality, Kunal, even if you compare it with last year, we have seen the trend.

In the 1st quarter, it is generally slightly higher. But in fact, we are already seeing SMA is lower, July itself, the slippages are lower. So, it is more. I won't say there is a trend of any big deterioration there yet.

Kunal Shah : Got it. And lastly, on EBLR, so EBLR is now coming off, you indicated in terms of how you are transitioning maybe from floating to fixed trading few of the portfolios. Are we largely done or still there is a scope to get the EBLR further down from here on?

KVS Manian : Yes. There is scope to get it further down. As you would have noticed, we were 51% odd, close to 51% sometime back. That is down to 48 now. And there is scope to further reduce this. And as we build, for example, the car loan business, gold loan business are all fixed. So, card is fixed. Commercial vehicle is fixed. So, some of the areas which are growing fast are fixed. So, there is definitely more scope to get it down from 48.

Venkatraman V : Also, moved nicely from around 25%-26% levels to now 33%.

KVS Manian : Yes. The fixed book has moved up from 26%-33%, right. So, this is clear. See, some of these priorities we said clearly our execution is keeping pace with some of those priorities that we have fixed on all these parameters. So, I think 48 is still there is upside on that.

Kunal Shah : Got it. Thanks a lot and all the best.

Moderator : Thank you. Next question is from the line of M B Mahesh from Kodak Securities. Please go ahead.

M B Mahesh : Hi, three questions from my side. One is, can you walk us through as to why would NIM only decline by 5 basis points the next quarter? And within this, if you could spell out in this quarter, what was the contribution of interest de-recognition on account of some of the higher yielding segments slipping in the current quarter?

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KVS Manian : Impact of high interest de-recognition. Let me take the NIM part first. We have a residual, see 50 bps that came in June has had a one-month impact, right? So, we need to yet get 2 months' impact on 50 basis, which is roughly 33 basis points. If 48% of our book is there, say 33% will be 15 or 16. And we are saying that we will defend 7 or 8 basis points and therefore, we are saying something around between 5 and 10 will be the impact. So, that is the answer to your NIM question. On the income de-recognition.

Venkatraman V : 4-5 bps, Mahesh has been the impact due to the URI.

M B Mahesh : Sir, the second question, it has been on the fee income line, this contribution of recovery from written off continues to remain fairly high. Any outlook on that? And this general processing fees contribution also continues to remain high? Any color on these two line items?

KVS Manian : So, the general processing fee will remain high. In fact, we think as the disbursements go up and gold and all these businesses disbursements go up, it can become even more robust. And general charges are also as I mentioned in my introductory remarks, we have also revamped our fee structures on many of our

products, liability products, and that has also resulted in some of the change that you see in the fee side. We have also renegotiated some of our partner fee structures, and that has also resulted. So, some of those are sustainable increases in fee structure. So, there is no one time stuff on the general fee that you see there.

Venkatraman V : Second question, recovery from written-off assets, Mahesh, in this quarter has been relatively lower than last quarter. Last quarter, obviously, Q4, you will see a very large uptake every year.

That has been lower. But in Q1, like every year, we have the reval of the unlisted investments.

So, we get the benefit of that in the other income in Q1.

M B Mahesh : And this will decline as we go forward? Is that a safe assumption to make?

KVS Manian : No, recovery will continue. So, I don't think that will decline substantially. That should remain or get better actually as we get towards the last quarter again next year. Usually, seasonal wise,

or maybe effort wise, it tends to be better in the last couple of quarters.

Venkatraman V : Next quarter, we should also get benefit of some PSLC.

KVS Manian : Yes, so some or other positive will come.

M B Mahesh : Perfect. Done. Thank you.

Moderator : Thank you. Next question is from line of Param Subramanian from Investec India. Please go ahead.

Param Subramanian : Hi. Good evening. Thanks for taking my question. Firstly, sir, if you could call out the slippage in MFI and A gri separately for this quarter and last quarter ?

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KVS Manian : We normally don't give that split, Param . The large part of the A gri part is the MFI.

Venkatraman V : Large part of the slippage that you see there is MFI.

Param Subramanian : Can I equate it with say the write-off number broadly because ?

KVS Manian : What write-off?

Param Subramanian : Write-off has also been high for the last couple of quarters, so roughly, will it be equal to the write-off that?

KVS Manian : No, it has no connection at all.

Param Subramanian : And, sir, the recovery, NPL recovery number is also softer than what we have seen over the last 3-4 quarters, so which is why your net slippage is also looking high in this quarter. So, anything to call out over there?

Venkatraman V : Param, usually Q4 is highest.

KVS Manian : So, Param, please don't compare Q1 with Q4. If you do that, it will always look like that. Every year, the way to look at it is Q1, what it was last year and compare that. And if you look at that, it is more or less at the same position. It is not very different.

Param Subramanian : There is no change in our recognition of recoveries or any such thing?

KVS Manian : No, nothing.

Param Subramanian : And one last question. So, on your loan processing fees, it is down Y-o-Y by 11% in the fee breakup. So, what exactly is happening there ?

KVS Manian : So, there is largely some. The products which give us more fees when on disbursement, like gold, were lower in this quarter. Like I told you that the gold loan, actually, whatever growth you see is actually only a June phenomenon on after RBI clarity happened on the gold business. So, some of those businesses which give higher processing fee were lower in this quarter. And we are hoping that some of that will recover. In spite of that, our overall fee performance was fairly strong, actually.

Management : Param, are you with us? Hello?

Param Subramanian : Sorry, I was on mute. Yes, thanks a lot. All the best.

KVS Manian : Thank you.

Moderator : Thank you. Next question is from the line of Sumit Kariwala from Morgan Stanley. Please go ahead.

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Sumit Kariwala : Hi, good evening , team. Couple of questions. So, what is the decline in savings deposit cost on a quarter-on-quarter basis?

KVS Manian : Let me put it this way.

We cut our savings deposit rates twice. Second was in only June. We cut it in June 15th. On June 15th, by 25 bps, we cut it to 250 from 275. And that has not seen the impact in the full quarter, it has seen only a 15-day impact. That benefit it will come entirely next year if that is what you are looking at. Sumit, are you with us?

Moderator : Thank you. Sir, the line for the participant dropped. We move on to the next questioner. Next question is from the line of Harsh Modi. Please go ahead.

Harsh Modi : Great. Thanks for this. I would also request if it is possible not to do a briefing on Saturday . That would be a huge help.

Harsh Modi : Coming to the questions. On the mid-yield, what I am trying to understand is where is the risk of higher credit issues coming in with higher yield because it is difficult to see a scenario where credit spreads have gone up, but credit risk has not gone up. So, for example, if I want to understand the nature of collateral, let us say for SME and the business loans, are these still the real estate kind of hard collateral or have you moved to collaterals where probably the loss-given default is higher while they are still secured, but probably the loss-given default may be higher? So, could you explain a bit , what are the potential risks that come with higher credit spread? And I have a follow-up question on that ?

KVS Manian : Harsh, I have been talking about the higher asset yields by change in mix and not necessarily by saying that we will go for higher yield assets with higher risk. So, I just want to put on record

that we are all on the same page on that. Having said that, on the lower end of business Bank ing in the SME side, when we say they are secured, we don't mean other security, we mean property security. At the higher end of SME that we spoke about in the commercial Bank , it tends to be not fully 100% secured kind of transactions as well. But at the lower end, it is largely, when we say secured, we mean property secured.

Venkatraman V : Retail and commercial.

KVS Manian : Retail and commercial, both kinds of security is available. I hope that clarifies your question.

Harsh Modi : Right. So, has the loss -given default of these securities, let us say over the last 6 months, too early to see any defaults , but if you think about the assessment of loss -given default for loans given in the last 6 months, are they same as, let us say, those of loss -given default assessment, let us say , 2 years ago?

KVS Manian : Harsh, we obviously use a historical model to determine what to do going forward. Based on our underwriting, we keep reviewing our data and keep updating the loss -given default as the defaults keep occurring and losses keep occurring. Having said that, please remember that usually in properties, both things work. While the risk may play out, the fact is also that property

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values also in most places inch upwards and not downwards. So, usually the property valuations are higher and of course, we have our own rating models and relatively higher -rated customer, we may take a less LTV ratio at lower levels, whereas if the customer is rated low, we take a more conservative view on LTV. So, these are things that play out. But we have no reason just now to assume that what we are underwriting now is any higher risk at all than what we have done in the past.

Harsh Modi : Right. Now, thanks for that. I am sorry to double -click on that. But let us say the LTVs that you talked about for either property or let us say something like a gold loan, which is pure LTV business , like how has the LTVs of gold loans, let us say in the last 3 months versus a year ago, and also the LTV at origination or some of the mortgage or business -related loans with property as collateral, have you changed the LTVs, increased the LTV, which allows you to

probably

make higher yield?

KVS Manian : No, not for making higher yield. Actually, it is the other way, Harsh. Many cases, we, for example, LAP business, the question is whether we take our LTVs based on market value or fire sale value, right , forced sale value. Obviously, the best of customers will never give you their business. If you put, you may think you are safer by doing a LTV based on a fire sale value, but no good customer will come in. So, it leads to adverse selection. So, what do you think is good credit actually turns to be bad credit ? So, we are not doing anything. Let me say , our objective is to get right pricing for the risk we take rather than take higher risk and therefore get higher pricing. That is not what we want to do.

Harsh Modi : Fair point. Exactly. So, sorry, the last question then, maybe you are not doing it, but it seems a lot of your competition is also focusing on the similar, and I absolutely love the phrase mid -yield segment, a lot of your competition, smaller Banks, larger NBFCs are getting into that space. So, is the competition for cing some sort of dilution of credit standards is what I am trying to get to ?

KVS Manian : No, there is competition, no doubt, but that doesn't force our credit standards to be low. It is a big market. It is a large market. I think the share that we want, we are getting at our rate versus security. Virat, do you want to take that?

Management : Look, in that kind of situation, we would rather, what do you call, give a rate discount, but not, what do you call, bring down our security level. So, that is the approach that we have taken.

KVS Manian : If we have to choose between the two, we will choose lower rate than lower security.

Harsh Modi : Got it. Great. Thank you so much. Those are my questions.

KVS Manian : Thanks, Harsh . Operator, we can probably just take one final question and then close it.

Moderator : Sure, sir. Participants, we will take one last question from the line of Sameer Bhise from D ymon Asia. Please go ahead.

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Sameer Bhise : Yes, hi. Thanks for the opportunity. Sir, just wanted to understand from a near to medium -term profitability perspective, one is that some of the high -yielding categories, mainly, say, the MFI, business Bank ing, CV, the degree of risk has gone up. So, you would probably be cautious there. So, what is going to do the growth heavy lifting when we say that we will grow at 1.2 -1.3 times nominal GDP, and at the same time help margins? So, that is one. And secondly, generally, even large Banks have also been saying that credit costs could normalize upward. So, would it be fair to say that bulk of the profitability or ROI benefits, say, come more in FY '27 second half in terms of tangible measurable outcomes? And this is more like building blocks kind of a year.

Yes, those are my two questions ?

KVS Manian : Sameer, FY '27 second half is too long for us to start talking about. I think we remain focused on, let us say, the next half year. And I will repeat one thing. Some of the gains that we are talking about from NIM and therefore profitability will come on the liability side as well. And that part can come without risk. Second, there are still opportunities for us as a relatively small market shareholder in many of the products to continue. LAP, for example, we have just scratched the surface. We don't have almost have a LAP book. When many other Banks are looking at, they are looking at growth from a large book, we are looking from a small book and therefore, it is possible to grow that business. It is possible for us to, gold is, like I said, I am very optimistic about growing gold, which is a reasonable yield book, highly capital efficient, very low NPA, highly profit accretive business for us, fee and interest accretive for us. So, there are enough opportunities for us to grow

row our book to get to that 1.2 x the metric that Venkat gave you. I think we still have opportunities within our sphere of operation to do that.

Sameer Bhise : Sure. This is helpful. And finally, generally, given the environment is sluggish, you still remain confident on asset quality ?

KVS Manian : We are always cautious. So, we will remain cautious. Like I said, bar MFI, there is no reason for us to be alarmed about anything as yet. If data changes, we will change our mind. But as of now, I have no reason to feel diffident about it. I am, let me put it that way. I am not diffident about it. We will always be cautious. I will keep watching.

Sameer Bhise : Great, sir. Thank you. This is super helpful and all the best. Thanks a lot.

KVS Manian : Thanks, everyone. Thank you so much for taking time out on a Saturday and attending our call.

Souvik Roy: Yes, we will try and see if we can stick to Friday evening next time onwards. Thank you so much. Thank you.

KVS Manian : Thank you.

Moderator : Thank you very much. On behalf of the Federal Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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MANAGEMENT : MR. KVS MANIAN – MD & CEO
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATE SWARAN –
EXECUTIVE DIRECTOR & CFO
MR. LAKSHMANAN V – GROUP PRESIDENT &
HEAD (TREASURY)
MR. VIRAT DIWANJI – GROUP PRESIDENT &
NATIONAL HEAD (CONSUMER BANKING)
MR. DAMODARAN – EVP & CHIEF RISK OFFICER
MR. MAHESH R – EVP & HEAD (LOAN
COLLECTION & RECOVERY)
MR. RAVI RANJIT – SVP & HEAD (PLANNING)
MR. MANIKANDAN M – HEAD, FINANCIAL
REPORTING
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Federal Bank Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Souvik Roy, Head, Investor Relations, the Federal Bank Limited. Thank you, and over to you, Mr. Roy.

Souvik Roy: Thank you so much, and good afternoon, everyone. Thank you so much for joining us on a Saturday. We truly appreciate you taking the time. Today is Dhanteras and with Diwali just around the corner, we wish all of you and your families health, prosperity and a wonderful festive season ahead.

We remember the fact that today is a crowded results day for all of you. So, we actually thought to start a bit early and give you enough time for the other calls. Many of you had actually mentioned in the last call that weekend calls are tough. We do understand that. But unfortunately, given the results calendar this quarter and the number of moving parts, we couldn't shift it around this time.

We did, however, wanted to get all the fireworks out of the way before Diwali. So hopefully, will do it some other day, but not on Saturday. All our senior management members are on the call with me, including our MD, our EDs and the business heads, and they'll be happy to take your questions after the opening comments.

With that, let me hand it over to our MD, Mr. KVS Manian. Over to you sir.

KVS Manian: Thanks, Souvik. Good afternoon, everyone. Thank you for joining us for our Q2 earnings call. I have now spent over a year in this role. I can say with conviction that I feel confident both about where the bank stands today and about our collective ability to steer it steadily towards the goals we have laid out.

The results this quarter reflect the structural improvements we have been working hard to embed in our income and balance sheet profile. Let me take a few minutes to walk you through the four levers that continue to drive this structural change. The first lever, strengthening NIMs through CASA, especially current account.

Our CASA growth this quarter has been very encouraging, both sequentially and year-on-year. Even more importantly, the average CASA balances have risen meaningfully even more than what the EOPs reflect, showing that the growth is not just at the quarter end, but sustained.

Within that, our current account growth has been strong. We have also gained share in our NRI franchise on the savings side, which remains one of our natural moats. Our remittance market share has climbed back from 18.5% to 21%, showing renewed momentum on that front. On the corporate CA front, our cash management business is an area of progress. With the complete migration of customers to our new platform, FedOne, we are seeing higher engagement.

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and improved transaction flows. To sum up this lever, our average CASA ratio has improved by over 120 basis points over the past year and over 100 basis points quarter-over-quarter. Overall deposit growth might look moderate because we have deliberately rationalized wholesale and financial sector deposits. That's a conscious choice to strengthen the quality and not just the quantity of deposits. The basket of CASA and retail term deposits continues to show a healthy growth trend of over 11% year-on-year. Coming to the second lever, improving NIM through asset mix. As you know, nearly half of our loan book used to be concentrated in low-yield assets, which was corporate and home loans. Over

the past few quarters, we have been consciously recalibrating this mix. In the higher-yield segment, our cards portfolio continues to grow strongly, while we remain calibrated in the MFI and personal loan space, which we will consider scaling up once the external environment stabilizes.

Our medium yield book has been a key focus area and its share continues to improve. Businesses like commercial banking and commercial vehicle finance are growing at healthy double-digit rates, and our LAP business and BuB business units are regaining growth momentum. We have also pilot launched our tractor business in the last quarter.

On the retail side, gold loans are expanding at a smart pace of 7% quarter-on-quarter, excluding the Digi-biz segment, which we are running down as per the new gold loan guidelines of Reserve Bank of India. We are gearing up for stronger growth in auto loans and LAP in the coming quarters, which will support our full year guidance. The combined impact of these actions, both on asset and liability side has been tangible, and our NIM performance has exceeded our earlier guidance.

The third lever was building diversified sustainable fee income. In a quarter where treasury income was muted due to market movements, our fee income still grew 13% Q-o-Q, demonstrating the resilience of our core franchise. Our fee to average assets ratio crossed 1% for the first time, a milestone we have been targeting for some time. Initiatives in wealth management, trade and forex revenues are gaining momentum, and we expect them to further strengthen the fee trajectory over the next few quarters.

The final lever, of course, is maintaining strong asset quality and prudent provisioning. After a slightly elevated credit cost in Q1 due to MFI stress, we had earlier guided that our full year credit cost would remain around 55 bps -- this quarter, the credit cost moderated to 50 bps, and we remain confident in holding to our earlier guidance.

We have also taken a management overlay of INR46 crores approximately this quarter on some standard accounts even before reclassification where we have observed stress in connected exposures. This is a proactive precautionary measure. Slippages continue to be under control and the underlying credit quality remains stable.

In summary, we are executing exactly in line with our strategic priorities. The shifts we have made in liability mix, asset composition and fee diversification are visible in our numbers and in the growing consistency of our performance.

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Thank you for your attention. I will now open up the call for questions, which my colleagues and I are happy to take.

Moderator: The first question comes from the line of Akshay Jain from Autonomous.

Akshay Jain: So, my first question is on margins. So, can you talk through the moving parts of the 12 basis points NIM improvement this quarter? Because there was an expectation that this quarter will again be slightly negative. And from 3Q onwards, the margins will start to improve.

And secondly, how should we look at margins going ahead? You mentioned that should we look at -- like you are already close to the 3.1-ish levels, which you reported back in 4Q '25. So, like what should be a sustainable level of margins going ahead? Second -- should I ask my second question or like...

Venkatraman V.: Yes, let me answer your question on margins first. The movement from last quarter, 2.94% to

3.06%. You should also keep in mind that we are one of the few banks where we do T+1 repricing on the repo-linked book. So, a large part of the hit on the 50 bps has been taken in last quarter.

Having said that, the main reason for movement this quarter is our deposit cost was lower by about 19 bps. In addition to that, our cost of borrowing was down by about 3 bps. So together, that's 22 bps on the liability side. Our

yield on advances dropped by 14 bps.

And then we gained 1 bps in CRR and another 2 -odd bps from optimization of other assets and liabilities. So that's how the movement is from 2.94% to 3.06%, largely driven by lower deposit and borrowing costs because we also dropped our savings rate, if you remember last quarter in June, mid-June.

KVS Manian: And Akshay, going -- of course, our intention is to change our NIM profile over a period of time by continuing to focus on what I call the mid-yielding assets. So, we do expect improvement in NIM going forward as well, of course, subject to further rate cuts and things like that. But yes, our attempt will be to continuously look at improving the NIM profile beyond what we started this exercise.

Akshay Jain: Okay, sir. Got it. Secondly, sir, on the growth. So, growth has been like pretty low this time on around 1.5% Q-o-Q, which is like almost half the system. So how should we see growth going ahead? Like are we comfortable enough to meet the 1.2x nominal GDP target, which you had quoted for this year?

KVS Manian: So Akshay, just some background to growth, which is very important for us to understand. When we started this trying to restructure our asset side, 50% of our asset book was in low-yielding segment, what we call the low-yielding segment. That is corporate and home loans constituted over 50% of our book. They still do very close to that. And that is one.

Second, you also know that one year back, we had 53% of our book in repo-linked assets. So there are -- what we are trying to do is a structural shift over a period of time. And these structural shifts need time and effort over a period of time to correct. If 50% of your book is such that you

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do not want a double-digit growth on them and/or you don't want aggressive growth on them, you need to do doubly more on the rest of the 50% to get a particular growth rate. So please keep that in mind.

And if you see, even there, there are segments where we do not want to press the accelerator yet, like, for example, MFI or personal loan areas, which we did not want to press the accelerator.

So wherever we have chosen, so the way to look at it is in our chosen areas of growth, we have been able to grow quite handsomely. If you look at our commercial bank, it is growing at late 20s kind of growth rate. Our cards is growing.

Our gold loan, as I mentioned, if you take away the Digi-biz business, that is the wholesale part of that gold business, which has to be run down because of the RBI new guideline. If you take the retail gold, we are growing at close to 7% Q-o-Q on that. So the way we look at it is we need to grow, of course, we need to grow and we need to grow profitably in line with the structural objectives we have to build a sustainable, good quality franchise over a period of time.

And therefore, we continue to remain bullish. I think there are areas like LAP and BuB, which have just about reversed their negative trend over the last quarter to positive territory this quarter, but we do expect these to grow faster in the coming quarters and build momentum through that. So we are quite clear that in our chosen areas of growth, we will grow.

I hope that answers your question.

Akshay Jain: Yes. On asset quality, last quarter was impacted by MFI and partly by business banking. So this quarter, is it safe to assume that all things are back to normal?

KVS Manian: So the MFI, of course, that continuing 50% provision that happens, we provide over 2 quarters, on the unsecured. So that hit has, of course, come this quarter, right? Last quarter's slippages do hit this quarter. And if you look at the slippages, they have dropped. But are they in comfortable zone? I don't think so. So MFI stress, I think, is still in play. It is easing for sure. I mean we have seen the peak already last quarter

, not this quarter. And month-on-month, we have seen easing of that. But has it completely come to a territory where we are comfortable? The answer is no. But rest of our asset book actually has stood rock solid on the asset quality side. We have no reasons to be concerned about anything on the asset quality on any other business other than just the MFI-led business.

Akshay Jain: Understood. And lastly the clarification...

KVS Manian: And the credit cost, excluding MFI has actually slightly declined. In fact, our credit cost, excluding MFI has slightly declined, if at all.

Akshay Jain: Yes. Understood. Just last one clarification. So there is an exchange notification on capital raise. So is it just an enabling resolution? Or is there something more to read into it?

KVS Manian: Since we have given a notice for a Board meeting on 24th, let's respect the Board's authority to make decisions and then talk to you on that. So we will just now leave it at that.

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Akshay Jain: Is it enabling or like it's not an enabling one, is it?

KVS Manian: Let's wait for the 24th, please.

Mod erator: Next question comes from the line of Mahrukh Adajania with Nuvama.

Mahrukh Adajania: My first question is on margins. So we've already done a good job on margins. They've come out better than expected or even better than guidance. How do you -- do you expect them to improve further in the second half? And then in terms of the CASA ratio, right? So once balance sheet growth picks up, you've consolidated in the segments, which were low yielding and grown in mid -yield to high yield.

But once overall balance sheet -- once that consolidation through, and I believe it should have been through last quarter. But once that is through and when overall balance sheet or loan growth picks up, how will CASA behave? I mean, just now the growth is also low. So overall deposit growth is low, that is also helping the CASA ratio. So that's my first question.

KVS Manian: So on NIM, Mahrukh, of course, as you know, our deposits repriced over a 12 - to 14 -month period, and we are 6 months into that. And therefore, there is, of course, deposit repricing that will continue to play through the next 6 months. And of course, assuming our CASA trajectory continues, our desire will be to grow the margin from more than here, of course. And hopefully, our execution keeps track with -- keeps in sync with our desire. So that's about the NIM.

And on your CASA, you're absolutely right. We are very much aware that as growth picks up, our CASA momentum has to be even better to maintain the ratio. We fully understand that and that we have to build in our execution template to make sure that we deliver on that. Having said that, these are also times when overall industry CASA and deposit growth has been muted. One is also hoping that tide will turn a bit also on that and deposit growth will, in general, pick up, that will also give us some tailwind to do better. So a mix of tailwind and better efforts.

There are many other initiatives we have in the pipeline to drive our CASA trajectory forward.

I mean there are hundred more things to do, and we will definitely keep that in mind while executing going forward. But it's a good point you raised. Yes, we have to keep that momentum stronger.

Mahrukh Adajania: Okay. But from -- so 3.06% is the current NIM, what is the normalized level of NIM, say, over the next 1 to 2 years? I mean, would it be 3.3x? Or what is the normalized level...

KVS Manian: All I can say is upward. All I can say, Mahrukh, is that it is definitely upward. Let's not -- I don't want to limit myself with any number that I tell you. So let's say it is upwards, and we will continue to -- see, Mahrukh, the reason I'm also hesitant to tell you are there are many moving parts in this game, right? One, like I said, we are trying to r

estruce liabilities. We are trying

to restructure assets. So it's a mixture of things that is happening. Then there are external factors like rate cuts, further rate cuts that can happen.

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So, I think there are many moving parts. Let's -- the way I look at it is we have to remain agile, keep executing and doing our best and let the outcomes play out. So -- but clearly, we would like to see NIMs higher than this, obviously.

Mahrukh Adajania: Sure. And in terms of asset quality, the MFI stress has peaked, but it's still there. And hopefully, in the second half or by fourth quarter, it will decline much more. So in that context, at least for the next 2 to 3 quarters, can we see a sharp reduction in credit cost? I know you had guided to 50 bps or 45 to 50 bps as the normalized range. But next half, will we see a substantial reduction as MFI recovers? Or it will be 50 only?

Venkatraman V.: No, Mahrukh, let me correct you first. We have never guided 45 or 50 bps. Last call also, we said our full year guidance is 55 bps. Last quarter was 65 bps. This quarter is 50 bps. For the 2 quarters put together, we are at 58. We'll still maintain our full year guidance of 55 bps.

Obviously, endeavor would be to try and come below that. But at this stage, I'm not giving a guidance different from what we have stated earlier.

Mahrukh Adajania: Okay. So even with the MFI recovery, it will be around about here only.

KVS Manian: Let's see how it plays a part.

Venkatraman V.: Yes, we have two more quarters, so yes.

KVS Manian: See, like I told you, Mahrukh, that I am not yet in the comfortable zone on MFI. So I do not know how that plays. So let's -- after we get a comfort on that side, we can consider on revising our guidance. But just now, I don't have that level of comfort on the MFI side to give you a revised guidance.

Mahrukh Adajania: Okay. Got it. And just last question. I know the Board will decide and then you will communicate on the capital raise. But theoretically speaking, since you are consolidating on areas you don't want to grow and even if growth picks up, it can be self-funded through internal accruals because your margins are improving.

Why would you need capital at all? Are you seeing -- are you seeking to expand in any capital consuming business because most of the other lending businesses should be self-funding. So that was the broader question.

KVS Manian: Mahrukh, let me first correct you. That we don't want to grow is an incorrect statement. Like I told you, we have intention to grow in our chosen areas of assets -- on the asset side, which are profitable to grow so...

Mahrukh Adajania: That's what I meant, not the low yield -- not the low yield, yes.

KVS Manian: Yes. So -- but Mahrukh, mid-yielding segment also requires higher RWAs. So therefore, we will come back after the Board meeting and talk about update on the capital part of it. So let us leave that discussion out for today's call.

Moderator: Next question comes from the line of Sumeet Kariwala with Morgan Stanley.

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Sumeet Kariwala: Congratulations on a great quarter. Some -- if I can get some initial estimates on the impact on the new -- from the new guidelines, ECL and the guidance that RBI is going to put out on operational and credit risk revised standardized approach, some initial estimates cut that you might want to share?

KVS Manian: Venkat?

Venkatraman V.: See, on the ECL, Sumeet, of course, the draft guidelines is out now, which we are examining. But based on the earlier submission, we have given an indication that it will not be a substantial impact to us. It will be low less than 0.2% on the capital. This was the estimate as per the March pro forma submission. But we need to study in terms of what it will be, but we don't expect any significant impact due to the ECL transition.

Sumeet Kariwala: And the benefit from operational risk and credit risk guidelines? The standard -- Basel III revised standardized approach, what could be the release? Any sense on that?

Venkatraman V.: We will have some benefit, but too early for us to give out a number on that or an estimate, Sumeet, but we are -- we will have -- obviously, there will be benefits coming out of that. I don't want to put a number at this stage.

Sumeet Kariwala: Okay. And the overlay provisioning, that's with respect to which segment?

Venkatraman V.: This is actually Retail segment, Retail.

Sumeet Kariwala: Retail segment. Can you give me -- can you give us some color on MFI portfolio in terms of SMA or collection efficiency, how it has behaved in September versus June?

KVS Manian: Harsh, do you want to take that?

Harsh Dugar: Yes. Sumeet, Harsh here. So, as we have observed the slippages has been coming down after peaking in May month -on-month from June, July, August, September with each month being lower than the previous month. That's one part.

Secondly, we have seen some reversal in terms of moving to a lower bucket from the higher bucket. That's the second part. There has been a higher collections also in this area. So, these three things do look positive at this point in time, Sumeet.

And total book actually BC-driven book is less than 1.7% of our total book, and we have not been growing almost flattish. The BC book at about INR3,300 crores BC driven book, that's JLG loans. And there's a small portion is SHG loan, which we have not seen any major concerns over there. So, this is broadly what it is.

So, we do see signs of trending downwards, but there's external stress because the number of borrowers -- the person can borrow from and the quantum he can borrow has been capped. So, there is an external pressure for him to repay. And as you know, the overall outstanding in the MFI sector has come down significantly.

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So that has also come out from the system, which is causing a bit of stress. So that's the reason why we are saying that we would like to be a little cautious in terms of pressing the pedal or

commenting on the asset quality going forward. But at this point of time, it's trending downward.

Moderator: Next question comes from the line of Rikin Shah with IIFL Capital.

Rikin Shah: Sir, the first one is on margins. It seems like across the sector, the deposit repricing has been better than banks own expectations. Even you had indicated potential mid-single-digit NIM contraction last quarter in this one.

So, what has changed in your own assessment? What has surprised positively on deposit repricing? That's number one. And I have a couple of other questions as well. I'll ask them a bit after that.

KVS Manian: Rikin, it is not only about pricing. Pricing is, of course, we were quite agile on pricing side. But it also -- as I had mentioned in my -- this thing, the CASA ratio, 1% improvement in a quarter also makes a big difference, right, to the cost of funds. And therefore, it's a mix of volume and rate actions. And like I also mentioned that we cut our wholesale deposits and went more retail. On the wholesale side, whatever we did, we did on short term. So, there are several rate actions we took, which has basically dropped our cost of funds. Like I said, while we gave a guidance last quarter -- after the last quarter, through the quarter, of course, we keep -- we remain agile and do stuff, which we look at as opportunities in the market.

For example, if you look at the average CASA growth is 6% Q-o-Q, which is much more than we would have estimated in the beginning of the quarter. So -- and that makes a big difference to cost, right? So therefore, there are mixed actions. And I would say, partly good execution, partly markets, partly sec

ular trends, yes.

Rikin Shah: Got it, sir. And that nicely rolls into my second question. Clearly, the average CASA balances have picked up in the recent quarters. And you had laid out in your strategy a few quarters ago what you aspire to do in the medium term.

And in your opening remarks, you did mention that NRI and remittance market share has improved. Any other levers beyond that, that have started working in terms of government balances, etc etera, that has already started to yield results, if you could elaborate on that?

KVS Manian: Yes. Government also is doing -- government business is also doing better. In fact, some of the CA uptick has been driven also by that. So, we have multiple initiatives like that, which are -- some have started playing out, some are yet to play out. For example, Fed-one is we have launched essentially our payment side, right? We have yet to launch our collection side products on the corporate side.

I think as we do many of these initiatives, there are multiple initiatives in the pipeline. As we start building our wealth proposition, which we are -- we have not yet gone live with that. As we build our wealth proposition, we will gain share on that. So there are many -- there are other

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product variants we have launched, which we will focus on. So therefore, there are many things in the pipeline.

And we -- answering partly to the earlier Mahrukh's question as well, we have to keep executing to get CA trajectory going all the time and the CASA trajectory going all the time. And we do have initiatives in the pipeline, which will continue to drive this.

Rikin Shah: Got it. And the second last question is on asset quality. The aggregate slippages have been high in the last couple of quarters. What explains that? And more specifically, write-offs are very high in this quarter, driving your credit cost, while the slippages have come off. So which segments you've written off more aggressively in the quarter? Or has there been any change in the write-off policy?

KVS Manian: So two things, Rikin, our aggregate -- what we show as a gross MFI, that is the MFI piece I was talking about, the elevated slippages were only arising out of MFI, as we said. And as we said, that is easing. Has it eased enough? No. But is it easing? And are we seeing a definitely downward trend? Yes. So that's what the asset quality is about. And...

Venkatraman V.: And on the -- your point about there's been no change, Rikin, on any write-off policy on -- so it's been the same. We have a kind of policy in place. We are consistently following that. And so there is no...

KVS Manian: No extraordinary change. There's nothing extraordinary we have done to change the write-offs and things like that. So Rikin, again, you must remember that as the unsecured stress started showing 1 year back, right? So, some of those write-offs are happening out of that portfolio. And therefore, that is consistent with the other things we have been telling you. So nothing unusual or extraordinary that is to be noted.

Rikin Shah: Noted, sir. And the last question is the capital raise. I'm guessing you may choose to not answer that again. But is it fair to say that given your earlier articulation of building new line of businesses on the wealth management side or investment management side, so the potential capital allocation is not only for the organic growth, but also seeding some businesses. Just trying

to understand what could be the potential capital allocation plans here ?

KVS Manian: So Rikin, let me put it this way. Let the Board make a decision. And after the decision, all these factors will be considered while making a decision and the rationale of that decision. I promise you that as soon as the Board makes that decision, we'll come in front of all of you and explain our rationale whatever -- whichever way we decide on that.

Moderator: Next question comes from the line of Nitin Aggarwal with Motilal Oswal Financial Services Limited.

Nitin Aggarwal: Congrats on a very good result. Sir, I have a couple of questions. One is around the ECL impact, again, wherein you mentioned that the impact is going to be quite small or manageable. So do you think that this will come in the way of the targeted ROA improvement because we have laid out a target to be somewhere in the middle of top three and the next three in terms of ROA and Federal Bank Limited

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a number that we look at. So, will this -- covering up this provisioning gap, will this come in the way of us achieving that target over the next 2 years?

KVS Manian: So let me put it this way, Nitin. Of course, one-time impact, whatever happens that Venkat did give some guidance on. But that -- anyway, that is onetime. We do not expect on a running basis, the ECL methodology to land up giving you significantly higher kind of credit cost. We do not expect our fundamental credit costs to change, right, just because the methodology of accounting them changes, our fundamental credit cost should not change.

So -- but this is early stages, like Venkat said, we are analyzing that. But in principle, if I were to respond without getting into the details and the mechanics of the numbers, methodology -- new methodology should not typically result in a higher credit cost just because of some mathematics, right? Truly, we should lose more money for our credit cost to go up.

Nitin Aggarwal: Right, sir. And sir, the other is on the Yes Bank stake sale, if you can like help us know like how much is the gain and how will it be reflected that in P&L or balance sheet? How is that accounting done?

KVS Manian: Just to tell you, Yes Bank was taken into our AFS in the balance sheet when the revised accounting norms were announced. And that has gone -- that is what they call the designated equity. And it went into the reserves, the profit on sale of that. Actually, in the year, it was negative. As of March, it was restated at a particular price, and there was a small loss, which went directly into the reserves.

Nitin Aggarwal: Reserves directly. Okay. Okay. Sure, sir. And sir, the last question is on the credit card, wherein we have made a very strong progress. It is also helping us improve the fee intensity. But if you can talk about where we are in the profitability journey in this segment? And how is the sourcing mix now between internal and external customers?

KVS Manian: Yes, I'll ask Virat to address that.

Virat Sunil Diwanji: Yes. So strategically, we are moving into acquisition by our own team. So our organic card number is growing. And at the same time, we have what we call tightened or revised our policies on the -- to the fintech, the cards that we were sourcing. So these 2 steps on one side, the organic sourcing is helping us to get better customers.

And most of them, the bulk of it, almost 90% of the customers are our existing customers. So from that point of view, it improves the stickiness of the customers with the bank. So all in all, and we will focus on how do we grow our organic card acquisition as a business going forward.

Nitin Aggarwal: Right. And in terms of product profitability, where are we on the ROA journey in the segment?

KVS Manian: So Nitin, the way we look at it is there are 2 parts to this, organic and inorganic. Our organic strategy is to, of course, is all upside ours, all downside in the beginning ours, right? All acquisition cost goes into us. Of course, as long as we keep our acquisition internal, we can control that, but all the upside is ours. When we work with fintech partners, we share some

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upside, right? So it is a mixed strategy we follow. A mix between the organic and fintech with

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give us a balanced strategy of building ROA.

So I would say we are not yet in big profit zone. We are in the middling mild loss, mild profit kind of zone just now. I think scale is important to build profits in this business. But I think these are early days from an ROA perspective.

Virat Sunil Diwanji: And moreover, we have recently embarked on this growing our organic card. So as the card age

grows up, our spend will go up. And as the spend will go up, eventually, it will translate to the profitability. But early days, I would say.

Moderator: Next question comes from the line of Kunal Shah with Citigroup.

Kunal Shah: Firstly, given that maybe going slow on the low -yielding asset is weighing some way on the overall loan growth, if you can just highlight in terms of the proportion up to which we expect the overall low -yielding advances to come down from the current levels of more than 50 -odd percent, say, over the medium term? And maybe how long could it weigh on the overall loan growth compared to our guidance of 1.2 x, 1.3x of the GDP multiplier maybe average, which we are indicating?

KVS Manian: So Kunal, let me play the contrarian on that with you. Why do you call low -yield assets growth weighing down? I think it weighs up on the profitability front. So, in any case, so I think like I said, I think it's a balance. We have to -- we need to grow the balance sheet, but yet we have to grow profitability. Our intention is to change the structure of our earnings, and that's the goal. And corporate, for example, if the corporate credit growth comes back, nothing stops us. And if our liability profile continues to improve, there's nothing that stops us from pressing the accelerator on the corporate side, right? So, I think it is a question of the cycle. In a cycle where corporate credit cycle is not very favorable and you try to grow, it can only come at extremely low yields and ROE destructive manner.

Yes. So -- and we don't want to play the price game, right? And by the way, if you go back to our history, there have been times when we have grown our asset at 20% and still our ROAs have not grown. So if you trace back our own history, that has been the case.

So, I think finally, we have to do things in a logical growth -oriented manner. Even in corporate, we are saying mid -corporates, we want to grow. It is harder work than doing a large INR2,000 crore s transaction with a large corporate. You have to do 10 corporates at INR200 crores. But that's the way to go, and that's the way we will go.

And therefore, I just want to clarify that it is not that we are against growth, right? I told you that in chosen segments, we want to grow. And those are aggressive growth numbers. Those are not small. If you look at credit card, it is in 30s.

If you look at the commercial bank, it is in late 20s. Gold is, as I told you, 7% Q -o-Q, if I take the Digi-biz aside. So it's not an issue about having a mindset to grow. We want to grow, and we will press the accelerator where we see the opportunity to grow profitably.

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Kunal Shah: Got it. Perfect. And secondly, on fee income side, so the ramp -up has been quite strong. We are already seeing it upwards of 1 -odd percent. So I think a lot many levers kicking in. If we look at forex that's contributing, distribution fee has gone up quite significantly on a quarter -on-quarter as well as year -on-year.

So where do we see and how quickly can we see the overall fee to assets ramping up? Maybe you have indicated in terms of the medium -term guidance, which you have, okay, across the board. But is it coming too quickly than the expectations the initiatives have already started to yield and we might reach sooner and that could be the support to the ROE?

KVS Manian: Absolutely. I mean that is our intention. I had always -- even 2, 3 quarters back, we talked about

this saying that trade forex, trade and forex, wealth and cards being key drivers of this, apart from, of course, growth in many other areas that you have seen where it has continued to grow. And I think the runway is still completely open on wealth, for example, while in para banking, in insurance distribution, we have already started showing traction. I think the core wealth business is yet to go live technically. So therefore, there is runway ahead. On forex, while we have seen progress, we have seen progress on the corporate side.

We have not yet seen progress on the retail side. On trade, we are -- we still have a runway to grow that going forward. So I think there are enough levers yet to pull for us to improve this trajectory, and we'll continue to do that.

Kunal Shah: Sure. Got it. And last time, you had indicated a host of initiatives, which you had taken structurally. Any new initiatives maybe after being there, maybe any incremental initiatives, which maybe you think that maybe you have thought about it over the last 2 months and which is getting implemented now?

KVS Manian: Kunal, we already told you that we have 50 -odd projects, large projects, which we are running as what we call the project breakthrough. Yes, of course, maybe after the December quarter, we'll come with -- I had given a kind of a small update in the early -stage update in the last quarter.

But we will come back to you in the -- with the December results and give you a more comprehensive update. There are initiatives always in the pipeline. And of course, we have to keep doing what we have to do, but we will come back with a full update. There are many

initiatives that are, of course, in the pipeline.

Moderator: Next question comes from the line of M.B. Mahesh with Kotak Securities.

M.B. Mahesh : Questions on margins again. When you look at the yield on advances decline of about roughly about 20% and cost deposits on 20%, how do you explain margin expansion here?

KVS Manian: Venkat?

Venkatraman V.: Mahesh, what you are looking from that, don't derive the number from that. You'll have to look at it from a NIM perspective. From a NIM perspective, the deposit and borrowing cost, clearly,

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we have a 22 bps save there, whereas the yield on advances has dropped only 14 bps. So, you get a clear 6 bps out there.

And in addition to that, there is 1 bps from CRR, which I told earlier. And we also did -- we continue to do optimization of our balance sheet in terms of other assets and other liabilities. We have got about a couple of bps from that. That is an ongoing exercise. We will see how -- there are still some more assets, which we feel we can get returns out from or dispose and all that. So that is work in progress. So that's how the...

M.B. Mahesh : And just to clarify...

Venkatraman V.: Sorry.

M.B. Mahesh : Just to clarify, there's no one-off in the interest income?

Management: No, no.

Venkatraman V.: Absolutely no one-off.

M.B. Mahesh : Second question, sir, we missed the direction of margins this quarter. So just trying to clarify here, if everything were to remain as what it is today in terms of interest rates, does margin go up or go down or it remains flat next quarter or in the next 2 quarters? How does it move from here onwards?

KVS Manian: Mahesh, it does go up, obviously, for the simple reason that like we always tell you that our deposits reprice over 12 to 14 months, deposit side, the term deposit side reprices over 12 to 14 months. So we are in the middle of that cycle. So there is going to be repricing of our deposits for another 2 quarters, if not slightly more than that and benefit will flow. Of course, asset pricing will...

Venkatraman V.: This is assuming no rate cut, like you said, assuming the...

KVS Manian: Rate cut is a separate after you clarified. You were

asking your question all remains same.

M.B. Mahesh : One last clarification. In your mind, do you think that the bank requires additional capital to do the current level of business? Or it is -- or do you have a capital adequacy ratio in mind that suggests that this is on the lower side?

KVS Manian: Mahesh, again, I will leave the question at that -- answer at that saying that let 24th Board meeting happen. Let us make that decision. The Board will meet and discuss all issues. Whatever is the outcome, let's then come back and explain, give you the update rationale, all of that we will talk about. Give us those few days to come back to you on that.

Moderator: Next question comes from the line of Piran Engineer with CLSA.

Piran Engineer : Congrats on the quarter and happy Diwali. Just on the standard asset provision, once again, the management overlay thing, what exactly was that? And on what portfolio size did we take that INR48 crores?

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Venkatraman V.: It's INR46 crores, Piran, the management overlay. It's a proactive decision, which we have taken on standard assets which have not been reclassified where we are seeing some stress on connected accounts. So as a proactive measure, we have taken the INR46 crore management overlay.

Piran Engineer : So large part of that in the...

Venkatraman V.: And largely in retail, yes.

Piran Engineer : So it's like the same borrower has another loan, which is, say, Stage 2. That's what you mean by stress and that...

KVS Manian: Not the same. Same borrower is very clear.

Venkatraman V.: The same borrower will be classified.

KVS Manian: Connected borrower, connected borrower.

Piran Engineer : What do you mean by connected?

KVS Manian: We will take you that offline and there are...

Venkatraman V.: There are technical terms involved.

Piran Engineer : Okay. Okay. Fair enough. Fair enough. And then secondly, getting back to this NIM thing because...

KVS Manian: Promoter and a company of the promoter, private limited company of the promoter are connected, just as an example. So just as an example. There are scenarios there that we don't want to take you through the whole thing on a call like this.

Piran Engineer : No, no, fair enough. Now I get it. If it's -- so one is corporate and one is the person, fair enough.

KVS Manian: That's one of the -- one scenario, one of the scenarios, yes.

Piran Engineer : Got it. Got it. And also just on this NIM thing, is there some benefit in terms of day count accounting that has accrued this quarter? Usually, in certain quarters, there is a hit and then some quarters, there's a benefit. Just want to make sure that this is an absolutely clean number.

Venkatraman V.: This quarter, nothing Piran, nothing.

KVS Manian: BAU in normal course.

Piran Engineer : BAU in normal course. Okay. Perfect. Perfect. That was it.

Management : Moderator , one more -- yes, one more question and probably, we can wrap it up.

Moderator: So, the last question comes from the line of Param Subramanian with Investec.

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Param Subramanian: A couple of data keeping questions first. What is your LCR for this quarter? And what is your CET1, including...

KVS Manian: 129.

Param Subramanian: 129, okay. And what is the CET1 including profits as of this quarter?

Venkatraman V.: It is 15.71%. It's given on an annual basis, but yes.

Param Subramanian: 15.71% includes CET1, right?

Venkatraman V.: Yes, that includes CET1, so that's CRAR. 15.71% is a CRAR includes CET1.

Management: Without profit.

KVS Manian: The profit we do only at the end of the year, now that we do only in Q4. We don't do that calculation through the year.

Venkatraman V.: At this stage, we haven't taken -- we haven't done that profit.

Param Subramanian: Okay. Fair enough. Okay. And lastly, again,

this question has been asked in various forms, but

I'll just again. But how to think about the bank more from a medium-term perspective in the sense that, see, we are still in the midst of a rate cutting cycle. Fully appreciate that you're solving for top line growth and ROA delivery clearly.

But since we are possibly still looking at further rate cuts ahead, at what point do you start thinking that balance sheet optimization as a lever is largely done, and we will start looking at growth as a driver of profitability going ahead.

If you could give some sense on that, that -- I know this has been asked, but how we are thinking that at what point we are comfortable with mix and we want to start growing? Because clearly, as has been asked in a few questions, you're also looking at October 24, possibly raising capital.

KVS Manian: Param, all I will tell you is that growth in profits and growth in assets needs the right balance, right? One without the other doesn't -- either is not possible or does not make sense. So we remain very careful about how to balance these 2. We understand that there are times when we have to drive profitability through asset growth and there are times when we have to correct the profitability not necessarily through asset growth.

So we will -- all I can tell you is our strategy is not a thing that we will just hold tight whatever the situation of the market. We will remain agile. We will remain thinking about what is the right strategy to do in what environment, and we will act according to that. And I do not want to predecide what we will do, when we will watch. We will react to the situation. We will adapt and react to the situation.

Param Subramanian: Absolutely, Manian. I fully appreciate that. It's just that your leverage is coming down. So it has an ROE impact for you. So that is why just following up on this, that something that you are considering as well, right?

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KVS Manian: Yes, yes. Of course, all parts of the equation, we will take into account. We need to take into account all parts of the equation. We understand that. But like I said, we will do what we think is sustainable and right thing to do for medium, long-term benefit of the bank and the shareholders of the bank. We remain very conscious of that.

Param Subramanian: Congratulations on the quarter and Happy Diwali to the whole team.

Souvik Roy: Thank you. And moderator with that, we'll probably close the call. Thanks, everyone, for joining

us on Dhanteras afternoon, 350 -plus participants today explains a lot. Thanks a bit. And before we close, one quick thing. Do look at the Slide number 5 in our presentation. It captures in a quick snapshot that what we are truly focused on right now and which is execution. As always, if there's anything that's left out, we are always a call away. We can discuss offline as well. Thank you again for your time and have a great festive day ahead. Happy Diwali.

KVS Manian: Happy Diwali. Thank you for joining us.

Moderator: Thank you. On behalf of Federal Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Q3 FY'26 Earnings Conference Call

January 16, 2026

MANAGEMENT : MR. KVS MANIAN – MD & CEO
MR. HARSH DUGAR – EXECUTIVE DIRECTOR
MR. VENKATRAMAN VENKATESWARAN –
EXECUTIVE DIRECTOR & CFO
MR. LAKSHMANAN V – GROUP PRESIDENT &
HEAD , TREASURY
MR. VIRAT DIWANJI – GROUP PRESIDENT &
NATIONAL HEAD , CONSUMER BANKING
MR. DAMODARAN – EVP & CHIEF RISK OFFICER
MR. MAHESH R – EVP & COUNTRY HEAD , LOAN
COLLECTION & RECOVERY
MR. RAVI RANJIT – SVP & HEAD , PLANNING
MR. MANIKANDAN M – HEAD, FINANCIAL
REPORTING
MR. SOUVIK ROY – HEAD, INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY '26 Earnings Conference Call of the Federal Bank Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone.

I now hand the conference over to Mr. Souvik Roy – Head (Investor Relations), The Federal Bank Limited. Thank you and over to you, sir.

Souvik Roy: Thank you so much. Good evening , everyone and a very Happy New Year to a ll of you. Thank you for joining us today for our Q3 Earnings Call.

Before we begin, a quick housekeeping note. In the last interaction, we had mentioned that we would try and avoid scheduling earnings calls on Saturdays and we are glad we could keep this promise this quarter. As always, the entire senior team is here on the call with us today. We will begin with the opening remarks from our MD. Then Venkat sir, ED would take you through the quarter, the main numbers actually and after which we will open th e floor for further questions. Given the number of participants on the call and the time available, we request everyone to restrict themselves to one question each so that we can accommodate as many participants as possible.

So, with that, I will hand it o ver to our MD, Manian sir, over to you.

KVS Manian: Thanks, Souvik. Before Venkat walks you through the numbers in detail, I would like to make a few introductory remarks about some of the important events during this quarter.

First, for the Brand refresh , this was one of the 12 strategic themes that we had listed in February last. As you are aware, we took on board Vidya Balan as Brand Ambassador and launched a media campaign Savings ki Vidya , we took the next steps forward in this quarter.

For dec ades, our customers discovered us by walking into the branch or by speaking to our people, by experiencing our values in person. Today, the first interaction often happens on a six-inch screen. The first judgment is formed not in our offices, but in our pi xels. We are evaluated not just on rates or products, but on experience, simplicity, and the quite confidence with which we project in those early moments. That was a rationale for our brand refresh exercise. This is not a rebranding. At its core, this ref resh stands on three ideas. Pride in a 90 -year legacy while actively shaping the next chapter , retaining the colors of the brand is indicative of that. Openness

to evolve how we work, communicate, and collaborate while remaining anchored to what we stand for. Make the new brand look familiar yet fresh, retaining the connect with our existing customers. And ownership, this is not a management's brand or a marketing's brand, it is the bank's brand carried forward by every one of us every day.

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At the heart of this refresh is a new visual expression of who we are, the Fortuna Wave. It brings more fluidity and freedom of expression to attract newer audiences. The Fortuna Wave represents three things that define our relationship with all our stakeholders. Authenticity, Prosperity, and Togetherness, what we call APT. These are not aspirational words that describe how we conduct ourselves with our customers, our investors, and our employees every day. The intent behind this refresh is simple and deliberate to enhance recognition, to sharpen differentiation. Importantly, the refresh will go beyond digital identity. Also, with this brand refresh, we have finalized our new brand design and aesthetics. We will gradually roll out that change as well.

Confidence in our direction is also reflected in a significant development during the quarter. In Q3, we received

board and shareholder approval through an AGM for the proposed strategic investment by Blackstone. The transaction has also received clearance from the Competition Commission of India. This is a strong validation of our strategy, governance framework, and execution capabilities. Beyond strengthening our capital base, it opens up avenues for unlocking business synergies and expanding access to global institutional expertise, reinforcing our long-term growth trajectory and deepen stakeholder confidence in our bank's future. Against this backdrop, our Q3 performance reflects a steady strengthening of underlying fundamentals, improvement in margins and ROA, reduction in funding costs through improved CASA mix, growth traction on chosen asset segments, and sustained stability in asset quality are actually outcomes of disciplined balance sheet management and consistent execution over multiple quarters. We are beginning to see the benefits of stronger liability franchise and a calibrated shift in our asset mix towards segments that offer superior risk-adjusted returns. Cost discipline and prudent risk management remain central to how we operate and will continue to operate. While competitive intensity remains elevated, our focus is deliberate consistency over volatility, quality over headline growth. This positions the bank to deliver sustainable performance across cycles.

With that, I will now hand over to Venkat to take you through the numbers of the quarter in more detail. Thank you.

Venkatraman V.: Thank you Manian and good evening, everyone. Thank you for joining us to discuss our performance for the quarter. I trust you have had a chance to review our investor presentation and disclosure.

Let me begin with a quick view of the macro environment for the quarter:

Inflation remained well-contained with headline CPI moving up 1.33% in December from 0.71% in November, reflecting some bottoming out in food prices and the print came in below market expectations. The key driver was a sharper than anticipated decline in vegetable prices. While core CPI edged up, this was largely driven by higher gold and silver prices. When we exclude these volatile components, underlying core inflation moderated to about 2.4%, indicating that broad-based pricing pressures remained subdued.

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On the policy side, liquidity conditions remained supportive following the rate cut in December, which helped anchor interest rate expectations.

In summary, the macro environment during the quarter remained broadly constructive, notwithstanding the ongoing global geopolitical uncertainty. Inflation was low, underlying pressures were muted, and the operating environment remained relatively stable. This provided a supportive setting for us to focus on execution, balance sheet discipline, and prudent growth.

Now, coming to our performance for Q3:

Q3 was a quarter of strengthening fundamentals and measured progress. We delivered INR 1,041.21 crore in net profit, representing 9% sequential growth, driven by sustained margin expansion, disciplined cost management, and continued improvement in asset policy. More importantly, these outcomes are the result of structural shifts in our balance sheet, not short-term action.

On the balance sheet momentum:

As at the quarter end, total business stood at INR 5,53,364.49 crore, growing at 3.71% QoQ and 11.4% YoY. Deposits closed the quarter at INR 2,97,795.82 crore, up 3.07% QoQ and 11.8%

YoY. More importantly, CASA balances grew at 6.59% sequentially and 18.86% YoY. And the CASA ratio improved to 32.07%, an increase of 106 basis points QoQ and 191 basis points YoY. This, we believe, is among one of the best in terms of CASA growth in the industry. This steady retailization of our liabilities is materially improving the durability of our funding profile, and it is now clearly reflected in our

margin trajectory. Gross advances closed at INR

2,55,568.67 crore, up a very healthy 4.46% sequentially and 10.94% YoY.

Again, importantly, the emphasis is growth continues to be led by the segments which we have consciously prioritized. Commercial banking grew by 5.35% QoQ and close to 26% YoY, reflecting sustained traction in the mid-market and medium lending. Business banking grew by 3.82% QoQ, which, as you know, showed signs of turning around last quarter but was muted at the beginning of the year. So, this gives us the close to 4% growth in this quarter gives us belief that the momentum will continue in the next quarter and going forward.

Retail banking grew by 2.84% QoQ and 14.76% YoY. Gold loan, which is another one of our medium lending portfolios, grew 12% YoY and 9% QoQ, despite a calibrated downsizing of a portion of the book in line with recent regulatory guidelines.

In addition to BU, LAP is another portfolio which expanded quite strongly in Q3 at 4.47% QoQ, with growth momentum expected to sustain and improve in the coming quarter. Corporate and institutional banking grew at 8.59% QoQ and 14.46% YOY. The mix of growth remains intentional. We are expanding in segments that deliver superior risk-adjusted returns while maintaining underwriting decisions.

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On margins and core income :

Our NII for the quarter was at INR 2,652.73 crores, growing 6.31% QoQ and 9.1% YoY. NIM expanded to 3.18%, up 12 basis points sequentially. This was supported by a reduction in our funding costs, cost of deposits, cost of funds and cost of borrowing, in addition to improvement in yield on investment and the CRR cut impact. The improvement in margins reflects the combined impact of liability mix optimization and asset repricing. As stated earlier, this was the quarter in which we had highest ever NII, highest ever fee income and highest ever OP.

Our fee income stood at INR 896.47 crores, growing at 5.23% QoQ and close to 19% YoY. Fee growth remains well distributed and continues to strengthen the quality of earnings. Our cost to income ratio improved to 53.92%, down 12 basis points sequentially.

During the quarter, we also added six branches, aligned with our calibrated approach to network expansion. On asset quality and risk, our GNPA declined to 1.72%, an improvement of 11 basis points QoQ and NNPA improved to 0.42%, down six basis points QoQ and at an all-time low. Our provision coverage ratio, excluding technically written off, increased to 75.14% and we continue to maintain around the 75% level. Credit cost for the quarter was at 0.47%, improving three basis points QoQ. These trends reflect both portfolio reasoning and sustained focus on recovery and give us confidence in the resilience of our book. And our slippage ratio for the quarter was 0.7%.

As a result of all the above improvements, our ROA increased to 1.15%, up 6 basis points sequentially and ROE improved to 11.68% and an expansion of 67 basis points QoQ. You will notice that despite the 125-bps rate cut from last year December to this year December, our margins have expanded, our ROA is also better than last year December level. EPS for the quarter was at INR 16.79 up 8.89% sequentially.

Also, during the quarter, we increased our stake in our associate company, Ageas Federal Life Insurance, from 26% to 30% through the acquisition of 3.2 per shares at INR 30.45 per share. The transaction was completed November 25 after receiving all necessary approvals from RBI and IRDAI and it strengthens our long-term strategic partnership in the life insurance business.

To conclude :

Q3 reinforces the fact that we are building a more stable margin led and buoyant franchise. Our priorities remain unchanged, strengthening the liability franchise, secondly growing in chosen higher quality lending segments and thirdly maintaining control on cost and

asset quality. While

competition remains intense, our focus remains on risk-adjusted profitability and consistency of outcome rather than just pure headline growth. The balance sheet that we are building is more granular, more resilient and better positioned across rate cycles.

Thank you and we will now open it up for questions.

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Moderator: Thank you very much. We will now begin the question & answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello, congratulations. My first question is on your outlook on margins, right? You already expanded margins by 24 bps over the last two quarters. So, where do we see margins from here on, given that the growth in mid and high segments is already very strong. So, I guess it will stabilize from here on. So, what is your outlook on margins for the next 2-3 quarters, assuming no further rate cuts? And even for the longer term, where do you see them stabilize? And my next question is in your fee income on the distribution income. If you could throw some light that was not very strong this quarter. So, those were my questions.

KVS Manian: Hi, Maru. So, just to talk about the NIM expansion, it's a journey. I don't think we are at the end of that journey. And as we keep changing the mix of our liability profile, as our CASA percentage grows and our medium yield assets continue to grow faster than the low yielding asset size, I think we hope to continue this journey for many more quarters to go. Of course, there will be an immediate quarter, you will see the impact of the last rate cut play out. So, we have to keep that in mind in the next quarter. A large part of the last rate cut will play out in the next quarter. Of course, we have to try and mitigate that as we have tried in the last few quarters. We will attempt to do our best. So, but I don't think that journey is anywhere close to the peak of what we want to get. Your second question was...

Mahrukh Adajania: So, you usually have a T +1 repricing except for new loans, right? So, part of the repricing would have played out this quarter or no?

KVS Manian: Yes. For a month it would have played out. The rest of the two months, it wouldn't have played out. So, one third of that impact would have played out this quarter. Two thirds of that impact will play out in the next quarter. Yes.

Mahrukh Adajania: Okay, thank you.

KVS Manian: On the distribution side, we do have a seasonal seasonality every year. Our distribution income is usually better in the second quarter than in the third quarter. Usually. Having said that, there was also GST impact in the last quarter because the commissions were impacted by the change in GST structure. And last, also the product mix. When the markets are buoyant, customers tend to choose ULIP products and there the commission percentages are lower. So, it is partly reflective of that. In terms of volume, our traction continues to remain good.

Mahrukh Adajania: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Akshay Jain from Autonomous. Please go ahead.

Akshay Jain: Hi, sir. This is Akshay. So, my question is on asset quality. So, how do we look at asset quality for MFI segment going ahead? So, if I reverse calculate your MFI credit costs, they come out to

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around 10 %-11%. So, how should we expect this number to move incrementally? And on other segments, they are performing very well. The credit costs you have disclosed to be around 29 basis points. So, assuming you build moderation in MFI credit costs, how should this blended credit cost number move? So, should we expect it to be much lower than your 50 -plus basis point guidance? Or are we expecting some deterioration in other segments? So, that's my

first

question. And secondly, on the loan mix, so while you continue to state that you will be focusing on the mid -yield segments, any quantitative number on how the mix should settle down maybe in 3-4-5 years? How much will be your high yielding book, mid -yielding book, and low yielding book? Anything on that?

KVS Manian: So, let me take the second one. I will ask Venkat to answer the credit cost question. But I will take the second one. The way I look at it is this is again a journey. It's too early to put a stable number to that. Our attempt is to keep working towards growing the mid -yield book faster than the high -yield book. And remember one thing that we have still not changed the composition of the high -yield and very high -yield portion because that is the microfinance. While cards have, you can see good growth in cards, other high -yield segments we have not pushed the accelerator on, whether it is personal loans or MFI, because we have been waiting for pushing the accelerator on that to get more comfort on the potential credit costs of that. So, I think this journey is, we are too early in the journey to tell you how it will look 3 -5 years later. I think the attempt is to keep working towards changing this mix favorably. How much it will reach, where it will reach, too early to say. But clearly our attempt is to improve yields on the asset side by changing this mix.

Venkatraman V.: On the credit cost, see at the beginning of the year and in Q1 also we said the full year guidance we gave 55 bps to 60 bps. And right now, for 9 months we are already at 55 bps. So, we should end the year somewhere between 55 and 50, say 52 -53 bps for the full year. For the quarter the credit cost was 47 bps, of course lower than last quarter. So, we will continue to see the credit

cost getting better in Q4 as well.

Akshay Jain: My question is like once MFI book settles down.

Venkatraman V.: On the MFI like you said, if you have seen the trajectory of slippages, it is coming down every quarter and the credit cost is also coming down. We are seeing it come down and we expect even Q4 to be lower than what we have seen in Q3. So, we should see the improvement being reflected in the MFI as well. Now have we seen a full recovery in MFI? We do not think so. We are still cautious in terms of growing the MFI business and it is being grown selectively. So, we will watch for one more quarter before we decide how much to press the pedal on MFI.

KVS Manian: And just to add to that, in the medium term we should also remember that as we build the medium yield asset, the credit cost on those will be higher than the low yield asset. For example, corporate credit costs are close to zero. So, as of now, we are not yet giving significantly different guidance compared to where we are today. We will evaluate that guidance as we go forward.

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Akshay Jain: Understood, sir. So, just one more question on how is your MSME asset quality progressing and any impact you are seeing from US tariffs, or you are hearing anecdotally from the industry?

KVS Manian: No, like Venkat mentioned earlier, if you see what we call the BUB segment, the lower end of SME, we have actually begun to grow that in this quarter with comfort on the credit side.

Actually, our credit costs are well in control and the portfolio is absolutely, I mean, we have not seen any deterioration at all. And in the commercial banking, which is the higher end of SME, again, our portfolio quality remains robust. We are not seeing any stress in that portfolio.

Actually, both these segments, this quarter costs are lower than, credit costs are lower than what they were last quarter.

Akshay Jain: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah: Good evening, sir.

Thanks for the opportunity. I had four quick questions. So, the first one is on the growth. So, on the growth, you are clearly restructuring the mix towards mid-yielding segment, which partly is reflecting in your margin performance as well. So, when does this restructuring largely gets done? You reach your target mix and we can expect the bank to grow in line or maybe faster than the system. So, that is number one. Second, if I look at the reported margins, they are up 12 basis points sequentially, but the lending spreads are broadly flat. So, if you could just provide some walkthrough of where this reported NIM improvement is coming from. Third is on CASA. So, this is again second quarter of good CASA traction. Last quarter, we saw SA momentum was good. It sustained this time. And this quarter, even CA has picked up. So, just wanted to check on CA specifically, any period and chunky balances that may get potentially reversed or, this is real organic improvement in CA as well that we saw in the quarter. And fourth and the last one, just wanted to get a sense on when do we expect the first tranche of fund infusion from Blackstone coming in? Would it be in 4QFY '26 or maybe 1QFY '27? Thank you.

KVS Manian: Thanks, Rikin. Rikin, this quarter, our asset growth is 4.5%, close to 4.5%. And so, I do not know when you say that, will it recover to industry levels? I do not know which industry level you are talking about. So, I do not have an answer to that. I am assuming you are measuring momentum by the last quarter.

Rikin Shah: Fair enough. So, you are saying that momentum should broadly sustain going ahead as well?

KVS Manian: I will qualify it partly. As you have seen, all our chosen segment, our run rates are quite good.

And this quarter, of course, we got very good growth on corporate as well. So, maybe the 8% kind of quarterly growth on corporate may not sustain. But even if you drop that lower, our run rates will be fairly healthy. So, that is on the asset growth. On the NIM, I will ask Venkat to take it. But before that, on CASA, first of all, there are no chunky stuff there. It is all reasonably granular. But I will just requalify it by saying that there are usually, of course, bump ups that happen in the quarter and due to the nature of the business. But we should, that is why we

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disclose our averages through the quarter. And if you see the average growth, growth in averages also are quite healthy. So, therefore, if you remain focused on the averages that we report, it will tell you that it is reasonably secular. CASA growth, of course, there is no one silver bullet we have used. It is a factor of multiple things, including better productivity from branches, newer products. It is a combination of various things and this journey, of course, continues. We can do more and we will continue to focus on that. On the Blackstone, of course, we are awaiting final regulatory approvals on that. So, we are hoping that this quarter, it will get, in the last quarter, it will get done. That is our expectation. We will keep you posted with the actual development on

that. NIM walkthrough, again, NIM, my broad comment will be, NIM again is no one single silver bullet. It is a combination of multiple things that improve our NIM. We work on granularity on multiple things to make sure our NIM improves. But I will ask Venkat to take the details on that.

Venkatraman V.: Yes, I think in terms of NIM, like Manian said, several factors have moved. On the downside, yield on advances has gone down by 9 bps, but on the upside, we have had several factors. One is cost of deposits is lower, our cost of borrowings has gone down. CRR cut, to some extent, has come. Better yield on investments as compared to last quarter and our average own fund. A combination of these 5-6 factors helps us in terms of getting to 3.18. So, sev

eral things, and we

have to continue to work on all of them.

Rikin Shah: Got it. Perfect. Thank you, Manian and Venkat, sir.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Hi team. Congratulations on the quarter and thanks for keeping your promise of not keeping it on a weekend. Just firstly, getting back on the NIM question, how much of your TD repricing is left?

KVS Manian: As we had earlier indicated, from the cycle started, we think it is about 14 months on an average. 14 months it takes to fully reprice the term deposits and that means we have about 4 or 5 months to go.

Piran Engineer: Two more quarters.

KVS Manian: One and a half more quarter.

Piran Engineer: Yes. Okay. That answers my question. Secondly, just in this quarter also the yield decline of 10-12 bps QoQ. Now, 2-3 bps would have come because you have immediately passed on the repo rate cut. But what led to the other 8-9 bps of decline?

Venkatraman V.: The total decline is only 8 bps, no? Or rather 9 bps.

Piran Engineer: So, yield on advances, 886.

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Venkatraman V.: On NIM basis, it is only 9 bps. Drop in yield on advance.

Piran Engineer: I mean, I am going by your reported numbers, 886 going to 874. Now, out of that, ballpark 2-3 bps would be due to the repo rate cut.

KVS Manian: Piran, but the incremental business also happens at lower rate. As the rates drop, incremental business, for example, MCLR repricing would have happened on other assets, non-repo asset.

New business would come at lower rate because markets do price in drop-in rate. New corporate business would have come at lower rate. So, all that also happens. So, yes, the yields do go down overall. But of course, our costs also go down.

Piran Engineer: So, then this NIM improvement this quarter, going back to Rikin's question, is essentially balance sheet management, where we must have reduced liquidity on the balance sheet, more loans on the balance sheet and that is why we see this 12 bps benefit. Is my understanding correct?

KVS Manian: So, when you say balance sheet management, CASA improvement, CASA percentage improvement has an impact on cost of funds. Cost of deposits go down. So, it is a mix of both.

Borrowing cost is not balance sheet management. Borrowing cost reduction is actual cost reduction. So, it is a mix. So, like I said, this is not one silver bullet, which is solving it for us.

We have to work on multiple parameters to improve NIM and we will continue to do that.

Piran Engineer: Understood. Okay. And just lastly, in terms of your mortgages and your auto loan books, those have been fairly stable for the last 4-5 quarters now. So, just wanted to get a sense of when we will start seeing these segments pick up.

KVS Manian: Right now, on the home loan, particularly home loan, as you can see, we have stepped up the pace on our LAP book. As you can see, the growth rate in the LAP is reasonably healthy this quarter. On the home loan side, we are not finding the risk rewards attractive just now. We feel that the pricing is below the optimal levels that we require. And therefore, as you can see, we have not grown that aggressively. We, of course, continue to serve our existing customer needs, but we are not going out and acquiring aggressively at those kinds of rates. These are long term commitments. This is a very long term product. And structurally, you can lock the balance sheet on poor rate economics for a long time. And therefore, we are cautious. When we get comfortable, so I don't have an answer as to when we will change that one. We will continue to focus on areas where we think the risk rewards are good. Auto, hopefully we can, we are working towards, we have made some structural changes internally to make auto work. Auto, we hopefully get back

sooner. On the home loan, I will wait and see how the situation evolves, the competitive intensity evolves, and how the pricing in the market evolves to see whether we can press the accelerator on that. But the way Piran I see is we have opportunity to grow the other

assets. As you can see, many of them are growing in their 20s. And we will continue to focus on that to build the balance sheet.

Piran Engineer: Got it. And just lastly, quickly, branch openings have slowed down a lot this year. Why is that?
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KVS Manian: As you know, earlier we have addressed this issue, we have been working on multiple things on the branch side, like the free the branch initiative that we have been doing. So, we are kind of reimagining the branch operating model. And we wanted to focus on settling that before we push the accelerator on branch openings. We also wanted to, we were working on the brand, brand refresh, branch formats, reformatting our actual physical layouts of the branches, branding. We are also, we have also gone through evaluation of our branch net work, in terms of their efficiency of the network, whether we need to relocate some branches, whether we need to review some branch sizes. So, various things are in, were in the pipeline. So, we wanted to get a better handle on all that before trying to push the accelerator on the branch numbers. You will see better branch traction in the Quarter 4 already.

Piran Engineer: Got it. Okay. Yes, that's it from my end. Thank you and all the best.

KVS Manian: Thank you.

Moderator: Thank you. The next question is from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Hi, good evening and congratulations for the quarter. So, a couple of questions. So, the first question is on OPEX. I just wanted to check that, now since you are anyway going to grow mid-yielding, etc., which is more granular business, what would be the run rate of Opex? Would it grow at this 4-5% QoQ range and that means annualized high teens maybe, or does that taper off at some point of time?

Venkatraman V.: Abhishek, hi, this is Venkat. On the cost, as we had indicated earlier, the cost-to-income ratio, if you had seen, it's to do with both, you know, management of cost and the income traction. So, this quarter it's down because we have had strong income momentum. But our guidance, we have said that over the 2-3-year period, it will be range one in the 53 to 55, because we will be reinvesting the savings in distribution technology and all the other initiatives. So, but at the same time, our endeavor is to ensure that we try and get to a positive job so that the alignment of cost is in line with the income growth.

KVS Manian: Abhishek, we had said earlier that this is a tightrope walk we will do. We will build income and we have always stated that. So, our guidance has been that don't build in benefits out of that. If we get that, it's a bonus, but we will remain very focused on making sure that we are efficient. But just now we don't want you to, our guidance is don't build efficiencies out of that in the short term. We will see in the medium term.

Abhishek M: Yes exactly. Because if you are in a build out phase, you will need to make those.

KVS Manian: Yes.

Abhishek M: Okay. The other one is on, two or three segments of your loan mix. One, I wanted to check, gold loans, are you seeing any kind of yield pressure or pressure to raise LTV, etc. And, or is, the market largely rational at this point of time as well?

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KVS Manian: I will ask Harsh to take that.

Harsh Dugar: Hi, Harsh here. The pressure on yield on gold loans in general would be the result because of the falling interest rates as some of the PSU Bank's offering rate, but the gold loan book has grown substantially. We have actually maintained

our yields on a gold loan book. The challenges on

LTV has actually not happened because our LTV has actually come off. If you look at from last quarter to this quarter, the LTV has actually dropped. And this is not just for us, industry-wide phenomena because of the increase in the gold loan prices. So, we are not going to push growth to, by targeting only LTV. So, this is where it is. So, at this point in time, I would say that the yields are being maintained and managed. I don't see growth has been reasonably good for us. And LTV pressures are not there at this point in time.

KVS Manian: In fact, the gold loan growth rate of 9% is in spite of the, what Venkat mentioned in his thing, running down of our wholesale lending kind of a book we had, which is not allowed under the new regulation. So, if you gross for that, it's another 2%-2.5% higher.

Harsh Dugar: Actually, it's almost 90% YoY. And if I look at the beginning of the financial, it's actually 2.0%.

Abhishek M: Okay. And most of it would be price-driven, right? Not really tonnage-driven.

Harsh Dugar: Meaning the growth?

Abhishek M: The growth. So, basically...

KVS Manian: Our tonnage has not gone up this quarter.

Venkatraman V.: And on LTV, we are at 5.4. We have enough and more headroom available if we had to do that.

Abhishek M: Sure, perfect. The personal loan book, like MFI, you indicated that you are still looking at the environment and where the credit costs will settle. Is it the same in the personal loan book or are you seeing any kind of comfort there and you could start growing? I know you indicated that you are still watching, but what is that metric or indication that would make you start growing that book?

KVS Manian: So, compared to MFI, we are more comfortable in the personal loan space. And I would say we are in baby steps in terms. We did the highest personal loan disbursement in the last 12 months, in the last month, actually in the month of December. So, we are trying to build that. But slowly, baby steps, I would say, yes. But we have more comfort in that space than the MFI space just now. But we are just now focused that product on our existing customers alone. We haven't gone out to acquire customers on that product, which is something that we are evaluating. We will see the economics of that must justify. We are looking at the options there.

Abhishek M: And in terms of book growth, when does that start contributing, at least incrementally?

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KVS Manian: The personal loans? See, just now it is a small book. So, even if it grows at a reasonable pace, I think it will take time for it to really make a dent on the overall scenario. It's a very small book, as you can see this 3,600 crore s book. So, let's start building it, then we will see the impact arising out of that.

Abhishek M: Got it. Thanks. I will get back in the queue for more questions. Thank you.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswa I. Please go ahead.

Nitin Aggarwal: Hi. Thanks for the opportunity. And good evening, everyone. So, I have two questions. One is on the yield and the rating distribution of the corporate exposure. How are you looking at that, if you look at the slide 21? And so the mix of A-rated corporate has gone down in this quarter by nearly 500 basis point. And so I understand, like, of course, the bank is working on improving the yield. But how are you looking at this equation? Any desired number that you would like to reach? Any color around this?

Harsh Dugar: We had very consciously said that we would not be focusing large part on the low yielding one.

And in corporate banking, the AAA means that the maximum price extraction from the bank.

So, we have consciously let go of certain large assets, which has made a difference. In terms of asset quality,

I can assure you that we are not going down the risk spectrum to build a book. We will be more granular, we will be more mid corporate, we will be deeper geography, but not diluting the credit standard. It's just not focusing so much on the AAA names, because reciprocity doesn't come from there, neither does the yield coming from there. And two things which I would like to further stress, how we strengthen are rating. We ensure that they're either very securely asset backed, or there's proper cash flow tracking over there.

Nitin Aggarwal: Right. And so just like on this, see, at the same time, we have also reported a pretty strong growth sequentially. So, while we have let go of this asset, but still we have reported a 6% growth. So, does that mean that the growth otherwise was running in double digits in corporates this time?

KVS Manian: Nitin, you have to see it in the context of the last one year, we have also grown this book slow right over a period of time. So, the restructuring of this book had impacted the growth of this book for the last 3-4 quarters, actually, it had not grown very fast. So, and we had started focusing on mid corporate. But obviously, it takes time for mid corporates to build. And I think now we are able to see the progression towards that. Yes, of course, but some opportunistically some assets have happened in corporate which has also, which were decent yield and therefore we have also done that. So, like I mentioned earlier, don't go by the 8% you see in this quarter in that as a steady state run-rate of growth for that segment of business.

Nitin Aggarwal: Right, sir. But is like the unwinding more or less over? Or you expect more unwinding to happen?

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KVS Manian: No, unwinding is over. We have to now build. Over in the sense, see, like I said, all these are processes, long term loans sitting there, you can't easily unwind. So, it's always a process. But by and large, I would say, yes.

Harsh Dugar: So, corporate level, as we keep in mind, is also very short term in many cases, and very opportunistic. So, if we do see opportunities at any point of time, we will do that part. So, we look at from our balance sheet perspective, our risk-adjusted return on capital (RAROC), our risk return point of view and reciprocity. So, this is something which you are doing as a conscious call.

Nitin Aggarwal: Okay. And the other area that I wanted to check upon is the margins. Like last two quarters, we

have reported a 24-basis point odd NIM expansion. So, do you think that margin will be a bigger driver in ROA expansion, as you alluded that it would like even going forward, the margins will continue to expand. So, will this turn out to be a bigger driver in our overall blocks and like on which margin expansion or ROA expansion is going to be based?

KVS Manian: No, NIM is obviously one of an important driver for ROA expansion. There is no question about that. Having said that, yes, can fees also add to that? Of course, there are other things that will add on to that. And margin also is both an asset side game and a liability side game. So, I would say all three, liability side mix, asset side mix, and fee improvement, all three need to drive our ROA trajectory.

Venkatraman V. : Having said that, I just want to caution you that for the coming quarter Q4, our endeavor will be to maintain NIMs around the current level, given the fact that we still have the impact of the last rate cut to be passed, the two -month impact.

Nitin Aggarwal: Right, got it. Thanks so much. Those are my questions.

KVS Manian: Thank you. The next question is from the line of Kunal Shah from Citi group. Please go ahead.

Kunal Shah: Thanks for the question. So, on fee income side, maybe at the discussion earlier, you alluded to the overall distribution income. But if we look at it, maybe the overall

fee income growth or fee

income to assets, where do we expect it to settle over next 12 - to 18 -odd months once all the factors play out? Because it still seems to be settling closer to 1 -odd percent even in this quarter, and that's been largely flat.

KVS Manian: So, Kunal, I don't think we are, I will say that again, like in some other cases, I don't think we are looking at settling, wherever we are is not the place we are settling at. Clearly, there are levers that we have. We will, this quarter, we launch our wealth in the market, and that's a business that we will grow over the next few years. Our trade and forex has upside possible, which I don't think we have yet got the trajectory that we want to. So, there is potential to grow that. Our card business continues to grow well, that would add to fee income going forward. So, these are things that are still to play out. So, I think we are far from saying that we are settled at a 1% level. We want to see upside on that, and we will drive upward trajectory in that.

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Nitin Aggarwal: Okay. And this would be visible over like maybe 4 to 6 odd quarters. So, maybe this wealth management and card business and a II, that should be driven over a period?

KVS Manian: Yes. As you can see, even in the last two quarters, we have seen some trajectory, right? It has moved up to 1 % from the 90-92 basis points that it used to be. So, there is traction. So, you see it, I mean, hopefully you will keep it on a continuous basis. You will not necessarily have to wait for 4 to 6 quarters.

Nitin Aggarwal: Sure. Got it.

Moderator: Thank you. The next question is from the line of Param Subramaniam from Investec. Please go ahead.

Param Subramaniam: Hi. Good evening, team. Congrats on the quarter. A few questions. Firstly, on LCR, what is the LCR as of this quarter? And what is the impact for us from the RBI change in regulations from April, positive, negative?

KVS Manian: So, our quarter -end LCR was about 114 %.

Param Subramaniam: I meant average for the quarter.

KVS Manian: Average was about 123. We expect about 5 % to 6% impact out of the new regulation from RBI, approximately.

Param Subramaniam: This is a negative impact?

KVS Manian: Yes.

Param Subramaniam: Okay. Fair enough. And so then what does that mean for your growth? So, broadly, we talk about 1.2 x to 1.5x nominal GDP growth, right? So, is there any change to that after taking into account both these things? Firstly, you know you'll have capital next year. There is the diagram of this LCR norm as well. So, how to think about the growth trajectory?

Venkatraman V. : Param, it's also a function of opportunity and the external environment. Having said that, we will continue to remain focused on medium yielding segment growth. And as you saw last quarter, 4.5% advances. So, assuming all things equal, we will try and be around the same levels. So, high teens is what we are working towards.

Param Subramaniam: High teens loan growth.

Venkatraman V. : Around 16.

Param Subramaniam: 16 for next year is what you are talking about. Okay. So, that part is clear. And on this corporate loan growth bit, so I think you mentioned, so there is, I mean, there is a growth sequentially. So, what is, I mean, and we can see it in the RBI data as well. Is this just substitution of bond market

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primarily or is there some CAPEX related lending here? Could you give some color on this corporate lending?

Venkatraman V.: Mix of it. Basically, a part has also come, Param, from the fact that the bond markets had priced it higher and the bank lending had come out in line. So, that was one part of it. So, that's what you are saying is right. There's also been an increase in requirements of both working capital. If you look at the data also, the paid offtake

from the corporate sector has also increased. That has

also led to it. A little bit of CAPEX, I won't say substantial, but a little bit has come from there as well. So, all the three has actually contributed.

Param Subramaniam: Thank you, Venkat. Thank you, Harsh. Just one last question. Again, this has been asked before, but if you would just explain the margin walk, right? So, I mean, in that slide nine, the top left chart that you are showing, it's showing yield on loans and cost of funds are down broadly the same. I mean, there is a CRR positive, we can see, 4 -5 basis point, which we are aware, but I mean, there's a 12 basis point improvement, right? So, how exactly do we?

Management : I will take this off line, after the call, Param.

Param Subramaniam: Okay. Fair enough. Thank you all. Congrats on the quarter again.

Moderator: Thank you. The next question is from the line of Jay Mundra from ICICI Securities. Please go ahead.

Jay Mundra: Hi, sir. Congratulations on the quarter. Sir, you spelled out on NIMs and loan growth trajectory.

If you can share your aspirational ROA over the next two years, sir, that will be much helpful.

KVS Manian: Jay, in our February document, we had shown some, we have given you a guidance on what, how to look at our ROA over the next 2-3 years, right? I don't think that changes. I think we are just now in the execution mode on the same strategic plan. And that continues to be your guidance on what we think are ROAs will be .

Jay Mundra: Sure, sir. And lastly, sir, if you have the quantifiable number from RBI trade relief measures, RBI had given this window of dispensation for exporters. If they want, they can take moratorium.

Do you have any quantum of such requests where people would have taken?

KVS Manian: Very, very negligible. Insignificant. Negligible.

Jay Mundra: Okay, sure. And sir, if you can quantify the labor, new labor code impact, have you done any higher provision on gratuity, etc .?

KVS Manian: Yes, stated in the results.

Venkatraman V. : Results, point number eight captures the quantum, Jay, and we have disclosed it. It's part of the disclosure.

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Jay Mundra: Okay, sure.

KVS Manian: It's a very small amount. It's not material amount, but it is disclosed. They are provided for. And this is done for now, right?

Jay Mundra: I mean, you did not do for the, I mean, this is one time when it is done also, right? There is no recurring impact ?

KVS Manian: This is the direct impact relating to our employees. Now, people we work with, they may have an impact on our contractors and suppliers and partners. They will have this impact and that can have a knock-on impact on us over a period of time that those are not quantifiable.

Jay Mundra: Sure. Thank you very much and all the very best.

KVS Manian: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Thank you, sir, and congrats on a good quarter. Just touching upon the margins again, right?

Seems to me that, largely the improvement is from balance sheet management, right? We have reduced the proportion of liabilities overall. LDRs have gone up, borrowings have come down.

I think that's the main contributor apart from the CRR cut. Now, my question is, sir, how sustainable is this? CFO, sir, did mention about margins probably being steady in the next quarter. How would we achieve that? I mean, purely from the loan mix? Because there will surely be a normalization in terms of liability growth, right, in the next quarter. So, yes, that's my first question.

KVS Manian: Yes. I mean, I thought we already answered that, that we continue to work on the liability mix, asset mix, all of that and therefore all that will be NIM accretive that's our effort. But yes, the repo rate cut will pla

y out fully in the next quarter. So, there will be a negative impact of that.

We will have to look at how we can mitigate that.

Gaurav Jani: So, secondly, sir, on the TD rate cuts, so the first tranche of repo rate cuts that happened was followed by system wide TD rate cuts. So, what is your sense on further TD rate cuts? Is that

possible?

KVS Manian: Yes and no. So, there are, in fact, after the last rate cut, the drops in rates, of course, savings rate did not drop at all. Term deposit rate, very moderate cuts have happened, not as much as the repo rate cut, but lower cuts have happened, but not fully reflective of the repo rate cut. But increasingly, as you know, the market after the last rate cut, actually the bond markets have hardened, rates have hardened. So, the opportunity to cut rates was lower post the last rate cut. And that's true for the entire sector.

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Venkatraman V.: And also, as I said earlier, we also want to focus on growth and keep the momentum on growth going. And to achieve that, we have to ensure that the deposit growth keeps pace. So, it may not be wise to cut the rates at this point.

Gaurav Jani: Thanks. Just if I may squeeze one more. Sir, on the provisions side, we have been buffering up the standard asset provisioning. So, it will help if you could just run us through as to what are you thinking or how are you planning in terms of ECL? We have been shoring up standard asset provisions. So, does it mean that we would continue to see credit costs of about 50 basis points moving towards the ECL? Or then, because of improvement in asset quality, we will see credit costs coming off?

Venkatraman V. : Credit costs, like we said earlier, guidance will be around that 55 -60 bps. We are still waiting for the final guidelines from RBI. Based on the draft, we have worked out the impact. We will have to see how that plays out. And there are certain concessions which the industry has asked. If that comes through, the impact will be quite minimal. And for which we have in the past indicated what the quantum will be.

Gaurav Jani: But as of today, we are in line with ECL or we are a bit short?

Venkatraman V. : Little bit short.

Gaurav Jani: Understood. Perfect. Thanks a lot.

KVS Manian: When you say short, you mean from credit cost perspective?

Gaurav Jani: That is right.

KVS Manian: So, fundamentally, we do not think ECL changes the credit cost dramatically. Over a period of time, it should align with credit costs. We cannot have an accounting mechanism which does not reflect the actual credit cost. So, we do not believe that ECL mechanism, there may be a one time impact.

Venkatraman V. : But even for that transition period which RBI is giving, they said they will do it over a few years. So, you would not see any material bump up on this.

Gaurav Jani: Understood, sir. That's it from me. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Siji Philip from Renaissance Investment Managers. Please go ahead.

Siji Philip: Hi. Good evening. Congrats on a good set of numbers. Sir, on the fee income front, so we have gradually improved to 1%. But how much further improvement do we foresee over the next couple of years? Like just a broad range will be helpful.

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KVS Manian: I do not have specific guidance on that. I mean, but having said that, our effort, I just mentioned that there are levers that we have not yet used. Wealth, cards, trade and forex, all of that has to still play out. We are trying to get those things done. So, upward trajectory, we would hope to get how much, time will tell.

Siji Philip: Okay. Thank you. And sir, on the unsecured portion of the book, has most of the stress gone out? How do we see the growth

on that front? Are we going to push growth in unsecured?

KVS Manian: We have already been pushing growth on the organic card side. Organic cards, our own cards, we are already growing it reasonably fast. In the last two quarters, we have seen our book grow reasonably fast on that. On the Fintech partnership cards, we are still cautious on that. We are not growing that fast enough. PL, I would say we are making baby steps, as I mentioned earlier. On microfinance, we are still cautious. So, that is the current status.

Siji Philip: So, we will be happy with, as you said earlier, a high-teen growth of around 16% in the next year.

Venkatraman V. : Overall growth.

Siji Philip: Okay. Great. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Souvik Roy for closing comments.

Souvik Roy : Thanks, Rituja, and thank you, everybody, for your time and for the timely connect. And if in case you need further clarifications, you can reach out to us. Happy to connect after the call.

Thank you so much and have a great weekend.

Management : Thank you so much !

Moderator: Thank you. Ladies and gentlemen, on behalf of Federal Bank, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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